

Bajaj Auto Ltd. (BAJAJ-AUTO)

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Call: Jul 2022

Page 1 of 21

"Bajaj Auto Limited
Q1 FY2023 Results Conference Call "

July 27, 2022

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Bajaj Auto Limited
July 27, 2022

Page 2 of 21 Moderator: Ladies and gentlemen, good morning and welcome to Q1 FY2023 Results Conference Call of Bajaj Auto Limited. My name is Michelle and I will be your coordinator. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the initial remarks from management. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anand Newar, Head Investor Relations from Bajaj Auto Limited. Thank you and over to you Sir!

Anand Newar : Thanks, Michelle. Good day, everyone and welcome to Bajaj Auto's Q1 FY 2023 Earnings Conference Call. I trust that you all are keeping safe.

On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with opening remarks from Rakesh on the business and operational performance of the quarter. Then Dinesh will take you through the financial highlights. We will then open the forum for Q&A. Over to you, Rakesh!

Rakesh Sharma : Thank you, Anand. Good morning, ladies and gentlemen, and thank you very much for taking the time to join us for the call today. Let me begin with the highlights of our performance in quarter 1.

Overall, Q1's effort and outcome was defined by supply chain management, in particular, the management of ECU availability. As we had informed during our last call in April and as anticipated, we faced significant shortfalls in ECU availability of about 20%. 20% to 25%, in fact, with the domestic business being hit the hardest with shortfalls of up to 40%. This has resulted in severe depletion of channel stocks and indeed some loss of market share at a retail level.

Our booking system across all business units has indeed helped to mitigate the shortfall to some extent. We have also discussed earlier about our very robust effort launched through broad-based sourcing, ensure testing, validation and integration of new sources into our production systems. I am delighted to confirm that this plan has been largely on schedule and we are now under execution. The process of rebuilding severely depleted inventories

has truly commenced.

May was our lowest point and June was better than May. And July is only a few days left now – is looking better than June. This trajectory is expected to continue. And through
Bajaj Auto Limited
July 27, 2022

Page 3 of 21 quarter 2, we will not only build the inventories back to normal levels, but we will be in a position to meet demand. This rebuilding will not only be occurring in India, but also across the world whereas the only exception to this will be our electric scooter Chetak, where whilst month-on-month dispatches are improving, supplies will still trade behind demand in the short term.

Now let me briefly comment on each business unit, starting with the export business unit. The export business unit turned in a steady performance of almost 200,000 units, 193,000 per month to be precise. The ECU shortage also impacted exports by a lesser extent. We estimate about 10% impairment to plans there. And this impairment was unfortunately set most in the sports segment in Latin America, and to a smaller extent, in some 3-wheeler lines in ASEAN.

At a global level, our market share in exports remained steady,

even after taking price

increases, which were generally ahead of competition. We acquired market share in LATAM and ASEAN and maintained in the Africa region. I will call out the outstanding performance of our twin brands, Dominar and Pulsar in the sports segment of LATAM. In fact, the twin Dominar models, the 250cc and 400cc are expanding this segment all across Latin America. And with these 2 brands, we are now a solid leader across all countries of Latin America in the very attractive sports segment.

While our competitive position in overseas markets remain absolutely solid, we are carefully monitoring the trading environment. The sharp trending of the U.S. dollar has 2 impacts. Firstly, is the devaluation of local currencies, as you know, a lot of the emerging market currencies have got quite rattled by the sharp trending of the U.S. dollar, and this leads to an increase in retail prices. The second impact is in the availability itself of the U.S. dollar. And combined, in the short term, we do anticipate challenges in managing a few markets in Africa because of this issue.

Coming to the domestic motorcycles business unit. We faced shortfalls from plan of up to 40% with the worst ones, like I said, was in May. We estimate that this has impacted our retail market share by 2 percentage points and depleted channel stocks to under 3-week levels which is expected to gain. And of course, in some of the lines, as you know, under 3-weeks is an average point and some of the lines is down to less than a week.

This being a 2-tiered distribution, the stock norm in general is 6 weeks. So we have a lot of covering up to do in the months of quarter 2. During this period, we took care to funnel the
Bajaj Auto Limited
July 27, 2022

Page 4 of 21 short supplied ECUs because of the semiconductor problem into the expanding 125cc segment. And there, we have had handsome gains in market share now reaching 25%.

I called out the performance of the premium 125cc, which is the Pulsar NS125. The outstanding performance continues. It is our most expensive 125cc. The most expensive 125cc in the market if you keep aside the KTM and it has now become a very significant contributor to our 125cc portfolio, obviously, making a good impact on the brand EBITDA. All of this has been, including KTM, were severely affected by the shortfalls. The penetration of retail finance grew and particularly Bajaj Finance amongst all the players. Cash sales were actually almost stagnant. The finance sales grew by 4 or 5x that of cash sales.

Demand recovery in urban and semi-urban areas was experienced to be far ahead of what is happening in rural areas. Our new platform in Pulsar has been received extremely well by both the experts and amateurs. Expanding on the twin 250cc class introductions of the Pulsar F250 and N250, we have recently introduced the naked dual-channel NS 160 to this platform. This is a first in its class and the early excitement surrounding the launch is very heartening. We have started to roll out with West Bengal and Uttar Pradesh and we are already experiencing stock-outs. So supply chain is scrambling to ensure that we service those customers who are coming in and booking this product.

We also introduced the All Black Twin Channel ABS version in the 250cc on the back of popular demand. There is a lot of request for this type of color and graphic. And we responded quite rapidly to that and introduced these two, which are again seeing a very good uptake. Further models are going to be launched in the next 4 weeks, adding exciting options in our portfolio from the 125 whole way up to the refreshed 400cc Dominar starting now was embellished with some touring features and accessories.

The overall industry demand has started to show signs of recovery. So a simplistic quarter - on-quarter comparison may suggest otherwise because

of a very low base of previous year

caused by the second wave of COVID being a bang in the middle of quarter 1 last year. If you normalize for that effect, we believe the industry would still be in low single -digit decline in quarter 1, but this is a very good improvement from the declining rates of minus 15% to minus 20% being experienced in Q4 and Q3 of last financial year. So the trajectory is pointing upwards. And well you can see on that basis that there is a recovery. We therefore expect the demand environment to continue to improve on the back of overall economic growth, which is now finally trickling down to our kind of segments.

Bajaj Auto Limited

July 27, 2022

Page 5 of 21 Our objective in Q2 will be to rapidly build up channel stock, like I mentioned. We are placing a particular emphasis on integrating retail stock positions very, very tightly with our product propositions and brand propositions. As we can see that this is a growth segment. And most importantly, we are going to be fully leveraging our new product launches. As you know, nothing excites the customer more in the auto sector as new product launches with these handsome product launches bang in the mainstream of the sport segment and the 125cc segment giving a great opportunity to engage with the customer in a reviving way. In commercial vehicle – domestic, the business again suffered a similar impairment of plan to the extent of 40%. There has been some loss of retail level market share there too. And channel stocks are now actually down to something like 10 days. We have a large order book as customers across segments, which is small passenger, large passenger and cargo and all geographies, have preferred to wait for supply to resume. Indeed, the shortfall in Bajaj is actually reflecting in the underperformance of the industry in quarter 1.

Introduction of electric 3-wheelers have commenced with product trials now underway in Pune and Delhi. In view of the release of permits for electric three-wheelers in Delhi, it is an important market for us to target and to get right. Our observation is that despite the release of the permit for 4,000 electric 3-wheelers – drivers there in Delhi have not taken them up and sales is less than probably 10%. They have experienced issues with current products which have been put out for electric 3-wheelers.

Hence, we decided to carefully craft our product trials to include Delhi, engage with the drivers over there, to ensure we provide to the drivers, the right balance between convenience, assurance and earnability. We are very conscious of our leadership position in 3-wheelers and in particularly markets like Delhi where we have traditionally commanded an 80% market share. We are very sensitive to our responsibilities, and we are going to take it step-by-step. And hope fully, if these light product trials, as I would like to call them, in Delhi had too much turn out, then we will expand the volume beginning with Delhi in the next quarter.

On electric scooters, Chetak's sales doubled from 3,300 units in quarter 4 to over 6,200 units in quarter 1. Our geographic footprint has steadily expanded to now 27 cities and 43 dealerships including exclusive Chetak experience centers. Like this, during the previous quarter, we have made substantial progress instilling capabilities, which will ensure leadership in this segment in the medium term and these include commissioning of a new plant by Chetak Technology Limited in Akurdi and this new plant is spread over 0.5 million square feet. We put up in record time. And the investment in this financial year by Chetak

Bajaj Auto Limited

July 27, 2022

Page 6 of 21 Technology will be above INR 160 Crores. It should have a capacity of 0.5 million units which we feel that should suffice in the short term of 18 to 24 months, and it is scalable at minimal

cost and effort.

Alongside this plant, just across the road, is a dedicated center for R&D, where a large team has been put up. As we speak, massive recruitments are taking place to really complete the R&D centers there. And together, the plant and R&D will, in our opinion, form an absolutely world-class EV center.

We have completed a very detailed review of the opportunity for engagement with the B2B segment in India and overseas, both in the fixed battery and swappable battery formats. New products addressing this segment will roll out in 3 months' time, which will allow us to develop business in the rapidly expanding segment engaging with all the premium e-commerce companies, both in India and later on, obviously, in overseas. As part of this, we are also in discussions with good battery swapping provider so that as an alliance, we can provide the required solutions to these companies.

I had outlined earlier, and I want to reemphasize the objectives of the early phase of Chetak Technologies. And these are threefold. First is the development of the Chetak brand as the preferred choice of the customer in at least 100 cities, based on product performance and ownership experience. While we are not chasing volume, we are quite determined that whenever a customer, in at least these 100 cities, wants to buy an electric 2-wheeler, Chetak comes at the top of the consideration set. And we believe that a strong service network will provide a very important assurance to the customer in this very nascent category. The guide, of course, is having an elegant and well-performing product.

The second objective in our early phase is the development of strong R&D and supply chain capabilities, which will allow us to win big time in India and overseas in the medium term. And the third objective is to commence the expansion of the portfolio. And I just mentioned to you that soon Chetak, which is largely B2C proposition, from attacking the personal segments from that, we will now add products which will address the B2B segment. And some of this work will also be done through Yulu with whom we have a strategic alliance.

We are aiming to more than double sales of Chetak in the coming quarter and get ready to expand the portfolio in the following quarter, which is the October to December quarter. A word about our spares business – over the last 6 months, we have made a very, very conscious and aggressive attempt to expand penetration of spares and the domestic spares
Bajaj Auto Limited
July 27, 2022

Page 7 of 21 has grown quite handsomely on the basis of this effort by about 40%. And as I am sure you all know, the impact on profitability is quite good. The spares turnover itself in the domestic business is now almost 20% of our overall turnover. So it is a very significant business. And we are building very fundamental strength based on our engagement with retailers through, of course, our distribution partners, advanced analytics and improved fill rates. With this, now I would like to hand over the floor to Dinesh Thapar, our CFO, for his commentary on the financial performance.

Dinesh Thapar: Thanks, Rakesh. Good morning to all of you and thank you for your participation. Let me say at the outset that this quarter has had its fair set of challenges from an operating environment perspective. As you have just heard, we continue to have significant constraints on semiconductor availability, although the situation improved in the latter part of the quarter with newly developed supply sources kicking in. But it was yet another quarter of rationing where we were not able to fulfill demand in its entirety. What is the heartening is that the retail numbers as we see it, are way ahead of what we had built out. But that has led to a significant depletion of stocks in the trade pipeline, and we hope to start building

this back in the current quarter. Clearly, with an improved outlook on supplies that is now coming in from the very decisive actions that are being taken between us and our vendors.

I think the other notable trend that I want to call out, that appears to be emerging in a far more pronounced manner in recent months, is the weakening macros in some of the export markets. They are witnessing a mix of foreign exchange depreciation. There is volatility. And clearly, there seems to be some amount of unavailability of dollars in some of those geographies. And it is clearly creating some near-term hiccups, but we are very seized of this issue and looking to see how we can mitigate these effects. And of course, all of this is being aggravated by start of inflation across both domestic and international market and weakening sentiment.

Now it is against the backdrop of this operating context that I think and I believe that we were able to put up a good set of numbers. Our performance in quarter 1 essentially was a demonstration of our resilience to multiple headwinds and a reflection of how a well-diversified business of ours across segments, across geographies and dynamic management of the situation enabled us to weather this challenging environment.

Bajaj Auto Limited
July 27, 2022

Page 8 of 21 You would have seen our numbers from now. Our revenue came in at about Rs.8,005 Crores, was up 8% over same quarter last year and near flattish compared to the previous quarter. We delivered this top line, having bridged the gap in volumes to deliver value growth in its finality essentially coming through a mix of judicious pricing, better foreign exchange realization and a very value accretive mix given the solid interplay of sales across segments and geographies. And Rakesh just made a mention of the very strong performance that we had on the spares part of the portfolio that clearly has aided our performance in this quarter.

Our EBITDA margin for the quarter was up almost at 16.6%, up 100 bps on a Y-o-Y basis.

And if you recall, it is clearly better than our initial calculations. When we spoke the last time around in April, we were expecting margins for Q1 to remain under some amount of pressure driven by the outlook then on material inflation. However, as we progress, we have taken price increases. And parallelly, we worked on containing cost and inflation, which have helped improve our margins. And if I recall, I had mentioned at that point of time that we would look to recover anywhere between 50% to about 2/3 of the overall material cost to pricing and that is pretty much what we have done.

But what has also aided us this quarter is the depreciating rupee. And therefore, our export realization for the quarter has come in at Rs.77.4 compared to Rs.75.5 in quarter 4 and that essentially has helped us then bridge the gap on material costs and allowed us to really deliver some more margin improvement in the quarter.

Now when you look at it sequentially as well, our EBITDA margin for the quarter was broadly in line with the quarter 4 margin. And let me take a minute to explain this. We announced a headline margin of 17.5% in quarter 4. But if you strip out the effect of 2 one-off items that we had called out then, which was the full year accrual of the PSI, (Maharashtra PSI incentives) that we had accounted for in that quarter. It was for the full year and a onetime gain on the actuarial valuation of our employee benefits. If you strip out the effect of these 2, our margin was in the range of 16.8% against which we have come to about 16.6%. So again, as we then look at it across quarters, we think it is a good show relative to where we thought we would end up at the start of this quarter.

A quick word on the commodities and cash balance. Commodities has been a mixed bag. The first half of the quarter looked fairly tight, in line

with what we had indicated at our last

call. Whereas the second half started to ease out a bit, particularly on the metals basket that are now showing some signs of cooling off, which we hope will translate into the next quarter. However, the energy complex or energy-related derivatives continue to remain

Bajaj Auto Limited

July 27, 2022

Page 9 of 21 pretty stiff. And there is still some amount of pressure on that part of the input costs. But let me say it on balance, having looked at both metals and energy, I think our view on commodities at this point of time is far more comfortable than we thought it was at the start of quarter 1.

We ended the quarter with surplus cash of about INR 20,500 Crores, essentially having added approximately Rs.1,500 Crores during the course of this quarter.

Before we open up for Q&A, I need to talk to you about 2 specific topics. But first, let me draw your attention to Note 8 of our consolidated financial statements. As you would be aware, Bajaj Auto has an international subsidiary based out of the Netherlands, called Bajaj Auto International Holdings BV. BAIHBV, which is the entity that I just referred to, holds 49.9% stake in an associated called Pierer Bajaj AG. You would be very familiar with KTM and the transaction that happened last year between September and October, where the stakes in KTM were swapped into Pierer Bajaj. And so that is the entity I am now referring to. Now Pierer Bajaj has a subsidiary, which is Pierer Mobility or call it PMAG, which is listed on the SIX Swiss Exchange, which is in Zurich, the regulated market general standard of the Frankfurt Stock Exchange and on the Vienna Stock Exchange, which is the official market there.

Now there is a context why I am giving you this because for the current quarter ended 30th June in our consolidated financial statements, we have been unable to account for our share of the consolidated profit of PBAG. It has no bearing on stand-alone. And this is really due to the fact that there are differences in the regulations between India and Europe on the frequency for publishing financial results by some listed companies.

In view of this, we have been informed by PBAG that the results of PMAG, which is the listed entity that I just referred to, are required to be published only on a 6 monthly basis as per the stock exchange regulations that are applicable to PMAG and will be shared by Bajaj Auto only after that publishing calendar. So essentially, Bajaj Auto needs to prepare consolidated financial statements on a quarterly basis. PMAG by virtue of local regulation needs to prepare it only on a 6 monthly basis. And therefore, as we are unable to receive financial results of PBAG for the current quarter, the same stock been accounted for in our consolidated results in this quarter and will be accounted for on a 6-monthly basis after receipt.

Now I wanted to take note of this that it is really borne out of a compulsion. But on a full year basis, you will still see the results of PBAG actually accounted for. So, no impact on a

Bajaj Auto Limited

July 27, 2022

Page 10 of 21 full year basis. However, there will be a quarterly skew. For the quarters ending June and

December, we will not be able to consolidate the numbers of PBAG. But for the quarters of September and March, we will have consolidated their six monthly numbers into our quarterly results.

The second piece I want to talk about – we didn't have a chance to speak ever since we announced it was on the buyback that we announced last month. We opened that up from 4th of July onwards, and I am sure you have gone through our public announcement, which essentially lays down the contours of that program. I am not going to go through the detailing of that, but we would be happy to take any questions, specific questions that you might have on it during

our Q&A session.

Though what I would like to do is to reiterate that our business remains very strongly focused on investing sufficiently for competitive growth. And to any questions that might have come up sporadically, we have the fullest confidence in our cash-generating ability and strong balance sheet position to enable us to retain our strong position and importantly, provide the fuel for ongoing investments and opportunities. So that is the context in which we went ahead and made the announcement.

So let me then summarize by saying that we have delivered a resilient performance, stable revenues in a constraining environment and margin expansion through very dynamic management of the business performance. As we look ahead, while some of the macroeconomic challenges continue to persist, I think we are a lot more encouraged by the prospect of recovering volumes as supplies improve through each month of the current quarter. Very decisive actions have been taken internally. And whilst it might have taken some time, we believe that it positions our business very well for the longer term.

With this, let me hand the session over back to you, Michelle, to open it up for Q&A.

Moderator: We will now begin the question and answer session. The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Thanks for the very comprehensive information on Bajaj Auto. My first question is on the margin side. In the previous call, we had sort of guided for margin pressure in Q1, and we saw some of that in the quarter. Now from here on, how do you look at the margins going ahead because on one side, domestic, which we perceive as low-margin business will pick up, we will also have some commodity tailwinds. But on the other side, the high-margin export business could be slowing down. So could you comment a little bit about margins going there? That is the first question.

Bajaj Auto Limited

July 27, 2022

Page 11 of 21 Dinesh Thapar: Thanks Binay for your question. This is Dinesh. Let me take that. I did make a mention there are two upsides that we are potentially looking at. One of course the commodity situation as it currently stands looks a lot more comfortable than where we might have been a few months back right. The metal complex has cooled off and we are hoping that those benefits start to translate into the current quarter as well and that therefore provides some cushion. I think the other is the direction of the rupee at the moment and that has been a key enabler for us to have delivered the margin improvement in the last quarter even as pricing did not entirely cover for the material cost, but I think now with cooling commodity cost and prospect of a better dollar realization I think that should hint some amount of profitability. You are absolutely right that as supplies improve and the lower margin domestic business starts to come back, there could be some challenges on the mix and while the mix have been the contributor in the past that could be a bit of challenge as we look forward but I think, on balance, the rupee depreciation and the commodity context does offer some amount of comfort on the margin front. So, I think clearly slightly better off compared to where we might have spoken in the first month of the last quarter.

Binay Singh: No, that is very clear. Thanks, Dinesh. And the second one is on the domestic 3-wheeler side. Just 2 questions; one is that, could you talk a little bit about what kind of run rate could we see now that the supply chain issues are resolving? And secondly, in Delhi, where you are sort of meeting with vendors and customers, what is the total cost of ownership of EV and CNG are looking like in your sample set? Are electrica better on total cost of ownership versus CNG in the Delhi experience?

Rakesh Sharma: Hi Binay. This is Rakesh

here. Overall, the 3-wheeler industry has not recovered to FY20 levels. We think that it is still at about 50% level. The reason for it to not go back to 100% is largely because there are some markets, like Bangalore, where work from home still continues. The movement demand has not come back to FY20 levels. Also the availability of the three-wheeler drivers has come down. As a result of which, the tendency to invest in a new asset reduces. And that is now on account of the higher fuel cost over the last couple of years. So these 2 reasons have caused recovery in the three-wheeler business to be much

lower than what we are experiencing in the motorcycle business. In this context, happily, our market share is growing quite well on the back of the expanding network of CNG. And so therefore, once the supply chain has resumed, we will initially see a surge because we will be replenishing stock. But then after that, we should get back to our original level, which will be between 20,000 to 25,000 units per month. And which would give us a very, very good market share because the market itself would be good as contracted.

Bajaj Auto Limited

July 27, 2022

Page 12 of 21 In terms of the operating economics electric 3-wheelers, depending on which city you take, but if I just take Delhi, which has got the lowest fuel cost and the lowest electricity cost, if I use that as a comparison because these comparisons can differ based on the city, then we find that the electric 3-wheeler is now almost at par with CNG if not slightly less because the CNG costs have also increased in the recent past. It is at 50% to 75% levels of diesel.

Binay Singh : Great. Thanks Rakesh. Thanks.

Moderator: Thank you. The next question is from the line of Raghunandhan NL from Emkay Global . Please go ahead.

Raghunandhan NL: A couple of queries. Firstly, how do you see the outlook for the domestic 2-wheeler market this year? And given the low base, what is your sense on the urban and rural demand ?

Recent uneven spread of rainfall – is it leading to any concern on the rural demand, especially in the North and East regions? And my second question is a clarification on the raw material or the commodity cost impact. For Q1, the earlier expectation was the hit could be up to 300, 350 basis points. Just if you can quantify how much was the hit in the quarter given that there was a correction in the months of May and June in commodity prices? And also for Q2, how much benefit can we expect from the fall of commodity prices? Thank you Sir.

Rakesh Sharma : So, let me take the first part of your question which was about demand for motorcycles and domestic going forward. And then Dinesh can come in on the commodity cost side. The outlook for retail demand in our opinion, is improving in motorcycles. You see there is no point doing a simplistic comparison, like I said in my opening remarks, because the last year quarter 1 was very bad, and the growth rates are looking quite astronomical. But if I take a 5-year sort of ratio and sanitize the base effect, then what you can see is the industry is still in the minus 3% to minus 5% growth region, if let us say, we had a normal quarter 1 last year. But obviously, it is declining. So that has not good news . But if you look at the industry performance, post Diwali of last year, we have been calling this point out, it was like minus 15%, minus 17%. And again, in quarter 4, it was also minus 15 percentage points. See, I am only going by the retail patterns based on VAHAN data. I don't see much merit in looking at billing numbers put out by the companies because channel stocks have been flexing quite a bit. So , to understand demand patterns, it is better to base oneself on the VAHAN data, which is covering almost 80%, 85% of the country and is the most reliable data. So , on that basis, the minus 15% decline has now

come down to minus 3%, minus 4%.

Going forward, our view is that this should improve to, let us say a growth of 0% to 5 %. In quarter 1, what we have seen, even though demand were bolstered by the marriages in the

Bajaj Auto Limited

July 27, 2022

Page 13 of 21 North India, we find that urban and semi-urban areas have grown much better than rural areas. But maybe as the monsoon rolls out and people experience the monsoons, the cost confidence will come and we will see the rural sector also performing. We have seen some of our large competitors pull out scheme, which is a bit unusual because July is not a month when OEMs put out cash discounts. But for entry-level models, they have put out schemes. So, we did not need to do that because, as you know, we will, in any case, having a supply problem . So therefore, one hopes, with the monsoon pattern emerging, rural shocks would come back. We have also seen that the cash sales are slower, the finance is much better. And therefore, the penetration of finance companies is most welcome. So that has where I would put it. I would say that even growth across rural and urban in the coming 6 months in the territory of, let us say, 0% to 5%, I would still say that the growth will be better in the 125cc-plus segment than in the 100cc segment.

Dinesh Thapar: Thanks, Rakesh. Raghu , to your question on material costs. So , your question was fundamentally what was the cost and price in this quarter? So, the costs eventually came in at a little under 3% and pricing was in the whereabouts of 2%. And that has the reason why in my commentary that we recovered about 2/3 of the material cost inflation through pricing. In terms of the outlook for the next quarter, essentially, what is happening is, I did make a mention right now from my commentary that we are seeing a softening on the metals complex very clearly. But there is some inflation that will continue, I think the

inflation that we continue to see is still on the energy-related complex so for example, in areas like polypropylene or synthetic rubber and in noble metals as well. So, there is some inflation on those lines, of course, and that has impacted. The piece that is happening on energy is also impacting conversion costs to that extent. So, I think that is where the inflation is. Our sense is that there are many moving parts at this point in time, in fact, as recent as yesterday with some estimates coming in. But our estimation is that material cost for the quarter should be in the ballpark of between 1% - 1.5% at this point in time.

Raghunandhan NL: Thank you. That was very helpful so 1% to 1.5% lower Q-o-Q correct Sir?

Dinesh Thapar : I am talking about 1.5% as we say, of revenue in the course of the coming quarter.

Rakesh Sharma: Yes, Q -o-Q, that is right.

Dinesh Thapar : So the corresponding number of what I just mentioned of under 3% will be more like 1%, 1.5% for the quarter.

Raghunandhan NL: Got it Sir. That was useful. That is all from my side.

Bajaj Auto Limited
July 27, 2022

Page 14 of 21 Moderator: Thank you. The next question is from the line of Aditya Jhawar from Investec . Please go ahead.

Aditya Jhawar: Thanks a lot for the opportunity , Sir. I have a couple of questions. First is on our EV volumes. So how is the line of sight of ramping up EV volumes now that we are adding capacity of 0.5 million . Our ramp -up has been slightly slower as compared to peers. So , is there a specific issue on the availability in the supply chain or are there any product development program issues that you are facing with vendors? And if yes, what is the expected resolution time line?

Rakesh Sharma : Aditya, I must point out one thing, that every call I say that our objective in this phase are not volumetric. And I am surprised that and I am relatively speaking, if I was an analyst, I will be looking

and critically examining how the company's capability is shaping up. The more I find is the way that the analysts are so crude onto what volume one is selling which is a very short-term approach, if I might say so . But having said that, I would urge you guys to look at critically. I want to deal with this question a little bit comprehensively so that, hopefully, next time, our engagement is a little bit more holistic than this.

Our volume to get that out of the way first, we have 3,000 units, like I said, in quarter 4 now 6,000 plus in quarter 1 and hopefully, we will double again in quarter 2. And this is on the basis of presence in 27 cities, whereas we have got about 100 cities in our line of sight. At this stage, our objective is really not chasing market share or volume. Our objective is to build capabilities, which is what I have been talking to you about. Now let me explain to you why this whole thing seems a bit longer. There are 2 ways of approaching this business. And I am not saying or trying to pass a judgment here because we ourselves adopted the first approach in 2020. And what is the first approach? The first approach is to get the aggregate off the shelf from anywhere in the world, clamp them together and put out a product. I would say that even in 2019 and 2020, it was not as if this went shopping, our styling was at home. But under the hood, there were many components which we just broadened and integrated them into our design style and frame, etc. So even then, we had a lot of in-house stuff. We believe that the key to winning this game is to have deep and fundamental design manufacturing capabilities, which we will then flow out to a vendor system. It is a very convenient path to bring in all the components and put them together. And when you do that, you are self-imposing constraints because then design is not in your hands because then you want to get the styling from overseas because wherever you are getting the component because the components are dictating the design language and the customer first look at design and styling. So we want to retain that control. Obviously, I am saying that there are many components like battery cells, obviously, we cannot manufacture

Bajaj Auto Limited
July 27, 2022

Page 15 of 21 them. But there are many components, which we have to in-design and that are what we are focusing on. And that is the fundamental reason why the ramp -up is slow. We can put out 10,000 Chetak tomorrow if we just buy the aggregate off the shelf. But that would be a rollercoaster ride. And I do not think that would put us in a good position to win in the medium term. And this is the reason why the ramp -up is slow because we have to develop the vendor system based on our in-house design components. And we are taking our time over it. This also helps tremendously in managing quality assurance. And anything can go wrong, it is a new type of a vehicle . But by controlling the component development at our in-house we are minimizing the chances of something untoward happening in this category and compromising our brand. So this is what happens inside the company, which then leads to some of the more visible stuff like volumes and ramp up.

Aditya Jhavar: Thanks a lot, Rakesh, for the elaborate answer. My second question is on the export market. So, this could be a very interesting year where we could see that LATAM and ASEAN market performing better because of better availability of semiconductors. But at the same time, if you can highlight that on the ground, how is the situation in Nigeria? How is the response to the higher prices? And how is the situation or dollar availability? Is there a better visibility on the next couple of months down the line? And is there any postponement of buying because of potential ban in the Nigerian market? And overall, just to conclude, how should we look at FY 20

23 export number, putting all this into the context?

Rakesh Sharma: It is a very good question, Aditya. And you are right, there is stability in LATAM. The sports segment is growing, and we have for the last 2-3 quarters, having tremendous success with Dominar and Pulsar – so that has LATAM. We are very happy that a very key market like Philippines, which is one of our top 5, 6 markets has now come back and the effect of pandemic is receding over there and month-on-month sales are building up very nicely. We are hoping that countries are much smaller, Malaysia and all, now will come back. We are hoping that Bangladesh will soon be out of its trouble and Nepal; we do not expect Sri Lanka to come out. But as you know, exports to Sri Lanka have stopped 18 months back, right? So, in this all the protests, which has just happened over there, it has really not worsened the situation the exports to Sri Lanka. I think it was zero even in the last quarter of the financial year, except for some police orders, etc. So, I would say that, yes, LATAM and South Asia and Middle East, ASEAN, Asia should largely be on track and see steady performance. Africa is where the issue is. Now if we drop the retail price and demand over the last, let us say, 16 quarters, okay? You will see that largely on account of not just FOB increases, there have been some FOB increases. But largely in account of the valuation of the naira in Nigeria I am picking up Nigeria, in which is our largest market, as you know, in Africa, largely because of the devaluation, the retail price in Nigeria has gone 2 to 3x over Bajaj Auto Limited
July 27, 2022

Page 16 of 21 this long period. And at the same time, demand has also increased. So, my own thinking is that the more important thing is the volatility and the availability of dollars. The devaluation which has occurred over the last, let us say, 2 years, has been a steady devaluation. What disrupts the market is the sudden up and down. As that settles down, I see that the industry is so big and so deep and so fundamental to Nigeria and as well as to other countries in Africa, that demand will come. People will digest the higher retail prices and they will start charging higher ticket price. You see if you look at the options, the other option for intra-city mobility is used car. Used cars give the fuel efficiency of 5 to 7 kilometers per liter. And the motorcycles, even though they have got 4 people on them, the motorcycle gives us a fuel efficiency of 50 to 60 kilometers per liter. The vulnerability of the Okara, it is not just happen since as the market has increased to such a big extent. It is because it is a great source of employment, because there is a lot of demand for mobility and the motorcycle offers the most effective way of transportation and also going into the narrow street of the areas where which are densely populated. But this volatility and that is coming on the back of this sharp increase in dollar, it shakes the market. Now over the last 15 years, which we have been in operation, we have seen that when this happens, there are 2, 3 months when things go topsy-turvy. And after that, the equilibrium returns. Even if it settles down at a higher level than it did, it gets digested and demand sort of comes back. So, on that account, and this includes this availability of dollars, etc. On that account, I see that indeed, we will face some kind of turmoil in the immediate term this month, next month, etc in this quarter. And going forward, I think things will settle down and we will actually benefit because in tough times, people gravitate towards the most trusted brand. It is precisely in this period of difficulty of devaluation, our retail price increases in the last, like I said, 8 quarters or so, our market share has increased from 40% to 59%. We have like 60% of Nigerian market with

h a tremendous supporting network of service and dealer service workshops and dealers. So I think yes, immediate term turmoil. And you also asked about the recent announcement, which you guys have media has picked up yesterday. But since the last 7, 8 days, it has been reported in the Nigerian press. There has been talk in the government circles about banning motorcycles. On account of motorcycles being used for terrorist activity in some parts of Nigeria now again, I want to tell you that we are a little bit sort of battle scarred and quite veteran of these things over the last decade or so. We have faced bans in Iraq. We have faced bans in Sri Lanka, in Philippines and Afghanistan, in Egypt, in Argentina and Nigeria also previously, 250cc is getting banned in Philippines. So these things come and these things go. Currently, there has been no notification. We have been in touch with people in Nigeria, including our high commission over there and there have been no notification, but

we are watching out for it. I just want to mention that there are over 3 million motorcycle taxi drivers across Nigeria. There ferry about 40 million people every day. The industry employs 6 million to 9 million, I do not know, this is just a guesstimate, it is a very large Bajaj Auto Limited
July 27, 2022

Page 17 of 21 interest industry if you include mechanics, etc. So an outright ban across Nigeria of motorcycle is it is a huge, huge challenge for whoever does it, but we will see how it unfolds. And even if there are restrictions, our experience is with these restrictions come, they make a point because the government is probably wanting to make a point about terrorism. And it is not as entire Nigeria is ridden with terrorism. Our teams are going there and coming back and one has to have the nominal care, but it is not as it is such an unsafe country. And even if the government is trying to make a point, they will make the point, and we expect normal season return.

Aditya Jhavar: Thanks a lot Rakesh all the best.

Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura Holdings. Please go ahead.

Kapil Singh: Good morning Sir. Sir, so on the balance, when you put together all the information on the export markets, what kind of growth are you looking at for this year?

Rakesh Sharma: So I think like I said, definitely, quarter 2 might be a little bit tough. We have to see largely the dollar availability thing in Africa, like I mentioned. That part in Africa, by the way, is about 50% to 55% of our total business. So that will definitely put some brakes on growth. But we had planned for about 10% growth depending on how this goes. We should be getting back at least in the exact 4, 5 months back to that 10% number. But I think because these markets the international markets move almost like a snake in a tunnel, it goes up and down. But directionally, it is sort of pointing northward. Still for us, we have set up an objective for ourselves to double in 5 years' time. And it could take 4 years or it could take 6 years. But we feel that, that is the kind of opportunity which we have. More than 50% of that will come from increasing our market share in existing countries. Almost 25% will come from new geographies like Asian or Brazil and in limited way in Europe. And another quarter will come from the increasing penetration of growth in these territories because a lot of Africa and some of the other markets are still very underpenetrated. So I would say that there is nothing which is suggesting to us that we will not be able to seize the opportunity and continue on that trajectory of doubling in 5 years' time or thereabout. An immediate quarter may go up and down, but we are on that path.

Kapil Singh: Okay. And second question was on the retention of some of these benefits that we have on account of currency and also on account

of commodities. If you could just share your experience from the past or what do you think will happen in the future with do you think most of this rupee weakness would be retained by the company or you would need to pass Bajaj Auto Limited
July 27, 2022

Page 18 of 21 on these benefits mostly to keep the retail price in those markets under control? And similarly, for the commodity benefit that we are seeing in the domestic market. Do you think there is scope to pass on some of the benefits to stimulate demand? Or it is not really going to be material enough for you to make any smartly price varying tactic?

Rakesh Sharma: So in the international market, we have very good leadership position, as you know, in apart from countries in West Africa, like Guinea-Conakry and all that. We are in solid leadership position where we are setting the pricing. And our price setting has always been ahead in the curve of competition and Indian competition, particularly trails behind in many markets, quite substantively from us. So, I think we have said we are not really under pressure to pass on any benefits. So, the exception is where we will use this cleverly for developing new business where we might have to go with the proposition, which is very attractive. I am talking of 3-wheelers in some Middle Eastern countries or in African countries or some high-end motorcycles when we want to upgrade the customer from a 125cc to a 150cc or 250cc. We might do some penetration pricing for some in some pockets. But these are pockets of opportunities. They are not going to decisively impact the overall architecture. But overall, internationally, we are not. In the domestic, we are more led by competition. Though in the sports segment, we are setting the front. And here, I would say that because the domestic market is just recovering, we will be a bit sanguine, we will be a bit cautious. Even in those segments where we are leaders of increasing prices, our overall approach is generally to pass on the cost increases. Now that we are not seeing any cost increases, we will not go and cut prices to try and stimulate demand. And so I do not see any reason to sort of reduce prices and to stimulate demand and we will expect our new product introductions to be attractive. We got a very good portfolio shaping up in Pulsar. There are

nothing like a novelty of a new introduction in auto, and that should pull demand. In the mileage segment, which is the 100 to 125cc segment, I must say that we will be very carefully observing what competition is doing. And it is whichever way the competition moves, we will sort of be in the same ballpark.

Dinesh Thapar: Kapil, I just want to clarify, whilst you heard from Rakesh, I think I just want to still make the point saying what we are going to see based on just the most latest view is lower inflation. It is still the direction is still one of inflation. We saw about 3% of thereabouts of sales last quarter, which I just mentioned was going to be in the ballpark as we currently stand, of about 1% -1.5%. So it is still inflation, and it is not a full benefit that needs to be passed on. It is just that we will manage it through other means of mix and rupee depreciation but it does not necessarily require us to take pricing as we might have had to in the previous quarters to really make up for that extent of inflation. But just be conscious that the direction is still inflation, although to a lower extent of what it was in the last quarter.

Bajaj Auto Limited

July 27, 2022

Page 19 of 21 Kapil Singh: Okay thanks. I think it was creating an impression that it is going down.

Dinesh Thapar: The metals complex is going down. The energy complex is stiff. On balance, it is still leading to inflation of 1%, 1.5%, relative to the 3% of inflation that I mentioned in the last quarter.

Kapil Singh: Thank you.

Moderator

Mr: Thank you. The next question is from the line of Pramod Kumar from UBS Securities. Please go ahead.

Pramod Kumar: Rakesh and Dinesh, first, a clarification on the spares, sir, if you can just remind us what are the absolute spares in this year? You said 40% jump and 20% of revenue. So if you can just elaborate a bit more as towards the absolute number?

Dinesh Thapar: Spares. Just for quarter 1, we have 1,035 thereabout, Pramod.

Pramod Kumar: This is domestic and export put together right?

Dinesh Thapar: This is the total sales.

Pramod Kumar: And exports would be what Dinesh for the quarter export including Nepal rupee exports and the dollar export everything put together?

Dinesh Thapar: Are you asking overall exports or export within the spares segment?

Pramod Kumar: No, no, no. Overall exports, sorry, overall exports. And yes, if you can spread the domestic and export spares, that would be great, but yes.

Dinesh Thapar: It is about Rs.4270 Crores.

Pramod Kumar: Okay. Rs.4,270 Crores, right? And my first question or rather the second question is regarding the inter-level portfolio, Rakesh, because I do understand semiconductor shortage affecting you on the premium category. But is there any semiconductor intensity on the CT 100 and Platina and even also 125 because we are on electronic carb even now, right? Is our understanding right, sir?

Rakesh Sharma: About the semiconductor issue, it has affected even the entry level sector. They are even required in three-wheeler but that is now this month onwards actually July onwards, second

Bajaj Auto Limited

July 27, 2022

Page 20 of 21 half of July onwards, that countermeasures have been taken and supplies back on track. But when I tell you about what happened in, say, March, April, May and June, it affected everything except for some products which were exported, which we export to Africa. But it affected entry level by what we did was that we funneled of course, these are different chips. So instead of spreading all the chips across all the models, what we did was we funneled the chips into the higher portfolio or the higher EBITDA portfolio, whether it was KTM, whether it was 3-wheelers or whether it was the 125cc, in the 100 to 125cc cap. In every category of chip, we followed the short supply chips into the higher end. So therefore, in the entry-level segment, which let me say, I define as 100 to 125cc, most of the chips landed to 125cc. So our 125cc did not face any impairment from plan. And as a result of this, we have got our market shares increased from, I think, 21% to 25% or 24% in quarter 1.

Pramod Kumar: Okay. And Rakesh, related to that, we are still on electronic carb for the 100 and 125cc in the domestic market. So when do we plan to transition to fuel injection with the new RDE norms, if you can just share the time line and also the implied implications on cost side because of the switch?

Rakesh Sharma: No, no. I think our product is absolutely steady. We think we have an advantage. And so there is no action underway like that. Any new product introduction on its own merit, we will examine whether it should be triple spark, double spark, single spark fuel injection, e-carb, liquid cool, non-liquid, water cooled, air cooled. The portfolio, as it stands now – it is

not in a flux.

Pramod Kumar: So even with the RDE norms, you would not need the fuel injection switchover for the electronic carb?

Rakesh Sharma : Which norm sorry ?

Pramod Kumar: The RDE norms, the OBD norms and the upcoming new norms on the emission regulation. I am not talking for the immediate term, say, 1, 2 years out the series of norms which are coming like OBD, for example.

Rakesh Sharma : No, no, no. Our portfolio is not in any plan. We have to do other things. But that is not the issue. There are other issues for in case you are referring to OBD 2A, 2B, there i

s other stuff

which has been done, but not.

Pramod Kumar: Okay. And final one, sir, data point, where would you put your export inventory at the current retail level?

Bajaj Auto Limited

July 27, 2022

Page 21 of 21 Rakesh Sharma : Export inventory in the international market, it is a very difficult one with the inventory spread out into many countries. We do not really aggregate it and monitor it because this is done market wide. The process is that when orders are being planned, we look at inventory . We look at transit time. The transit time itself has been changing, like Latin American transit time, it used to be 30 days, they went to 90 days, and now they are back to 45 days. So, we look at all those things and then we plan. But we do not sort of aggregate it and say that we do our net inventory to not be able to reliably your question. But I am not we are not seeing this as an issue.

Pramod Kumar: That is great to hear Rakesh. Thanks a lot and best of luck Sir.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to Mr. Anand Newar from Bajaj Auto Limited for closing comments.

Anand Newar : Thank you, everyone, for joining the earnings conference call. I see quite a few questions still pending, more than a dozen of them. We can take up calls one after the other after half an hour from now. Thank you so much.

Moderator: Thank you. On behalf of Bajaj Auto Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2022

Page 1 of 20

"Bajaj Auto Limited
Q2 FY2023 Results Conference Call"
October 14, 2022

MANAGEMENT : MR. RAKESH SHARMA - EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR - CHIEF FINANCIAL OFFICER -
BAJAJ AUTO LIMITED
MR. ANAND NEWAR - HEAD INVESTOR RELATIONS -
BAJAJ AUTO LIMITED

Bajaj Auto Limited
October 14, 2022

Page 2 of 20

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY 2023 Results Conference Call of Bajaj Auto Limited. My name is Yashashri, and I will be your coordinator. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the initial remarks from management. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anand Newar, Head, Investor Relations from Bajaj Auto Limited. Thank you, and over to you, sir.

Anand Newar : Thanks, Yashashri. Good evening, everyone, and welcome to Bajaj Auto's Q2 FY '23 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with opening remarks from Rakesh from the business and operational performance of the quarter and Dinesh will take you through the financial highlights. We will then open the forum for Q&A .

Over to you, Rakesh.

Rakesh Sharma : Thank you, Anand and good evening, ladies and gentlemen. Thank you very, very much for taking the time to join us for the call on a Friday evening. Our results were announced a couple of hours back, and I hope you've had a chance to produce them. We wanted this conversation to be fresh and not stand by Monday hence this late call, but we'll try to close the call by 7:00 p.m. so that you can head out for your weekend.

Let me begin with the highlights of our performance in Quarter 2. Quarter 2 was an outstanding quarter with record breaking top line and bottom -line outcomes. As you know, there have been serious macroeconomic issues overseas and also supply chain challenges , so this performance in Quarter 2 yet again demonstrates the resilience of Bajaj Auto, arising out of our well - diversified portfolio, robust operational management and a strong competitive position in most key segments in India and overseas.

The main story in the quarter was the -- finally, the restoration of ECU supplies to industry normal levels. As you know, our substantive R &D and supply chain effort has been made in the last 5 months to broad -based vendors for critical components and reduce dependencies. This project was completed, resulting in resumption of supplies to now almost 98% levels. There are still some remnant issues in the top -end models and some 3 -wheelers, but we will also get resolved within October.

Now coming to the commentary on our main business units, exports. The key issue in Quarter 2

was a dramatic downturn in several overseas markets, which, as you know, are mostly emerging market economies. While the motorcycle industry's pace of growth has slowed down in Q1, but Bajaj Auto Limited
October 14, 2022

Page 3 of 20

in Q2, there was a dramatic double-digit fall in retail compared to the same period last year. Of course, these signs were visible by end of Q1. The root cause of this downturn has been a sharp appreciation of the US dollar causing two impacts, severe double-digit devaluation in most currencies leading to an increase in retail pricing in these markets.

And secondly, extremely poor availability of the US dollar for trade. The combination of these 2 phenomena resulted in a form of exports. ASEAN strength and the impact was not so severe in LATAM as it was in South Asia, Middle East and mainly Africa.

Now recognizing the imminent fall in retails around April, May, as a prudent measure, we cut our exports to bring distributor stock and their exposure down to manageable levels. We have taken the bigger hit on a YTD basis, which is H1, our shipments and retail are now well matched, which means that in the last couple

of months, our shipments have been lower than what retails

we have been experiencing. Now having said this, we are seeing some recovery in retail in both August and September after the low, low point in July.

Hopefully, this will continue and enable us to set up Q3 in exports to be better than Q2. On the positive side, we witnessed a strong show by ASEAN with Philippines industry reviving back to pre-COVID levels and Bajaj Auto registering its highest ever sales in Q2 to emerge as a clear leader in this very important ASEAN market.

Secondly, at a global level, the sports motorcycles brands, Pulsar and Dominar increased their contribution in the portfolio of exports to 21% and the combined market share has also increased beyond 40% level, making us an undisputed leader in the sports category across all the emerging markets of LATAM, ASEAN and Africa, but Africa sports market is small.

Both Pulsar and Dominar offered very good opportunities for Bajaj Auto to grow share, grow category, particularly the 250cc category and thereby deepen brand strength and improve profitability. Thirdly, the rupee realization at almost INR 80 per dollar, which is a 3% improvement sequentially is directly adding to our bottom line.

Coming to domestic motorcycles. With the easing of supply chain constraints, volumes almost doubled sequentially to over 620,000 units in Quarter 2, therefore, building back our inventory across channels ahead of the festive and actually just in time for the festive. We have entered the festive with about 5 weeks of stock, which is quite adequate to ensure the surge in demand during festive days is matched by tops on the ground at every primary and secondary store.

Moreover, and more importantly, by end September, the retail market share has been almost restored to the levels we enjoyed before the supply chain disruption. the motorcycle industry appears to be bottoming out of the negative performance zone. On a retail basis, motorcycles declined by about 5% in FY '22 and grew by 50% in Q1, but that is because of the base effect of COVID impacted Q1 in FY '22.

Bajaj Auto Limited
October 14, 2022

Page 4 of 20

In Q2, while the retail still shows a decline of 6% for the industry, recent most retail data appears to suggest that we can expect growth albeit small single-digit growth in the industry, aided by the festive season. The overall industry performance is the consequence of 2 very distinct and opposite trends. While the entry commuter, which is largely the cheaper 100cc bikes is declining quite sharply and particularly in the rural areas, the 125cc plus segment is growing.

Consequently, since FY '20, the industry has reshaped itself towards this segment, and it now constitutes almost 50% of the industry, while it was just about 42%, 43% only 2 years ago and 40% 3 years ago. For Bajaj Auto, 60% of our portfolio as compared to industry at 50% - 60% of our portfolio in Q2 was 125cc plus segment as compared to only 46% in FY '20. This is a key driver for improved profitability and a superior competitive position.

We have made 2 important launches in quarter 2, the all Black dual-channel ABS Pulsar N160 and the CT 125 as well as a refresh of the Pulsar 125 being rolled out as we speak. We are delighted with the acceptance of the new Pulsar platform. While it commenced last year with the launch of the 250, the more mass appealing N160 was flowed down across the country to an outstanding reception clearly demonstrating a gain of market share, particularly in those states where we have launched it early.

Combined with better supply, this has already helped us gain substantial market share across the country now. This platform - the new Pulsar platform will be expanded further in the coming

quarters, thus, completely and substantively upgrading the Pulsar portfolio. The CT 125 was also launched as an entry 125cc bike

with the differentiated proposition of durability - 'Har

Sadak pe Kadam'. Retail of CT 125 are showing weak -on-weak growth too, but it is early days. We are happy with the initial results.

We will continue to direct our innovation energy to the 125cc plus segment, which appears to be enjoying tailwinds and growing faster than the overall industry. And this will help us improve both the profitability profile of the domestic motorcycle business unit as well as the market share. A quick comment on the festive season underway. It has been a bit up and down so far. But overall, we expect the industry to come through with single -digit growth, and we expect to be in line with the industry. But ahead of it, in the 125cc plus segment.

Coming to commercial vehicles. As with motorcycle, we saw a ramp -up in volumes on the back of improved supply with our dealer inventory being restored back to previous levels. We continue to see signs of recovery as the industry is now back to 54% levels of pre -COVID era. Against this backdrop, by retail have improved to 65% of pre -COVID levels in Q2. With this, our market share is a solid all -time high of 72%.

One of the biggest catalysts to this outstanding performance is the continuous rollout of the CNG network by the government and our company's ability to capitalize on this opportunity. The

Bajaj Auto Limited

October 14, 2022

Page 5 of 20

industry has reached its highest -ever CNG penetration levels to 67% with our market share in CNG-based products, which is almost 80% in Q2. We expect industry to keep recovering though at a slow pace as it will be driven by the ability of drivers to improve earnings through better ticket prices to mitigate the higher TCOs, which will then make new purchase attractive.

Trials of the electric 3 -wheelers are continuing in different markets. The rate of adoption of EV autos has been very slow, as the commercial segment has very stringent requirements of performance. Our extensive trials are going to ensure a robust product proposition which hopefully will accelerate the adoption of EV autos when they are launched in the next few months.

Our electric scooter Chetak volumes grew by over 50% from about 6,200 units in Q1 to almost 10,000 units in Q2. We have gradually increased our presence in our 40 cities across the country. We are also working towards expanding the EV portfolio to cover different emerging segments and geographies. Supply chain visibility is much better, and we expect Q3 to be a lot better than Q2. Going forward, at a company level, we expect to hold this performance, and we have a few initiatives in play, and we will be actively seeking to actually improve on it.

Now let me hand over the call to our CFO, Dinesh Thapar for his commentary.

Dinesh Thapar : Thank you, Rakesh. Good evening to all of you and thank you for joining us on a Friday evening at this half of this call. At the outset, let me emphasize that in the 2 quarters that I've been with the business, it's proven 1 thing about Bajaj Auto, and that's -- this company has a well -balanced and diversified business and arguably better than many others, which has allowed us to absorb shocks and still deliver a resilient performance in the aggregate through these challenging times.

Now the quarter in discussion really has had 2 more events. I think first, we had supplies from the new vendor. You recall that we've spoken about this when we were talking in July that we had developed new supply sources, and that's coming very handy for the business. That kicked in and allowed us to really build channel inventory that's significantly depleted and hit a low in the month of May. And so therefore, ahead of festive season, we think we are well placed with the channel inventory that's built back to levels that Rakesh just spoken to you about.

And secondly, I think the other development, which is

more in the context of our financial results

was a very weak macroeconomic environment in our export geographies that have dampened our export volumes. And then both events have had a material impact on our results, what was very reassuring is that the outcome has turned out to be a record quarter for Bajaj Auto with all -time high top line and bottom line.

Now, talking about the specifics of our financials. Our top line crossed the very important milestone of INR 10,000 crores in a quarter for the first time. This is the very first time Bajaj Auto has reported that number. Our revenue from operations came in at INR 10,203 crores,

Bajaj Auto Limited

October 14, 2022

Page 6 of 20

which is up 16% year -on-year and 27% over the previous quarter. This was primarily led by

improved volumes, which was up 23% sequentially on the back of improved supplies from the new vendor source that has come in and also was aided by very judicious pricing that we've taken, particularly at the start of the last quarter and better dollar realizations as the quarter passed by.

Our EBITDA came in at a very strong INR 1,759 crores, up 26% year-on-year and 36% over previous quarter. Our operating margins expanded about 100 bps sequentially. And I'd say it's tad better than our initial calculations. When we spoke last quarter, we had anticipated material cost to inflate at anywhere between 1%, 1.5%, primarily led by imports, which were indexed to the energy basket. You will recall I had made this comment and said that when you look at our commodities on our input cost, you've got to look at the prism of 2 real baskets, the metals complex and the energy complex. And of course, in that context, as I mentioned, that we were likely to see some inflation in the current quarter.

What we also said was in keeping with the trend of pricing that in recent quarters, we had hoped to cover about two-third of that cost inflation through pricing. Now that is how we had anticipated it as we got into the quarter. But looking back as the quarter has progressed, we've seen further signs of metals, particularly the aluminum and little bit of alloys, which has softened even further and some of the other material groups have come off as well.

This essentially has meant that material inflation in actual came in at the lower band of the range that we had put out. And the impact of this was almost entirely neutralized by the pricing that we have taken out early in the quarter. So, the 2 were in essence, balanced out as you look at the margin numbers. And therefore, with price versus cost being neutral and operating leverage on the back of higher revenues making up for a little bit of the adverse mix that we saw, the improved dollar realization has meant that, that flew straight into margins.

Our foreign exchange realization for the quarter came in at 79.8 versus 77.4 in the previous quarter and 74.6 in the same period last year. On balance sheet and because we are publishing a 6-month balance sheet as required by regulation, we continue to maintain a very strong track record of cash generation. We've added about INR 2,500 crores of cash from operations in the first half of this year. And at the end of the quarter, our surplus cash stood at about INR 15,500 crores. And this most notably was after paying out about INR 7,000 crores by way of dividends and buyback.

I'd like to reiterate that we think our balance sheet continues to remain very healthy and offers us enough headroom and flexibility to invest sufficiently in capabilities and growth opportunities looking ahead.

Now as we look up to the next quarter, the focus will clearly be to build volume-led revenue momentum with a very strong emphasis on market share gains and really underpinned by the Bajaj Auto Limited

October 14, 2022

Page 7 of 20

work that we continue to do to drive our supply security

. That's an agenda, which has made very short footed and steady progress. And there's still some amount of work to be done, but we are making very, very definitive progress on that count.

In particular, what we're also doing is to watch very closely with developments in some of our large export markets. And while each of us may have views on how that will pan out and how the macroeconomic situation will unfold, our intent is to stay very focused on taking decisive actions to drive our business and our competitiveness across these geographies.

So, on the domestic front, the priority very clearly remains strong execution and impactful activation through the rest of season now that we have our dealerships well stock up.

On margins, the softening commodity costs came progressively through the last quarter and as we currently see it, particularly a further easing of the metals complex presents a welcome respite after many quarters of inflation and should be bit of a tailwind as we look ahead. The rupee continues to depreciate and is now over INR 82 to a dollar and this should really help the case for better realizations and margins.

Before we move into Q&A, let me update you once again on our disclosure relating to our consolidated financials, and I'll talk very briefly about the buyback as well. So, if you recall in the last quarter, I had made a specific point on our consolidated financial statements and the line that we consolidate, which is share of profit from our associates and joint ventures. That's the 1 line I'd like to draw your attention to.

I had mentioned that -- Pierer Bajaj or P BAG which is where we have an indirect holding through our wholly owned subsidiary, BAIHBV was not able to share its quarterly financials with us, and they were only to be sharing it on a six monthly basis, given that they were covered by a regulatory market context, which allows only for publication of financial results at a half yearly rest and are not quarterly rest.

As a result of which, when we consolidate our results the last quarter, we did not have any profit

that we built into our consolidated financial statements for PBAG. And, therefore, that line was a zero, if you look back to it in the first quarter. This quarter having received the published financials from PBAG because PMAG or the listed entity out there was able to publish it. We have now consolidated 6 months of profit into this quarter's financials. So, when you look at that line on share of profit from associates and joint ventures, you will fundamentally see a number which represents 6 months of the consolidated profit of that entity.

On a full year basis, this will not have any impact. But on a quarterly basis, there are likely to be skewed. So just to make the point once again and get this out of the way. In the first quarter, which is quarter ending June, and the quarter ending December, we will not have financial results from that entity and therefore, will not be consolidating it. For the quarter ending September and

Bajaj Auto Limited
October 14, 2022

Page 8 of 20

the quarter ending March, because we will have 6 monthly results from that entity. We will be consolidating 6 months into those respective quarters.

On buyback, we closed this earlier this week on 10th of October, and well ahead of the 6 months stipulated time period that we had. So, we took essentially 3 months in completing it. We have mopped up over 64 lakh shares during this period of time. The initial number that was envisaged was 54 lakhs. We've been able to mop up 64 lakhs in the 3 months that we've been in a market which is fundamentally covering the full INR 2,500 crores that we have to set aside for the buyback.

We've also issued our post buyback public announcement in today's newspapers. It appears in the Financial Express, the Jansatta and the Lok satta, and I'm sure many of

you would have

already cited that. The announcement laid down the contours of the executed buyback along with the revised capital structure.

With this, let me hand the session back to Anand and then open it up for Q&A. Anand, over to you.

Anand N ewar: Yes, Yashas hri. We can open the Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer -session. Anyone who wishes to ask a question, may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assemble. We have our first question from the line of Amyn Pirani from JPMorgan. Please go ahead.

Amyn Pirani: Yes, Hi, good evening. Thanks for the opportunity. And congratulations on a good set of numbers. My question was on the fact that you mentioned that both commodities and currency will potentially be a tailwind for you. And given that now the focus will be on volume growth and market share, how should we think about you wanting to invest some of these tailwinds back into the business to grow volume and market share and hence, the revenue and the margin and the growth, how should it pan out?

Rakesh Sharma: Thanks, Amyn. The thrust for volume and market share continues. I'm not saying it is completely delinked from whatever opportunities are getting created by commodities and exchange realization. But it is not our automatic choice to pass these on. We will be very selective. We have a very good understanding of those product market segments where we believe that we need to deploy pricing as a strategy or promotions as a strategy, and we will use these opportunities over there.

Bajaj Auto Limited
October 14, 2022

Page 9 of 20

But there are many segments where we think we need to attack these through product solutions, through distribution solutions, etc. That is an exercise which continues irrespective of whether these tailwinds are there or not there because we are thrusting forward to continuously expand our footprint. But yes, we know that we have this kind of leeway and if a product market segment requires it, then we will not hesitate to use some of these.

Amyn Pirani: Sure. Thanks. And if I can just squeeze in a book -keeping question. Your other operating income was quite strong in this quarter despite the fact that export volumes were lower. And I understand that a large part of this is the export incentive. So, if you can help us understand as to what's happening in that number? Is there something that we should take into cognizant?

Dinesh Thapar: Amyn, you're right. So, the benefit is coming out from export incentives. There's a way which it is accounted for. And so, some of the export incentives that we receive are also sold out or traded. And so, we, therefore, had a better realization on those scripts in the course of the current

quarter. So, I think the bump up that you're seeing in the other operational income is coming in on the incentives, but the way it gets accounted for and the way it gets realized is slightly different, and that can be phased off over time.

Amyr Pirani: Okay. Okay. Understood. I'll come back in the queue. Thanks for that.

Moderator: Thank you. We have our next question from the line of Kapil Singh from Nomura. Please go ahead. Mr. Kapil Singh, please proceed with your question.

Kapil Singh: Yes. Thank you very much. Sir, thanks a lot for very detailed commentary. That's quite helpful. I had a couple of questions. So firstly, on the export market. Could you share what is your outlook for the export volumes? And also, what is likely to happen in terms of export pricing? Are you likely to retain those benefits? Because you mentioned that some of the currencies in those countries are

also depreciating quite rapidly. So, given your experience of last many years, how do you foresee that?

Rakesh Sharma: Yes. So, Kapil, as I had mentioned that we expect quarter 3 in exports to be better than Quarter 2. While I would not specify a precise number. Because it's very difficult to do so given the circumstances. But why I'm saying that it should be better, other things remaining the same, is because in Q2, we had taken the hit of adjusting the stock in the channel. You see that there is almost 3 months to 4 months of stock in the case of overseas markets, which is either under shipment, on water or in the plants of the distributor.

When there is dramatic fall in retail, there is a sort of a bullwhip effect with cascade right down the supply chain. Because before the distributor knows well a couple of months' worth of previously high retail-oriented stocks hitting in. So, we have to adjust for those. That adjustment is now got completed in Quarter 2. That's why I said that our shipments were lower than the retail which we were expecting in the market.

Bajaj Auto Limited
October 14, 2022

Page 10 of 20

So now going forward, we expect to go up and down with the markets, which are showing some signs of improvement. Now using price as a means of dealing with the macroeconomic issues is not justified. I mean, if the currency has got devalued by 20%, I cannot do anything about it. Even if I shave off a few percentages from our higher margins because of better realization it's not going to make a difference. The macroeconomic led issues have to be digested over the period of time. As you know, we have been in the game for many years now and even more serious devaluation has been weathered by the company. International business is not for the faint hearted. Argentina, Egypt and all have experienced serious devaluations, and there's a mechanism in the company, which comes into play. But by shaving off the price, we can deal with this massive devaluation, so that's not the way we are going to approach it. But yes, there's an intrinsic – there's a competitive issue or there is some promotion which needs to be done to build awareness, we will not hesitate to do that. So, I don't expect the realizations to be used for reducing prices so that we can offset the devaluation impact in the destination markets.

Kapil Singh: Yes. Thank you very much. And secondly, I wanted to check you mentioned tailwinds on commodities. Could you quantify how much tailwinds are we expecting on the commodity front in some range and price increases that we have taken?

Dinesh Thapar: So, Kapil, I will desist from a quantification of the state only because we are on a cusp of a change. And so, the last time when I did mention that there was inflation, I gave you a sense of it was coming from the energy complex which might have been slightly contrary from what we expected because I thought the view was that people were assuming that the metals complex was softening. But this time around, I'm giving you a sense that what we're seeing is there's a deflation that is likely happening. And even that seems to be happening across the board, led by the metals complex. I think the only exception that we're seeing is really on a few areas like electricals, plastics, polypropylene and maybe rubber as some material groups, which are showing an inflationary trend, but for the most part, the rest of the commodity basket seems to be easing out. I wouldn't put a number to it at the moment only because some of these are still work in progress in terms of how we're seeing the negotiations come through. But the direction of trend, like I said, is one of an easing.

Kapil Singh: Okay. And pricing?

Dinesh Thapar: On pricing, I think at this stage, given the commodity context, I don't think we need to price out to recover cost of that count. But if there

are opportunities on pricing, where we can think that there is still a market opportunity in that space, maybe but at the moment, no. No need for us to price out for cost recovery.

Kapil Singh: Okay. I'll come back in the queue.

Moderator: Mr. Singh, I'm sorry, you were not audible. Your voice is breaking, sir. We'll move on to the

next question from Mr. Pramod Kumar from UBS. Please go ahead.
Bajaj Auto Limited
October 14, 2022

Page 11 of 20

Pramod Kumar: Thanks a lot for the opportunity. And congratulations on a great financial result. Before I move to the question, just a clarification on the other operating income. You did mention that there was a slight change in accounting and the slight lift which came because of the fact. So, if you can just help us understand what should be the normalized other operating income as a percentage of revenues or other way is like what are the kind of additional benefit which you had in the quarterly press on account of that?

Dinesh Thapar: There isn't a change in accounting. It is the way it is accounted for. So, when you make an export in the yesteryear that used to be MEIS scripts that used to get us an incentive, you now get got RoDTEP. You could either use this for your own imports or technically, you could sell them out. When you sell it out so there is a such realization that realization percentage has accounted for quarter-by-quarter depending on what the market prevailing rate is.

That market was a subdued market in the past. Those realizations have improved, right? And duration that we've had on our scripts and their expiry. We have liquidated advance of those scripts in the current quarter at a realization that was higher than what it was in the preceding quarter. And that led to a higher other operational income. That's one factor.

The other factor is also incentives, which is fundamentally the PSI. And you recall when we've spoken about the year-end results, we had called out the PSI booking at that point of time because we had accrued for the full year of last year's PSI in the last quarter. Currently, we're now doing it month-after-month, and that number has stepped up in the current quarter relative to the last quarter, and it did not have a base in the same quarter of last year. So, these two are the incremental impacts of what has flown into the other operational income in the current quarter.

Pramod Kumar: And Dinesh, just to make this easy to model in. Normally, what's a good thumb rule in terms of as a percentage of export revenues that they should use this as a benchmark? And on that note, if you can share what is the current quarter export revenue in rupee terms for you?

Dinesh Thapar: Our export revenues is about INR 3,800 crores.

Pramod Kumar: Yes.

Dinesh Thapar: On a thumb rule, I don't think I can give you a number at this point in time. But the RoDTEP entitlement, clearly, you're aware is of about 2%. And then, of course, it layers on with all the other incentives that we might have. And this whole host of stuff that gets booked. At some point of time, believe you can take the question offline with Anand, but there is stuff which goes into scrap sales on various counts, various recoveries that happened. So, some of those can be a bit lumpy, but the largest chunk in this line, is fundamentally incentives that come in from exports, some royalty that we receive on sales of oil and fundamentally incentives that the government announces for manufacturing. So, there are three big counts, which are out rolled

Bajaj Auto Limited
October 14, 2022

Page 12 of 20

Pramod Kumar: Thanks for that Dinesh.

Dinesh Thapar: Steps in this time is the improved realization on a sizable chunk of MEIS scripts that we have sold that were nearing expiry and got realized in the current quarter.

Pramod Kumar: Thanks for that Dinesh. Rakesh

h, the question is on the domestic market share situation because -- if you look at the October print, we are running at about 9.5% on average and even September was not a great month in terms of retail market share. And this is despite the supply situation, as you stated, has improved meaningfully for you on the semiconductor side. So, if you can just help us understand what kind of -- because historically, we've seen when you come below 10%, it's not a great -- it's not a healthy market share to be at right. Because it causes a lot of trouble for the dealers and on the viability side.

So how should one look at market share levels which you would like to regain in the domestic market? And what could be the implications of that on the margin because, as I said, there will be -- there has to be a trade-off between the two. So how are you thinking about it? And why I'm kind of probing on this is because in the past, we've done our product intervention in terms of bringing in CT100 and repositioning CT100 to a lower price level. But we've done all of that. So how do we see the market share going forward? And what according to you will drive a comeback on the market share side?

Rakesh Sharma: Okay. so, I'm not in sync with the numbers you are quoting. And I think possibly the reason is you're probably looking at the two-wheeler market. We don't look at the two-wheeler market because we are not addressing scooters or, let me say, high scooters and mopeds, right? We are

focused on the motorcycle segment. That's point number one. Point number two is that we are looking at market share, while we are talking to you, the media or within our own company in our reviews, not based on our shipments to the dealer but based on registration, which almost 80% to 90%, you get with good accuracy from the VAHAN database.

So, when I look at these two, the motorcycle market share and the VAHAN through retail data. We were at about 19% in FY'22. And that already by March, we had started to face some shortages because of ECU dependencies, which was more particular to Bajaj Auto, we have talked about this quite transparently previously. While the overall industry is going up and down with these semiconductor shortage, Bajaj Auto, in particular, faced a little bit more than the industry, not a little bit or quite a bit more than the industry because of our single source dependencies.

Now, these were corrected in the period of March to August. But because our supply fell dramatically, as you know, in quarter one, we also lost retail market share, and it has committed to about 14% to 15% during the quarter, which, of course, was causing us concern. But if you look at the VAHAN data for September, which is the first full month of having supply, our retail

Bajaj Auto Limited
October 14, 2022

Page 13 of 20

market share has climbed back to 18%. So, we're still on the 19%, which was there at the onset of the supply chain disruption.

But my folks are telling me that if you look at second half September and you look at first half October, already we are touching those levels. And hopefully, with the tailwind behind the 125cc and above segments, in which we are growing much faster than the industry, we will see this market share increase coming up. I wanted to address the second part of your question, which was you were talking about CT 100 and all that. So, our approach is that we are not chasing market share at the expense of the profitability. So, we are not shaving up. And the only exception we make today is when we don't have a product solution, then we create a bridge. We have seen that we were very early to stop the 125cc trend, almost 18 months, 20 months back, but we didn't have a product. So, we've taken 1 of our lower SKUs, lower cost SKUs and Pulsar 150 and priced it at almost about 125 level, which bought us some time in terms of

giving us

play in the 125cc segment, while product development was going on.

As soon as the Pulsar 125 is ready, we increased the Pulsar 125 and restore the prices of Pulsar 150 or in fact, withdrew that SKU. It was a similar story in CT100 when we did not have a product solution, we have used what we had and tried. But the moment we have got Platina 100 and 110 with the tubeless tires and the CT 110X and the CT 110 as soon as the product solutions have come in, we have corrected the prices.

So, what I'm saying is that we are attacking the market consistently to upgrade it from the non to this from kick start to electric start from 100cc to 125cc from 125cc to 150cc from non-ABS to ABS. It's a constant maneuver. Some time you might see aberrations to this, which are the 2 illustrations which I gave you. But the central theme and central plan of our strategy is to leverage innovation and cause the market to upgrade.

Moderator: Thanks. We move on to our next question from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: My question pertains to the export demand. So, you alluded to the fact that we are seeing some signs of recovery in August and September. Are you seeing these things across markets? Or is it more to do with LATAM and ASEAN and Africa still under pressure? Can you throw some light on that?

Rakesh Sharma: Yes. Sure. So, ASEAN did not experience a downturn. In fact, the market improves because the pent-up demand because they finally emerged out of the COVID situation and demand has actually improved. There has been a slight decline in the LATAM sector, which is at about 5% levels. There was almost a 20% decline in Africa - in most countries of Africa - in the period of, April to July or so. It's not easy to get data. It's not that African countries have VAHAN kind of thing. So this is all put together.

Bajaj Auto Limited
October 14, 2022

Page 14 of 20

So, I am quoting our internal assessment. Now this minus 20% has sort of eased off and come down to minus 10% like -to-like period. And we want to watch it for a little bit more time and see whether it will be improving in Africa. And similarly, we find that it is easing off a little bit in LATAM also. And I also feel that ASEAN growth will now temper down a bit because of the pent-up demand. So, I would say the demand in the period of August to December would be

better than the period of April to July.

Jinesh Gandhi: Okay. And any update on the 3-wheeler ban, both in Egypt as well as African markets?

Rakesh Sharma: The 3-wheeler ban in Egypt remains. And as I've mentioned before that we are through our partners over their distribution partners over there are in engagement with the Egyptian government to work out solutions to satisfy their requirements of cleaner fuel and better rate aesthetics and lessor congestion, etc. And there is a huge need for mobility and transport in the Egyptian town. There are the villages and the towns that has got very narrow streets. So, solutions of transport cannot be deployed there. So, we are in engagement. And as you know, these engagements take time. But yes, we are positive about the outcomes eventually when they happen.

Moderator: Ladies and gentlemen, kindly restrict your questions to two at a time. We have our next question from the line of Raghunandhan N.L. from Emkay Global. Please go ahead.

Raghunandhan N. L.: Thank you sir, for the opportunity. Congratulations on great set of numbers. Two questions. Firstly, on the EV side, company's volumes and EVs are increasing, and there was a media interview, which highlighted 6,000 units per month by March '23. Can you indicate efforts on supply chain and production ramp-up? Also, if you can talk about upcoming EVs and 2-wheelers, 3-wheelers. And are you seeing any delays versus the initial plans? Thank you.

Rakesh Sharma: So, you're

right, the volumes are ramping up quite smartly and largely because we've got better supply chain visibility. See the issue with supply chain visibility is also that it restricts the advancement of the network. Our model is that we think that it is important to have touch and feel in the network and dealerships and service centers. And we don't want to go and establish them before we have the ability to service that network with volume. The certitude of volume is very important before we ask the dealer to invest in new network. So that is why we've been calibrating the advancement of our network to the visibility in supply chain.

And that is now coming, and we are seeing a doubling every quarter. The number which you quoted about 6,000 imminently, doable, we have seen visibility up to that. So, we will be expanding the number of cities, I think. Earlier we had thought that we will go up to 100 cities by the end of the financial year. But I think we'll be at around 85 or so because there was a period in Q2 takes you through the supply chain proceed as we had expected. So, we think that we have a very good product acceptance.

Bajaj Auto Limited

October 14, 2022

Page 15 of 20

The Chetak is a standout product. It stands out in terms of its elegant style. What echo we are receiving from the customers is that they're saying it is practical elegance. So, it's ergonomic, its reliability, its drive feel etc., is really being appreciated cutting across all walks of life. So, we feel we have to exhaust its potential with a singular focus.

So, we are focusing on that. Whilst we are doing it, we are expanding our portfolio. Over the next 18 months or so, you will see 3 or 4 introductions which will attack new segments, not the same segment, but it will be under the Chetak Umbrella, and you will see we will attack new segments.

In 3-wheeler, I do recall that we had thought we were expected to be in the market by this time. But as we have done our trial a few months ago, we have found that it is important receive feedback from the drivers because these trials are being done actively in consultation with a real-life situation, we found that there are certain improvements to be made in the 3-wheelers, so that the proposition can be accredited.

To give you an understanding of what it takes - as you know, the Delhi government has issued almost 4,500 permits by name. Nobody can have any new 3-wheeler over there. It has to be electric; they've issued these 4,500 permits by name. Since last 1 year, but only 400 has got sold or maybe 500 has got sold. Why? Because the current set of 3-wheeler will be completely rejected. E-3-wheeler e-auto has been rejected by the market because they have a certain set of requirements.

And these numbers are out in request so it's not that. I got some special intelligence. So, the reason why we -- because the e-auto -- potential customers for e-auto is the commercial guy. He has a very stringent requirement on range, on reliability, downtime, charging time. As we have taken the e-auto, we have understood this. And we want to come with a product which is near perfect rather than go with something which is not and try to improve it on the run. We have chosen the path of going back and devoting our product to -- because we've got very, very good engagement levels in the auto.

We've got a very good brand credibility. We do not want to go there and spoil the brand name.

So, the trial is sort of extended. We are hoping that they will get completed by end of this calendar year. And before the financial year, we were able to put a product in commercially. But we just want to make sure that we get the key. We get the hot buttons right from our e-auto

users' point of view and don't suffer the same fate as some of the other companies are suffering in Delhi in this period.

Raghunandhan N. L: Thank you sir for the comprehensive

answer. My second query to Dinesh, sir. Can you talk about what is the Cap ex expectation? And given the increasing focus towards EVs, how would the share of Cap ex be skewed towards EVs going forward?

Bajaj Auto Limited
October 14, 2022

Page 16 of 20

Dinesh Thapar: Thanks for your question. I think our Cap ex estimate for the full year should be in the whereabouts of about INR 750 odd crores. It is a step-up over the past. You will see from the published balance sheet that we've just put out, the Cap ex for the first half is closer to about INR 335 crores, INR 340-odd crores. Yes, where much of the Capex going, the Cap ex is going on clearly -established the EV facility that we have for 2-wheelers, the EV facility that we will have for 3-wheelers in our Waluj Plant, for the expansion of a new site at our Chakan facility for premium motorcycles and then, of course, routine Cap ex. So, the really large areas of where we are putting in our Cap ex money. And like I said, I expect that to be the ballpark INR 750 crores for this year.

Moderator: Thank you. We have our next question from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Thanks for taking my questions. Most of my questions have been answered. I just have 2 follow-ups. One on the export side. There, I mean you did mention these currency volatilities impacting the outlook, but there was also this press talking about regulatory ban. Could you just share some thoughts on that what is it really happening on the ground? Is there an order in place? Or how should we read that ban? And in the same on the export side also, if you can explain the Q-on-Q realization, it seems to be almost 13%, 14% up. So that's on the export business?

Rakesh Sharma: Sure, Gunjan. I think that the regulatory ban, which you are referring to pertains to the news emanating out of Nigeria and not Egypt because Egypt is old news, which is kind of was put into effect for 3-wheeler in October last year, though we continue to ship out where the government had allowed relevant orders to be shipped and that went on to March.

So, I assume you're not getting to that is viewed as referring to the motorcycle ban in Nigeria, which is the largest market in Africa. Here, there is no gazette, but a lot of governorate and municipalities take their own course of action. And there is a ban in Lagos, which has actually been in place for some time now but has been enforced quite stringently. Why have we not called that out specifically?

Because in the overall scheme of things, it is as a percentage small. Lagos city market is only about 10% of Nigeria. And that has -- from 10%, it has come down to 1%, 2% because there are certain exceptions which are allowed. So just come down to that. So, in the overall scheme of Nigeria or let's say, Africa, it is not a very, very big number.

Gunjan Prithyani: Okay. Got it. The second question I had was on the market share in India in the domestic business. When I look at it, yes, you've been defending the market share that similar levels of 18%, 19% in the bike segment. But when I go down looking at the mix, of course, 125cc has made really good in roads. But at the same time, we seem to be losing in the premium bike segment.

Bajaj Auto Limited
October 14, 2022

Page 17 of 20

Now structurally, that's a great opportunity to be in and new Pulsar has sort of been losing market share in the last 12, 18 months. So, what is the thought process in terms of fixing the market share in the premium segment? What sort of interventions are we looking at to recoup that market share?

Rakesh Sharma: Yes. See, Gunjan, the more severe impact on the Pulsar market share was because of the supply chain disruption which caused us to reduce market share at a retail level also for was the billing market share, we don't track that as much. And that was pretty

serious and most recent. But if I

take a 3-year long shot view of things, you're right, the market share has eroded, but we didn't do that. I mean it was eroded by 2, 3, 4 percentage points and which was causing us concern because we are, at the end of the day, the leaders in that segment.

And that has given right to the initiative that we must now refresh the whole Pulsar platform.

And this is one of the few instances where a very successful platform, which was resulting at a 40%-plus market share and with 2, 3 percentage point erosion running at that level, but we still

decided to not refresh it, in fact, completely upgrade it. And that's why in a calibrated program, we launched the 250 in October last year, we launched the N160.

We will launch a couple of new products in the same platform in November, which has completely changed the face of Pulsar, and this gives us an opportunity to completely change the customer experience as well as talk about the plan. In auto, nothing like a new product introduction to talk about the brand. Otherwise, everything else is stale news.

With the supply chain going off, I'm already seeing the market share approaching the sports segment to 40% level. I think they are about 37%, 38%. We're approaching 40% levels. In the next 6 months, as the whole Pulsar story plays out, we again think that we will be comfortably beyond the 40% level back to what we were, let's say, 3 years ago because I think that because we are getting a very good echo from the market says about the acceptance of the N160, which was very crucial. 250 was accepted as well, but the 250cc is a very small part of the whole motorcycle industry and as the 160, which is the more mass product. So that's a good sort of happening outcome.

Gunjan Prithyani: Does the export realization and I'll join back the queue, if you can 13% if you want to increase?

Dinesh Thapar: Let me cover that, Gunjan. I think your question was on export realization. So, I think if you look at export volume, export volumes were down about 20%. And export revenues were down close to 10%, 11%. Clearly, what aided that the bridge between volume to value is better mix with clearly a number of the African geographies showing some amount of pressure. There's been a lesser export of commuter bikes. So low-end commuter bikes have led to just an improved mix we've sold more commercial vehicles, and that's, therefore, aided mix as well. And then, of course, the last is better dollar realizations.

Bajaj Auto Limited

October 14, 2022

Page 18 of 20

Moderator: Thank you. We have our next question from the line of Chirag Shah from Nuvama. Please go ahead.

Chirag Shah: Thanks for opportunity, sir. Just a first housekeeping question. One, staff cost, there is a value decline. Is there anything to call out in that? Or it's a normalized trend? I think sequential decline, Q-on-Q decline?

Dinesh Thapar: Yes. So, Chirag, if you're looking at the previous quarter versus the current quarter, a couple of things. One is the last quarter was a quarter of increments. And therefore, when you pay out increments, you also restate liability for various retirement benefits. And so therefore, that was a onetime charge that got taken with the increment cycle last quarter. It did not reflect this time. And the second was, of course, true-up of various performance pay and other payoffs that had to happen, which have flown into the current quarter. So really these 2 have covered relative to a charge of last quarter. We have not had the first element this time, which is the higher payout on account of, let's say, leave encashment. And the second, as I mentioned, was the true-up that we accounted for the current quarter of performance pay.

Chirag Shah: And any comment on gross margin Q-on-Q decline if sales minus raw material, actually, the margins have declined sequentially despite a better dollar realization

and some of the aspects.

So, is it an even better mix? So, is it more driven by regional mix or there are some elements of pass through that you did?

Dinesh Thapar: Yes. So, I think on the overall piece mix has been adverse at an overall entity level purely because exports have been lowered, domestic has been higher. And within domestic, there's been a significant build back of the end commuter segment as well. So as an enterprise level, while we have spoken about mix improving in various pockets of the business at an overall enterprise level mix has been adverse.

Chirag Shah: Yes, because it's 120 bps, it's a reasonably sharp decline for -- that's not been the general trend for you. Okay. Sir, second is on the Chetak side, just -- because if I go back a quarter or so, our aspiration was to do 10,000 units a month kind of a run rate by Q4. And now the aspiration seems to have gone down significantly to 6,000. So, any comment on that?

And also, if you can indicate the current state at ground level given the government strong vigilance on localization, proving and all the stuff. If you can comment on that, it would be helpful?

Rakesh Sharma: See, the aspiration is still there. There is no reduction in the aspiration, but the number which we telling you is based on our supply chain visibility. We've got 773 dealers throughout the country and it's very easy for us to flip a switch and be these dealers signing new agreements and start to create a network purchases.

Bajaj Auto Limited

October 14, 2022

Page 19 of 20

But we have to do it based on calibrated to the supply chain visibility. And so, we are still looking at increasing that. And we will see in the next quarter or so, let me say, the next 6 months, the addition to our portfolio and see whether we can use new products to get to that kind of level, but it's really driven by supply chain visibility.

Dinesh Thapar: We see the supply chain constraints.

Chirag Shah: Sir, any comment on this subsidy issue as the government has increased its vigilance on and giving out or rolling out this subsidy, how should one look at that industry and who will benefit in that sense because it gives an opportunity for a player like you to ramp up at a faster pace?

Rakesh Sharma: I'm sorry, not understood, which subsidy are you talking about?

Chirag Shah: Recently, government has indicated that OEMs have to prove the localization and they are really monitoring the encashment of subsidy on the EV side?

Dinesh Thapar: So, Chirag, no new news for us because we've, in any case, been on the path of localization. I'm presuming you're talking about the Phase 2 subsidy, right? Is that the reference?

Chirag Jain: Yes.

Dinesh Thapar: No more different from that from our perspective, it's not new news. Of course, what they're doing is to tighten with the intention of incentivizing local manufacturing and localization of components. Like I said, nothing new from a financial perspective, we continue to remain compliant. We continue to deliver the threshold domestic value addition.

And the take subsidy is being passed on to the customer through our dealerships as we stipulated.

So not a new development. So, I'm not sure where the question is emanating from. Have we answered that? Or is there something else to clear the thing?

Chirag Shah: No. Thanks, a lot. So, if I can squeeze in 1 last question, and it would be helpful if you can highlight. So, there was a new vertical which indicated that there are 5 new names that have been trademarked like Darkstar, T winner and Dynamo, etc. Any comments from your side? Are there existing models in pipeline for which these trademarked and when can some of you see the light?

Rakesh Sharma: See, this is an ongoing process. If you see over the last 5 years, there are very bad days, which are registered because you have to do fast on this. We obviously know the kind

of product

pipeline which we are having over the next 3 to 5 years. But at this stage, we would not like to go into what new brand or what new product is being launched. So, it's a regular exercise we spot a good brand name. We might as well register it for future use.

Bajaj Auto Limited

October 14, 2022

Page 20 of 20

Moderator: Thank you. I would now like to hand the conference over to Mr. Anand Newar for closing comments. Over to you, sir.

Anand Newar: Thank you very much for joining the call. I'm happy to take the questions after this call with all those who wanted to have a conversation. With this, thank you everyone and a very happy Diwali.

Moderator: On behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Dinesh Thapar: Thank you.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2023

Page 1 of 16

"Bajaj Auto Limited
Q3 FY 2023 Earnings Conference Call"
January 25, 2023

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Bajaj Auto Limited
January 25, 2023

Page 2 of 16

Moderator: Ladies and gentlemen, good evening, and welcome to Q3 FY 2023 Results Conference Call of Bajaj Auto Limited. My name is Yashashri, and I will be your coordinator. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the initial remarks from management. Should you need assistance during the conference call, please signal an operator by pressing * then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head, Investor Relations from Bajaj Auto Limited. Thank you, and over to you, sir.

Anand Newar: Thanks, Yashashri. Good evening, everyone, and a very Happy New Year to each one of you on the call today. Welcome to Bajaj Auto's Q3 FY '23 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with the opening remarks from Rakesh on the business and operational performance of the quarter and Dinesh will take you through our financial highlights. We will then open the forum for the Q&A. Over to you, sir.

Rakesh Sharma : Thank you, Anand. Good evening, ladies, and gentlemen, and a very Happy New Year to everyone. We are very conscious that there's a long weekend shaping up if you take 27th off. And so, we really appreciate you're taking the time out this evening to join the call. We did want to have this conversation close to the announcements of our results, which happened a couple of hours ago, but I hope you've been able to go through them.

So let me begin with the highlights of our performance in quarter three. This quarter, yet again, we surpassed our previous highs, recording an all-time high EBITDA, as you know, for the second time in a row through margin expansion of almost 400 basis points. Now this performance is particularly delightful for us because it has been delivered against the backdrop of very difficult trading conditions in overseas markets, which, as you know, accounts for almost 50% of our sales.

So indeed, this resilience is the result of a strong and diversified product market portfolio with leading competitive positions in key segments as well as robust operational management. Exports continue to face strong headwinds due to the difficult macroeconomic environment in most emerging markets. Industry retails in South Asia, Africa and LatAm, were down by almost 30% in quarter three compared to the previous year quarter three. ASEAN markets were an exception, and they bucked the trend, recording a double-digit growth, which is largely the release of pent-up demand from COVID because they've taken longer time to deal with the COVID situation.

Devaluation driven price increases and erosion of purchasing power due to across-the-board inflation in emerging markets has impaired demand, and that's why it's at the minus 30% level. While for the last three months or so, the retails have now bottomed down and holding steady at these lower levels, availability of US dollar for trading and a cautionary stand taken by most

Bajaj Auto Limited

central banks to convert foreign exchange continues to make operations quite difficult. In this scenario, our prime objective has been to hold on to our competitive positions. In fact, expanding on our competitive positions by not relenting on new product introductions, etcetera, and also to minimize the exposure of our channel partner to currency volatility. So we continue to keep this sort of business trends going. Our market share, therefore, in key territories remains strong and steady, and our stocks on the ground are well matched to the lower level of retail. Indeed, in some markets, we are facing a stock-out situation because

forex has not been

readily available to allow for shipments to take the stocks up to the levels which are now needed to service the demand even though they are at lower levels.

Looking forward in export, while we see the retails improving as customers digest new prices, we are sanguine about the availability of forex, particularly in South Asia and Africa. Our largest market, Nigeria, will continue to be depressed and volatile till the elections get over in end Feb and a peaceful transition to the new government takes place, and also the effect of the recent demonetization settles. Therefore, at an overall level, we estimate that it will take perhaps till May or June for normalcy to start returning, first in Latin America, then followed by Africa.

And thereafter, we can start to rebuild the stocks and address high demands. But we hope we will then see a release of some pent-up demand, which is getting created as we talk, which will get released once the foreign exchange starts to flow. On the positive side, ASEAN industry continues to do well, and we continue to improve our market share there, led by Philippines. In Philippines, I must just tell you that we are now market leaders, and our products are commanding a premium over Japanese competition as well.

In December, we launched the Dominar brand in Brazil to an outstanding reception. I invite you to check out the comments on Bajaj's Instagram handle, as you will witness first-hand, the excitement for Bajaj and Dominar out there in Brazil. We have launched only in the Sao Paulo region through top class exclusive store and are now encouraged by the tremendous response both from the trade and the customers, we're now accelerating our distribution footprint and upping shipments there.

But the idea will be to go slow and steady, build an outstanding network and a brand, which gives a very good retail experience and ensure that supply chain is predictable. Further, on the positive side, the rupee realization for the quarter was about INR 82 per dollar, which is a 3% improvement sequentially and 9% improvement year-on-year, thereby providing more juice to our top line as well as our bottom line.

Coming to the domestic motorcycles business, the industry recorded a 14% growth in retail terms, though December itself was negative, but October was hugely positive. Our estimate is that at an underlying level, sanitizing for base effects from the previous year, the industry is probably growing at about a 3% and an optimistic level, 5%, and should remain on this trajectory here onwards. Really, the turnaround in the fate of the industry happened during the festive.

Bajaj Auto Limited
January 25, 2023

As you will recall, before the festive, the industry was in negative territory. Festive was good. Post festive, slight negative, but that's because December was too close to the festive, and now we're getting a sense that it's in low single-digits. But this growth is largely driven by the top, which is a 125cc plus segment. It has grown by almost 28% as an industry in Q3 in retail terms, taking its segment share up by 5 percentage points now to 50%. So, the market is not really evenly divided between below 125cc and above 125cc. And it's quite a dichotomy that both the half are behaving quite differently.

The entry level 100cc segment continues to support and rural demand continues to remain soft. Against this backdrop, we have maintained for quite a few quarters now, our firm focus on profitable growth, driving market share up by selectively focusing on key segments and enriching our mix in each sub-segment at the same time. There has been a new product launch in each of the three months. In October, we launched the Carbon Fibre Edition of the Pulsar 125, adding a sportier appeal to the product. It has been very well received as 85% of our 125cc sales now come from the Carbon Fibre

edition, which has improved volumes, bumped up the ASPs and obviously improved margins.

In November, we launched the new Pulsar 150, the most agile and stylistic commuter in the

150cc segment. Combined with its bigger sibling, the Dual Channel Pulsar N160 ABS, the portfolio is growing rapidly, the 150, 160 portfolio, the heart of the sporty commuter segment, it's growing rapidly. We are up 28% in December, and this has allowed us to move to a 40% level of market share in this segment. The new Pulsar 150 launched in November itself accounts for 25% of the portfolio already. And the N160, the Dual Channel Pulsar N160, which we launched somewhere I think in July has now brought in almost 10 percentage points of market share.

And may I remind you that this is just one SKU, which is just in black and done outstandingly well. These statistics signal widespread acceptance of the new platform. These are obviously concerned because Pulsar is our flagship brand. And after almost 10 years, we were rejigging the platform and it's absolutely new one, and obviously, we were concerned about its acceptance, which has gone off extremely well. Our early research suggests the stylistic and nimble Pulsars are also attracting newer and more beautiful customers.

One of the issues which we had started to get serious about in the last couple of years, we are finding that the demographic in Pulsar sort of moved up in age, and we wanted to get back to the youthful customers, which both these the N160 and the Pulsar 150 are delivering, which is, therefore, expanding our Pulsar franchise. We will be fully leveraging these three successful launches in the next few months through an above the line and below the line high-intensity campaign. And finally, in December, we launched the Platina 110cc with the first-in-segment ABS feature, an added safety feature, which we believe will delight the customers in the Executive 100cc segment.

Bajaj Auto Limited
January 25, 2023

Page 5 of 16

The ABS braking in Platina provides precise braking, shorter braking distance as well as better control and stability. It is early days, but our report suggests that the 'ABS on toh fisalana gone' proposition is being very well received. We hope to mount a stiff challenge to the existing players by creating persuasion to the very topical and important attribute of safety. Overall, we have gained about 2% market share in the 125cc plus segment at a retail level sequential basis. We have increased our ASP by almost 17% and positively impacted EBITDA. The 125cc plus segment now accounts for 66% of our sales.

And with our portfolio of 20 models between the 125cc and the 400cc, 20 models compared to, let's say, 13 or 14 of the next competitors, we straddle the top half of the motorcycle industry with a Pulsar for every maniac. Now as this segment continues to drive growth for the industry, we believe we are very well positioned to grow faster than competition. In addition to that, the Platina 110 ABS, which is growing week-on-week will hopefully add new volumes to the 125cc plus volumes which we're getting.

Domestic 3-wheelers, it has delivered a spectacular performance, notching up a market share of 76% in Q3. The 3-wheeler industry has recovered to 75% of pre-COVID levels, while we are now at almost pre-COVID levels. So, our performance is driven by the success of our products in the expanding CNG segment. With 80 CNG pumps being added every month, almost 45% of our country is covered by a CNG network and almost 65% of today's 3-wheeler industry is now driven by CNG. Our market share in CNG is an overwhelming 86% and 72% of our portfolio is CNG, which is very good for our ASPs. They are 15% higher than petrol and also even better for our margins, which reflects the pricing power enjoyed by our products, which has made a great position as the most reliable CNG products in the Indian market.

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Our 3-wheelers, electric 3-wheelers are in field testing, round two of field testing. If you recall, I mentioned to you all, that after round one of field testing, while we discovered that the customers -- the commercial drivers were needing a few more things, even back we have adjusted it, and now we have confirmation that we are delivering best-in-class range. Basically, they were dissatisfied with the range, the new 3-wheelers were delivering, and we said that we had to go back, make the range delivery longer and more certain. This is a key requirement. We expect to launch in selective markets by end of March. Our objective is that we will be taking it slow and steady. We think we've now got the product. Those changes will be made during February and March, and we should start dispatching in end of March.

On Chetak, we crossed the 10,000 mark in the quarter. With clarity on supply chain, we have launched an expansion drive into new cities. And encouraged by the rate of adoption of EVs in the scooter segment. We have tried to set up an independent network of Chetak stores. Of course, while Chetak was earlier being sold through our Probiking stores along with KTM and Husky brands, we have decided that Chetak should now deliver an exclusive retail experience to customers through stand-alone Chetak stores.

Of course, we have the option of using the Probiking stores, using our 800-odd stores in motorcycles, but we believe that customers will be looking for a differentiated retail experience, differentiated ownership experience. So, we have taken the call to now set up these Chetak exclusive retail stores as well as service stores.

We consider our EV initiative as I've been saying to you again to a marathon. So, we need to be ready for the long run. And also, for different scenarios of exacting quality standards, as you know that the government is mandating a new quality standard from 1st of April, and also be prepared for possibly a lower subsidy scenario in the next two, three, four years.

With this framework, we remain focused on our triple objectives. The first one, with strong R&D and supply chain progress on that, I can confirm that supply chain constraints have been totally removed. We have options now. We have the confidence of sustained higher level of supply chain performance. R&D has reconfigured products, brought down costs and are in much better shape to build newer products.

Our second objective will be to expand the portfolio to adequately cover emerging segments. I mean these are now large enough for people to start to have different preferences and those different preferences to actually become sub-segments. So financial year '24, we'll see a slew of launches, which will address different demographics, lower pricing and personal as well as delivery use cases.

Third objective was to build Chetak to be a premium and preferred choice in top 100 cities. Chetak already enjoys a very differentiated and a premium image. Our new communication just launched based on the likability of Chetak, which we have heard from customer feedback, and the communication campaign is now centred around the theme of handle without care. We believe we will deepen this premium position by giving a superior retail experience in our exclusive Chetak stores and dedicated service centres.

As we speak, we have from previous, I think quarter two of being present in about 37-38 cities, we're already in 50 cities, we should be in 85 by end of March and 100 by April. In this quarter, we will also commence supplies of Bajaj designed and manufactured products to YULU, who is our strategic partner in the micro mobility space. So you will see that in the space of the next 12 months or so, we will have a portfolio which will span from the low speed, low rate, low range delivery and personal mobility products to

the top of the line, personal mobility top-priced personal mobility scooter and other products in the middle, being sold to about 100-150 stores across the country.

Finally, a word -- I must put in a word about our spares business. We don't talk about it too much. But our spares business has reported its highest-ever revenue of over INR 1,100 crores this quarter. This is driven through our conscious drive to improve customer interactions, processes interface to implementation of first in the industry initiatives, such as TPM and NPS, resulting into improved fill rates, the introduction of annual maintenance contracts, extended

warranties, etcetera. We will be deepening our engagement with the retail side of the business, and we hope to continue this trajectory of growth in the highly profitable spares business area. With this now, I would like to hand over the floor to Dinesh for his commentary.

Dinesh Thapar: Thank you, Rakesh, and good evening, everyone. Given that this is the first time that we're speaking in the year, let me wish all of you a very Happy New Year. And thanks once again for joining us you know this late in the evening. We just wanted to get the call done as soon as our results were announced to get a sense of what's gone behind them.

Now let me start as is typical by giving you a sense of the operating context, all this always helps set a frame of reference against which our financial results were delivered. The quarter saw continued weaknesses in overseas markets, as you just heard it from Rakesh. Macroeconomic challenges, inflation, dollar unavailability and local currency devaluation across markets have continued to subdue industry volumes across overseas geographies, and that's really led to a decline of anywhere between 25% to 35% in market volumes relative to last year.

In some of the geographies and countries, particularly in South Asia and Africa, this drop has been even more pronounced. And it's only in the recent quarter that we're starting to see some pressures build up in Latin America as well. Now on the domestic front, festive period sales have been pretty steady, and the 125cc plus segment has led the broader market as indeed our

own sales. The market seems to have slowed down post the festive period. It is quite normal for that to happen each year, but this year, we've seen a little bit of the market come off in the period following festive.

As for commodities, the broader purchase basket, excluding specific EV comments, I'm keeping EV components aside, but across the broader purchase basket, we've seen them soften. And this is in line with what I had called out in the preceding quarter, and that's clearly provided some respite to our bottom line. And finally, the semiconductor supply situation has now stabilized relatively speaking, fewer conversations on it, although it still remains very tight across players. And we've continued with our very definitive actions on securing our supplies and have added even further alternate sources to navigate the situation. So, we have many more suppliers today than we did six months back.

Overall, our financial performance this quarter has yet again reflected a well-diversified business. We have a strong position across domestic and exports market. And this time around, it's again domestic, which has led the way, and that has enabled the resilience of our performance. The drive on exports from the challenges in overseas markets was well alleviated by relative buoyancy in our domestic performance.

Our revenue from operations was up 3% year-on-year at INR 9,315 crores with robust double-digit revenue growth across both domestic 2-wheelers and 3-wheelers. This revenue performance is despite a 17% decline in volumes, which you are very familiar with because we

Bajaj Auto Limited
January 25, 2023

Page 8 of 16

report our numbers each month. And that's really led out to weaker export volumes that you'll be aware of. The overall improvement in revenue was primarily led by three factors, and I'm now talking year-on-year for a bit.

Better foreign exchange realization, our dollar realization, rupee to dollar realization for this quarter was at 81.7 as against 75.1 same time last year and 79.8 for the last quarter, so that helped. Price increases, now we're talking year-on-year, recognize that for the first half of this year, the early part of the year, we had commodity inflation, so I'm now talking year-on-year numbers. Price increases were about 5% in the last 12 months. However, for the last quarter, so when you look at between quarter two and quarter three, we've not really taken any price increases. So that's been flattish quarter-on-quarter.

And thirdly, richer mix, which you would get from our commentary in terms of what's leading the growth through a higher share of domestic 3-wheelers and the sports segment and a lower mix of domestic and export entry-level bikes. Further, you just heard Rakesh and I'd like to reiterate that it's not always that we report an all-time high on spares, but that has been notable and contributed to both top line and bottom-line performance.

Now speaking of our profits, we surpassed our peak. You'll recall that we had registered a record high the last quarter, which was Q2 FY '23. And we surpassed this time around and made a new record with our highest-ever EBITDA of INR 1,777 crores, with an underlying margin expansion of 390 basis points year-on-year and 190 basis points over the last quarter.

Again, to explain the strong year-on-year improvement, this was primarily driven by improved dollar realization and judicious pricing to cover costs. That's a Y-on-Y basis. However, when you look at from a quarter-on-quarter perspective, and now this is quarter two to quarter three, the improvement has primarily come from softer material costs as we had indicated in the previous quarter. And, of course, that dollar realization has continued to aid the margin story.

Notably, this record EBITDA performance comes at a time when both our export and domestic volumes are way lower from their peaks. And therefore, the way I see it, it offers the prospect of significant headroom for growth as volume levels trend back towards their respective highs.

Let me spend a minute in talking about commodity costs considering over the last couple of quarters, it has softened and therefore, has been a contributor to the overall margin recovery. In this last quarter, which is essentially Q3 FY '23, we have seen softer costs across the broader commodity basket, whether it's steel, aluminum, noble metals, all of them have come off. The exceptions have been rubber and plastics, which have shown marginal inflation. Conversion costs have continued to remain rather tight as you would imagine, given the impact arising from utilities and energy cost.

Now as we look ahead, this is more 4Q at the next quarter, we're starting to see some uptick on aluminum, nickel, and copper in particular. But on balance as things currently stand, I expect

Bajaj Auto Limited
January 25, 2023

Page 9 of 16

the upcoming quarter to be, by and large, flattish, or possibly a near marginal uptick compared to this previous quarter, unless, of course, there are events which alter this course. As is typical, I want to make a quick comment on cash given how integral it is measuring the health of our business. We continue to maintain a very strong track record of cash generation. Our surplus cash stood at near about INR 15,000 crores, a very healthy level, after paying out the INR 3,100 crores towards buyback and its tax, which we've completed in the last quarter. I'm not going to go into the details of the buyback. We've put out enough communication on it and you're well aware

. But the point I'd like to leave with you is that we're still sitting on a very healthy balance sheet that offers us enough muscle and flexibility to invest sufficiently in capabilities and growth opportunities.

Let me end by saying that as we look ahead, it continues to remain our priority to step up our revenue momentum and drive our market share. In the domestic motorcycle business, we will look to engage with all customer segments through sharp execution and activation of the Platina 110 ABS, you heard Rakesh talk about this at length for the entry-level commuters, and with the full might of the Pulsar portfolio to drive the fast-growing 125cc plus segment.

On domestic 3-wheelers, we're looking to sustain our strong market leadership position, recognize we're at an all-time high in this quarter on market share. And we're looking to drive for fuller recovery towards the pre-COVID levels. As for exports, given the outlook for some of the overseas markets, it does appear that it could remain in soft and challenging in the very near term.

And it's against this context, what we're looking to do is to take a few actions to salvage volumes wherever we can. And while volumes might still be a little lower than the peak that you might have seen in the past, what we will certainly look to do is to secure unflinchingly our competitive position, which have held steady so far through this challenging situation.

And alongside we will stay the course on the agenda to build up our EV business with Chetak and look at the potential launch of the EV 3-wheelers in a couple of months. And in doing all of this, of course, let me add, we will continue to dynamically manage this business for a very healthy profit delivery.

With this, let me hand the session back to Anand, and we can then open it up for Q&A. Anand, over to you.

Anand Newar: Thank you, Dinesh. Yashashri, with this, we can open the forum for the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question, may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the

Bajaj Auto Limited

January 25, 2023

Page 10 of 16

question queue is assembled. We've our first question from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Yes. Hi, Good Evening, Sir. I just wanted to understand on the gross margins. We have seen almost 300 bps improvement. How much of that has come from commodities? And also, if I heard you correctly, you mentioned that as the volumes grow through the next year, you would expect to build on margins from here on? Is that the right way to think about it?

Dinesh Thapar: So, Kapil, you're right. I think quarter-on-quarter, I did make a mention that the biggest driver of margin improvement has been the lower raw material costs, and because we've seen costs coming off across the breadth of both the metals and the energy portfolio with the exception of plastics and rubber as I have mentioned. Let me say that almost 70% of the margin improvement that you're seeing quarter-on-quarter has come from softening commodity costs.

Kapil Singh: Going ahead, as volumes go up, you would say that this forms the base and we should see a further improvement because there could be some adverse impact from lower entry segment mix also? So that's why this question is there.

Dinesh Thapar: So Kapil, let me start by saying that at least a big driver of commodity costs, which has what contributed to the margin accretion in quarter three over two, the outlook for that, when I see quarter four versus quarter three is flattish to marginal inflation because, clearly, in some parts of the commodity basket, whether it's alum

inum, it's nickel, it's copper, we are starting to see an uptick in those cycles.

And so therefore, the big contributor of commodity costs quarter four over quarter three, I do not expect to be there to the measure that we've just seen. Mix could take a bit of a hit if we are

executing some of the plans that we have, it's a function of where exports also play out, but equally, there will be opportunities on operating leverage as well. So, it's a bit hard to forecast where that will come out at the moment. But our intention very clearly will be to try and hold margin at these levels. Just recognize that a large chunk of the commodity cost piece is reflected in the Q3 numbers.

Kapil Singh: That's extremely helpful. And also, if you could talk about pricing changes in Q4 so far in the domestic and export markets? Have you done anything there?

Dinesh Thapar: There's really been no pricing between quarter three and as of now, very marginal uptick that we had in domestic, which was offset by some actions that we took to drive competitiveness on the export markets. So, on balance, absolutely flatish for quarter three and up to now.

Kapil Singh: Okay.

Moderator: I request you to come back in the queue, sir.

Kapil Singh: Okay. Sure.

Bajaj Auto Limited
January 25, 2023

Page 11 of 16

Moderator: Thankyou. We have our next question from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi Team, Thank you for the opportunity. Congratulations for very strong numbers in a challenging quarter. Two questions. Firstly, good to see Bajaj -KTM partnership, I think almost 1 million units. How do you see the Bajaj -Triumph partnership playing out? Do you think the opportunity side of that built at what you do on the KTM side, and any update on that?

Secondly, on the Chetak having exclusive stores, could you share a little bit more about that?

Because it seems like will these stores be viable, because you have Bajaj stores and KTM Probiking, then Chetak stores and then there are also reports that Triumph will also have its own dealership network. So, will all they be on a stand-alone basis viable? So, if you could talk a little bit about how you think about that? Thankyou.

Rakesh Sharma: Yes. Sure. So, the Bajaj -Triumph partnership, we are hoping to replicate the success of the Bajaj -KTM partnership. Frankly speaking, at a global level from the inputs which we have received from Triumph and, of course, what we see as being the potential in India, when we put these two things together, we believe that the scale of the opportunity is bigger than the scale of the opportunity which we witnessed in the Bajaj -KTM partnership. So, it's just that the segments we are covering are much larger in -- through this partnership.

So, the products are now developed. They are under field testing, both in the UK, a few other countries and in India. And in due course of time, I cannot precisely tell you while we know well precisely, we are launching it. But I cannot reveal the date as of now, but we will shortly be announcing our plans in the market very soon. They are now very, very firm. We have brought into the countdown mode, and we are sort of working to on an operation -- front-end operation basis also.

Next, was a decision about the Chetak exclusive stores. we have to sort of think through this a little bit keeping in mind the adoption rate of the EV, it's a bit forward-looking, because we must agree that the rate of adoption of EV in the last six months or so has been very good. I mean, today, -- forget the low-speed bikes, but if I just take the high-speed scooter, they are already in December clocking 20% of the scooter market.

And in some cities, it is more. Now that gives you a very, very decent volume on which to build a network. And we have got an aggressive market share assumption over there, not immediately, but

over a period of time. The idea is that parking a scooter in one corner of the largely ICE offering in a motorcycle store is a very suboptimal solution. So, we said now that the business viability is seeming sort of attainable. We should -- and we are having no problems getting requests. In fact, a lot of our network is very, very happy to put these standalone stores. So, we feel that we should take this opportunity to not just put the standalone stores, but the manner of the standalone stores, which should be more digitally enabled, which will give a much

Bajaj Auto Limited
January 25, 2023

Page 12 of 16

better customer experience and particularly on the service side, where they should be much better equipped to allay service anxieties. And it is correct that even in Triumph, we will attempt to do this. This will put us in a very good stead. As the market unfolds over the next two, three, four years, this will put us in a very good stead to manage the customers, to manage the customer

experience well.

Binay Singh : Thanks Team. Best wishes for bright future. Thanks for that.

Moderator: Thank you. We have our next question from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Thank a lot for the opportunity and Congratulations on the excellent results. My questions are related to market share, first on the EV side and then on the ICE side here. And on the EV side to begin with, what we've seen in the last few months is the massive churn in the Tier 2 categories, right? And what we're seeing is some of the Tier 1 brands are racing away with market share, be it Ola or a Ather or a TVS, right?

But in that context, Bajaj kind of stands out with a pretty flattish market share in the last few months and not being able to kind of capitalize on this opportunity where customers are looking beyond the Tier 2 brands as they get challenged on either battery quality or subsidies getting challenged or whatever reason, right? So, what explains this quite what you say, not so obviously ramp -up, given the fact that you got everything to gain and nothing to lose from the EV transition.

So, Rakesh, if you can help us understand what is holding us back on the EV side? Because for context, Ather has market share, which is like 13%, as we speak, with a reasonably high price point and a very limited reach?

Rakesh Sharma: Yes. So, Pramod, first of all, I disagree that market share is the metric to evaluate an emerging business. We have said that we don't have a volumetric ambition at this point of time. We are first driven by building capability. This is going to be a marathon like I said. So, I mean we have got 800 stores. I can park a Chetak in each one of the stores, drop the price, it will not even affect my deep pockets compared to other competitors, even though we don't have private equity dollars to burn, we can drop the price and capture whichever market share we want.

But is this the right way or are we building the capability? What are we building? We are building the capability for being able to launch a portfolio of products. We are building the capability to bring the cost down to prepare for a scenario where subsidy is less. Today, you know that there is an INR 45,000 subsidy just on FAME, there is PLI, there is GST. What -- this in one way is artificial support to the industry.

What happens if the subsidy is half, what will we do at that time, what will we say to our vendors, what will we say to our dealers? We want to make our business fool proof from subsidies. I think there is a little bit of déjàvu here. I'm seeing a parallel, if you rewind 10 years back when we

Bajaj Auto Limited
January 25, 2023

Page 13 of 16

were launching the export offensive in Bajaj, at that point of time, the export incentives were 15%. And we said we are building a business dream, and there was already noise in the system, the government was

as saying that we want to reduce the export incentive.

We have started to take our prices up in export markets even before the incentives were withdrawn. And we started to look at product configuration preparing for a scenario. And of course, foreign exchange devaluation helped us. But the point everyone forgets is that 15% or in some markets was 17%, incentives got reduced to 2%, but still the export business, even if I net off the foreign exchange gains, the export business has maintained its EBITDA percentage and it's helped.

A similar situation is bound to unfold over two -year to three -year period. The way to mitigate that is not to act at that point of time when it occurs, but to start preparing for it now. And that is the work which R&D and all have been doing. And we feel that we are in a very good position now to start to expand our portfolio. There was no reason for us to go helter -skelter and just grab some market share. In fact, the investment in the stores, there is a far better investment in setting up these stores, both in terms of management time, effort, dealer time, dealer investment, our own investment, etcetera.

So we have dropped it, you will see in FY '24, the outcome of all that preparatory work, which has been going on for the last 12 months. The expansion of the R&D manpower, the infrastructure, the discussions with vendors, supply chain, etcetera, which on a sustainable basis will allow us to expand the portfolio. Therefore, I'm not bothered about this market share bit. I think the idea going forward would be the thing it's a marathon, we don't want to be sprinting right ahead and exhaust ourselves before the industry really shapes up.

We don't want to be a straggler, so that when the marathon is reaching an equilibrium, we have a lot of catching up to do. We are happy to stay somewhere in the front, middle, make sure we build our capability and spring into action at the right point of time, which is not very far off by the way, which you will start to see that happen next year, next financial year, I mean.

Pramod Kumar: Thanks a lot, Rakesh. Congrats once again for the response. The second question, Rakesh, is on

the export side. It's actually good to hear that you -- both you and TVS hinting that export retails have kind of started to bottom out and inventory corrections have been taken place at the industry level. So, by when can one expect exports trajectory to start improving in a reasonable way, not exactly kind of been flat for a timing, but when do you see meaningful pickup in export wholesales the way given your extensive experience on the international markets?

Rakesh Sharma: I think if you go take May or June, that time and then I think the pendulum will really swing because we have been through this cycle before. And that is why the learning inside the team is that forget about the numbers, just go, put in the new products, keep continuing with the channel work, etcetera.

Bajaj Auto Limited
January 25, 2023

Page 14 of 16

So, when the pendulum swings, we'll be in a very, very good position to capitalize on the resurgence. See, the demand side, though it has got severely impaired, but over a period of time, people digest new prices, and they start to move on because at the end of the day, the key drivers of the demand are intact.

The demographic is young in Africa. Road network is increasing. Urbanization is increasing.

The public transport network is very poor. All those drivers which point to doubling of the penetration in the next five to seven years are very much present. We have got a great market position. So, after this interruption, hopefully, people will digest the new prices. And like you yourself mentioned, that phenomenon have already -- we have already started to witness it, that's bottoming out is a stride climbing up.

Like I said, we are facing stock-outs in a few countries. However,

the availability of dollars is

still a concern. The central banks being very cautious in many countries and conserving foreign exchange is still a concern. These things will take time, I don't have any way of saying that when the Fed goes and does something and which again destabilizes the market, who is to know. Then there is this special event in Nigeria, which is the elections, etcetera, which I already mentioned, which is a very large market for us, so that's not falling it out. Hopefully, that will settle in by March end also.

And if the dollar position, as a lot of the banks are saying that we will now see a sort of reversal when it comes to the strength of dollar. If the dollar position starts to ease off a bit, we will see certainly demand coming back. But I'm sort of taking a view that probably be May, June.

Pramod Kumar: And Rakesh just a follow-up on the Nigeria election. Is there going to be any change in the government stance given this political alliance comes into form -- comes into the government? Is there anything which can materially make a difference to the Okada market in Nigeria based on the election outcome?

Rakesh Sharma: No, I don't think so. I think the Okada is a very strong vote bank, and that is not going to make a material dip. It is just the peaceful transition of power, which is very important. And right now, there is always -- people can't get out on the street because there is a lot of civil unrest. So there's no traffic, and of course, there is a demonetization, all that is swirling around.

Pramod Kumar: Thanks a lot, and best of luck.

Moderator: Thank you. We have our next question from the line of Mumuksh Mandlesha from Emkay Global. Please go ahead.

Mumuksh Mandlesha: Thank you so much for the opportunity, sir. Sir, if possible, can you share the Chetak EV subsidiary financials for the quarter? And sir, from when will you get the PLI scheme benefit, sir? And has the accounting started for this incentive, sir?

Bajaj Auto Limited
January 25, 2023

Page 15 of 16

Dinesh Thapar: Okay. So let me take the first question. Chetak financials will be available to you for the next financial year, because for this year we have clubbed the figures. We've now migrated a fair amount of volume in this last quarter from Bajaj Auto, which is where we are producing it to Chetak Technology Ltd. So, there is some work that we are doing on that front. The materiality of the results will start to get reflected from the next quarter onwards, when the results will be reflected in the results that we put out at the end of the financial year, which is when all subsidiaries need to be reported.

To your question on PLI, PLI, the claims will be made at the end of the financial year. Because, as you know, the PLI incentive of 13% is contingent upon the OEM being able to deliver a threshold investment. That investment for us is INR 150 crores this year. That determination of

the investments will happen on 31st of March, post which the claims will be raised. So, the accounting for the PLI will happen in the next quarter when we have finality on the investment numbers.

Mumuksh Mandlesha: Right, sir. Thank you for this. Sir, export revenues for Q3, sir?

Dinesh Thapar: Export revenues for Q3 in the range of \$4 15 million.

Mumuksh Mandlesha: Thank you so much for the opportunity, sir.

Moderator: Thank you. We have our next question from the line of Anand Venugopal from BMSPL. Please go ahead.

Anand Venugopal: Yes. Thanks for the opportunity. So, my question is there is a lot of premiumization, like basically, there's a lot of pessimism in 3-wheeler industry in India, and we realize it's an essential part of transport system. So, do you think the market is underestimating the power of next upcycle in 3-wheeler industry? Can we see, basically, higher volumes in the next upcycle versus the previous upcycle?

Rakesh

Sharma: Yes, I think the 3-wheeler industry is set to grow, it is recovering pretty smartly. And it's not reached 100% like I said, only 76% of pre-COVID level. But we are seeing big finance penetration, including offering more, not just from Bajaj Auto Finance, but we are seeing that retail financiers are coming back and their willingness and the kind of schemes which they are putting out for the purchase of new 3-wheelers is also indicative. We are seeing public sector banks coming in and giving schemes. So, these are also good signs.

But like I mentioned in my opening remarks, the even better thing is the qualitative improvement in the 3-wheeler business, which is now moving from diesel to CNG. The CNG product is better from an operating expense point of view for the driver, which, again, is very helpful at the retail finance level. And it is better for the OEs like us, where our margins are far superior to the diesel products, and of course, it's a cleaner fuel. So yes, the 3-wheeler business is pointing in a very good direction now.

Bajaj Auto Limited
January 25, 2023

Page 16 of 16

Anand Venugopal: All good, thanks.

Moderator: Thank you. I now hand the conference over to Mr. Anand Newar, Head of Investor Relations, for closing remarks. Over to you, sir.

Anand Newar: Thank you, Yashashri. Thank you, everyone, for joining the call. Have a great weekend. Thank you.

Moderator: On behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2023

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3 May 2023

To
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BSE Code: 532977 To
Corporate Listing Department
National Stock Exchange of India
Ltd.
Exchange Plaza, 5th Floor
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Bandra (East), Mumbai 400 051
NSE Code: BAJAJ-AUTO

Subject: Transcript of Conference Call held in respect of the Company 's 04-FY23 results

Dear Sirs/Madam,
Please find enclosed the transcripts of the conference call held on 25 April 2023 in respect of the Company 's Q4-FY23 results.

The transcript will also be hosted on the Company's website at
[https://www.bajajauto .com/investors/financial-and-operational -performance](https://www.bajajauto.com/investors/financial-and-operational-performance)
Kindly take this on record.

Thanking you,
Yours faithfully,
For Bajaj Auto Limited
Dr. J Sridhar
Company Secretary

Encl: as above
Registered Office Akurdi Pune 411035 India CIN L65993PN200 7PLC130076
Page 1 of 18

"Bajaj Auto Limited
Q4 & FY 2023 Results Conference Call"
April 25, 2023

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Page 2 of 18

Bajaj Auto Limited
April 25, 2023

Moderator: Ladies and gentlemen, good evening and welcome to Q4 and FY 2023 Results Conference Call

of Bajaj Auto Limited. My name is Faizan, and I will be your coordinator. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head Investor Relations from Bajaj Auto Limited. Thank you and over to you, sir.

Anand Newar: Thanks, Faizan. Good evening, everyone, and thank you for joining us for the call today. Our Board meeting continued slightly longer than what we had intended and hence there was a short delay. But without wasting any time, let me welcome you all for the Bajaj Auto's Q4 and FY'23 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director, and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with our opening remarks from Rakesh on our business and operational performance for the quarter and then Dinesh will take you through our financial highlights. We will then open the forum for the Q&A. Over to you, sir.

Rakesh Sharma: Thank you, Anand. Good evening, ladies, and gentlemen, and welcome to the call. We truly appreciate you are taking the time to be with us. Before we dive into the quarterly performance, I know you have just received the press releases, but let me emphasize the highlight for the year, FY'23. It was a record year in our company's history as we set new milestones for all key parameters, revenue, spares revenues, EBITDA, and PAT. And the fact that these results were delivered against the backdrop of supply chain challenges to begin with, a lot of you will recall, we had a terrible Q1 because of chip shortages and being over-dependent on vendors. And then, of course, a sharp decline in exports due to major shifts in the currency markets. So, against this backdrop, the record-breaking performance is very satisfying for us. It once again underlines the resilience and robustness of the company's operations as well as the well-balanced architecture of the product market construct.

The quarterly performance was similar. We have delivered a good set of financial outcomes with revenues growing by 12%, led by solid performance from the domestic business, both 2-wheelers and 3-wheelers, growing and improving both mix and pricing. Operational profits or EBITDA increased even faster, up 26% year on year, delivering an EBITDA margin of 19.3%, again demonstrating solid operational performance despite the drop in exports volumes. Of course, Dinesh will add more color once he covers the financial performance in detail.

Now let me address the different business units, export business units. As anticipated, the business environment remained challenging through the quarter, and volumes were down sequentially by 20% compared to the previous quarter, which is Q3, largely because business came to a near standstill in Nigeria on account of elections-related unrest as well as demonetization. This impact really was severe in February. We have, of course, then zeroized our exports there to minimize exposure to stocks. However, retails have bounced back post-elections and the repealing of local currency curbs.

Page 3 of 18

Bajaj Auto Limited
April 25, 2023

The April month too, we are seeing a gentle but positive upward trend compared to March. So, February was a disaster, March was a return to the lower normal, and April is appearing better than March. Other markets, in summary, apart from Nigeria, demonstrated slightly better retails in Q4 compared to Q3. So, this does

indicate a bottoming out of the sharp fall in retail demand

which had commenced in Q1 of this year. The consumer seems to have started to accept the higher prices as the new normal, and our exports have trailed retails over the last 15 months, indicating a fair bit of downsizing of channel stock.

Now, as retail trends improve, we will need to rebuild stocks. Having said that, there is a second issue which hits exports, as you know, and that was the availability of US dollars for trading. Central banks in most countries continue to take a cautious view, and for exports to fully resume besides demand moving up, this knot of the US dollar being more easily available needs to unravel, and it is difficult to predict when precisely this will occur. Though we are hoping that by the time we enter Q2, some relief may be expected, barring any black swan events.

Our approach to managing the exports business in these turbulent times has been to stay the course, because we have seen in the past the pendulum keeps swinging, and to stay the course without compromising on the fundamentals. Therefore, market share remained protected across almost all key countries. Channel stocks were rapidly minimized to control exposure of our distribution partners and not let them be financially weakened. We did not attempt to mitigate the devaluation in the local markets by price reductions. Instead, we have passed on cost increases and maintained EBITDA standards.

We continue to refresh our portfolio. LatAm countries received the new pulsers, in fact, they have received them extremely well. The Pulsar N250 and N160 are both promising to race to the top spot in their respective classes across the large markets of LatAm. New products in the boxer range are also on their way as we speak of Africa and should set better performance standards and allow us higher shares in weaker segments.

The Dominar brand has had an outstanding start in Brazil and already demand is outstripping supply, resulting in a 90-day waiting list. As we resolve the supply chain issues, the distribution footprint is being steadily expanded with top-class sales and service showrooms. So therefore, it would not be an overstatement to say that we are poised for a surge as soon as the currency becomes available and trading conditions improve.

Domestic motorcycles, the good news is that after several quarters, the domestic motorcycle industry is finally showing some true growth in the last two quarters. What I mean by true growth is that when you sanitize growth for the base effect etcetera. Retail sales have been good and VAHAN registrations for the industry have grown by 16% in FY'23 over FY'20, largely powered by Q1 but that was the base effect and in the last two quarters. However, the 100cc segment is only marginally positive and almost entirely this growth has been driven by the 125cc plus segment.

The 100 cc and below and the 125cc and above now each account for 50% of the motorcycle industry. We expect going forward an industry growth of 6% to 8% over the next few quarters

Page 4 of 18

Bajaj Auto Limited

April 25, 2023

and yet again we think most of it will be driven by the top half, which is the 125cc plus segment. This is particularly good news for us because over the last six months we have launched six new models taking our portfolio in this segment, in the 125cc plus segment, to 20 models compared to 15 of the next competitors and there are a few which are in the pipeline as well.

The customer has never enjoyed such a choice and I would like to single out the Pulsar N160 which has been recognized by the auto journalists as well as the outstanding new model. Then the latest and most recent upgrades of the Pulsar NS series which now come with an upside-down fork and a few other things have been received very well too, breathing new life into this premium range.

Consequently, our market share for Pulsar

in the 150cc to 250cc class is back to over 50%, which

if you recall had weakened in the period before FY'22. We will continue to introduce newer variants through the year in the Pulsar brand. In a few weeks we will commence our media campaign to rapidly build awareness of the new Pulsar range, promising a Pulsar for every type of Pulsar maniac. Our market share in the 125cc segment has improved and today 60% of our domestic motorcycle sales come from this segment. Just three years back it was only 50%. This positively impacts margins and ASPs as well as the competitive position because it strengthens quite significantly the flagship Pulsar brand.

We acknowledge that it is not easy to build share in the 100cc segment without severely compromising our profitability standards. Hence, we are attempting it based on meaningful fit for purpose differentiation. The Platina 110 ABS is an outcome of this approach. It was launched to significantly improve safety performance of the vehicle and is the first 110cc in the world to have an ABS braking system. This has been accompanied by a massive test ride campaign demonstrating the braking prowess to over 3 lakh users already. You may have also witnessed the Ruk-Ruk advertising campaign. It has not been in IPL so far but now you will start to see it on IPL next week onwards.

This has resulted in a steady buildup of volume. We will be persisting with this direction and will continue to chip away on the share in the 100cc class. With a vibrant Pulsar portfolio and an emerging differentiated Platina, domestic motorcycle business too appears well poised to harness the improving industry trends. The premium motorcycle business KTM achieved its highest ever sales and that too with higher displacement Dukes and Adventures.

There was a period when we sort of went through the 125cc and the 200cc but now the quality of the portfolio has moved to the 250s and the 390s in the Dukes and the Adventures and even the RCs. We believe a good share of this growth has been driven by the pro XP ride experiences being delivered by us on the track, on the trail and on the tarmac. We are launching Adventure X at an attractive price of INR2.8 lakh. I think the Adventure 390 is at something like INR3.4 lakh if I am not mistaken and hopefully this will give us inroads into the growing touring segment.

However, the big move in the higher displacement classic bike segment will be the jointly developed Triumph products. The new lineup will be launched globally in London on 27th June

Bajaj Auto Limited

April 25, 2023

by Triumph UK and retail sales will commence sometime thereafter. The Triumph and Bajaj partnership is a non-equity, strategic alliance to co-develop new products to be sold under the Triumph badge. The jointly developed products will be made in our brand-new facility at Chakan and sold all over the world. India and a very few select overseas markets will be managed by Bajaj Auto and most of the markets will be managed by Triumph directly.

In preparation of the existing Triumph network in India, outstanding dealerships have been integrated on 1st April with Bajaj Auto's operations. We are very excited and expectant about this opportunity. The models possess mouth-watering appeal and will surely delight a huge number of Triumph fans. We are setting up a new and exclusive network of stores in keeping with the existing Triumph global standards.

Domestic 3 Wheelers - it continues to deliver a strong and steady improvement quarter-on-quarter. This steady performance is reflected through a recovery to pre-COVID levels at 109% for Bajaj Auto versus 45% for the rest of the industry. Our leadership position in the category has strengthened even further with an all-time high market share of 78% in March. The continuous expansion of the CNG segment and solid support by Bajaj Auto Finance has driven both market

share and profitability.

On Chetak, I am delighted to announce substantial progress on several key initiatives signaling a change in the approach, scale and quality of the business going forward. The EV supply chain has been restructured and a number of development programs in collaboration with important vendors have made very good headway. This not only assures us the availability of more than 10,000 Chetaks going forward from June onwards, but it also lowers costs that will enable Chetak to be accessible to more customers.

The revision of pricing had an immediate and profound impact which may not be visible to you. While the retail jumped from 3,000 to about 5,500 levels, booking grew to almost 8,000 levels. We continue to build a smart and elegant exclusive sales and service network and we have accelerated this exercise on the back of this renewed interest. An upgrade is in the works and will be launched in the next couple of weeks. Right now, we are in about 85 towns and by the end of the first half we should be in 120 towns and 150 stores. This would cover 80% of the high-speed market in India.

Our electric three wheelers have completed their field testing and we are doing a limited launch of both the passenger and cargo versions by end of this month. We are waiting for FAME certification. Production has just commenced and as soon as we have the certificate, dispatches will begin. The dealerships are ready, and the manpower is trained. We believe that our product will provide a best-in-class experience and not disappoint the loyal customers of Bajaj RE who have waited a long time for our entry. This quarter also marked the commencement of supplies of Bajaj designed and manufactured products for Yulu, our strategic partner in the mobility as a service space. Three attractive products targeted at low speed, short distance, personal, commercial & delivery segments have been launched and stay tuned to hear more on our collaboration and product launches with them.

Bajaj Auto Limited

April 25, 2023

As we stand here at the start of FY'24, having achieved a record in FY'23 while successfully navigating a very tough year, we are optimistic about our delivery in FY'24. The motorcycle business has a strong, refreshed and performing portfolio in line with market trends. The Triumph brand is set to open an absolutely new segment. The 3-wheeler business is already at a commanding and strong position and driving the growth of the market.

Chetak's new pricing and upgrade set us firmly into the scale-up phase. The electric 3-wheeler, which is just about to be introduced, will also have the full runway of the year to scale up. If we see an early turnaround of the trading environment in exports, we are optimistic we will set another new record in FY'24.

With this, let me hand it over to Dinesh for his commentary.

Dinesh Thapar: Thank you, Rakesh. Good evening, everyone, and thank you for taking time again to join us for this call. You know, from what started out to be a constraining phase with very soft results in the first quarter of last year, about the same time that we were talking, to now finishing the year with a record performance across both revenue and profit, you will agree that we have come a long way. We have made very significant progress. We have taken very decisive actions to

deliver the resilience in our results that you would have seen earlier this evening. But before talking about the full year, a few comments on the fourth quarter. And as is typical, let me start by giving you a sense of the operating context that will set a frame of reference against which our financial results were delivered. It has been a quarter of continued challenge, but again, a story of two parts. On exports, as you just heard from Rakesh, the demand situation across key overseas markets was a bit rough. I would say progressively worsened, part

icularly

given the situation in Nigeria, and something that all of you would have already figured about from our monthly sales releases.

The decline was particularly accentuated by the recent elections and demonetization in Nigeria, but we would like to believe that we have now hit a bottom on that. Early days, but at least signals in March, we were quite encouraged. The retailers started to outstrip billing, and that is visible from the most recent numbers. But I have to say that singularly on the exports front, the one piece which constrains our business is the availability of foreign exchange. That is the biggest volatile and uncertain factor. And that is something which is hard to tell as to when that will change, but I think we are well positioned. As the situation unfolds, we remain steadfast in ensuring our competitiveness. Our market shares are holding steady. Pipeline inventory is comfortable for us to be able to build back as soon as the challenges on foreign exchange across those geographies end.

On the domestic front, there has been a steady improvement of demand across both 2-wheelers and 3-wheelers. Most specifically, our performance was buoyed by the strong performance of the Pulsar portfolio, as it has been for some time. Further scale-up in the volumes of the Platina 110 ABS that we launched in the last quarter, and of course the growing preference for the Bajaj 3-wheeler, which now has registered record high market shares.

Page 7 of 18

Bajaj Auto Limited

April 25, 2023

Once again, it has been domestic that has allowed our results to be resilient, and yet again, you would agree, it reflects a strong structural advantage that we now have in our operating model that enables us to deliver a solid financial performance despite the challenges on exports. And so therefore, when you look at it across two years, between FY'22 and FY'23, in FY'22, we had very buoyant exports that led the way. And in FY'23, it is the momentum of the domestic business that has helped salvage the drop that we had in our exports business. The growth in the domestic business was broad-based. We had pretty much all our businesses, whether it was 2-wheeler motorcycles or the top-end sports motorcycles, which is essentially the KTM franchise, and 3-wheelers, all registered double-digit growth yet again for multiple successive quarters now.

Let me turn to commodities, and commodities really this quarter have been a mixed bag. I may have mentioned in my last call, we did observe a hardening of commodities on a few fronts. So aluminum was up, copper was up, nickel was up, and a few noble metals inflated in the course of this quarter. But this was offset by a softening of, let's say, electrical, rubber, polypropylene, and foam, and really parts of what I would call the energy complex, or really the petroleum-linked products. And therefore, the balance between inflation on some of the metals was offset by this part of the portfolio, and that essentially led to the quarter being a flattish quarter relative to the previous quarter in terms of overall material costs.

The currency situation in terms of the INR has been relatively stable, more or less flattish for us. Our realizations were at 81.5 compared to 81.7 for the previous quarter. Supply situation, which was a large part of the commentary and conversation in the early part of this financial year, now for a couple of quarters has no longer been a factor. It remains relatively stable, although slightly tight, and it's been less of a conversation, but that's the most heartening piece. And you will recall that same time last year when we were speaking, it was a top-of-mind subject. Again, a reflection of the many actions taken by the team to build supply security on the single-source components. The tightness on the EV supply chain is being managed through interventions, which continue to be underway, and is positive

ioning us well for a scale-up on our

EV business to the 10,000 units milestone that Rakesh just spoke about.

Talking about our numbers, we reported revenue from operations of about INR8,900 crores.

That was up 12% on the back of significant volume-led revenue growth of greater than 50%.

You would have noted from our monthly submissions that volumes on the domestic business grew upwards of 30%, but revenue came in upwards of 50%. And so therefore, when you look at it from a year-on-year basis, judicious pricing, better foreign exchange realization, and a richer product mix, all three levers have contributed to this revenue growth, and more than offset the

decline that we've seen in overall volume that was aggravated by slowing exports.

On spares, we continue to do well and continue to register new highs. EBITDA has maintained its momentum, growing at a strong 26% year-on-year in this quarter to INR1,718 crores, with margin expansion of 220 basis points to 19.3% compared to the same time last year. Now, when I talk about sequentially, last quarter we were at 19.1%, this quarter we moved to 19.3%, and this essentially, this improvement in margin, has essentially come from a richer product mix of

Page 8 of 18

Bajaj Auto Limited

April 25, 2023

higher C V and higher sports motorcycle sales, which has offset the operating leverage impact, the negative operating leverage impact of a smaller revenue quarter this time compared to the previous one.

But in overall terms, price realization and material cost has held flattish in this quarter relative to the previous one. So essentially, margin improvement that you're seeing sequentially has come in from mix, while material cost and price have held flattish. Our reported profit after tax came in at INR1,433 crores versus INR1,469 crores in Q4 FY'22.

But I want to spend a minute here to remind ourselves as to why 26% growth in EBITDA essentially translates to this near-flattish growth in PAT. Many of you might recall that in Q4 of last year when we had reported our results, we had flagged off an exceptional income of INR315 crores that we had reported as exceptional items. This was essentially towards the package scheme of incentives, approvals that we had received. We have received sanctions for the package scheme of incentives for our Waluj plant. This is a 2007 scheme and pertains to volumes generated from Waluj between 2015 and 2021. And because it pertained to prior years and we had received the sanction letter in March last year, we reported the prior period item as an exceptional item. So that was INR315 crores of exceptional income that we had booked into the quarter four results of last year that you will see on the exceptional line. And so therefore, if you had to isolate the impact of the exceptional items from the base, our profit after tax would have grown at a very healthy 16% year-on-year as opposed to what you might be seeing as near-flattish or a minus 2 on the headline numbers. So that's the one piece I'd like you to register because it was a significant exceptional item in the base quarter.

On balance sheets, it remains very strong, very healthy. The surface cash is at INR17,500 crores nearly at the end of March. And this, you will be aware, has come on the back of last year's dividend payout of about INR4,000 crores and a share buyback of about INR3,100 crores, which is including the buyback tax that we expended and concluded in October last year. And capex, of about INR1,000 crores that we spent across our two entities of Bajaj Auto and Chetak Technology, which is a fairly substantial investment that has largely gone behind setting up new capacity in a new plant, which is essentially Chakan 2 in Pune that we've set up for the impending rollout of Triumph, and investments made behind the EV business. This is the EV 2-wheeler business.

Looking ahead, I think there are many moving parts. On

exports, while we are unable to really

pin down as to when the dollars are going to come in, that's fundamentally the biggest factor as to when dollar availability will improve across geographies, we'd like to believe that we are well-prepared. Our pipeline will allow us for a flush of billing to happen as soon as these constraints start to ease out. Domestic motorcycles, we'd like to see continued momentum, especially with the large marriage markets coming through in this quarter. On commercial vehicles, the sales momentum should remain active. The business is doing well in good stead. And this will be aided by the much-anticipated launch of the electric 3-wheelers. Anytime now you've heard Rakesh talk about this at length.

Page 9 of 18

Bajaj Auto Limited

April 25, 2023

On electric vehicles, FY'23 was really about putting the enablers in place for the scale-up of Chetak, and FY'24 really is the scale-up of Chetak. And that's something to watch for. We're currently in many more cities, many more dealerships, with many more experienced centers, more than we've had in the past, and clearly poised for further expansion in the days ahead. On the outlook for commodities, you know, the cycle seems to be turning. I had hinted last time around when I'd spoken that we're starting to see traces of inflation come through on commodities, and I'd like to just reinforce that. We think that the cycle is turning, particularly on steel. Who knows how it will go through the rest of the quarter, but if any indications are to

be gone by, we think we could be looking at some inflation in material costs, which is largely steel led in the course of the current quarter.

Having said this, we've taken a round of pricing at the beginning of this quarter, given this inflation context, to cover costs, and to essentially cover costs for the OBD -IIA compliance, you know, that kicked in from the 1st of April.

Now, since this is also a year -end, let me spend a couple of minutes on just the comments for the year -end. So, a quick snapshot of our annual performance. You just heard Rakesh speak about it. We put it out in the press release. We've got a record high now on revenues and on profits – so across the breadth of our financial statements.

We closed the year with more than INR36,000 crores of revenue, up 10% year -on-year, notwithstanding sluggish volumes arising out of macroeconomic challenges on export markets, and EBITDA of over INR6,500 crores, up 25% year -on-year, on the back of very solid margin expansion of about 210 basis points. Now getting to about 18% for the full year, with exit margins at nearly 19.3%, as I just called out. And finally, we closed the year with profit after tax at a new high of INR5,628 crores.

I'd like to just reinforce that this result was delivered against the backdrop of an extremely challenging operating context. And if you recall our discussion months ago, you would appreciate that our business performance and conversations were largely colored with supply constraints and challenging macros across export markets, led by a host of factors, whether it was currency availability, political uncertainty, currency depreciation, high and raging inflation. But now we're here and we announce our best ever year on both top line and bottom line, despite those challenges. Let me also reemphasize the strength of our brands that you would have picked up from our press release, and it is very notable to point it out. And thanks to some decisive actions that we've taken, both on innovation and execution. Our iconic motorcycle brands, Pulsar, Dominar and KTM, have now registered in this year their lifetime high revenues. And on 3 -wheelers, we clearly have registered a record high on our market shares as well. Also, I think as you reflect back on these quarters, we've taken a range of very decisive interventions across portfolio, on network, and in

terms of just the capabilities within the business. The upgrade of the Pulsar portfolio, the redesign, the re-engineer for superior performance, the launch of the Platinum 110 ABS first -in-segment feature that provides better stability and control, entry into one of the largest, and most attractive 2 -wheeler markets in the world, which

Page 10 of 18

Bajaj Auto Limited

April 25, 2023

is in Brazil, with the well -recognized and iconic Dominar brand, and we are very encouraged by the early response. Really driving supply security, which was a foremost priority for us at the start of the year, as we've onboarded multiple supply chain partners to really reduce single -source dependency. And thankfully, that's now a thing which is behind us. And we've made very substantial investments behind the EV business in product development and really in manufacturing and in expanding the go -to-market network.

Finally, let me conclude by announcing that the Board this evening recommended a final dividend of INR140 per share. This would essentially translate to about INR4,000 crores of a dividend payout. And then this, along with the share buyback and corresponding tax that we concluded early in the year, will add up to almost INR7,000 crores of cash that we are paying out to shareholders relating to FY'23 in itself.

With this, let me hand the session back to Anand, and I'll open it up for Q&A. Thank you.

Anand Newar: Thank you. We can open it for Q&A, Faizan.

Moderator: Thank you very much. We will now begin the question and answers session. The first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi. Good evening, and thanks for taking my questions. My first question is on the profitability per unit that Bajaj sold this quarter. It seems to be at a record high despite the 13% lower volumes quarter -on-quarter. I think you called out mix, better 3 -wheeler mix, better premium motorcycle mix as being the primary visible driver here. So just trying to understand going forward, I think we've had almost a 25% Y -o-Y improvement in ASP profile for the company versus 4Q of last year. So, do we expect further improvement on the margin profile and on the EBIT per unit from mix in the quarters ahead as well?

Dinesh Thapar: Yes, and thanks for your question. So, you're absolutely right in the end to call out that the sequential margin improvement from 19.1 to 19.3 was driven by a richer product mix that was partly offset by the operating leverage impact of a lower revenue quarter compared to the previous year. Looking ahead, I wanted to call out saying that look, there is inflation on the horizon. Whether it plays out to its fullest, time will tell. But early indications are that the cycle is turning. Our attempt will always be like any well -run company to try and look to hold

profitability to drive modest improvement in operating margin. There are multiple moving parts to the function of where you see the currency, what happens to inflation.

We've taken pricing earlier this quarter to cover both inflationary costs as well as the OBD-IIA impact for compliance. As exports market comes back and large markets like Nigeria and Africa come back, there could be an element of mix that might start to hurt. But I suspect that with the overall pie growing, there could be operating leverage that comes in as well. So many moving parts and therefore the attempt will be to try and sustain margin while competitively investing behind the business. But recognize that I think on commodities, we'll have to wait and see how it eventually plays out and whether the cycle will last out or if it's just a short-term move.

Page 11 of 18

Bajaj Auto Limited

April 25, 2023

Chandramouli Muthiah: Got it. That's helpful. My second question is on the export markets. I think when I do sort of rough back of the envelop

e math on your export currencies, some of the larger markets, Nigeria, Egypt, Bangladesh, Y-o-Y, there seems to be not a 10% depreciation in these currencies, which I think you've also been alluding to. I think our company sort of sells in US dollar terms.

So over time, where do you think sort of affordability is in these markets for maybe some of the box-arranged products? Is this something that you think might take slightly longer to recover? I think earlier we were talking about a May-June kind of recovery for export markets. So just your sort of updated thoughts on when the export market might turn in this backdrop.

Rakesh Sharma: Yes. So that is something which we constantly watch. And no doubt, you know, there has been general inflation, a little bit of erosion of purchasing power. But in the entire Africa and parts of South Asia, we find counterintuitively that when the economy struggles, the sales of these ranges actually improve because they profit from this whole surge of self-employment. And this is a very important avenue for employment. So, there is a shock when the prices go up. But over a period of time, you get adjusted. These are commercial vehicles. You get adjusted. And they're passed on as high-ticket prices to the commuters.

Africa is almost 95% taxi purpose, right, or maybe 99%. Therefore, that part sort of resolves itself over a period of time. We have seen it in the past. In fact, some of the best months in Nigeria have been when, you know, we've been hit with price increases. The issue is really the availability of the currency for trading because the banks are taking a cautious stand, getting to open LCs and all this stuff. And that is what we are referring to when we are saying that hopefully another three months, some kind of equilibrium to set in. But we don't have a real basis for saying that.

From a demand point of view, we can see some green shoots, but from a dollar availability point of view, we just have to wait and watch. And we are more worried about the latter, which is the dollar availability, than the demand, frankly speaking.

Moderator: Thank you. Mr. Muthiah, may we request that you return to the question queue for follow-up questions? We'll take the next question from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: Hi, sir. A couple of questions from my side. One is you alluded to the fact that export pipeline, inventory pipeline in exports is quite low and there is scope to normalize it as demand recovers. So, can you talk about where we are today in terms of our pipe line inventory in exports versus the normal level?

Rakesh Sharma: See, it's difficult to give you numbers because we are talking of 96 countries, out of which at least 40 are very meaningful and we monitor these. And you know, there are some countries let's say, like Bolivia, Ecuador, etcetera, where a four to five-month inventory is required. And there are some like Bangladesh where you can do with a four-week inventory. So, it's very difficult to reduce this to a certain number and give it to you because the rates keep changing.

Page 12 of 18

Bajaj Auto Limited

April 25, 2023

My comment is based on our individual bottom-up understanding. Today we've normalized for 15 months now, largely exports have been trailing retails. So, we have systematically downsized the stock. And the covers are low. The moment trading conditions improve, we will need to build the stock. And this is making the assumption that demand will continue to improve, though gently, but it will continue to improve.

So, I would say we don't have a channel stock problem anywhere in the world. I mean, we have some small countries here and there. But I would say generally there would be an appetite for

building stock almost in all countries once the gate of the US dollar availability, opens up.

Jinesh Gandhi: Sure. And

can you update on the 3-Wheeler ban in Egypt? Where are we in terms of our working with the government to work on that? And secondly, if you can share revenues for spares and exports? Thanks.

Rakesh Sharma: Yes, the 3 -wheeler continues to be banned. We have had a good exchange of visits to formulate the replacement of the 3 -wheelers going ahead, which takes into account the concerns of the Egyptian government with reference to having a better solution if they want for places like the new Cairo. We are fully aligned with them. We have worked with different ministries.

And hopefully we will start to action this in the next two, three months by new shipments. I would not like to go beyond this because this is still a matter being discussed between the government of Egypt, our partners over there and us. But it is looking positive.

Moderator: Thank you. Mr. Gandhi, may we request that you return to the question queue for follow-up questions?

Dinesh Thapar: I think, let me just complete, I think, Jinesh had two questions on spares. Jinesh, their revenue was in the whereabouts of about INR1150 crores for the quarter. Your second question I thought you asked was what was the export revenues? And for the current quarter, the export revenues are about 370 million.

Moderator: Thank you. We will take the next question from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Yes, thanks a lot for the opportunity. Rakesh, sorry, I'm just getting back to the export market again, because we did on the earlier call, last quarter call, we did talk about some expecting reasonable recovery in exports from June. Now, given what you're telling us about the macro, looks like the recovery is going to be probably more prolonged. So, in that context, how should one look at FY'24 as a year or as far as you have visibility, like even if it's like six months, like how you guided on CNBC recently on domestic market for six months?

Is there anything that you can help us in terms of what could be the kind of numbers you're looking at for the next six months? Because demand has clearly bottomed out, but currency is still a problem. Inventory is actually lower than where you would like to be. So, given all that, should we expect that the absolute trend in sequential terms may not see any big change in the foreseeable future? Or am I being too pessimistic?

Page 13 of 18

Bajaj Auto Limited

April 25, 2023

Rakesh Sharma: Frankly, Pramod your guess is as good as mine, because I really don't have a line into the Fed's office or anywhere. I really can't say. We can just sense from the degree of difficulty which our partners have in establishing LC, we can make some sense, a feel, based on how easily the banks are adding confirmations and stuff like that. So, the call-out was based on that. We feel that there are only marginal improvements. So, it will take some time.

Now, it could be two months, it could be three or four months, but hopefully that is the time frame we are talking about. But again, the caveat is that I don't have a logical basis for my answer.

Pramod Kumar: Fair enough, Rakesh. I think in times like this, being hopeful is actually what helps the best, to be honest. So, I kind of totally empathize with you. And the second question is on the electric 3 -wheeler business. I think it's great to hear that you're gunning for Chetak at 10,000 -mark by June, which is good.

Now, in that context, how would you see the 3 -wheeler electric business, say, by the end of FY'24, what kind of run rate would you like to be at? Because you are the market leader, you are the kind of synonym for 3 -wheelers in India. So, your actions on electrification have a much larger impact than the company itself. So how would you look at your aspirations for electric 3-wheeler business?

And before I hand over the floor to you, just one clarification on the financing bus

iness. This is

for Dinesh. Any progress on the financing subsidiary? Yes, those are my questions. Thank you.

Rakesh Sharma: Sure, Pramod, we are very excited about the electric 3 -wheeler. You know, when we did our sort of field testing, etcetera, and tried to understand why competition has enjoyed very limited success. If you see, today the electric 3 -wheeler gives a very good operating cost advantage over diesel, particularly. And when we said, why have they enjoyed less success, we sort of thought there were a few things which we needed to improve in our 3 -wheelers. And we've gone and done that, and we have retested it.

Dispatches are imminent, they're under production. As soon as we get the FAME certification, the dispatches will be through. But in the first three, four months, we want to play it very cool,

Pramod, because this is a commercial usage . We have 78% market share . When I go out , I meet a lot of 3 -wheeler drivers. I met the union in, for example, Delhi. Why does Delhi release 4,400 permits and only 300 or odd people buy the 3 -wheeler from competing brands over a period of two years?

I wanted to understand what the hell is happening. Why is not everyone rushing it? And part of the explanation is that they're waiting for Bajaj, and it sort of put s a big responsibility on us. So therefore, what we want to do is in the first phase, which hopefully will be, let's say, three to four months or s o, just do a limited launch, let it roll. We will observe it closely. We will see if there are any niggling issues to resolve for, and then we will start to scale it up city by city.

Our attack is going to be in markets where there are no permits for I CE 3-wheelers, largely in the north and east. We've got a list of towns which we want to invade with the electric 3 -wheeler,

Page 14 of 18

Bajaj Auto Limited

April 25, 2023

but the invasion will commence after, you know, we are fully satisfied that our customer is happy. You know, it's not about going there and just putting some products . I'm sure we will be able to sell, but we want to make sure that there are no gremlins in the machine and, you know, we are giving a largely satisfactory experience.

So, I will keep it cool for three to four months. Maybe th e next call after the next quarter or the next to that, I would be able to give you a number, seeing that this is the number which we are hoping for. But at this stage, it is premature.

Dinesh Thapar: Very quickly on your question on the financing sum, the application is with the RBI. There is an engagement process that is currently underway. There was a call for information that came to us a couple of days back for which we've made a submission, which would suggest that our application is under processing and probably going through a process of diligence. But that's where it currently stands.

Moderator: Thank you. We'll take the next question from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Hi, good evening, sir. Congratulations. You' ve done a very good performance for the quarter.

My first question is on the industry mix evolution that you think will happen because we've seen a sharp drop in 100cc segments in the last few years. So , do you think as the market makes recovery, this 100c c segment could make a comeback or do you think otherwise?

Rakesh Sharma: Well, Kapil, you know, the sub -100cc customer has recovered to some extent in the sense that they're not in the negative zone. They're in the positive zone, but just only so, very m arginally.

It's actually a question for the economists to answer because mostly people have been talking about GDP growth, 6%, 7%, 5.5%. But I think that is very misleading because the real answer for at least a company like ours, 70% of whose customers ea rn less than INR50,000 per month, it's about the equality of the distribution of that 6%.

And this was severely lopsided whe

n the recovery began in the beginning of the year. But now

we are seeing it percolate to the bottom of the pyramid and we are seeing some optimism about continuity of service, about continuity of their incomes, which is resulting in better retail financing penetration. We are seeing all these things. And this is also sparking an interest in up - trading. I think people are, as soon as th ey see the certainty, they start to say that, okay, I am going to buy one bike. Let me just buy a better value bike. And that is one of the reasons that the 125cc level, we are seeing a greater trend.

So, I feel that in the next at least one year or so, we will continue to see this lopsided distribution of the economic recovery or economic progress in favor of slightly higher salaried and those types of consuming classes, which generally prefer the 125 per segment. And I see a recovery, but much, much lower for the sub -100cc consumers.

Kapil Singh: Okay. Thanks. Because, you know, that will have implications for how we think about the CT brand where numbers have sort of come off, which is not a bad outcome if you see the results.

But it could have market sha re implications. So , the question will be on that?

Page 15 of 18

Bajaj Auto Limited

April 25, 2023

Rakesh Sharma: You're very right. It is very consciously done because as we've understood, you see, to some extent, that area is quite a red ocean. You've got to bleed if you just want to enjoy the vanity of a number and market share, you know. And we have said that the only way we can attack this market is through, like I said, some meaningful differentiation and not through really price. You

can't discount your way on a sustainable basis and enjoy that market, and we could not sort of work on the differentiation strategy till the time this whole segment was reeling under the economic impact of COVID.

Now that it is emerging, it is good news for us because when it is emerging, then people will say, okay, I'll spend a few thousand rupees more and get the ABS bike. That kind of sentiment starts to come. So that is why we are hopeful. But very consciously, most of our innovation is targeted at the top half of the demand pyramid. 80% of it is the top half.

Kapil Singh: Yes. So, I can just, on the price increase, if you could give us some color, how much price increase we have taken in domestic 2-wheelers, 3-wheelers and export markets, and whether there was higher cost incidence in case of e-cars than fuel injection or similar kind of cost and price increase?

Dinesh Thapar : Yes. So, you know, when you look at the impacts, like I mentioned for the current quarter, from a cost standpoint, two parts of it. One is inflation. The other is the OBD-IIA compliance impact. Both put together, I would say given current outlook, should be in the ballpark of anywhere between, let's say closer to about 1.5%. Yes. Our pricing, as we started the quarter, covers about two-thirds of that cost.

Let's see how commodities move. I think the OBD-IIA impact is a crystallized impact because we have committed to it to be compliant. But let's see how inflation on commodities moves, specifically the metals complex, and then we'll decide. But at the moment, that's how it's looking, 1.5% material inflation and pricing looking to be covering two-thirds of that.

Moderator: Thank you, Mr. Singh. May we request that you return to the question queue for follow-up questions? We'll take the next question from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi, team. Thanks for the opportunity. Congratulations for good earnings in a very challenging quarter. My first question is on the FAME subsidy. How do you feel life post FAME? We do understand you will get some PLI incentives. If you could quantify some of these as to how do you see life in the electric 2-wheeler space post FAME? The second question, which is a

iso

relating electric only, is on the 3-wheeler side. How do you manage the cannibalization risk? How do you ensure that as you ramp up on the electric 3-wheeler side, it sort of has minimal cannibalization risk on your very profitable gasoline and CNG 3-wheeler portfolio? So, these two questions. Thanks.

Rakesh Sharma: So, the first question was around FAME. And, you know, it's very difficult at this point in time. The jury is out whether FAME will be made zero, whether it will be continued or whether there will be a mid-part. Now we have obviously been sensitive to this. And that is the reason why we

Page 16 of 18

Bajaj Auto Limited
April 25, 2023

have been at every point of time whenever we have made back-end investments along with our vendors or front-end investments, we have constantly kept this at the back of our mind that what will happen if FAME goes away? Will we be able to still continue?

And it is with that approach that we have expanded our front-end franchise and the back end. The thing is that a couple of things will happen even if let's say we assume the first worst-case scenario of FAME going away. One is certainly that the industry will consolidate in favor of the stronger players. And of course, Bajaj Auto can be counted as a strong player. And therefore, we'll have a larger share, though of a smaller industry.

Secondly, of course, the industry will get a shock and it will shrink. The market will shrink a little bit. Here I would like to point out that from an operating cost point of view, even without the subsidy, if I factor in the full capital cost, I am not factoring in 28% GST. I am just taking the FAME subsidy. So, I am taking the rest of the stuff, road tax here, there, 5% GST, that will continue. So, if I factor in the prices without any FAME, even after factoring those in, the operating costs compare very favorably with ICE Scooter.

But of course, the consumer will have to deal with the initial shock of a high upfront payment. And that will scare some of the customers and they'll go away. But over a period of time, people recognize the value of it, and they start to return. But really, the backdrop of economy and all is okay. So, after the initial shock, the market should start to return, and the market will return in favor of the stronger players.

So, I would say that if the FAME goes away, which is INR45,000 for a 2-wheeler, there will be an eclipse of the 2-wheeler industry. It will be smaller in favor of the bigger players, and we'll all have to calibrate ourselves. And this is the reason why we are not rushed in with higher volumes. So that was the first part.

The second thing I think you asked was about cannibalization. So, you see, if you take 3-wheeled mobility, we have 78% share of the auto-rickshaw market. But if we take 3-wheeled mobility,

3-wheeled mobility meaning including e-ricks and this, that and the other, then these fellows are almost 45%, 50% of the market today. Just four years back, they were 5%. Today they're 50%. And they have mushroomed because the need for mobility is very high, public transport is poor and the governments, for whatever reason, state governments, RTOs have banned their auto. So how do the person and how do the lady with children, schools and all that get around? That's how the solution of e-ricks and all suboptimal vehicles has mushroomed. Now with the e-auto or electric version, our hands are not tied behind our backs. We are unclashed and we can go and attack this 50% of the market without any fear of any cannibalization, etcetera, and be a new market with a very good solution, you know, which is time-tested, at least on the vehicle side, time-tested over the years.

So actually, this is, at least for some period of time, it will be adding new segments. As those mature and our presence over there matures, then we will see how to deal with it in the next phase.

se. But in the first phase, I would say half of the market, and most of it is in the northern and

Page 17 of 18

Bajaj Auto Limited

April 25, 2023

eastern towns, you know, the Saharanpur, and the Azamgarh, Jaunpur, Behrampur, these kinds of areas. We will roll in with our e-auto.

Moderator: Thank you. Ladies and gentlemen, we'll take the last question from the line of Ayn Pirani from JP Morgan. Please go ahead.

Ayn Pirani: Yes. Hi. Thanks for the opportunity. And I have to say it's heartening to hear you in such high spirits after a long, long time. My question was actually, again, on the EV side and on FAME, you know, because most of the questions have been answered. The current issue which is going on with the government with regards to the release of the money and the fact that they are trying to figure out whether the norms have been met, where do you think we are right now as an industry?

And even though FAME continues till March 2024, for now, do you think there is a stalemate, and the government may not release the money in a hurry? And are they asking for more things from you and from the industry in general?

Rakesh Sharma: No, I don't think it is in a stalemate. In fact, I must say that there is a nice level of dialogue which is happening. See, from the government's point of view, and we have interacted obviously with a lot of people in the ministry, they definitely see two kinds of players. There are certain kinds of players who have used up the system, who have leveraged the system, and there is another set of players who have gone by the rule book.

So, those are facing issues. I must clarify that we do not have any show cause or any obstruction from the government. Besides just the procedural, it just takes time to recover the money. These set of conditions and rules were designed at a point of time when there was a lot of unknown and it was not clear as to how all this will move, what are the things. So, I think at some point in the government, and there are different parts of the government, there is a parliamentary standing committee, there is a ministry task force, there are the outside agencies who are attempting to simplify the process and that is very important.

So, there are certain aspects of FAME where for genuine reasons we cannot meet the kind of process or the kind of demands which the government had laid down in a period when this was not understood. This is recognized by the government, and it has been solved for. But these things sort of take time because they have to account for both types of players and that is where we are.

So, I would not say it is a stalemate. I do not think that the government is using some backdoor means to thwart FAME claims. We have not at all picked that up. We have seen that there is a certain step-by-step process through which to ensure these reforms, and that is the period we are in actually.

Ayn Pirani: So just to clarify, so credible players like you, the money getting released is just a matter of time and procedure, whereas for some other players there could be a bigger issue. Is that a fair way to think about it?

Page 18 of 18

Bajaj Auto Limited

April 25, 2023

Rakesh Sharma: Absolutely right. We feel in our case it is just a process and we have in different forum as part of an association and as individually given our contribution as to how we can simplify the process and we have, which will help all the responsible companies. But we are all aware that

there are a few people who have either through ignorance, neglect or willful action gone far with the system and they will face the consequences.

Amyr Pirani: Great. Thanks a lot, and all the best, sir.

Rakesh Sharma: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Anand Newar, Head Investor Relations for closing comments.

nts.

Anand Newar: Thank you, Faizan. Thank you everyone for joining us for the call. I know this is quite late, but those who have some additional questions to ask, I am happy to answer this after half an hour from now. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2023

Page 1 of 16

"Bajaj Auto Limited
Q1 FY '24 Results Conference Call"
July 25, 2023

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Bajaj Auto Limited
July 25, 2023

Page 2 of 16

Moderator: Ladies and gentlemen, good evening, and welcome to the Q1 FY 2024 Results Conference Call of Bajaj Auto Limited. My name is Liz Ann, and I will be your coordinator. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head Investor Relations from Bajaj Auto Limited. Thank you, and over to you, sir.

Anand Newar: Thanks, Liz Ann. Good evening, everyone, and welcome to Bajaj Auto's Q1 FY '24 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with opening remarks from Rakesh for the business and operational performance for the quarter, and Dinesh will take you through the financial highlights. We will then open the forum for the Q&A. Over to you, sir.

Rakesh Sharma: Thank you, Anand. Good evening, ladies, and gentlemen, and welcome to the discussion of the Q1 FY '24 results. We deeply appreciate your presence here this evening. Let's begin with an overview of our performance in Q1. We are very pleased to report a strong start to the fiscal year with new benchmarks on both financial outcomes and business operations. We have achieved an all-time high in revenue, domestic revenue, overall EBITDA, and PAT. This comes on the back of a record FY '23, which once again reflects the resilience and vitality of our business model and the portfolio.

Dinesh will take you through the details of the financial performance. So let me focus on the business unit performance. Let's start with the exports business unit. The downward trend in volumes that began in Q1 of the previous year appears to have come to a halt. We estimate that industry retails at the global level for our footprint for motorcycles in Q1 are about 2% over Q4, while our retail are 5% up over Q4. In our top 15 markets, accounting for almost 80% of our sales, Motorcycle industry retails grew by 4% compared to Q4, while our retail grew by 7%. Here, I must point out that exports of the premium brands, Pulsar and Dominar grew by over 40% sequentially. In CV too, the market has almost bottomed out, though Q1 retails still remain marginally lower than Q4 retails.

Similarly, the story on the forex availability is also improving, albeit gradually as the central banks have started making a slow shift from the extremely cautious stand, they had taken for almost 4 quarters now. The recovery over Q4 has been driven by Africa, whereas LATAM has held steady. South Asia and Middle East are improving, but mainly due to Bangladesh, they are still lower than Q4 in Q1. And ASEAN was considerably lower in Q1 compared to Q4 due to a temporary dislocation in the market. Hence, underlying recovery is still a mixed bag. In Nigeria, the industry performance in Q1 was 34% better than Q4 and we were 41% better in terms of retail. However, the situation in Nigeria is still not fully settled as a slew of reforms in forex, removal of fuel subsidy et cetera, has not allowed the market to reach equilibrium. Inflation of 25% and fuel prices increases continue to exert pressure on local pricing and rider

incomes. However, all the reforms are very good for longer-term stability and transparency, which will hopefully ensure an even stronger and sustainable revival in due course. Prefaced shortfalls in Philippines as the government has implemented new registration norms and processes which has impacted demand. This has been going on for the last 3, 4

months, but

now adoption of the new process is in its last stages, which will hopefully allow retails to return to normalcy in a month or two.

Apart from these, we are also watching out for the impact of inflation on demand in Kenya, Colombia, and Argentina, where the retails have been sluggish. While there are definitive improvements on both the forex side and the demand side, a few key markets are still not settled, as I mentioned. Hence, our outlook for Q2 remains cautiously optimistic. We believe we will see improvements in Q2 over Q1, but these will be incremental and not quantum shift yet.

A quick word on Brazil. As you know, we have incorporated Bajaj Brazil and commenced retails of three models under the Dominar banner in January this year. We started with building a top-class retail network in São Paulo City. And over there, Dominar 400 has got an outstanding reception capturing 15% share of retail in its class in São Paulo City, with a healthy order book of 2 months of retail.

Our expansion in retail have been constrained by supply for which we depend on contract manufacturing, a model adopted by most new entrants. We believe removal of the supply constraint is key to a high level of performance in this important market and taking note of this, the board has today approved the setting up of manufacturing unit by Bajaj Brazil in Manaus special economic zone. We expect this capacity to come on stream within 12 months' time.

Coming to the Domestic Motorcycles business unit. After the decline in April, the industry started to record growth at a retail level in May and June at about 4% to 5% levels, resulting in a Q1 retail growth of 2%. We expect the industry to continue to grow at 4% to 6% over the next few months. In this scenario, our retail growth in Q1 has been 19%, though I must add that it was helped by a base effect of low retail last year due to the chip-led supply shortage faced by us. Irrespective, we have gained at least 2% market share in our key focus area of the top half of the industry, which is the 125cc plus segment.

This segment now accounts for almost 70% of our volume sales in Q1 and was 60% only in FY '23. Obviously, this has very positive implications for revenue and EBITDA. The performance has been driven by the Pulsar brand, which has once again delivered exceptional results crossing the milestone of over 4.2 lakh units in volumes, sold globally, generating revenues of over INR3,300 crores.

We will continue this approach of targeting subsegments in the top half of the industry with product-led intervention. The upgrading of the Pulsar NS series has had a very good impact and grown the sales of the NS series by 50% in Q1 with a very positive impact on revenue and EBITDA. You can expect further introductions in this segment in the top half in the next 3 months.

In the Intracity business unit comprising our CVs, our sales in Q1 of 32,000 units average per month surpassed the pre-COVID level of 30,000 units per month in FY '20. This is much ahead of the industry recovery, resulting in a Q1 market share of almost 80%. Our performance continues to be driven by the CNG segment, which is riding on the relentless expansion of the CNG network in India.

In quarter 1, we also introduced the electric 3-wheelers in both the passenger and cargo version in one city each. The response over the last 2 months from the field has been very positive with healthy bookings being garnered. Our approach is to watch the performance of the vehicles over the multiple use cases in the field and ensure we set a new benchmark in terms of reliability and performance before scaling up. Given the performance of the vehicles till now, we expect to start to scale up the business from September onwards in a phased manner, prioritizing large markets where ICE 3-wheelers are not permitted thereby adding new

business to our portfolio.

On Chetak, this quarter was quite challenging for electric 2-wheelers with the government announcing a reduction in subsidies in May, effective 1st of June. This has resulted in a surge in May retails and a drop in June. The average sales of the industry in Q1 were at 72,000 units per month of high-speed vehicles, which was very similar to Q4 FY '23.

While the price increase has dampened the hugely attractive proposition of savings, the opex savings still has appeal, particularly for those customers who have a higher per day usage. We expect the industry to continue to grow on this basis, though at lower double-digit rates and not the triple-digit growth rates experienced earlier. And for this, we have really have to monitor July, August, and September.

We also expect further consolidation in the industry with the top 5, 6 players moving from just 50% levels in FY '23 to almost 80% levels this year, thereby offering a higher growth opportunity to these players despite the slower expansion of the category. We remain committed to our strategy of building capability by investing in R&D, manufacturing, building a differentiated brand and an exclusive sales and service network and dedicated manpower to deliver sustainable leadership.

We will increase the Chetak portfolio starting quarter 3. Our exclusive network is now present in the top 100 cities and will expand to 120 cities with 140 stores by end of Q2, covering almost 75% of the industry. The exclusive network, particularly in service has enabled us to give a superior ownership experience to the customer and forms a key part of the Chetak proposition, a classy, dependable, and hassle-free ownership experience. On this basis, we are aiming to improve month-on-month, and we will stay on course for scaling up and increasing market share.

The Pro-Biking business unit, which now has 3 brands, KTM, Husqvarna and Triumph. The KTM business continues to move up smartly with the higher-end adventure and RC range accounting for more and more of the total sales, thus ensuring a better level of revenue and margin. The 250cc plus range is being driven through product refreshment and a very differentiated riding program called Pro-XP, which is designed to be unique and thrilling. I

Bajaj Auto Limited
July 25, 2023

Page 5 of 16

invite the riders amongst you to come and experience it once, though it is not for the faint hearted, I must warn you. There's no leisurely chugging along. These are edge of the seat tours. On Triumph, as you know, we've had an outstanding reception to the launch, the riding community of journalists and influencers have also given the Roadster Speed 400 a solid thumbs up. We have over 17,000 bookings as of this morning, just from 15 centres where we have dealerships, with dispatches commenced yesterday, and we expect to start making deliveries in a couple of days to the first customers. By the end of quarter 2, we should be in 44 towns from the current 17, I think, and with over 50 stores.

Production too, is being ramped up in a phased manner, and we hope to hit a rate of 5,000 per month within this quarter most likely in September. In October, we will commence exports. This adds an absolutely new and high-quality segment to both our business and also to Triumph's business as well.

Overall, Q2 and FY '24 hold out a lot of promise. The domestic motorcycle business should outpace the industry, particularly in the 125cc plus segment. The CV business is strongly resurgent, and exports are improving with every month and hopefully now every quarter. The new businesses of Chetak, Electric 3-wheelers and Triumph will be robustly developed to become future engines of growth. Despite the industry being lower due to seasonality, our endeavour in Q2 will be to deliver a similar performance, as we had delivered in Q1.

With this, let me hand over

over the call to Dinesh to take you through the financial performance.

Dinesh Thapar: Thank you, Rakesh. Good evening, everyone, and thank you for taking the time to join us on this call as we share with you our perspectives and further insight on our results for quarter 1. As usual, let me provide you with an overview of the operating context that underlines our results, which also serves as a reference point against which you see our financial performance.

Overall, let me start by saying, I think we've had a good quarter in the context of the operating environment. The commentary on markets though, not fundamentally different from what you've heard us speak about for some time now. You've just heard from Rakesh on exports. Looking at the totality of our countries, the markets seem to be bottoming out. But of course, a few pluses and minuses, as you would expect, when dealing with a broad range of geographies.

But at least the decline sequentially seems to be ending. The situation remains quite turbulent

though, caused by a mix of macroeconomic challenges and geopolitical issues and the continued strain and dollar liquidity, by far being the most telling factor in terms of tightening our business. But of course, thanks to some decisive actions that we've taken for some time now on both arranging for foreign exchange as well as on the ground across the countries. Directionally, our billing numbers have trended up. You would have noticed from data that you are privy to that we moved from 105,000 units in March to 118,000 in April, 126,000 in

Bajaj Auto Limited
July 25, 2023

Page 6 of 16

May, and then ended the quarter with 140,000 in June. Overall, leading to the 12% increase in sales sequentially relative to the low of the last quarter that we had hit.

Retail for about 4 quarters now has continued to outstrip billing volumes yet again, which therefore has led to a depletion of inventory in our key markets, which is about 30%, if I were to compare current inventory levels relative to same time last year, 30%, 35% is what that number looks like. And therefore, offer substantial headroom for growth to build back inventory as we come out of this situation.

On the domestic front, you've just heard the motorcycle industry growth remained by and large, steady, bolstered by relatively buoyant marriage markets, and the continued momentum of the 125-plus cc segment, which has really been the driver for the industry for some time now as indeed us.

And I say we've had a good quarter because we have surpassed the market growth across both marriage and non-marriage markets. With the growth in the former, which is the marriage market almost being 2.5x, that of the latter. The results that we have had a share gain performance in the entirety, particularly led by the continued acceleration in our M3 and S1 shares.

And notably on brand Pulsar, it also continues to grow from strength to strength. It continues to deliver a strong run. And has now crossed 3.5 lakh units in a quarter for the very first time. There's only twice that, that number has happened, it reached 300,000 in recent times. One was in quarter 2 of last year when we were building back inventory and this time around when Pulsar has really crossed 3.5 lakhs in the quarter.

On commercial vehicles, we continue to lead the industry performance and volume recovery on 3-wheeler autos, we are at over 100% of the pre-COVID levels. We've had this now for a few quarters. You've heard us say that, and that continues to be the case compared to under 50% for the rest of the industry. And the result of which is that we now have our market share stopping the 80% mark.

Coming to commodities, really a story of 2 parts. The quarter started off with some level of inflation. We saw a slight uptick in steel, aluminium, copper, nickel, and platinum as we started the quarter, but then that reversed trend as the

quarter passed on. And so, towards the end of the quarter, we are back to some level of stability. In fact, we now have commodities trending back to almost quarter 4 levels. As I see from here, therefore, the situation is looking relatively stable on the commodities front.

Now with that context, I think we've done a fairly good job in delivering our highest ever revenues, EBITDA, net profit for the quarter. Our revenue from operations hit an all-time high of INR10,310 crores, growing 16% quarter-on-quarter and 29% year-on-year. This mark of INR10,310 crores has been reached twice in recent times. The first time we did, it was in quarter 2 of last year when we were building back inventory into the pipeline after the shortage that was created in quarter 1 of last year when we hit a low on our volumes. And this is the second time that we've done it at INR10,310 crores. So really, a notable milestone in terms of

Bajaj Auto Limited
July 25, 2023

Page 7 of 16

this quarter's performance. The growth this time was underpinned by double-digit volume growth with the sustained buoyancy on the domestic front, cushioning the weak, albeit directionally improving exports performance.

Our domestic revenues registered its biggest ever quarter. This quarter domestic revenues have been at its highest. And we've maintained the double-digit growth trajectory yet again. All businesses have contributed to this. So, you just heard on motorcycles, we had a share gain performance. On commercial vehicles, we've consistently performed and continue to maintain that momentum on the 3-wheeler business and grown shares. And we've steadily scaled up our

Chetak volumes, which is now up 2x over the last quarter.

I have previously mentioned this, and I'd like to keep emphasizing it that our results demonstrate the resilience and the strength of our operating model, given a unique mix of exports and domestic in the overall scheme. And that's the reason why despite exports being down almost 35% year-on-year, we're still able to register our highest ever top line growth. EBITDA came in at INR1,954 crores, registering a growth of 14% quarter-on-quarter and a very strong 51% year-on-year. Our margins closed at 19%, up 280 basis points year-on-year, driven by dynamic price and cost management, better foreign exchange realization and operating leverage as we've grown the business bigger.

You will see a slight dip in the margin quarter-on-quarter. We were at 19.3% last quarter, we're at 19.0% this time around. So, it might seem like it's a 30-bps drop. And that's really coming on the back of a blend, typical seasonal skew, that we have in this quarter for commuter motorcycles, especially led by the huge markets.

We took pricing of about a percentage point or thereabouts, in the course of this quarter. And that was really to cover an increase in costs coming on two accounts. One, the material cost inflation I mentioned to you on the metals complex as we started the quarter. And the other, which is what we would have spoken about in the past, which is essentially the cost impact arising out of the implementation of the OBD2 A compliance on our bikes. And so therefore, price effectively covered all of the cost between the material inflation and the OBD 2A impact, which I'd say was almost half a piece. Coming to currency, the rupee was fairly steady, range-bound through the quarter, our export realization of 82.1 this quarter relative to 81.5 in the last quarter. And 77.4 base period same time last year.

Volumes were up, so you would expect operating leverage to have kicked in. But that was offset by the negative mix that I just mentioned. Largely coming in from the typical and planned seasonal demand of commuter motorcycles in the marriage markets, specifically and in the growing scale of Chetak electric vehicles. However, having said this, in effect, the overall margin levels

of 19%, give or take a few, as you've seen us, leaves us quite comfortable unless, of course, there are any VUCA events, we are quite comfortable with the margin situation as it currently stands.

Finally, we closed the quarter with a record net profit of INR1,665 crores and a cash surplus of over INR19,500 crores. Importantly, adding net free cash flows of about INR2,000 crores in the course of this quarter. And this cash balance provides us with sufficient capacity to grow

Bajaj Auto Limited
July 25, 2023

Page 8 of 16

our business, to make very competitive investments and offer attractive returns to our shareholders.

Now looking ahead, one expects the domestic business to continue to sustain its revenue momentum. Having said this, I want to draw your attention to a little bit of the skew that you will see in the base period. You will recall same time last year, in quarter 1, we hit our lowest volumes because we were faced with the semiconductor issue, we had depleted pipeline and we were working on alternate supply sources. Now those alternate supply sources, if you recall, came on stream, effectively end of May and June. And then July to September, is when we really filled back the pipeline. Our pipeline levels have dropped to almost 25 days at that point of time. And then we used the second quarter, which was July to September to really build back inventory across our dealerships. And therefore, that has led to a bit of a skew between quarter 1 and quarter 2. So, when I say that we will look to drive the continuity of our momentum on the domestic business, I'm talking about our retails because the reported growth, the headline growth from a billing perspective might be a bit impacted by the comparative which is skewed towards quarter 2 in the base quarter. But on balance, when you look at it half 1 this year, over half 1 last year, very clearly, we will look to be growing. It's just that you have this Q1 and Q2 interplay that will happen.

On exports, we continue to remain steadfast in building back volumes really making each quarter larger than the previous one. We're taking a range of interventions to manage the currency availability. But it could be some while before we restore back to the peak levels that you would have seen in FY '22. So really expect a gradual build back in export volume and not really a step jump or shift, given the larger macro challenges across those countries.

On Chetak, our objective is to stay competitive and continue our journey of network expansion, even as a new normal emerges in the industry, given the reset of the FAME subsidy that came into effect from 1st of June. We're planning to add many more outlets, cities, dealers and grow volumes. And we continue to stay very focused on supply chain and R&D initiatives to reduce the cost of sourcing of key components.

On 3-wheelers, you will see us grow the business on the EV portion as you just heard Rakesh talk about in a very calibrated manner, but a strong focus on product performance, reliability, and durability. And we are investing very substantially by the way behind our EV 3-wheelers. We are building a new facility to manufacture these electric 3-wheelers in our site in Waluj, Aurangabad.

And this, along with the other investments that we are making on the EV 2-wheeler side, which is essentially dies and moulds to support new products in the pipeline and innovation, will essentially see us spend anywhere between INR400 crores to INR500 crores on EV-related capex in the course of this year.

On Triumph, there's enough buzz and excitement already that you've heard from the media and the enthusiasts. So, I'll keep that real brief and say that it's about action time for us to convert the bookings into real delivery as product starts flowing into our dealerships, starting now itself.

Bajaj Auto Limited
July 25, 2023

Page 9 of 16

Finally, the

core metals basket from a margin perspective, the core metals basket appears to be relatively stable. I just made the point that as we progress through the quarter, we saw commodity levels come back to Q4 levels. So, I think we're relatively well placed on that. And we'd look to sustain our profitability, whilst dynamically managing the growth agenda that you just heard Rakesh and myself talk to you about.

Before I hand the session back, let me summarize by saying that we're quite pleased with our performance this quarter. It has been a record performance across both top line and bottom line, notwithstanding a challenging economic and external operating environment. And this has been supported by strong competitive positions across our businesses, and that's something that we hope to continue in the quarter ahead.

With that, let me hand the session back to Anand. Anand over to you.

Anand Newar: Thank you, Dinesh. Liza with this, we can open the forum for the Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session.

Anyone who wishes to ask a question, may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Thanks for the detailed commentary on the demand outlook across segments. Sir, my first question is on the gross margin side. So, if you see on a quarter-on-quarter basis, the margins have come off by about 200 bps. So, if you can first sort of help us understand the impact from various segments, like you said there was one negative mix impact and commodity cost as well, so if you can break it up into the similar segments which has led to this impact?

And second is on the price hikes, any price hikes you have taken in the current quarter, in Q2 after the first quarter, which maybe should help the margins going ahead?

Dinesh Thapar: I did make a mention that the dilution that you're seeing in gross margin and consequently in the overall EBITDA that you talked about of 30 basis points. So, let's just break it up in the elements. Now I made a mention that last quarter, essentially quarter 1, we took pricing of about 1%. That covered in entirety, the material cost inflation that we saw in the early part of the quarter. As well as the OBD2 A impact as vehicles were made compliant through that regulation.

So, price versus cost was really managed on that front. I'd say on currency, I made a mention 82.1 this quarter versus 81.5 last quarter. So, on balance, it's not a very significant factor impacting margin one way or the other. And then it really came down to operating leverage offsetting mix. Mix was really pulled down as is typical, because we're talking sequential quarter over here.

Bajaj Auto Limited
July 25, 2023

Page 10 of 16

We're not talking year-on-year. So, if we were talking year-on-year, then you're fundamentally seeing 280 basis points improvement because same time last year, you would have also been faced with the marriage market context that was skewed towards commuter motorcycles. But because you're talking Q4 to Q1, there is a relative skew towards commuter motorcycles

driven by the marriage season, along with augmented volumes on Chetak, and a slight mix impact on the export of premium motorcycles has led to the adverse gross margin. But like I said, as we move forward, because you don't have the seasonality of that marriage context, I don't really see significant concern from a margin standpoint because commodities, as they stand, are relatively stable as indeed the currency as well.

Siddhartha Bera: And price hikes if you have taken any, after the

first quarter?

Dinesh Thapar: Well, I'd say very insignificant. I can't recall anything which is of a material impact at the moment. We may have done a correction in some states, slightly more to just correct price value equation, but nothing of significant note or material note. At least what I want you to register is given the commodity cost context at the moment, we're not seeing the pressing need for us to take pricing to cover commodity cost inflation, not at this point of time.

Siddhartha Bera: And sir, export markets like you have said, you have made several interventions to sort of manage the demand. So, any price corrections did we do? Or it's largely entirely on the currency improvement and other factors and not much on the pricing side?

Rakesh Sharma: See, our approach is that we cannot deal with the macroeconomics of currency devaluation through change in FOB pricing. Because that just doesn't work out. So, if there have been any pricing changes, they've been more in response to a competitive situation or an opportunity to improve rather than to the macroeconomic condition. So, we will continue with that approach.

Siddhartha Bera: Sir, last question on the Triumph side. So, you said that we plan to expand from 17 to maybe 50 locations in the next few months. Possible to highlight what percentage of the addressable market is this covering? And how the ramp-up will happen after that?

Rakesh Sharma: By end of this year, we will be covering almost about 60% of the addressable market through at least one store in the location. At this point of time, we are making the plans as we go along basis each quarter. So, we've got a line of sight for end of the year. In another 3 months, we'll have a rolling plan which sort of addresses the quarter 1 of next year. So, at this point of time, our planning horizon is really for FY '24 only for which I gave you the numbers.

Siddhartha Bera: Got it sir. Thankyou.

Moderator: The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Rakesh and Dinesh, congratulations on a great launch and a good set of business. My first question pertains to the Triumph launch. You guys have been showing the booking numbers and they look encouraging. But what I was looking for was more colour on the customer profile, what you're attracting, just to ensure that it's not kind of cannibalizing your existing

Bajaj Auto Limited

July 25, 2023

Page 11 of 16

KTM portfolio or the Dominar portfolio, if you can share some colour on the kind of customers you're getting? Or how would you describe them? And how much could be the risk of cannibalization within your own portfolio?

Rakesh Sharma: I must, at the outset, confess, that we have not done a deep dive into the analysis of these bookings which we have received. But basis the qualitative inputs which we have received through sample discussions is that this is an absolutely new set of customers. They are not really from the heartland of, let's say, the Pulsar communities, majority of them are coming from the heartland of the 250 to 500cc segment aspirants.

Pramod Kumar: And Rakesh, forgive me if you already shared this in the opening comments, we've been shuffling between two calls, actually. So, if you can just help us understand any quantitative timeline on the ramp-up as to by when do you expect to hit milestones like, say, 5,000 units? Or any timeline you have with you on the production side.

Rakesh Sharma: You mean to say for Triumph?

Pramod Kumar: For Triumph, yes.

Rakesh Sharma: Yes, I've mentioned Pramod, but no worry. We are hoping that this quarter, most likely by September, we're aiming for 5,000 units. And exports get added on from October. And we will decide the ramp-up for October, November, December by next month. The plant capacity in Chakan-2, is about 25,000 units per month, which is fungible between KTM and

Triumph.

And basis the kind of build-up which we are seeing, we will continue to add to the capacity. I just want to say that we are really not looking for a vertical take-off, either in network expansion, nor in plant capacities because our objective is to really put in place processes and capabilities, we deliver an outstanding build quality in the product, and we deliver an outstanding and differentiated customer experience because we see an opportunity in both these things.

I mean it's very easy to ramp up the plant capacity because we have 25,000 units per month

capacity, ramping up the vendor, which is required. But we are sort of taking it in a very phased manner, both on setting up stores and increasing production.

Pramod Kumar: And Rakesh, so clearly, demand has surprised you on the upside and that's good to hear. And on the export side, can you just help us understand how big is the addressable market for a product like this? Because it would be interesting to know will the opportunity be bigger in the domestic market, or it could be equally big on the international side. And will the pricing strategy be led by Bajaj? Or how does that work?

Rakesh Sharma: In the international markets, the assessment of the opportunity is going to be done by Triumph. This is an absolutely new segment in most of these markets for Triumph and for Triumph dealers, internationally. In India, we have the benefit of this segment already existing. And of course, it is very visible. And it is perhaps the largest market in the world today. So, we will

Bajaj Auto Limited
July 25, 2023

Page 12 of 16

get to know about this market and our reach in this market internationally in due course of time.

Again, the whole idea is to start with some few sets of countries, and then we will ramp it up. So, we will build that as we go along because it requires a little bit of assessment. On the pricing front, the pricing is led by Triumph in their markets. And of course, there is a consultation, but really the lead person is Triumph like for Indian market, the lead is with us, of course, in consultation by Triumph.

Pramod Kumar: And on the electric 3-wheelers, we see that you already started dispatching some numbers in select states. So just if you can help us understand how the pricing is because I don't think there was any public press release of filing by you guys. So, can you just help us understand how are you to price that, the passenger, and the cargo variants? And what are the key specs? And how is the customer response because what we are seeing is that your CNG 3-wheeler portfolio is also doing very, very well, right? So, I just wanted to understand how is the response to the electric 3-wheeler side and given your assessment so far, do you expect any rapid transition to electric 3-wheelers within your portfolio, or it's going to be more CNG led for the near to medium term?

Rakesh Sharma: We launched the passenger electric version in Agra, which is an important market for the passenger, and we launched the cargo version in Pune. And just to ensure that we capture all the use cases in the field, and we ensure that we deliver a very reliable and stable product when we scale up. We have received an outstanding response, particularly on the passenger side, which is the larger opportunity.

On the most important aspect, which is the range because the commercial driver, for him, range is very important because that's how they max their daily earnings. And it has exceeded expectations. We are very happy that we have not encountered any big issues in all the other parameters. There are certain niggling things here and there, which we have to fix.

We earlier had a plan that we'd probably keep it at a very low key for 3 to 6 months. But this has given us confidence that we can scale up earlier. So, we will start to scale up in a phased manner from September onwards itself

, I think. We'll take the final call in August first week or something like that. And we will first attack the markets where ICE, including CNG is not permitted.

Out of 1,000 RTOs in India, about 300 have restrictions or partial restrictions. We will attack these 300, first. Because this gives us entry into a market where we don't have any access right now.

Pramod Kumar: And on pricing, Rakesh, how are they priced compared to the CNG and other alternative fuel vehicles?

Bajaj Auto Limited
July 25, 2023

Page 13 of 16

Rakesh Sharma: It's about INR3 lakh and INR2 lakh kind of a thing. INR3 lakh for the electric passenger and INR2 lakh for the CNG vehicle. This is ESRP post-FAME, so INR3.06 lakh ESRP post-FAME, and RE passenger is INR2.33 lakh.

Pramod Kumar: And last one on the margin trajectory. Now that exports have started to see some progress, led by Africa. and the fact that the model mix will have its own impact because of that. So how should, Dinesh, we look at profitability, which has been quite solid actually at these levels. So how should one look at profitability going forward for the company? And especially given that

there will be EV volumes as well, which may not be that margin accretive or potentially negative margins. So how should one look at the profitability trajectory from here ?

Dinesh Thapar: Yes, Pramod. So, let's look ahead. I think price versus cost, you just heard me mention that on the price versus cost equation, I think it's all right because commodity is not requiring us to look at pricing. Of course, we look at pricing, if at all, there are opportunities that come our way, given the competitive positioning.

But let me say price versus cost seems well balanced out at the moment. And then you got to look at the two other factors, which is essentially operating leverage. So as business builds back, as volumes grow and as revenues start to build back there is an element of operating leverage that will come in. But yes, there could be a potential drag on mix coming in from our stated ambition and aspiration to grow the EV Chetak.

And as exports and Boxers start to come back. So, there could be mix headwinds that we will see as we look forward. But we will also hope to see some amount of operating leverage that will come in, as business starts to build back. So, on balance, I'd say that the margin situation is something that we will need to continue to manage and look to delivering at these levels, whilst we navigate some amount of mix headwinds, but hoping that part of that gets managed through operating leverage, whilst we dynamically manage the price versus cost equation.

Pramod Kumar: Thanks Dinesh and Rakesh. Wish you all the best.

Moderator: The next question is from the line of Anjali from State Bank of India. Please go ahead.

Anjali: I'm Anjali from State Bank of India, congratulations on the excellent results. I just wanted to understand what the percentage of electric vehicle of the sales is at present. And what is the expected percentage company is looking for the end of the year?

Dinesh Thapar: Anjali, to give you a sense, we currently have sold about 20,000 units of Chetak, and a few hundred of our electric 3-wheelers that we just launched. So, that's about 2% when you look at it in the context of about 1 million units that we sell per quarter, right? So current run rate is 2% electric vehicles, pretty much most of it, electric 2-wheelers, a few hundred like I said 3-wheelers.

Where do we expect to see it by the end of the year? Look, I think there's a significant reset that has happened on the FAME subsidy policy, effective 1st of June. We need to wait and see the new normal of this market and as it emerges. Had it not been for this, our internal

Bajaj Auto Limited
July 25, 2023

Page 14 of 16

aspiration would have been to try and get this to a million

units of about 10,000 units of Chetak

per month. And then, of course, depending on the very encouraging response that we've received on the electric 3-wheeler to start looking to expand out, essentially quarter 3 onwards. So anywhere between, let's say, 3% to 4% is what we would like to have seen it by the end of the year, doubling from the current 2%. But like I said, there is the new subsidy regime. There's a new normal that has to emerge. When you look at the EV market volumes from VAHAN, let's say, as an example, July run rates at the moment on EV 2-wheelers, looks very different from what it did in the pre-subsidy regime change. So, we need to wait and see how that plays out. But let me leave you with the thought—that it could be anywhere between 2% to 4%.

Anjali: Thankyou sir.

Moderator: The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah: My question is on export side. On a medium - to longer -term perspective, so as we understand, there are lots of uncertainties in various markets. So next 2 or 3 quarters we may not see the peak level of volumes which we have seen in past few years. So, what is your understanding in terms of whether it will come back by end of this financial year or next year or it may be even like more than 2 years kind of a situation because of the lot of industry dynamics change in all those markets.

And second question, if you can give more details, whether it's a question related to the affordability for the consumer because of the price hike we have taken due to this material cost in last 1, 1.5 years, or it is a question of forex primarily. These are the two questions, sir.

Rakesh Sharma: So, like I mentioned in the opening remarks, that the recovery seems to be on its way now, when you look at the data, which we're suggesting that we have a growth in retail terms in quarter 1 over quarter 4.

So sequentially, we are seeing recovery. Qualitatively speaking also what we are getting to know from the market, that demand is coming back. Third point is that forex availability things like confirmation of letters of credit, et cetera, are also improved. But all this is happening at a gradual pace. It is not suddenly exploding, and we expect this gradual pace to continue. There's nothing to suggest that there will be a sudden jump in demand or in availability of foreign

exchange.

And therefore, at its peak 2, 3 years ago, we were hitting a run rate of 200,000 units per month. We are today at 140,000 which will sort of grow in a gradual manner, and I cannot say the timeline when it will exactly reach 200,000. But I will just say one last thing on this is that in most of the markets, fundamental drivers of demand are intact. The demographics, the current penetration, which in many parts of Africa and Latin America is in single digits compared to triple digits in India. The urbanization, the construction of the road network and the gap between the requirements for mobility and what public transport is giving. So, when the macroeconomics allows, I think that we will see a period of big expansion. Now exactly when

Bajaj Auto Limited
July 25, 2023

Page 15 of 16

it will come, is very difficult to understand. We just want to be positioned to harness it when it really starts to move up.

In terms of the pricing, yes, inflation and local currency devaluation have increased the prices. And that is one of the things which has dampened demand. But over a period of time, we have seen like we've seen in India also, like demand takes a few quarters to start to come back. I mean we had an issue of COVID in the middle, but if you see that the prices in India has gone up by 35% to 40% over a period of 3 years. And then it gets digested, salaries get adjusted and then people start to accept the new pricing.

That process is also underway. A lot of the African ma

rkets are commercial. So, they have to

adjust their ticket prices to their customers. And those customers have to accept it on the basis of their own income is increasing. So that process is on, and it takes a while. But I think it has happened before, and I think it will happen again.

Mitul Shah: Sir, lastly, among these three key geographies, one is Latin America, second one is Africa, Middle East and third one is ASEAN which part of this do you think to recover faster among all these three, and will come back soon?

Rakesh Sharma: The drop in Africa was sharper and the recovery when you compare purely on percentage terms, the recovery of Africa is higher. The drop in Latin America was lower, and therefore, the recovery is also smaller, like I said in the opening remarks, Q1 retails of the industry are very similar to Q4 retails in Latin America and Africa, they were 14% up this quarter compared to last quarter. Of course, they're still below the previous peaks.

And ASEAN, I think is a temporary dislocation. ASEAN, most of it is Philippines for us.

ASEAN really didn't drop, it is only this registration process, which has changed things for the quarter, which has impacted the retails. But fundamentally, ASEAN did not drop. So, I expect another 1, 2 months, ASEAN led by Philippines will come back.

Mitul Shah: Thanks Sir.

Moderator: The next question is from the line of Amit Hiranandani from SMIFS Limited. Please go ahead.

Amit Hiranandani: Just a few questions, three questions from my side. So, sir, how many launches we are expecting from the Triumph side in the next 3 years? And how do you see the overall product mix for the company in the mid-term?

Rakesh Sharma: So, we've launched two models. And in the next 1 year or so, we will launch one or two more models, and we will continue with this pace. But of course, as you know, we have to keep adjusting this cycle to how the market is evolving. But you can assume that a model where its variant almost at the rate of one per annum will be added to the portfolio.

I have not understood what the nature of your specific query is when you ask for product mix, domestic motorcycles, if you just are inquiring about the motorcycle business, like I said, 70%

Bajaj Auto Limited
July 25, 2023

Page 16 of 16

of our mix is now coming from 125cc plus. It was about 60%, 1 year back. It is 70% in quarter 1. And I think it will continue to increase over there.

Amit Hiranandani: Sir, basically, mix, I wanted to understand whether 3-wheeler domestic will increase or 3-wheeler export will increase that mix I'm basically looking for it?

Rakesh Sharma: In the overall scheme of things, as the export mix has reduced because of all the conditions which we have discussed. If you are particularly asking for 3-wheelers, domestic 3-wheeler has seen a strong resurgence and on the back of the industry recovering very well. And our market share going up progressively from 70% to the current 80%. So, the 3-wheeler in the portfolio has, of course, improved. And will continue to improve.

Amit Hiranandani: Sir, just last two questions. How much was the price reduction taken in the exports market? And lastly, if you can give us guidance on any new product launches, we are expecting in the motorcycle side?

Rakesh Sharma: There is no across-the-board price reduction taking place. In fact, there have been price increases in the last 6 months, we may have responded to some competitive manoeuvre in specific countries. But I wouldn't say that there has been a price reduction in export market. I just mentioned to another person in the forum that we have not used FOB pricing at least to deal with the devaluation.

And the motorcycle launches immediately we expect in the next 3, 4 months to add to the Pulsar portfolio by a couple of launches and that sort of will continue in Q4 as well.

Amit Hiranandani: Alright

Thank you Sir, Thank you so much.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I now hand over the conference to Mr. Anand Newar for his closing comments.

Anand Newar: Thank you, Liza. Thank you, everyone, for joining the call. There are few numbers that sort of get discussed every time after the call. So, I'm just reading them out for your information.

The spares revenue was clocked somewhere north of INR1,200 crores split between domestic and exports in the ratio of 80:20 and with dollar exports in the north of about \$400 million.

Thank you so much and thank you for attending the call.

Dinesh Thapar: Thank you. Have a good evening.

Rakesh Sharma: Thank you, everyone.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Bajaj Auto Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2024

Registered Office Akurdi Pune 411035 India CIN L65993PN2007PLC130076

01 February 2024

To
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1st Floor, New Trading Ring
Rotunda Building, P J Tower
Dalal Street
Mumbai 400 001 To
Corporate Listing Department
National Stock Exchange of India
Ltd.
Exchange Plaza, 5 th Floor
Plot No.C-1, G Block
Bandra-Kurla Complex
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BSE Code: 532977 NSE Code: BAJAJ -AUTO

Subject: Transcript of Conference Call held in respect of the Company's Q3- FY24 results

Dear Sirs/Madam,

Please find enclosed the transcripts of the conference call held on 24 January 2024 in respect of the Company's Q3-FY24 results.

The transcript will also be hosted on the Company's website at
<https://www.bajajauto.com/investors/financial-and-operational-performance>

Kindly take this on record.

Thanking you,

Yours faithfully,
For Bajaj Auto Limited

Rajiv Gandhi
Company Secretary

Encl: as above

Page 1 of 18

"Bajaj Auto Limited
Q3 FY 2024 Results Conference Call"
January 24, 2024

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Moderator: Ladies and gentlemen, good evening, and welcome to Q3 FY 2024 Results Conference Call of Bajaj Auto Limited. My name is Neerav, and I'll be your coordinator. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head Investor Relations from Bajaj Auto Limited. Thank you, and over to you, sir.

Anand Newar: Thanks, Neerav. Good evening, everyone, and thank you for joining us for the call today. Welcome to Bajaj Auto's Q3 FY '24 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with the opening remarks from Rakesh on the business and operational performance of the quarter, and Dinesh will take you through our financial highlights. We will then open the forum for the Q&A.

Over to you, sir.

Rakesh Sharma: Thank you, Anand. Good evening, ladies, and gentlemen, and welcome to the earnings call of Q3 FY '24. We deeply appreciate your presence here this evening and let me begin by wishing you all a very happy New Year. Indeed, the new year has commenced on a very good note for Bajaj Auto. Yet again, we have delivered a record financial performance with an all-time high revenue, EBITDA, and PAT; with PAT crossing the INR2,000 crores milestone. This is a hat-trick of record setting with each of Q1, Q2 and Q3 results successively establishing record and this is despite a soft international business environment. Dinesh will take you through the financial performance. So let me focus on the business unit performance.

Let's start with the exports business unit. The macroeconomic environment, combined with geopolitical issues remain uncertain. While tight conditions remain for dollar availability, broadly the continuing devaluation of emerging market currencies appear to have ceased. However, the economies and customers are still dealing with the impact of high inflation.

Overall, our exports stand at about 70% of our peak, which was in FY '22. But there is a 2% improvement sequentially which means Q3 over Q2 shipments. Africa and South Asia are driving the overall recovery as they are still at 50% of peak levels. But LatAm, Philippines and Middle East are now performing above the peaks, that these regions reached in FY '22. In fact, we have had our highest ever retails in Mexico, which is the second largest motorcycle market in LatAm. And overall, market share in LatAm is also at its highest.

The contribution of the Pulsar in the export's portfolio has increased from 19% last year to 28% in Q3. This, combined with a better forex realization has meant that though in Q3, we declined volumes by 4% quarter-on-quarter, our exports revenue actually grew by 10% and EBITDA by even more. We expect the return to peak levels of performance will be a slow and steady process,

Bajaj Auto Limited
January 24, 2024

as we've been saying. But meanwhile, we ensure that exposures of our trading partners, both distributors and dealers are controlled, and our competitive positions are continuously improved. In Brazil, we broke ground for a new plant in Manaus, where we hope to commence production by end of Q1. The Red Sea imbroglio has caused some delays of about 3 weeks to LatAm and parts of Africa, and we have seen freight rates double for many destinations. December and January shipping availabilities have had some impact, but hopeful

ly, this is not expected to

impair performance on a continuous basis unless there is a wild escalation. Alternate routes are already being put in place and ordering levels from our channel partners are being adjusted to take note of longer shipping times.

Coming to domestic motorcycles. Motorcycle industry retails grew by about 11% in quarter 3. Festive sales growth did not see much of a falloff in December this time, and this is a very good sign. So, in the coming months, we expect industry to grow by 8% to 10%. Bajaj Auto retail grew about almost twice that of industry in Q3. Sales were powered by a focus area of the 125cc+ segment, in which we grew at 36% compared to the industry growth of 13%. This segment accounts for 50% of the industry and for Bajaj Auto, it accounts for 70% of our retail. Our market share in this segment is at almost 31%, and we are now in striking distance of segment leadership.

Within this segment, handsome gains in market share were achieved in the 150 to 250cc sports segment where Pulsar rules at about 40% market share and this is on the back of a highly successful

N-Series launch, where market share is up 8 percentage points to 40% from a 32% level in FY '23. Pulsar recorded an all-time high sale of 400,000 units in the quarter. Our customer engagement program, Pulsarmania, was conducted in 100 cities with over 1 lakh participants and a viewership in millions. It has solidly strengthened our connect with the youth and biking enthusiasts nationwide. Our strategy continues to be to drive profitable growth in the 125cc plus segment based on product differentiation and sharp positioning. We have a nonstop program of rolling out upgrades with superior features to make customer interface connected and more appealing across the entire range at a breath-taking pace over the next few months, culminating the launch of bigger Pulsars.

Leaders generally get disproportionately rewarded by customers for meaningful improvements in successful models. We have witnessed this phenomenon in our NS Series and in the N160. We, therefore, expect to make strong progress based on our new introductions, which are rolling out as we speak, by taking not only the market share beyond the current 40% levels, but also expanding the sports segment itself. Just in this year, the segment share in the industry has moved from 12% to 15%, largely driven by Pulsar interventions. In fact, if you look at the delta growth, which has taken place, 70% of that delta growth has come because of Pulsar.

Coming to commercial vehicles. The 3-wheeler maintains its rock-solid performance with an overall market share of 77% in Q3 and 80% in the passenger segment. In the advancing CNG-based segment, which now accounts for 60% of the industry, our market share is a whopping

Bajaj Auto Limited
January 24, 2024

Page 4 of 18

85%. Electric 3-wheelers are also progressing very well. We have expanded our footprint to 23 cities now and volumes in December were over 1,800 units. The reception of our product and our proposition of 'Technology Nayi, Bharosa Wahi' is being received very well. Hence, in every city where we have entered, we have raised to a 50% + market share within 3 months. Going forward, we are going to aggressively scale the EV presence to about 50 cities in quarter 4 and then further to 200 cities. Capacity has been put in position, and we are also simultaneously upgrading our network infrastructure as well as capability to deliver a better customer experience overall.

Chetak, as mentioned before, supply chain work has improved our capacity and reduced costs, allowing us to open the network, right price the product and drive sales. We are now in 140 cities with 160 odd exclusive sales and service stores covering almost 80% of the high-speed EV market. Consequently, sales

have reached the 10,000 mark and retail market share has steadily increased from 4% in FY '23 to 14% in December '24. In the last few days of quarter 3, we expanded the range with a new premium variant equipping Chetak with further style and features. Chetak's proposition of being Fully Lifeproof delivered through catchy communication is being received very well. Our objective remains to continuously drive up volumes month-on-month, and we will now be targeting to breach the 15,000 mark in quarter 4.

Probiking business unit, in the Triumph business, Scrambler 400X received a very good response from both the enthusiasts and the pros. It is now almost 50% of Triumph sales. In December, both models put together retailed about 2,800 units in just 40 cities. In some key cities like Bangalore and others in Kerala, the heartland of mid-sized classic bikes, we are now already notching up to 20% market share. Our plan is to steadily grow our footprint to over 100 cities by quarter 4 end. But while doing this, we ensure that a superior customer experience is delivered. We will also commence high-quality engagement on the ground with potential and existing customers to bring the Triumph brand to life and demonstrate the richness of entering Triumph world. We commenced exports with over 6,000 bikes to multiple international destinations.

This quarter also saw a superb response to the all-new Gen 3 Dukes in the KTM range. The Gen 3 bikes strongly showcase KTM's READY TO RACE DNA. Our new Husqvarna range has just been launched as we speak in January and is expected to invigorate the brand with the aficionados in particular. Combined, we see this new portfolio increasing sales as well as the quality of sales and strengthening the KTM brand franchise.

Overall, and in summary, our focus will remain unerringly on delivering outstanding outcomes in 5 business areas, which I'd mentioned last time too. These are: number one, to drive growth in 125cc plus segment and build the Pulsar franchise through new launches; number two, drive for 80% market share in 3-wheelers and steadily expand e-autos; number three, ensure steady export recovery with quarter-on-quarter improvement in sales in every market; number four, expand the Chetak business to 15,000 per month based on new launches and good supply chain

Bajaj Auto Limited
January 24, 2024

support; and number five, scale up the Triumph sales in India and overseas and leverage new portfolio in KTM.

With this, let me hand over the call to Dinesh to take you through the financial performance.

Thank you very much.

Dinesh Thapar : Thank you, Rakesh. Good evening, everyone, and thank you for taking the time this evening to join us on this call. Let me start by saying that we are rather pleased with our performance, especially given the backdrop of the operating context in which it has been delivered.

The quarter stands out not just as a record quarter, but notably, is our third successive quarter that we have attained new highs in both top line and bottom line ; in many ways, a reflection of a business that is on momentum and resilience in the operating model, which has allowed for this delivery, notwithstanding the fact that we've had continued challenges and volatility across our key export markets.

Now before delving into the financial details, as is typical, let me provide you with a brief overview of the operating context that will set a frame of reference against which our financial results were delivered this quarter. On domestic markets, you just heard Rakesh say that they have been reasonably buoyant. Motorcycles saw broad -based double -digit growth year -on-year in the industry across segments ; M1, M2, which is 100 and 110cc and the 125cc upwards. So , all segments registering double -digit growth in the q

uarter on the back of a very good festive season and notably a post festive month of December when demand continued to hold out and register a healthy growth. The trend of the 125cc market growing faster was evident this quarter as well and, in many ways, was contributed and led out by our own performance being well ahead of the industry.

As for the CV industry, it sustained double -digit growth over same time in the previous year.

On exports, you've just heard the macroeconomic situation across some of our key markets remains weak and very volatile, which is delaying the recovery that we had hoped for. Although we continue to steadily inch our way back. We're doing our bit to tactically navigate this unpredictable situation through very specific interventions , working very closely with our distributors, trading partners and banking partners so that we can look to salvage as much volume month by month , while, of course, looking to drive and retain our competitiveness across each of our countries.

Very quickly on commodities, the purchase basket was by and large favourable . Commodity costs across the board saw a softening over previous quarters, most notably in the noble metals part of the portfolio. Steel and led were the exceptions where we saw slight inflation starting early in the quarter. But on balance, I'd say that the overall commodity context offered some tailwind that allowed us to dynamically manage the business for competitive growth and margin accretion in tandem.

Bajaj Auto Limited
January 24, 2024

As for currency, the USD INR situation has remained broadly stable and range -bound through this quarter. We've had a slight positive on export realizations coming in at 83.2 as against 82.6 in the previous quarter and 81.7 for the same time last year.

Now with this operating context as a backdrop, let me reiterate that we believe we had a very good quarter, delivering a strong set of numbers. Our growth has been consistent , it has been competitive, and it has been profitable.

At INR12,114 crores our revenue from operations for the first time has surpassed the INR12,000 crores milestone. It's reached an all -time high, registering a rather robust growth of about 30% year-on-year. And this was underpinned by a 22% healthy volume growth that was aided by a richer mix compared to previous year. We have more domestic commercial vehicles in the mix. We have more Chetak, and really, what has gone out of the way is the lower -priced motorcycle exports. And so that has aided a richer mix. And we've had slight contributions coming in from better currency realization and judicious pricing on a year -on-year basis.

From a quarter -on-quarter perspective, the double -digit revenue growth that you are seeing has almost been led out of volumes. This revenue growth is largely attributed to the outstanding performance of our domestic business, which has been firing on multiple counts for some time now. In its seventh successive quarter of double -digit growth, it has delivered an even stronger show this time around, achieving 50% revenue growth year -on-year. This acceleration on the domestic business on the back of sharp execution and impactful activation during the festive season has cushioned the relatively subdued, although recovering export sales amidst continued challenges in overseas markets. While export volumes were down 4% over previous year, the revenue, which is in the ballpark of about \$450 million for the quarter, grew about 10% on better

mix and improved dollar realization.

Staying on domestic for a bit ; our performance has continued to be broad-based with each segment, domestic motorcycles, our premium bikes business represented by KTM and Triumph, commercial vehicles, and electric 2-wheelers, all of them have grown scale and regi

stered

double-digit growth. Our motorcycle business has maintained a solid run growing twice as fast as the market in terms of the entirety of the business and about 6x the rest of the industry in our strategically important segment of the 125cc +Pulsar , as you just heard Rakesh talk, clocked its highest ever quarterly volume of about 400,000 units, with volumes having doubled in just about 2 years.

Commercial vehicles continue to do well and have delivered another quarter where monthly volumes have surpassed the 40,000 units monthly run rate as against a run rate of 30,000 units in the previous year, driven largely by the rising penetration of CNG on the ICE business, where we have a strong portfolio tailwind. Rakesh has already touched upon the success of the E 3-wheelers coming in from the early launch cities where we have already taken leadership positions within a few months of the launch and encouraged by the prospect that it offers for

Bajaj Auto Limited

January 24, 2024

Page 7 of 18

incremental growth, we have advanced our launch plans across many more cities in the coming months of this quarter.

Chetak has started to meaningfully make its impact and presence felt with volumes growing more than 3x year-on-year. It has now crossed over INR1,000 crores in revenue for us in the first 9 months of this year. And to give you a sense of how it is building out, the revenue in this quarter is almost equal to what we have delivered in the 9 months of the previous year. With an exit market share of 14%, a No.3 spot on market share , a new launch in the market, network expansion, impactful activation, we have our eyes set on a bigger ambition and growing further scale in the months ahead.

On Triumph, we delivered about 15,000 units this quarter, give or take. Of which, about 8,000 was domestic and the rest of it went off to the export markets. And work is currently underway on unlocking capacity at both the back end and front end, and that should enable stepped up volumes in the months starting March, April onwards.

Coming to bottom line, our EBITDA touched a new high of INR2,430 crores this quarter with a strong 37% year-on-year increase and delivering a margin profile of over 20% for the first time after 6 years. Our margin of 20.1% , up 100 basis points over the same time last year, resulting from better realizations, dynamic cost management and operating leverage, given a larger business, which more than absorbed the impact of the competitive investments that we are making in scaling up our electric scooters business.

In sequential terms, our margin improved 30 basis points with price versus cost and operating leverage benefits , more than offsetting the adverse mix, primarily arising from the growing scale of the profit dilutive electric 2-wheelers. So, in many ways, we are now absorbing the impact of the electric 2-wheeler scale-up from the robust margins that we've held out on the ICE business.

As for pricing, there was no real pricing up that was taken in the quarter. In fact, what we did was to plow back a small part of the commodity cost savings into reducing pricing on select models in domestic motorcycles, Chetak, and export markets to reset their relative competitive positioning.

To round it all up, we closed the quarter with profit after tax of over INR2,000 crores for the very first time. And once again, let me emphasize, the results demonstrate the resilience and strength of our operating model, given a unique mix of exports and domestic.

Finally, a quick word as we look ahead. We'd like to sustain the momentum in the domestic business and look to make it about as big as the festive quarter that has just gone by. Going by historical trends, you will note, that's an audacious ask but an aspiration, nonetheless. On exports, the effort rem

ains to steadfastly inch our way up. Of course, the recent events on the Red Sea shipping route, which has led to container freights spiralling out and delays in the last few weeks is starting to add to the existing pressure points on the exports business. That's something for us to manage.

Bajaj Auto Limited

January 24, 2024

Page 8 of 18

Alongside, we got a range of businesses that are at various stages of expansion with the plans

that are well underway : E 3-wheelers, Chetak, Triumph, and we'd like to continue to build these out decisively for greater impact and sustainable growth starting next quarter.

As for commodities, we're starting to see a slight uptick on costs on a few lines, particularly ABS, zinc, polypropylene, copper, rubber to name a few of the lines where the cost lines are starting to inch up and current estimates suggest that we will likely have some level of inflation in the quarter ahead, at least from where we see it at the moment. We'll wait to see how the rest of the quarter plays out, but something for us therefore to dynamically manage so that we can deliver yet another quarter of profitable competitive growth.

Lastly, before concluding a quick word on the recently announced buyback of INR4,000 crores under the tender route that we just announced at INR10,000 per share. This is in line with our dividend distribution policy that we updated a few months back that the Board has approved, which is essentially to include buybacks in addition to dividends as part of the overall pay-out to shareholders.

The growth of the business, the robust cash generation and a strong balance sheet position allows the company to provide for a much larger size this year as we expected to close the year with over INR20,000 crores of surplus cash. Our cash position as at the end of December is almost INR18,500 crores. And FY '24, so far is better than expectation and the profit pool, which is larger in keeping with the stepped-up company performance is allowing for that larger size compared to the last buyback that we had done.

Further to arrive at the offer price, we considered various factors, including the capital market benchmarks, strength on share prices, valuation parameters, performance of the company and more notably, the recent stepped-up performance and the outlook that we discussed to the Board and the impact of the buyback. All these factors were actively considered in the discussions with the board. And this was, of course, underpinned by Bajaj Auto's continued commitment and intention to offer a very healthy return to its shareholders.

As you might be aware, given that the size of the buyback, in excess of 10% of the paid-up share capital and free reserves, it requires shareholders' approval. The postal ballot for this is currently underway and will close by mid-Feb. And therefore, the next steps on the buyback will therefore play out in the month, all the way through to mid-March.

With that, let me hand the session back to Anand and then open it up for Q&A. Anand, over to you.

Anand Newar : Thanks, Dinesh. N eerav, with this, we can open the forum for the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while Bajaj Auto Limited
January 24, 2024

Page 9 of 18

asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Chandramouli from Goldman Sachs. Please go ahead.

Chandramouli: Hi, good evening and thank you for

taking my question. My first question is on the electric 2-wheeler product line. Nice to see the market share pick up there. So just wanted to understand what are some of the key factors that have helped the market share, improvement there over the past few months? And also going forward, if you could also help us with understanding what the product pipeline is looking like for the next 12 months?

Rakesh Sharma : The key factors which are driving the growth of Chetak is, number one, of course, the widening footprint. Once the supply chain issues get sorted out, 2 things will have happen. One is assurance of supply, and the second is to right price the product. We've done both these –and with the network now going to almost 160 cities, we have got a wider geography on which to play. Second is that Chetak has become competitive, in the sense that, it is now at almost equivalent pricing to key competitors and it's getting a whole lot of traction. We are going to continue both these.

Now, the third factor, which is going to come in play is the new variant, which we have introduced very, very recently. What we were picking up from customers that while the customers are really liking the classic design, the ergonomics of the scooter and some features like very nice tail lamp. One constant issue was around certain connectivity features. The new Chetak combined with its Tec Pac, which further elevates the performance, plus this gap as well. So, besides the metal body, the classic and elegant styling, various features, standout design, the performance, particularly in terms of top speed has improved, there is a TFT display, very elegant TFT display and offering a lot of connectivity features. And our very initial sort of feedback in the last 2, 3 weeks is that it is being very well appreciated.

So, we have 2 versions now, Urbane & premium, they are going to drive sales. The network

exercise will continue. By early Q1 of next year, we will expand our range with one more product offering, which I think will further boost our sales and market share growth in 3, 4 months' time . Chandramouli: Got it. That's helpful. And if you could just clarify the export revenue and the spares revenue for the quarter, please?

Anand Newar : Yes. So, the spares revenue in totality was close to about INR1,300 crores. Then domestic was close to about INR1,000 crores to INR1,050 crores. And exports revenue is close to about \$450 million.

Chandramouli: Got it. Thank you very much and all the best.

Moderator: Thank you. Next question is from the line of Binay from Morgan Stanley. Please go ahead.

Bajaj Auto Limited
January 24, 2024

Page 10 of 18

Binay: Congratulations for a very good set of numbers despite the adverse mix that we were seeing.

First question is on the electric vehicle side. You talked about 15,000 volumes in Chetak reaching in this quarter. Do you think that will be manageable despite the fact that your competition is offering quite aggressive discounts today.

Rakesh Sharma: I agree that there's a lot of discounting going on. But based on the momentum which we are generating, as things stand now, if I'm not mistaken, our bookings have hit 11,000 units already in January, while this discounting is going on, and there's still a few days to go. So that's why we're saying that. And the expanding network, we're getting into about 200 cities is quite a bit. This year, we have opened stores at the rate of one new store every 2.5 days. And if you have visited some of these stores, they are quite elegant, offering a very nice retail environment to the customer. And now all this is going to be leveraged. So, we feel that, yes, 15,000 units of a stretch given the circumstances, but certainly something which is within the grasp.

Binay: Certainly, linked to that, I think

you made a comment about another launch coming up. So, let's look 2 years out. How many EV 2-wheeler models in the portfolio are you working on, including KTM, Bajaj broadly give us a number -- like how many product offerings will be there 2 to 3 years down the line, just to get a sense on direction.

Rakesh Sharma : See a lot of this depends on how the industry moves at the end. Today, the industry is at 75,000 units per month, right? And just launching more and more products does not actually increase your share at all. You must be able to subsegment this and launch meaningful and relevant products, which are meaningful to that particular subsegment. At 75,000, it is not as if there are too many segments which exist over there.

So, we have some scenarios in our mind. We are working with consultants and as well as there is a very focused product development team and an exercise which is taking place, which is trying to imagine the different scenarios on how the industry will shape up and what kind of subsegment will grow. So, our strategic approach is to identify the nascent segments and launch products which are specific to those segments rather than just keep on launching variants. We had an issue with the existing Chetak, which we have resolved, which I just described.

There's a new one which is coming. And then let us see how the segments go, and then we will position our products over there. So, I can't give you an exact number. I mean, there are many, many products but they will be put into the market based on the maturity of the development.

Binay: And will it be fair to say that even the profitability point will be largely linked to scale up because if you see there is scale, there is supply chain and there's battery prices. The battery prices have started to come down. In fact, I think, there's a lot of excess battery supply today in the industry. So that should be a tailwind in '24. So, will the EV profitability then more rely on scale build-up and then other EV component localization?

Rakesh Sharma : Yes. So, it will be a combination. Like you said, there are certain efficiencies which come with scale. There is a certain forecast of the way cell costs are moving. And so that will add to it.

Bajaj Auto Limited
January 24, 2024

Page 11 of 18

There is also the opportunity with the portfolio expanding. We can sort of try and improve the blended ASP, but a lot also depends on how competition plays.

We obviously can't take the pricing decisions in isolation. We will have to balance competitive position, growth, and profitability as we go forward. This is a very dynamic balance, which we will have to maintain and of course, then there is this whole factor of the FAME availability and competitive response to how the FAME scenario unfolds, whether it will be maintained, whether it will be reduced or whether it will vanish. So, all these things go into the pot and from that, profitability situation will emerge.

Binay: And second, just on Triumph. Rakesh, you mentioned 20% market share. I'm sorry, I couldn't

catch, 20% market share was where, for Triumph?

Rakesh Sharma : So, we are overall in 41 cities . Of this , 10, 11, we have entered I think, only in November , December. We are doing, let's say, 2,800, 3,000 units in a classic 250cc - 500cc industry of about 70,000 units. So, we can say that we have 4%, 5% market share. So, to really understand the performance, look at all those markets where we are there for 3, 4 months now, how are we doing over there?

So, let's take Bangalore. Bangalore is a very important market because as you know its early mover market, people are very open to new introductions, et cetera. Just for Bangalore City, we have reached a 20 % market share.

Let's take Kerala. Kerala is a heartland of classic bikes 250cc to 500c

c. We are in 2 cities now

for 2, 3 months, that is Trivandrum and Kochi. We are somewhere between 15% to 20% market share there.

So, we are looking at market share achievement city by city to understand the reception of the product. And that's what I meant. So, when I gave you those markets, that were retail market share specific to those cities.

Binay: And lastly, order book number on Triumph now.

Rakesh Sharma : No, it's no order book now. That phase is over. Now it is available off -the-shelf. People come in and they buy, and they get delivered. Supply chain has caught up with it. So, including exports , it's available off the shelf.

Binay: And just one last question, Rakesh. I can't resist myself. What will be the big risk in 2024 because your exports are, in a way, coming off on a low base. Indian 2 -wheeler market is just starting to turn. So, what do you think will be the big risk to 2024 versus 2023 that we should monitor, downside risk?

Rakesh Sharma : See, frankly speaking, there is exports due to geopolitical and macroeconomic reasons, where we are going through a more difficult scenario , is certainly something which we keep thinking

Bajaj Auto Limited

January 24, 2024

Page 12 of 18

about and which we keep monitoring. And even when it comes to domestic, let's see how the elections behave , however we're not seeing any dark clouds on the horizon at this point of time. All things are manageable, like Dinesh had said there are some costs which are going up. There is no major dislocation, which is expected. But yes, one very important event to watch is how the elections shape up and what kind of implications are there . So those are the 2 things I would sort of single out at this point of time.

Binay: Thank you.

Moderator: Thank you. Next question is from the line of Gunjan from Bank of America. Please go ahead.

Gunjan: Hi, Thanks Team for taking up my question. I have 2 follow -ups. Firstly, on the export business. You mentioned that LatAm & Middle East are some of the markets which have done very well. Can you talk about how the geographic mix looks like now on the exports in terms of Southeast Asia & Africa. And, if you can talk a little bit more about Nigeria. I mean, has there been any change in the trend on the ground? And if not, what really changes the sentiment back in the market or you see it's going to be slow grind up and can take much longer.

Rakesh Sharma : Approximately the mix is, Africa, which was thrusting at 55% or so is now 45% and Latin America used to be 16%, 17% , it has now crossed 20% and becomes 25%. South Asia is about 15%, -16%. Middle East and North Africa is 9% -10%. So that's the kind of shift. Africa is, like I said, about at 50% of its peak rate. South Asia is at 70% of its peak rate. Latin America is at 107% of its peak rate. And Southeast Asia is also, I think, about 103% of its peak rate. But obviously, you would have totalled up the figure, the ones which are crossing their previous peak rates are adding up to only 35% rate . But still South Asia and Africa, which is down either 50% or 30%. So that is what is dragging it down.

Nigeria , we used to do a good sell 50,000 units per month of Boxers. And now we are doing 20,000, 25,000. So , it's still 45%, 50%. Basically, the issue is the devaluation, which has been very, very sharp if you know. The government there is playing for the longer term, and it's not so easy to correct all these excesses of the past. The street rate and the official rate is narrowing down and they're going down that path. But it's taking time for them to come to grips with that. They don't have that kind of a control where all the fiscal and monetary levers are in full control. So that is why it is taking a lot of time for this thing to get corrected and for people to start

to

feel better about the economy. But the customer is very resilient and has continued to purchase. Hopefully, the resilience will lead to better acceptance of the rate and normalcy will return. And there is no singular event to watch out for, like you also mentioned. It will be a grind up. It will be slow and steady movement up. I certainly don't think that any one silver bullet or a lightning

rod, which will just change the whole thing in Nigeria. It will be a progressive improvement.

Gunjan: And any plans on the exports for the Chetak because I think, given that we already have a fairly good presence in terms of reach in some of the export markets, how are we approaching that as an opportunity?

Bajaj Auto Limited

January 24, 2024

Page 13 of 18

Rakesh Sharma : We have got a 3-pronged approach or a 3-horizon approach. There are markets we have identified for sort of entry within the next 9 months or so. We have a cluster of countries where we have to prepare a few things because you have to deal with the new telemetry, telecom, data management with the customer, etcetera, all these things. We have a cluster of countries which we think we should enter in by year, let's say, beyond 9 to 18 months, and then there is a horizon 3 which is beyond 18 months.

But for which some of the actions we have to take now, even if we have to enter a country 18 months later. So, we've got these clusters grouped. I think in the new fiscal year, maybe in the first half, we will see some solid entries. We have shipped out some products, but they are more on a sampling and market test basis. But in terms of proper rigorous launch, I would say it will be in the first half of next year.

Gunjan: Okay. Just last question from my side. We keep hearing this CNG bikes over and over again in the press. If you can sort of run us through the thought process and how viable it is? Is it something that we should think about coming through in next 2, 3 years? Any thoughts around that?

Rakesh Sharma : The fundamental thing is that for some inexplicable reason, the fantastic work which has happened on the development of the CNG network across the country has been quite underwritten and under-talked about. From almost next to nothing, we have 4,000 pumps in 335 cities, which are serving industrial, household, and transport sector. This is a very important infrastructure on which we can build things. We have already leveraged this. We've been able to leverage this with our 3-wheeler businesses. Today 60% of the 3-wheelers are based on CNG. And the reason for that is, that compared to diesel the operating economics for a driver, are extremely beneficial. The payback for our CNG 3-wheeler is 6 to 9 months' time. So, it's a win-win. It's a win for the driver. It's win for the country because it's using the network and its pollutant price is less and it's a win for Bajaj Auto, because we've got 85% market share of CNG. And I'll tell you one thing, compared to CNG 3-wheeler, the proposition for an electric 3-wheeler is that much diluted. But of course, when you compare electric 3-wheeler to diesel or to petrol, there is a very, very compelling reason to shift, but not so when it comes to CNG. The requirement of a motorcycle to travel longer distances and not be bothered about the charging and all that, are far simpler when it comes to CNG. So, we get the question then why not a CNG motorcycle. And therefore, we are working on a CNG motorcycle. I cannot tell you the precise time. But you will definitely see it in FY '25, not in 2, 3 years' time, but in the next fiscal.

Gunjan: Got it. Thank you.

Moderator: Thank you. Next question is from the line of Amyn from JPMorgan. Please go ahead.

Amyn: Thank you for the opportunity and the detailed commentary. I just want to go back to the exports. Ar

ound 6 to 9 months back when you were discussing exports, I think the main issues were inflation, which was impacting demand and obviously, currency, which was impacting supply.

Bajaj Auto Limited

January 24, 2024

Page 14 of 18

Today, we have the additional issue of the Red Sea. So, looking at it right now, which out of these 3 is the most important one in terms of driving demand.

And b, given that we have this additional issue coming up, should we temper our expectations on near-term export recovery? Or you'd still think that despite this the quarter-on-quarter recovery, which we have been seeing and which you have been talking about is something that is still achievable?

Rakesh Sharma : See, if you mean the near term to be, current month and one-plus-one, if that is your definition of near term, certainly, the Red Sea imbroglio is casting a shadow because there are shipping line interruptions, etcetera. But I'm hoping that it doesn't move into a war zone or something. What happens whenever the shipping cycle gets interrupted; the issue is not just the liner. The issue is that the container locations get imbalanced. And it is not easy to find containers. That takes a little bit time to resolve. This happened in a massive way during COVID. You know that most of the containers stuck in San Francisco and Los Angeles, and there was nothing available in Bangladesh and all that. So, people find the container mismatched over here. To some extent,

that is what has happened because suddenly, the shipping times have increased from 3 weeks to 6 weeks for LatAm, let's say. But it is isolated, so it's not as severe as the COVID time. So therefore, we are hoping that the container availability resolves itself. The other 2 impacts of Red Sea are the shipping duration increasing and the costs going up, right? The freight rate will increase. Both those can be adjusted on pricing and on adjusting ordering patterns to deal with the delays. So, if the conflagration does not widen and become more serious, we should be able to get out of in 2 to 3 months.

But fundamentally, if government gives me a magic wand, I would say, please get me rid of this inflation and the availability of the dollars. The whole process of letters of credit being opened and then after that, they've been confirmed and all that, the whole financial system is in quite a bit of a pressure. That is taking longer than we had expected.

So, we had thought that every quarter will be a 10% improvement. Now we saw that this quarter is only a 2% improvement. Maybe the next quarter will be also thanks to the Red Sea, will be a 2% to 5% improvement. We'll have to see with each month, I cannot give you an exact number now. But it will be in that kind of a zone. So, our thing is that, okay, maybe not 10%, but let's try to improve quarter 4 over quarter 3.

Amy: Sure. That's helpful. It's good to know that you're still looking at an improvement even if it's a low-end improvement. My second question is just on the profitability. I mean, historically, if you look at the pecking order of different segments, I mean your commentary has indicated in the past that the domestic 2-wheeler business was at the bottom of the pecking order of profitability.

Bajaj Auto Limited
January 24, 2024

Page 15 of 18

Would it be fair to say that because of the way your mix has changed, and your market share has improved in the 125cc plus category, the domestic 2-wheeler profitability has improved? And is it now equal to that export 2-wheeler? Or would it still lag? Some colour would be helpful.

Rakesh Sharma: Well, our profitability over 2 years, the biggest swing which we have seen is actually in domestic motorcycles. I'm talking of no

t profitability. I'm talking of the profit, the EBITDA, the absolute

EBITDA. The biggest swing which we see, the delta is actually in domestic motorcycles. And that like you said, entirely because of the makeover in the portfolio and the mix change.

Compared to overall exports, overall export is still higher. Dinesh, you may like to add.

Dinesh Thapar: Yes. I think to add to what Rakesh has just said. Clearly, if you go to look at the margin improvement on 2 counts. One is, of course, the fact that commodity benefits and operating leverage have really benefited all business lines. So, the rising tide on that has benefited each of the businesses. But clearly, from a mix movement standpoint, domestic motorcycles have clearly gained during this period of time. Exports, your question very simply answered. Exports continues to remain more profitable at this point of time because it been bolstered by improved dollar realizations.

Amy: Understood. That's helpful. Thank you.

Moderator: Thank you very much. Next question is from the line of Hitesh Goel from CLSA India. Please go ahead.

Hitesh Goel: Sir, my questions have been asked. Thank you.

Moderator: Thank you. We move on to the next participant. Next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Hi, good evening. On Triumph, I wanted to check what are the volume targets here and the 100 cities that you're trying to reach by Q4, what percentage of the market would they cover?

Rakesh Sharma: These 100 cities would then cover 50%+ of the market for Triumph.

Kapil Singh: And on the volume target, what is the aspiration to reach by end of the year or next year?

Rakesh Sharma: We've not worked out the exact target. Capacity wise, including exports, we are planning to go up to 20,000 and then 30,000 during the course of the year. Then we will see how this rollout goes. Because in the case of Triumph, it is also a host of customer engagement activities, which we feel that we have to start to open up the moment. We have reached a critical mass in about 50, 60 cities so that we can start to make brand also a reason for the customer to start with. Our plan for Triumph is not really driven by volumetric goal on the sales side month-after-month. We right now have a capacity of 10,000, it will be increased to 20,000 and then progressively 30,000 in the first half of the next year. This, of course, also includes exports.

Bajaj Auto Limited
January 24, 2024

Page 16 of 18

A very important target now for the team is to start to make the Triumph brand very, very real

for potential customers for them to experience this very authentic, classic heritage brand through direct engagement. So, we are trying to win these enablers of growth, which is a very nice shopping environment, good product portfolio, right now 2, slowly will be increased to 3 and a great engagement in line with the brand position.

Kapil Singh: Sir, and also on the domestic 2-wheeler market, could you give us an update on the new launch plans? Also, would like you to reflect on the strong success we're seeing in the 125cc segment. Maybe what really has worked in the last 1 or 2 years for us?

And there is more competition coming as well. So how do you think about this segment? And also, the 100cc segment, basically trying to understand whether you're comfortable with the way things are going right now. Because 100cc still forms, almost half of the motorcycle market. So, are you going to look at it more aggressively or not?

Rakesh Sharma: One thing which really works in the 125cc segment is we were very early to spot the rise of the 125cc segment when the BS-VI related costs went up, we knew that the 150cc costs were going up much more because of the ABS, et cetera. And therefore, the combined effect of

ABS and

BS-VI would increase the prices of 150 and create an opening for 125. So, we have spotted this segment early. This segment has got customers who are wanting to be a pure commuter, slightly older in age profile to very sporty and youthful customers. Now if you see, we're only one, who straddled the whole spectrum. So, we have got a Pulsar 125 for a person who is purely commuting based, and we got a Pulsar NS125 with upside down fork, LED headlamps, very, best in class power and all these features for the very youthful college-going youngsters. Now this coverage of different subsegments within the 125 segment is about 260,000, 270,000 units now. The coverage of this segment puts us in a very, very good position to be able to continue to drive growth. And that is the reason why we are outstripping the industry growth. I mean if you take us out and like Dinesh said, if you compare rest to the industry with our performance, and we are 6x faster than the rest of the industry. And that is because we've got a Pulsar for each type of customer over there. And that is the campaign we've said, there's Pulsar for every maniac. And then you've got all these go-to-market issues. So that strategy has really worked out for us. Early movers, subsegmenting and putting a Pulsar, which is very good with brand name, putting a relevant Pulsar for each segment. And nobody has that kind of a spread if you see. I think we've got 7 to 9 models from 125cc to 200cc compared to others, 3 or 4.

Kapil Singh: Yes. And sir, can you also talk about the relaunch plan? And any thoughts on the 100cc segment?

Rakesh Sharma: Yes, we've got plans, is that every month, you will see 2 or 3 upgrades between now and April, May, and we are hoping to present a bigger Pulsar in the first quarter, hopefully of next year. It's a breath-taking pace. It's a non-stop mania as our team is calling it. And nothing like new products and upgrades to excite the upper half of the industry.

Bajaj Auto Limited

January 24, 2024

Page 17 of 18

In the 100cc segment, the issue is that we are constantly seeking a right balance between the triad of growth and volumes and market share and profitability. We are not wanting to approach this only from the lens of price as we did 3, 4 years back and then we have seen that it is in the red ocean out there, if you just want to go purely on a price basis.

While we have a good play in the 100cc segment through our Platina, which is giving us a 10%, 12% market share in the 100, 110cc segment. But given the fact that the economic drop is improving, and even this segment has emerged from the shadows of COVID. We feel that it is a better strategy to invade the segment from outsider's segment to pull up the people into 125cc. And some of it is happening with the Pulsar. We are looking at programs where we will be able to offer a very appealing product to people who are in 100cc to and migrate them upwards, instead of matching the product and price of a leader.

We want to stay away from that kind of a strategy from being a Me Too, you can see recently some competitors have launched Me Too 100cc they go nowhere. And they're not prepared to get into the red ocean just for volumetric gains. And it may be just 50% in volumetric terms but is much smaller in terms of the profit pool, which it offers. And because it's much smaller in terms of profit pool it offers, we are not ready to bleed to just get some volumetric gains. We will invade this segment from outside the segment, from adjacent to the segment. And you will see as the new fiscal unfolds, our attempt of that.

Kapil Singh: Thank you very much sir. Look forward to that and wish you all the best.

Moderator: Thank you. Next question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Thank

you for the opportunity. Congratulations on scaling up the 2-wheeler volumes. It will be great if you can help us understand that how are we thinking on profitability on E 2-wheelers considering lithium prices have been coming down and with improving scale and PLI benefit,

any milestones on profitability on gross margin level and EBITDA, you would like to share.

Dinesh Thapar : I think Rakesh answered this in part earlier. But you're right that we're seeing lithium prices coming off. Also, I think the full effort on the R&D front and on product is starting to show up some savings. So, we are definitely sitting on a better margin profile relative to where we might have been about 6 to 9 months back, right?

Having said that, there is still some amount of work to do before we start to reap the full benefits of the battery cost savings. So that's one piece, which is there. Obviously, with growing volume, we are getting some amount of operating leverage, but you realize that as Bajaj Auto, we don't have an excessive amount sunk into fixed cost this time because we're clearly leveraging the wider organization as far as establishment is concerned. So, it's really on specific facilities that we've put up for Chetak and the E 2 -wheelers on which we need to really manage the fixed cost base. But that's not really the highest amount. I think much of the profitability will go behind product, how we play a fuller portfolio and try and drive better ASP, whilst we really reap the benefits of falling lithium prices.

Bajaj Auto Limited

January 24, 2024

Page 18 of 18

I think the big element on the horizon for us to watch for is what will happen to industry pricing as indeed our own pricing because we will want to remain very competitive given our aspiration. And so, what will happen to industry pricing as FAME gets reset and whichever way it gets reset. We saw what happened in June, when FAME subsidy was paired down and what it led to on pricing. So very mindful of that. We will retain competitiveness, and that could mean that there might be an impact on pricing and therefore, margin. But that's something to be watched for.

In the meantime, the big levers of margin improvement will be, of course, growing scale, deferring fixed cost over larger volume, product benefits coming out, work that is happening on R&D and really benefiting from falling lithium prices on the battery.

Aditya Jhawar : That's helpful, Dinesh. Final question is on PLI certification. Where are we on that? Any timeline that you can share and how many products we plan to get in this fiscal year?

Dinesh Thapar : So PLI certification applications have been made to the testing agency. In our case ARAI is the relevant testing agency. Applications have been made for the electric 2 -wheelers and the electric 3-wheelers and they are at fairly advanced stages of engagement with the testing agency for certification.

We are hoping that all going well, it should see the light of the day in the course of the current quarter, but there is a process that we need to follow. And so, one is only hoping that it happens sooner than later. But all applications for both the electric passenger 3 -wheeler, the electric cargo 3-wheeler and on Chetak are already in and at the moment with the testing agency.

Aditya Jhawar : Ok. All the best.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I will now hand the conference over to Mr. Anand Newar, for closing comments.

Anand Newar : Thank you, everyone. Thank you for joining us for the call. With this, we can take the pending questions that we have, maybe after half an hour from now. Thank you.

Dinesh Thapar : Thank you.

Rakesh Sharma : Thank you, everyone.

Moderator: Thank you very much. On behalf of Bajaj Auto Limited, that concludes

this conference. Thank

you for joining us. You may now disconnect your lines. Thank you.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2024

Registered Office Akurdi Pune 411035 Indi a CIN L65 993PN2007PLC130076

25 April 2024

To
Corporate Relations Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Tower
Dalal Street
Mumbai 400 001 To
Corporate Listing Department
National Stock Exchange of India
Ltd.
Exchange Plaza, 5th Floor
Plot No.C -1, G Block
Bandra -Kurla Complex
Bandra (East), M umbai 400 051
BSE Code: 532977 NSE Code: BAJAJ -AUTO

Subject: Transcript of Conference Call held in respect of the Company's Q 4- FY24 results

Dear Sirs /Madam ,

Please find enclosed the transcripts of the conference call held on 18 April 2024 in respect of the Company's Q 4-FY24 results .

The transcript will also be hosted on the Company's website at
[https://www.bajajauto.com/investors/financial-and-operational -performance](https://www.bajajauto.com/investors/financial-and-operational-performance)

Kindly take this on record.

Thanking you,

Yours faithfully,
For Bajaj Auto Limited

Rajiv Gandhi
Company Secretary
A11263

Encl: as above

Page 1 of 20

"Bajaj Auto Limited
Q4 & FY 2024 Results Conference Call"
April 18, 202 4

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Page 2 of 20

Bajaj Auto Limited
April 18, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY 2024 Results Conference Call of Bajaj Auto Limited. My name is Dorwin, and I will be your coordinator. As a reminder all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during this conference, please signal an operator by pressing * and then 0 on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head Investor Relations from Bajaj Auto Limited. Thank you, and over to you, sir.

Anand Newar: Thanks, Dorwin. Good evening, everyone, and thank you for joining us for the call today.

Welcome to Bajaj Auto's Q4 and FY '24 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with the opening remarks from Rakesh on the business and operational performance for the quarter, and Dinesh will take you through our financial highlights. We will then open the forum for Q&A. Over to you, sir.

Rakesh Sharma: Thank you, Anand, and good evening, ladies, and gentlemen. Welcome to the call. Thank you all very much for coming. We hope to make it worth your time. I must begin by saying we are absolutely delighted to have established multiple records in FY '24 - highest ever revenue, highest ever EBITDA and PAT, highest-ever free cash flow, highest spare revenue, highest Pulsar volumes, highest 3-wheeler volumes and highest-ever KTM volumes in India. Another notable achievement, which I must mention was the world-class TPM award from the Japanese Institute, JIPM. We are the first Indian company and the 31st company in the world to receive this graded award.

Now Q4, though it was not a record quarter, but it was the second-best quarter of a record year with 24% growth in volumes, 29% in revenue and 34% in EBITDA, just missing the INR2,000 crores PAT milestone by a small margin. All this delivered with a muted export performance makes it quite satisfying.

Going forward, our stance remains to drive hard on top line growth without diluting our best-in-class profitability. We believe that the environment offers us such an opportunity, but it is a complex situation. On the positive side, we expect the domestic industry to grow at a good rate of 7% to 8% per annum with the upper half of the demand pyramid growing significantly faster. Consumer optimism is improving, reflected in loan tenures and financing penetration. Overseas, except for a few markets, the recovery in most has commenced. Growing penetration of EVs is opening up a new segment for us. The cost environment is benign, and the gentle devaluation of the Indian rupee is helpful for our exports. However, currencies in emerging markets remain fragile. In large markets for us, like Nigeria and Bangladesh, there has been runaway inflation and customers have to come to terms with that.

Domestic policy changes may impact the development of EVs and then there are the geopolitical issues, which affect both markets and supply chains. It is difficult to anticipate the precise shape, timing, and location of opportunities. Hence, our approach is to focus on our positioning,

Page 3 of 20

Bajaj Auto Limited
April 18, 2024

preparedness, and response. Indeed, our architecture of independent SBUs, distinct brands and an array of over 60 models gives us a broad interface with the market while retaining focus through SBUs. Hence, we believe we are well poised to leverage the opportunities and keep growing faster than the industry as was achieved in FY

Y '24. Now let us examine our preparedness
SBU wise.

Exports business unit. The macroeconomic and the geopolitical issues continue to be a challenge, though the number of markets severely affected has been reducing. We have divided the overseas markets into three sets: Stressed markets, these are now Nigeria, Bangladesh, Kenya, Egypt, and Argentina; second, the recovering markets, which are mostly the balance

markets; and thirdly, the new markets, which is a group of new territories and new segments in existing markets where we are going to enter or have recently entered.

For our FY '25 planning, we have taken a very cautious view of the stressed markets, an aggressive approach in the recovering market and a strong launch in the new markets and new segments. While it is difficult to precisely estimate prospects of the stress countries, in the recovering market, most countries are doing better, particularly in LatAm and ASEAN. This powered performance in second half and quarter 4 were mostly through a 26% growth in our Pulsar brand. We will continue to build on this in FY '25 too.

Turning to new markets. The new plant in Brazil will start production by June, allowing us to service the pent-up demand and rapidly scale up the network. In this quarter, we will expand our presence in Europe. We are also delighted that the Egyptian government has formally recognized the category of quadricycles for public transportation, and we will commence the first exports of Qute to Egypt within this month. As you know, the 3-wheeler format is banned in Egypt in 2022. So, the recognition of Qute opens a potentially large segment, which we will steadily develop. On this basis despite a cautious view of this market, we expect FY '25 to be better than FY '24 volume and much better in revenue terms.

Domestic motorcycle business unit. In quarter 4, our retails grew at twice the rate of others, and in the 125cc plus segment, our retail grew 4x than others. 75% of our business comes from the 125cc plus segment, while for the industry, the ratio is 52%, up marginally from 49% in FY '23. Consequently, our market share in the upper half stands at 27%, a gain of 5% and just 2 percentage points away from leadership. At the start of the year, we were 10% points behind the leader. So, we've closed the gap by 8 percentage points. This is the outcome of a slew of well-targeted new launches, nine of them in FY '24, spanning the 125cc to 250cc class, which means we have a proposition for all segments of customers - commuter-oriented, style inspired, or high performance led customers across all demographics.

Pulsar has now become a INR10,000 crores brand. Further 6 models will be launched in H1 of FY '25, beginning with the biggest Pulsar in early May, ensuring that we set a relentless pace and are always top of mind of the customer. We will also take aim at the mileage conscious commuter by launching the world's first CNG bike, which will halve the commuting expenses of the common man. Besides fuel economy, the bike will have a standout style, best-in-class comfort, and a dual fuel capability with both CNG and petrol fuel options on the same vehicle.

Page 4 of 20

Bajaj Auto Limited

April 18, 2024

The mileage conscious customer is spread across the 100 cc to 125cc commuter segment and is well over 600,000 units per month. Over 60% of this is covered by the CNG infrastructure, hence, the opportunity is exciting. With this, we would have a position in all the motorcycle segment, setting us up to continue to grow faster than the industry.

Commercial vehicles, the 3-wheeler BU maintained its rock-solid performance with an overall market share of 78% in FY '24, up 5% from FY '23. The recovery in this sector is now almost complete in most regions

, and we will witness organic growth here onwards, largely led by the expansion of the CNG network. However, while we will hold market share in the ICE segment, growth will be driven by EV autos, particularly in markets where ICE autos are restricted. This is almost 45% of the industry, and it is currently served by the e-ricks and presents fresh new opportunity for growth.

Our EV 3-wheelers have been very well accepted and are now available in 60 cities, giving us a market share of 30% in such addressed markets. We will rapidly scale up EV presence across the country. And as we do so, we will focus harder on the restricted market, cannibalizing the end-of-life e-ricks and the evidence of this cannibalization has been studied and experienced by us in the last few months. In quarter one, we will more than double our presence adding one store for EV auto, every two days. The advancing CNG network, our solid presence in it, combined with the scale-up in EVs, particularly in markets not available to us thus far should drive handsome growth in our 3-wheeler SBU.

Chetak business unit. Chetak did well to close the year with the number three position, up from number six or seven at the start of the year in a fiercely competitive environment. The growth of EV should continue, perhaps at lower rates despite the changes in the subsidy regime, mainly by continuing to cannibalize the ICE scooter. This again is a new opportunity for Bajaj. We have undertaken a rapid expansion of the network, building on product acceptance and a strong pull from our existing dealers in other BUs.

The 200 stores will be increased to 600 within the first half, giving us an outstanding depth and coverage. Upgrade of Chetak in quarter 4 and the impending launch of a new Chetak in quarter 1 should ensure that our sales continue to grow every quarter, though April, we see a dip in the industry due to advancements made in March. Robust supply chain and R&D work has ensured

that we don't need to be swimming at the deep end of the red ocean and the drag of a growing 2-wheeler EV business on corporate margins has been significantly mitigated. We are continually investing in cutting-edge technical capability, Chetak Technology Limited, a 100% subsidiary, will now be singularly led by this mission. The business teams are also being expanded.

Pro-Biking business unit. This BU houses 2 brands, actually 3, KTM, Husqvarna and Triumph. KTM and Triumph, each have a dedicated network of sales and service. KTM had its highest ever year, as I mentioned. The new gen KTM and the recently introduced Husqvarna range should help us build on this best-ever year. In FY '25, we will introduce the big bikes of KTM in select cities and invest behind the fundamental development of the sports category in close partnership with teams of KTM, Austria.

Page 5 of 20

Bajaj Auto Limited

April 18, 2024

In the Triumph business, we have 3 key initiatives, scale up the domestic network to 150 stores within the first half, develop the brand and offer a top-class differentiated experience and support Triumph U.K. to successfully expand business in overseas markets. We have exported over 19,000 bikes to 57 countries and commenced retail in 50 of them. The initial reports are promising, and we see a good upside in exports. We are anticipating expansion of the portfolio in H2, which combined with network as well as brand development should steadily drive up the volumes and win share.

Finally, our captive finance company, BACL commenced operations and have started to build its book since 1st Jan, and we'll continue to expand its territory coverage through FY '25. In summary, this is the year we really scale up while holding leadership shares in existing segments and markets. I

hope you have some appreciation of our preparedness and positioning to realize the opportunities before us. And I hope I've been able to convey the basis of our optimism and excitement for FY '25.

Thank you very much. And now let me hand it over to our CFO, Dinesh Thapar.

Dinesh Thapar: Thank you, Rakesh. Good evening, everyone. As always, thank you for joining us for this call. Given that we've reported both quarterly and annual financial results this time around, let me start with the commentary on the quarter and then round up what has truly been a landmark here for the business.

Starting on the quarter. On domestic markets, you just heard Rakesh say that the industry has continued to see growth across businesses, although a bit lower than the buoyancy of the previous quarter, which had an upbeat festive season. And when I say growth, here I am essentially referring to a comparison versus same time last year because compared to the previous quarter, it is expectedly lower given the seasonality then. The motorcycles industry as has been the case for some time now, was led by the low double-digit growth in the 125cc plus segment, whilst M1, M2 was at a muted low single-digit growth. And as for us, we delivered another share gain performance growing well ahead of market yet again, but more particularly on the 125cc segment where we have registered growth rate that was 4x versus the rest of the industry, consistent story that you have now heard from us for many quarters.

The electric scooters industry hit its peak in March given the impending transition from FAME-II to the EMPS Scheme effective April 1, that was announced through the quarter. And for only the second time the month saw a breach of the 1 lakh units per month. The last time this happened was in May, again triggered then by the subsidy change. And what was a highly competitive market context in the quarter, as indeed for the most part of the year, with many moving parts on execution. Chetak delivered its highest quarterly numbers of nearly 40,000 units with significant share gain, moved from 5% same time last year to 13% as it currently stands during this time. And to put this in perspective, this time's quarterly number of about 40,000 Chetak's was more than the electric scooters that we sold in all of financial year '23, a testament to the steady progress that we've made over the last year on electric mobility.

Page 6 of 20

Bajaj Auto Limited

April 18, 2024

The 3-wheeler industry saw modest growth compared to the previous quarters. With the e-auto, as we see at the L5 as the industry palms grows, the contribution to the industry now beyond 10% for the first time. Here again, we've sustained the step-up sales trajectory of over 100,000 units for third successive time while expanding volume, market share and network presence on the electric front.

As for exports, the macroeconomic challenges processed across a range of our key countries

with the Red Sea crisis issue - disrupting lead times and sharply insulating container freight rates. The industry continues to remain about 20%, 25% below its peak of the FY '22 year when the world was flushed with liquidity. And as for us, volume was flattish compared to the last quarter, but up 20% against the low that we had same time last year. That was the lowest that the export business had gone to, and therefore, on that low base, we have registered a 20% increase in volume this quarter compared to that quarter of the last year. The approximate \$460 million of revenue that we've had on exports, therefore, grew double digit and further benefit from better realization and a richer mix, notably more sports and premium motorcycles and commercial vehicles.

On commodities, the overall basket, let's say is by and

large neutral - steel, aluminium, lead, and rubber were about flattish. Zinc and ABS saw some tightness, whereas the noble metals portfolio across all 3 rhodium, platinum & palladium and nickel were relatively soft. So therefore, on balance in net overall terms, I assumed the fourth quarter compared to the third quarter was flat from both a cost and therefore, resulting pricing perspective. And for currency, it was steady and largely range bound with the realization coming in at INR83 to \$1 this time around compared to INR83.2 in the last quarter and INR81.5 same time last year.

So, bringing all of this together, the quarter closed with revenues of around INR11,500 odd crores, delivering a substantial 29% year-on-year increase. Within this, the domestic business registered its eighth successive quarter of double-digit growth, while exports this time around also reported double-digit growth on a soft comparator in the base period. This overall growth was led by the robust 24% increase in volumes and further aided by a richer mix of premium motorcycles and more commercial vehicles across both domestic and export markets as well as by a larger number of higher-priced Chetak.

As for currency and pricing, they netted off each other to be flattish for the quarter compared to same time last year. Additionally, our spares business continued to grow bigger and bigger with each passing quarter, generating peak sales that crossed INR1,300 crores this quarter. EBITDA came in at INR2,307 crores, a very strong growth of 34% year-on-year with the enterprise margin holding steady at the 20% level.

Compared to the same period last year, margin was up 80 basis points, largely led by better realization on operating leverage which was partially offset by the investments that we have continued to make to competitively grow our electric scooters business, which, as you would have made out, was up 4x this quarter compared to the same time last year.

Page 7 of 20

Bajaj Auto Limited

April 18, 2024

Sequentially, we are holding on to margins here, and that is quite notable. The favourable mix offset the operating deleverage since last quarter was the largest seasonal quarter, but importantly, cost savings on electric vehicles contained the incremental drag arising from a higher volume. We've been talking to you about a fair amount of work that has been in the pipeline on cost rationalizing and driving the economics of our electric scooters business, and that is now coming to fruition. And in many ways, the cost savings that we have seen in this quarter has contained the incremental drag arising from higher volumes.

Finally, we reported profit after tax of INR1,936 crores, which was up a significant 35% year-on-year. At the end of the quarter, I must say that it's been yet another solid show, and we are quite pleased at how we're dynamically managing the business, both for a competitive top line as well as for a sustained bottom line.

Coming to annual. Let me spend a couple of minutes to wrap up the year. And this was detailed in our press release, and I'm hoping most of you have had got a chance to see it. It's been a record year of performance. We have achieved new milestones across all financial metrics: Revenue, EBITDA, PAT, cash flow and capital productivity ratios of ROCE and RONW, they have been at their highest ever. Our revenue at nearly INR45,000 crores was up 23%, and this is notwithstanding the sluggish volumes arising out of the macroeconomic challenges across key export markets.

And here's where I want to emphasize the inherent resilience in our business model, where we have sizable businesses in both domestic and export that can make up for each other when one goes through rough weather. The fact that we have registered

our biggest ever year, adding over

INR8,000 crores of revenue with only domestic coming to the growth party reflects that resilience and action.

On domestic, pretty much every business, motorcycles, KTM, commercial vehicles and Chetak, they registered their lifetime high revenue and delivered share gain - every single one. In motorcycles, we emerge on a full year basis as the largest 125cc player, we remained decisively

the largest 3-wheeler player and rose to the third largest electric scooter player in the latter part of the year. This should give you a sense of the business firing on all counts.

EBITDA at nearly INR9,000 crores was up 35% year-on-year on the back of very solid margin expansion of 180 basis points. At a full year margin of 19.7%, we have now added almost 400 basis points of margin in the last 2 years. But what is more noteworthy is that during this time, we have dynamically managed the business to both invest substantially behind the profit dilutive electric scooters business for their competitive growth and scale up while continuing to expand the overall enterprise margin substantially, both being done in tandem.

We closed the year with profit after tax at a new high of about INR7,500 crores, that was up a strong 33%. The emphasis on cash generation and high cash conversion, which is essentially profit to net cash, saw INR6,600 crores of free cash flow being added during the year. This was again at an all-time high and up 40% over the previous year. And this is after spending in the whereabouts of about INR700 crores or INR800 crores of gross capex that was primarily and

Page 8 of 20

Bajaj Auto Limited

April 18, 2024

strategically directed towards enhancing our capacity and capabilities in electric 2-wheelers, electric 3-wheelers, and premium motorcycles.

Our balance sheet continues to remain very strong with the year-end net surplus funds at over INR16,000 crores and this is even after a sizable payout to shareholders, which between the dividend in July and the recently concluded buyback was of an order of nearly INR9,000 crores. This healthy balance sheet provides the fuel for sufficient and competitive growth investments for the business, including funding the equity capitalization needs for our new financing subsidiary, Bajaj Auto Credit Limited, for which many of you may have picked up that the Board today has approved a further capital infusion of INR2,250 crores in a phased manner in addition to the INR600 crores that was committed earlier as part of the larger funding plan as this business scales up its presence across the country in the course of this year.

Finally, the Board earlier today recommended a final dividend of INR80 per share. This, along with the share buyback that we just concluded last month, will add up to almost INR7,200-odd crores of cash that we are paying out to shareholders relating to FY '24, which translates to an industry-leading payout of over 95% of our profit after tax. I'm sure you recognize that such healthy returns to shareholders underscores our commitment to delivering value to our shareholders and reflects importantly our confidence in the company's financial performance.

On that note, let me hand the session back to Anand, and we'll be happy to take your questions.

Anand Newar: Thank you, Dinesh. With this, we can open the forum for the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The f

irst question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi team, congratulations on good set of numbers. I have two questions, 1 on EV and 1 on Egypt.

Firstly, on EV, could you talk a little bit about what is the financial headwind from electric 2-wheelers in March quarter? And how do you see that playing out in financial year '25? And when can we expect a PLI sort of incentive for Bajaj? So that is my first question.

Rakesh Sharma: Are you meaning the headwind generated by a reduction in subsidy because I could not understand the question on financial headwind.

Binay Singh: Yes. So generally, we know that electric vehicle margins are lower than your blended margin. Also in the March quarter, we saw a lot of sales promotion, incentives, and all being given by players. So, if anything you would want to call out in terms of the margin headwind that is coming in from the electric 2-wheeler business?

Page 9 of 20

Bajaj Auto Limited

April 18, 2024

Dinesh Thapar: Yes. So, Binay, three questions to respond to. I think first, let's get the simple one out of the way.

On PLI, we are happy to report back that we have now received the PLI certificates for all five of our electric 3-wheeler models and very recently for both our Chetak, right? So, we have the PLI certification from the testing agency in the bag as we speak and therefore, eligible going forward.

The second is in the transition. There is a transitional impact between FAME and EMPS because you're aware that the regulation prohibits subsidy of the FAME regime in EMPS. And so

therefore, given the spread of inventory across the country, there was likely to be some inventory that spilled over from the FAME regime into the EMPS phase, which is applicable from 1st of April. At a company level, between our electric 2-wheelers and electric 3-wheelers, that number was contained to under 7,500 units. If you had to just cash that up for the subsidy impact, that would be a little under INR20 crores, which is fundamentally the subsidy component in the FAME regime that will not be available in the EMPS regime. That's the second.

The third, look, I mean, I think if you trace our margin evolution over the last 2 years, as Chetak has progressively scaled up from 3,000 units a month to almost between 12,000 to 14,000 units a month sustainably. You've still seen us continue to grow enterprise margin. The 400 basis points of EBITDA margin improvement that we've done from what was nearly 16% all the way up to 20% has come on the back of scaling up Chetak. And I think we weathered significant cost headwinds then with the course, lithium-ion pricing being high, early stages of design, and a lot of changes for the battery.

But I think there's a fair amount of work that is currently underway, which is bearing fruition and that's the reason why it held it out in the quarter, as I spoke, that as we moved our volume between the last quarter and the current quarter to its historic highest 40,000 units, we've not seen an incremental drag coming out because by selling more Chetaks as incremental drag has been contained by the benefit of cost savings, which has now started to show up, rising out of all the R&D work that is done.

So, the message I want to leave with you is that we'll continue to dynamically manage margin across the portfolio as we have done for the last 2 years to continue to scale up Chetak and grow it competitively whilst looking to hold margin at the levels that where we currently are. That is our intention, as we've done it for the last 2 years.

Binay Singh: Thanks for this Dinesh. Good to know about the PLI also. Second is in Egypt. Earlier I recall, Egypt used to be a key market for 3-wheelers for Bajaj, company has

had a very strong distribution

and spares services. The brand was well known. Could you remind us how big was the Egypt 3-wheeler export run rate? And could Qute given the fact that Bajaj brand is known in that market aspire for some similar kind of a run rate?

Rakesh Sharma: Our best year was like 6,000 units per month, but it has also gone up to peak levels of 9,000 units for a few months. We have 500,000 3-wheelers running on the streets of Egypt. When the exports got banned and our last shipment was in April '22, we have maintained largely our

Page 10 of 20

Bajaj Auto Limited

April 18, 2024

service network, our stores network on the basis of motorcycles and some very, very good effort by our partners over there.

Bajaj is a very strong brand, almost generic. And well, the intention of the government of Egypt is to progressively replace all 3-wheeler with quadricycles. So now how long will it take, will the country possess the capability to do so, etcetera, we'll see how it goes. But it is decisively opened the door for last mile 4-wheel mobility for us in Egypt.

Binay Singh: Great to hear that. Thanks team and best wishes for next year.

Moderator: Thank you. We have the next question from the line of Aryn Pirani from JPMorgan. Please go ahead.

Aryn Pirani: Hi, thanks for the opportunity. I just wanted to follow up on the Egypt question. While the government has accepted the quadricycle as the vehicle for imports. Is the currency situation in Egypt as bad as, say, in Nigeria and Argentina, like you mentioned? I'm just trying to understand how soon this can start because one issue was the ban, but the other issue was also the currency?

Rakesh Sharma: Yes, the currency situation is bad, but it is not as bad as in Argentina or Nigeria, particularly in the last few months, there has been an improvement in the availability of the currency because of the various aid packages, which Egypt has been receiving. But you're right, I mean it's not like we can start pumping out as many Qute as we want. Infact limiting factor will be the availability of the currency. But having said that, we are exporting about 250 units immediately within weeks of the approval, which requires even localization set up by our partner in Egypt. So, some on the basis of that.

Aryn Pirani: Understood. That's great. And secondly, on the EV side, now that this year, we've seen a huge scale up on the Chetak EV and obviously, you have also launched various models at different price points. Just trying to understand from a customer point of view, can you give a broad breakup as to whether most of your customers are coming in at a certain price point, is price driving customer market share or more people are coming at the premium end. If you can give us some flavour as to who the customer is because you are seeing different approaches from different players. I just wanted to understand what the customer is really looking for?

Rakesh Sharma: Well, largely, I would say that the customer is looking for this reduction in the commuting transport bill. That is the single most important factor which is driving the adoption of EV. The

leading scooter that is sold at around INR75,000 and the differential in electric ity cost per kilometre versus petrol cost per kilometre . Our customers get the payback within 12 months if the prod uct is what INR15,000 to INR20,000 more expensive. So, it makes eminent sense. And having said that, there are always in a market, some customers who will go for very premium end offering. We have to see and take some lessons from the ICE Scooter industry, which, as you know, is a very large industry and which is quite mature. About 85% of scooter industry is concentrated in the price band of INR75,000 to INR80,000.

Page 11 of 20

Bajaj Auto Limited

April 18, 2024

So, you can see that this customer is largely economy led, and when it comes to electric, th e customers have a natural tendency to expect digitization and sl ightly more modern features, etcetera. This is a general expectation. But I would say the key driver is reduction in the families transport bill.

Amyr Pirani: Ok. Great. Thank you.

Moderator : Thank you. We have the next question from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Hi, Thanks team for taking my question. I have just a follow -up on the EV side. You mentioned that we expect the pene tration to inch -up despite subsidies going down, quite interesting to hear that from you. So, what is it that you're seeing really change in the marketplace? And what are we thinking in terms of the portfolio expansion, capacity ramp -up as we get into the fiscal '25?

Rakesh Sharma: Gunjan, like I said, the key reason is still the savings in the monthly commuting bill of a family. for example, if a commuter rides 40 kilometres a day, for 25 days, they will end up saving INR1,500 to INR1,800, which translates to INR18,000 to INR20,000 per annum. And that is the sort of difference which is there between a good standard EV and ICE scooter.

And also there is a switch in the customer ever since w ith petrol cost INR100, this freedom of their budget from the rise and fall of the petrol prices has actually made the customer very, very open to adoption of EV. They may no t adopt it because it still feels scared about the range , or that there is too much of a premium ization , but I cannot think of a customer , who is considering the purchase of the scooter and is not considering EV. He may reject the option, but it has now become very firmly in the consideration set of a scooter buyer. It's not like that in all classes of motorcycle.

What I'm saying that till the time this payback economics is in favour , the adoption of EVs will continue. And the other subsidy point to this is that, to some extent, the prices have reduced due to lower cell cost and giving the OE Ms a little bit more room to price is better. But largely, I would say our expectation is that the consumer wants EV, and we just have to see how much of a premium the consumer will pay based on the payback.

Gunjan Prithyani: And w hat are we doing on the portfolio side in terms of what price points , capacity ramp up milestone, anything that you can sort of share?

Rakesh Sharma: See we have upgraded our range in quarter 4 with displays and tech pack , offers, etcetera, which gives much better services . As we go forward in this quarter, we will add another Chetak, perhaps t wo in the next few months to the portfolio, which will give us a larger play across the mass segment. It will be better price d. And hopefully, it will give us far more traction. And as we go into medium term, the market will also grow and will offer us opportunities of segmentation. And there is a very deep study going on to see how we can continually keep the product pipeline buzzing.

Page 12 of 20

Bajaj Auto Limited

April 18, 2024

So immediately, of course, one and then another one. Medium term, lots of options are there. Capacity is not an issue. We have flexible manufacturing capacity, and we can turn our plant very quickly towards Chetak from other lines. So that is really not a limiting factor for us.

Gunjan Prithyani: Okay. And the second question, sir, I had was on the CNG side. Now the proposition does sounds very, very exciting. And you sort of put forward, 60% is the market sizing. And within that, we hav

e 60% CNG distribut ion is what you sort of spoke about. But there's also another apprehension with CNG that typically comes around safety. So, when we are looking at the product launch now, is there anything that you can share what does the product hold? And anything that yo u can give us on the product specifications?

Rakesh Sharma: See, Gunjan, the safety thing is actually quite misinformed because forget motorcycles, we have been running CNG 3 -wheeler for years, in many countries around the world. We have an 88%

share in India. And we have got enormous expertise in this area. None of our customers have had this safety issue.

Sometimes I feel it is deliberately propagated by people who don't have CNG options. I've not come across this issue even in 4-wheelers where people like Maruti and Tata's have been running this CNG-based vehicles for a long time. And if I go beyond this, there are many aftermarket fitments which are taking place. So, see customers are very familiar with the CNG And they're very comfortable and there is a very sound CMVR regulation on safety and all other aspects, testing protocols are there. And we have to pass through those norms, which we have done. We have done previously for 3-wheelers.

So, it is really not a big concern. Yet there may be some little bit of perception, management of which we may have to do. But I think it is a little bit motivated. I don't see the ordinary customer has got that issue. Otherwise, the aftermarket for CNG won't be driving.

Gunjan Prithyani: Got it. That's good to hear. Thank you so much.

Moderator: Thank you. The next question comes from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi, good evening and thank you for taking my question. My first question is on the commodity costs. You had given us some clarity in the prepared remarks on the way commodity costs move in the previous quarter. I think with some of the geopolitical tensions for the past 3 weeks, we have seen increases in certain metal prices. So, I just want to understand how you're observing that? And if there's any forward commentary you would like to share on the metal cost side?

Dinesh Thapar: Yes, Chandru, thanks for that question. You're right. I think even before the current challenges that we've seen on the geopolitical side; we were seeing a slight step up on the trend line for both, let me say, aluminium and copper. I'd say on balance for the rest of the commodity lines, it's about flattish, steel holding out. But yes, aluminium and copper have moved up. We need to wait and see how some of the other inputs respond to what has been happening in the last couple of weeks. But those are 2 that we've called out.

Page 13 of 20

Bajaj Auto Limited
April 18, 2024

We've anticipated that for the quarter, and we've taken slight pricing from the start of this quarter as well, to be able to cushion that impact across parts of the business. It's very marginal, but these are very early days to tell how the rest of the quarter might play out. We put our eye set but let me leave you with a thought saying it's not across all lines. It's most notably on aluminium and copper.

Chandramouli Muthiah: Got it. That's helpful. And second question is a follow-up on the comments you made on PLI product certification. I think a couple of your electric 2-wheelers are now certified. So, going forward, as the PLI incentives start to get paid out to you, is that an environment in which you would be profitable on the electric 2-wheeler business? I just want to understand the profitability of the electric 2-wheeler business, including PLI.

I think a couple of quarters back, you had mentioned that including PLI incentives, the electric 3-wheeler business

could be almost as profitable as corporate margin. So, I just want to understand, including PLI incentives, how the electric 2-wheeler business might play.

Dinesh Thapar: Yes, Chandru. So, to reinforce the point we've got certified for all 5 models of our electric 3-wheeler that's on road and both the electric Chetak that's on road at the moment. So, we've got completeness of the portfolio. And that, of course, we will have to keep going through the process each time we put out new models as Rakesh just mentioned, so for the Chetak that's in the offering. We've obviously got work to start and there a lead time that has to be managed. Will PLI in the case of the electric 2-wheeler lead to a unit-level profitability, the answer to that is no. Still some distance away. I think between a mix, it certainly helps address a large part of the drag. But I think with work that is happening on cost rationalization, and alternate sourcing, we're clearly bridging that gap. But to your point, not as yet. We've not quite bridged the gap even with the PLI in the bag.

On the electric 3-wheeler, I think we've said this and to reinforce with the PLI, we are definitely as profitable as the ICE 3-wheelers. And that's something we feel no change of position on that.

Chandramouli Muthiah: Got it. Very helpful. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Hi, Thanks for the opportunity and congrats on the good set of numbers for the year as well as for the quarter. Just wanted to understand the thought process on setting volumes of Triumph in domestic and overseas market and in the last quarter, 70% of the production is exported. So, is there a minimum commitment that we have given to Triumph UK and what would be this number going ahead of export as a percentage of total production?

Rakesh Sharma: No, Aditya. There is no commitment. There is a division of territories, largely overseas markets are managed by Triumph, except for Indian subcontinent and there are a few markets where

Bajaj manages the Triumph brand. And the timing of the exports was driven by a launch calendar, which Triumph had as you can imagine, that they had called a complex situation of

Page 14 of 20

Bajaj Auto Limited
April 18, 2024

launching across 57 countries, etcetera. And there is homologation work to be done, etcetera. So, it was driven more by that.

And as we have got into that more, our first thing is to of course fill the pipeline because of the long lead times. And then after that, we see how the sales go. So, the further development of the Triumph business will take on both the fronts - what we call the Bajaj territories, which are largely India, Indian subcontinents and 1 or 2 markets here and there and the Triumph territory and we will try to maximize the business in both. And we are monitoring it separately like that. We exchange information on a monthly basis.

Aditya Jhawar: That's very good to hear. My second question is that based on the current rollout of Triumph in few cities and select dealer ships, what are your thoughts on early responses, what are the customer profiles? What is the market share that you are seeking in some of the areas where the product or the distribution is launched? Or where there is an optimal distribution presence? And is there any order backlog that we would like to share - just only response on the product feedback and market share in individual pockets.

Rakesh Sharma: Yes. We, of course, got very detailed feedback. It is very important for people to understand that there is a monolithic segment in the 350cc, 400cc, which is all about a very classic s type and sort of mediocre performance.

There is another segment internationally, which has got a fair amount of recognition, which is a modern classic. A modern classic had style elements of a classic, but it combines performance, handling, and all that at a much superior level. Our approach was not do a me-too product when we are attacking this segment, but to build a modern classic subsegment. And that is what the first offerings are doing with the Speed 400cc and the Scrambler 400 X.

Of course, as things go forward, I'm not saying that we'll not have a pure classic in our arsenal, we will have that. Therefore, the task before the team is to not just build a network but also to develop the brand and start to own the concept of modern classic. In some of the markets, where this concept, for example, I would put some markets in the South, where the customer is more mature and sensitive to the modern classic proposition, we have seen market share in some months go even up to 20%, right. And in some markets, let's say, in some parts of the north, for example, the customer is very, very staunch about pure classic. And there, we have seen the market share are taking time to develop.

And by the way, just to knock off that sub question. We don't have any pending orders or anything. But now onwards, based on both network and the brand development we will see a month-on-month-on-month improvement in domestic sales. So, it's an own portfolio which will be built, which will offer multiple modern classics and some pure classics bikes over a period of time. So, this is not about 1 product and running with it and thinking that with 1 product, we will certainly gain leadership on the basis of opening new stores. No, it is not. For example, in the 125cc to 250cc segment, we have some 15 products, 15 models of Pulsar and combined by they cover all the subsegments of the 125cc to the 250cc segment. And it's a similar approach, which we have undertaken.

Page 15 of 20

Bajaj Auto Limited
April 18, 2024

Aditya Jhawar: Thanks a lot. All the best.

Moderator: Thank you. The next question comes from the line of Raghunandhan N. L. from Nuvama Institutional Equities. Please go ahead.

Raghunandhan N. L.: Congratulations sir, on the strong results. And thanks for the comprehensive opening remarks. Sir, firstly, financing business has been added to the segmental data. Can you indicate the focus areas, ramp-up targets, any colour you can indicate for next year? And also, if you can share the financing ratio for quarter Q4?

Rakesh Sharma: So, we have started to build the book from first of January, starting with some territories. Whichever territory we are entering, we are financing all the businesses, which is 2-wheelers, 3-wheelers, KTM, etcetera. We stand today at a coverage of about 35%. And progressively, we will, during the course of the year, increased it to 100%. There are times whether it is elections or whether it is peak season, where we may have to sort of hold the rollout and we'll see based on operational, how the operations are going. The idea is to conclude the year with 100% coverage of the country.

Dinesh Thapar: Raghu, your question on what the financing penetration in motorcycles was, that's about 75% comparable to last quarter. And in 3-wheelers, it is about 90%.

Raghunandhan N. L.: Got it, sir. And the share of Bajaj Finance would be around 43%, 44%.

Rakesh Sharma: That's about 70%. Bajaj Finance is almost 70% in motorcycles and 3-wheelers. So, 70% of 70% in 2-wheelers.

Raghunandhan N. L.: Got it, sir. Sir, secondly, on the electric 3-wheeler space, you indicated 30% market share in cities where you are present. Can you indicate the volume in Q4. And also, how do you see the general acceptance for the product? And any thoughts on how

fast you are seeing the penetration expand?

Rakesh Sharma: See I know that the March number was 3,400 units, we are just looking now the quarter 4 number for you. The March was a bit overstated because, as you know, a lot of the advancement to take from April into March due to the pending reduction of the FAME-II subsidies. So, in markets where we have spent 6 months, we find that we are reaching about 50% market share, rather quickly despite incumbents being there for a while. You will remember that this core journey has started for us largely in August only. So, wherever we have entered the market, like for 3 months, then we see that we have started touching about 30% market share.

The heartening thing which we find is those e-ricks because if I just take 3-wheeled mobility and for a minute, forget about autos and I think 3-wheeled e-ricks mobility, which is a cheaper option are almost half of this industry. And there is large part of North, Central and East, which have got almost complete domination by e-ricks. But even in those markets where we have entered with the e-auto, it's early days, but we find the people on the far middle of life of the e-ricks or end of life are very attracted towards the option of e-auto.

Page 16 of 20

Bajaj Auto Limited
April 18, 2024

So that's why I said it presents a new opportunity for us because we just can't sell ICE 3-wheelers in these markets because there are no permits for ICE 3-wheelers in half of the country. And therefore, we are going to be pushing hard on e-autos and e-cargo. And by the way, the quarter 4 number was about 6,500 units.

Raghunandhan N. L.: And your thoughts on over the next 3 to 5 years, the e-auto penetration, how do you expect that to go for the industry?

Rakesh Sharma: I think the e-auto will progressively really cannibalize the e-ricks. It will destroy the petrol and diesel, but the jury is still out for CNG because of 2 reasons. One is that the differential with CNG, particularly when we take the capex cost in consideration. And the cost per kilometre is not significantly different. The CNG will move in some manners, but still there is a familiarity thing. There is no charging time. There is an availability which goes in favour of CNG and because it is only about 10% to 12% more expensive to run per kilometre than electric. There are still people who remain loyal to CNG. So, I feel for the e-ricks which are already on road, it's just a matter of people upgrading. I see that all the other formats, the petrol, diesel, et cetera, the migration will take place. Also, the government is sort of putting a lot of heads behind the expansion of the CNG network. So, over the medium term, I think both CNG and EV will coexist.

Raghunandhan N. L.: Thank you sir for the detailed answer. All the best to you.

Moderator : Thank you. The next question comes from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Thanks a lot for the opportunity. Congratulations on the excellent set of numbers. My first question, Rakesh and Dinesh is regarding the margin performance last year, we had a very strong margin performance on top of a very strong ASP expansion and volume growth. Out of the 230-bps margin expansion what you shared at the EBITDA level, if you could just help us understand the split, how much of that came from commodity and how much was from mix and how much was from operating leverage? And how do you see these elements, particularly mix going forward in FY '25? That would be my first question.

Dinesh Thapar : Pramod, you want to go ahead with both your questions, and we'll answer it. What's the other one?

Pramod Kumar: Yes. The second one is on Qute. I think it's an interesting development that you are exploring

Egypt now and start of exports there. But I just wanted to add a question on the fundamentals of the product because we've been having this product for the last many years now, and the export around 4,000-odd units annually to various countries. So given that there is a new opportunity emerging in Egypt for quadricycles, will there be more efforts put on the product side because the product was kind of previewed in or went to market in 2016. So, what are the product plans there? Because it could also become an interesting opportunity in the Indian market as well as

future regulations evolve on the safety. So, what is your thinking on the entire Qute platform going forward?

Page 17 of 20

Bajaj Auto Limited
April 18, 2024

Rakesh Sharma: Yes, we are investing behind the Qute platform. When the BS-IV, BS-VI transitions took place, there was such a lot of work which was there in our R&D that we deprioritize Qute only because of the volumes, et cetera. But we are now looking at an upgrade, which will provide the customer with a tech condition in Qute. And we are already now got a CNG based Qute, and we will be working on an electric Qute as well. So, the portfolio is being invested.

Dinesh Thapar: So, Pramod, I'm going to take your question on how the margin has panned out. So, we've ended the year with 180 basis points of net margin improvement. Look, the improvements have come in from all three levers, which is price versus cost, there is the impact of the dollar realization, which has been better. And clearly, operating leverage by virtue of a larger revenue pool that we have. All three have contributed sizably to make up for the drag that we've had on Chetak. I don't want to go to the specifics of those numbers because we clearly manage these lines dynamically. But suffice to say that there's no single lever. It's all 3 - prices versus cost, operating leverage, and favourable mix on the ICE portfolio, and the dollar realization, which has offset the impact of growing Chetak portfolio.

Pramod Kumar: Excellent. And one clarification, did you comment on the 3-wheeler growth prospects for the industry level because we've had a spectacular year, 54% growth, industry has grown by 45% on a full year basis. So how do you see this and sitting on the new record, so how should one look at growth from FY '25 perspective on this base?

Dinesh Thapar: Yes, I mentioned that. What I said was that with recovery complete in most of the regions, now we will see organic growth only. We will not see 40%, 50% growth, but probably single digits in the ICE side. But there is a lot of growth prospects, particularly for us as we scale up e-auto in the restricted markets of the country, which is almost 50%.

Pramod Kumar: Excellent. Thanks a lot, and best of luck.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citi. Please go ahead.

Arvind Sharma: Good evening, sir. Thanks for taking my question. First question is on the EVs business, a little basic, but what are the costs and revenues that are reflected in the standalone results? Just to better understand the relationship between Chetak and Bajaj because the volumes also differ between Bajaj and Bajaj plus Chetak. So how are the EV revenues reflected in the standalone numbers? That would be the first question.

Dinesh Thapar: Simply put, all of Chetak is recorded in Bajaj Auto itself at the moment.

Arvind Sharma: All right. So, it's as good as selling via Bajaj Auto.

Rakesh Sharma: Absolutely. It's not as good. We are selling Chetak through Bajaj Auto at the moment. So, the numbers are comparable and reflect the entire position of the business between both the ICE business and the EV business.

Page 18 of 20

Bajaj Auto Limited
April 18, 2024

Arvind Sharma: Got it sir. Thank you so much. The second question, you did allude to the upcoming model launches, especially in Pulsar. If you could just give some more clarity in terms of timelines, the new upcoming Pulsar launches, sir?

Rakesh Sharma: Well, we just launched the new 250s earlier in this month. And we are going to be launching the biggest Pulsar ever next month. And then going forward, we will be addressing with some new products, the 125cc or the 150cc segments. So, there will be a lot of action in the first half itself. Because it has already started like I said, & it will continue in the first half.

Arvind Sharma: Got it sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Aryn Pirani from JP Morgan. Please go ahead.

Aryn Pirani: Thanks for the opportunity again. My question was on your comment on the 2-wheeler or the Chetak unit profitability. So, since you mentioned that even after PLI, the Chetak could not be profitable on a unit level. So just trying to understand, what is the main constraint then? Is it basically scale or is it because you have tried to differentiate it and launch it through a separate channel, which adds some extra costs. So how should we think about, say, 3, 4, 5 years down the line, how should this profitability move.

Dinesh Thapar: No, it's not really network expansion, which is adding to it. And we know from Bajaj perspective, you know that it isn't fixed cost. Of course, there will be leverage benefits that will help unit economics as volumes grow. But the most fundamental piece is on price and where the price of the market has moved as indeed our own pricing. And clearly, net price reduction or price coming off to try to make it more affordable is, let me say, outrunning the work that is happening

on cost reduction.

The cost reduction effort is currently underway. It's longer lead clearly given the technology that is at play. In the mid-time pricing at a table, if you just compare product pricing over the last 4 quarters, you will see how product pricing has come off. That is essentially front running the work that is happening on cost reduction, which would play out over a period of time. So even with the PLI, it bridges the gap, but it doesn't cover it entirely.

Amyr Pirani: Understood. So, assuming that the prices don't move from here on, your cost reduction could continue. And then there will be a point in time, maybe 4, 5, 6 quarters on the line where you could actually reach that. Is that a fair way to think about it?

Dinesh Thapar: It will get better. I mean you're absolutely right. But actually, that's the way we are thinking about it as well because we are already starting to see some benefit of cost reduction, which was the point I made in my commentary that despite the fact that across two quarters, we had significantly higher Chetak's. Incrementally, it did not add to a drag because the benefit of the cost reduction offset that drag on mix. But you're right, as cost reduction benefits start to play out over a period of time, unit level profitability should only get better assuming and the big assumption is that the price point remains where it is.

Amyr Pirani: Fair enough. Thanks for the clarification.

Page 19 of 20

Bajaj Auto Limited

April 18, 2024

Moderator: Thank you. The next question is from the line of Pramod Amthe from InCred Equities. Please go ahead.

Pramod Amthe: Yes. Thanks for the opportunity. My question is regarding financing business, so if I heard you right, the penetration of the business into the Bajaj Auto 2-wheel

er is already 70%. Is that fair?

Dinesh Thapar: That's right, Pramod. We said that the financing penetration for 2-wheelers are 75%.

Pramod Amthe: No, I was asking about this finance arm, Is the contribution of finance arm to the Bajaj volume is 75%?

Rakesh Sharma: No. We said about the penetration of Bajaj Finance Limited. That is what, the Bajaj Auto captive finance company is called BACL, Bajaj Auto Credit Limited. So, as you know, Bajaj Finance Limited is part of the group and has been financing our vehicles, they are at about 70% market share of retail financing of 2-wheelers.

Pramod Amthe: And the second related question is the infusion looks pretty large by standards considering the other capital arms. So, what's the plan of consuming this amount? And what market segments you plan to target in domestic or any export markets to be tapped here?

Dinesh Thapar: So, Pramod, the light is little garbled, but just to be sure that we've answered your question. The approval that we've got to infuse capital of INR2,250 crores at the moment, will happen in a phased manner as Bajaj Auto Credit starts to build its business across the country and finance the Bajaj Auto Group vehicles for both 2-wheelers and 3-wheelers, to recognize that this captive financing arm will do business only in India. There isn't an export like to it.

And so, the capital infusion that we've signed up and the Board has approved is essentially to happen over a phased period of time. As would be typical of any other auto financing entity, as it builds up the book across the country in the course of the financial year. So, it's a phased infusion, it doesn't happen once, but it happens over a period of time as the new capital financing entity, Bajaj Auto Credit Limited, as you just heard from Rakesh, rolls out across the country.

Pramod Amthe: Thanks for the detailed explanation. The second question is with regards to the EV business. Considering the technology & innovation, which Bajaj enjoys, for example, for CNG. How do you look at the LFP technology for 2-wheelers? And do you see that as technology an advantage you can bring on to the consumers might be in a couple of quarters down the line. Any thoughts on the field?

Rakesh Sharma: Absolutely. We see that technology as a very big lever for us to work. And I mean you would have seen evidence of that, whether it is adaptation of ABS 100cc bikes. For that matter, launching the first CNG-based bike. In fact, our belief in this lever is so strong that I mentioned that we are orienting Chetak Technology Limited to become the fountain head of creation for the Bajaj Auto, not just for EV, but also for non-EV products. So, they will be the creators and they will have a responsibility to master cutting-edge technologies and bring them to bear. That is the singular mission going forward.

Page 20 of 20

Bajaj Auto Limited

April 18, 2024

Pramod Amthe: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. On behalf of

Bajaj Auto Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Rakesh Sharma: Thank you.

Dinesh Thapar: Thank you.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2024

Page 1 of 19

"Bajaj Auto Limited
Q1 FY '25 Results Conference Call"
July 16, 2024

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Bajaj Auto Limited
July 16, 2024

Page 2 of 19

Moderator: Ladies and gentlemen, good evening and welcome to the Q1 FY '25 Results Conference Call of Bajaj Auto Limited. My name is Sagar, and I will be your coordinator. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head of Investor Relations from Bajaj Auto Limited. Thank you and over to you, sir.

Anand Newar : Thanks, Sagar. Good evening, everyone and welcome to Bajaj Auto's Q1 FY '25 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with opening remarks from Rakesh for the business and operational performance for the quarter and Dinesh will take you through the financial highlights. We will then open the forum for the Q&A. Over to you, sir.

Rakesh Sharma : Thank you, Anand. Good evening, ladies, and gentlemen and welcome to the Q1 FY '25 Earnings Call. I thank you all very much for joining in. We hope to make it worth your time. I must begin by saying that it has been an outstanding quarter. And I think we beat the street estimates yet again, though by a small margin.

Revenue from operations grew by 16% to finish just under INR12,000 crores. Top line growth was evenly driven by both domestic and export sales and record-setting spare sales too. Spares now constitute 11% of our revenues. EBITDA at 20.2% cross INR2,400 crores, delivering a 24% growth. This is the third successive quarter of 20% plus EBITDA and that too, with a growing EV portfolio - 2-wheelers and 3-wheelers, which now stands at 14% of our overall revenue.

In our previous call, while we acknowledge the complexities and challenges in the environment, particularly in some overseas markets, we've also emphasized that despite all challenges, we see good opportunities for growth. Hence, our focus remains to drive top line growth while maintaining best-in-class profitability. The results of this quarter are an outcome of this strategy. Going forward, we will continue the same path and create more platforms for growth. Platforms which connect us with opportunities in the market and can be scaled up. The alliance with Triumph to attack the middle weight segment in India and overseas, and the e-auto or the e-three-wheeler development to attract the restricted 3-wheeler markets are examples of new platform created last year. In recent months, we have brought to life 3 more such platforms. The CNG bike, the sub-1 lakh electric Chetak and the new plant in Manaus, Brazil. These will give

us access to new business, and we will be talking about them later while covering the SBUs. Export business unit. Overall, there is a small but steady revival in the overseas market and the number of countries which remain in stress conditions is also slowly reducing. Largely, it is Africa, which continues to underperform across almost all major markets, led by Nigeria. Though we are seeing currency stabilization for the last few weeks in Nigeria, the substantial devaluation-led inflation has seriously dented demand. Our benchmark motorcycle sales in

Bajaj Auto Limited
July 16, 2024

Page 3 of 19

Nigeria of 50,000 per month has dropped down to under 5,000 in April, but has now recovered to 15,000 levels, still far from the 50,000 benchmark.

Compared to Q1 of previous year, we are down by about 40% in Africa, but up by 20% in Middle East and North Africa, up by 70% in Asia, led by Philippines and Nepal, and LATAM has delivered an outstanding performance with a

26% growth and reaching or crossing the

benchmark of FY '23 levels. While in stressed markets, we continue to grow with the market, which is largely Africa. But in the recovering and growing market, we are significantly outperforming the industry and gaining share.

The new plant in Brazil commenced production in June, it has a single shift capacity of 20,000 units per annum, but that is scalable to 50,000 units per annum. This will make a quantum change to our capability to introduce new models and wide distribution. Traction for our Domestic brand has been excellent and in the medium term, we expect Brazil to be amongst our top 3 international markets. Exports of Qute to Egypt commenced in Q1 with shipments of 500 vehicles, which will soon be on their roads, opening yet again a new segment for us. On this basis, we expect Q2 to be better than Q1, and will continue to be on a growth path in the exports business unit.

Domestic motorcycle business unit, let me explain our performance in the 2 halves of the industry, the 125cc plus and the 100cc segment. The business maintained its strong position in the 125cc plus segment, which in the quarter became 51% of overall industry. Our growing market share of 25% in this top half is just about 2% short of leadership. With 75% of our sales coming from the top half, the impact on both top line and bottom line has been significant. The major contribution in the top half comes from the top half of the top half, which is the 150 cc plus segment, where market shares advanced to a solid 40% driven by the substantial makeover of the Pulsar portfolio over last year. Capping it all with the launch of the biggest Pulsar NS400Z, which has been received very well as reflected in the bookings of almost 2,400 units. Deliveries have commenced. And I think last month, we have delivered about 1,000 units. Beginning last financial year, we introduced the N series targeting the sporty commuter, with a modern, easy to ride bike and then went on to strengthen the high-performance NS series. Together, the newly launched and renovated N and NS series in Pulsar account for 70% of our portfolio. This Pulsar portfolio gives us a great springboard for growth through increasing market share as well as by expanding the sports segment itself.

Coming to the 100cc segment, which is the bottom half. You may have witnessed the game-changing initiative of Freedom 125, the world's first CNG bike launched to an absolutely breath-taking reception - not only the proposition of 50% savings of the fuel bill is very impactful, Freedom 125 styling, dual fuel capability, the range, ergonomics of the long seat and the comfortable ride due to the linked mono-suspension have all been highly appreciated. We are targeting the mileage conscious customer in the 100cc to 125cc segment. Of the approximately 1 million motorcycles sold per month in India, almost 75% are in this segment, the 100cc to 125cc segment and about 60% of the demand of these customers has access to CNG pumping station. Hence, our addressable market is about 450,000 to 500,000 customers per month. We

Bajaj Auto Limited
July 16, 2024

Page 4 of 19

are targeting all these customers with the proposition of fuel economy, standout style, comfort, and assurance.

Our market share in the 100cc to 125cc segment is just 15%. So, we naturally see a good room for new business. We are doing a phased launch commencing with Maharashtra and Gujarat and then going on to Delhi and Kerala within quarter 2. A key enabling factor for the success of Freedom 125 will be the ease of CNG availability, and we are hoping that the CNG distribution companies will also take this opportunity to expand their business and facilitate the migration

from petrol to CNG. This will be most helpful in upping the rate of adoption of Freedom 125. We are starting with a capacity of 10,000 units per month in quarter

2, but we have planned to take this capacity up to 40,000 per month by quarter 4. Obviously, with a bit of lead time, these capacities can be revised based on market response. It is early days, but I can tell you that the savings proposition, the style, the ride feels, and the comfort have all been very well received, and there is good reason to entertain the thought that Freedom could redefine the motorcycle industry.

Coming to commercial vehicles. The 3-wheeler business unit maintains its rock-solid performance with an overall market share of 78% in Q1. In E-autos too, our market share increased to 26%, up 9% from previous quarter. From presence in 70 locations, we have expanded to over 140 in quarter 1, which should set us up for over 50% growth quarter-on-quarter in the E segment. The advancing CNG infrastructure, a solid presence in it, combined with the scale-up in EVs, particularly in markets not available to us thus far, will continue to drive solid top line and bottom-line performance in our 3-wheeler SBU and consistently breach the 100,000 mark per quarter.

Chetak business unit: Chetak is now solidly in the number three position. Though in billing terms, we were at the number two spot in June. This was largely powered by the new Chetak 2901, launched at the price range of INR96,000 to INR1 lakh. This will enable two things. It helps us to attack the sub-1 lakh segment, which is almost 50% of the E 2-wheeler industry and will help us widen distribution. We were in 250 stores in June, should be in 500 by end July and almost 1,000 by September.

While our overall market share in Q1 was 12%, it should be noted that we were at 20% plus in the above 1 lakh segment and obviously almost nil in the sub-1 lakh segment. Hence, played the new segment, which is a sub-1 lakh segment and in new geographies, should combine and lift the Chetak business significantly. This will again add new business to Bajaj Auto. Continuing work at R&D and supply chain is ensuring that the cost profile has been constantly driven down month-on-month and our growth plans consider an acceptable level of cost being reached. Pro-Biking, this BU houses two brands, KTM and Triumph, each with a dedicated network of sales and service. KTM contributes with its steady performance. The recently launched new Husqvarna have appealed to the aficionados and are getting very good reviews. In Q2, the BU will commence promotion of the big bike from KTM, and sales will commence from October, which should really strengthen the high-end, high-performance DNA of the KTM brand, casting a halo effect. An example is the recently concluded second KTM Cup, the largest One Make

Bajaj Auto Limited
July 16, 2024

Page 5 of 19

Race. It reached an audience of 55 million with 90,000 KTM owners from 114 towns participating in it.

In the Triumph business, as you know, we have 3 initiatives: scale up the domestic network to 150 stores in H1, develop the brand and offer a top class differentiated experience as well as support to Triumph U.K. to successfully expand business in overseas markets. We are on track on all these. Triumph is now present in 100 locations, which allows us to undertake mass-level brand building initiatives for the brand. This is a very important initiative because as we expand, we are very conscious that sales will rise only once the Triumph brand gets to be better known and better experienced by the potential customers. Curated experiences like Bike Nights and Marquee Tours are steadily exposing the world of Triumph to bikers. This month, we actually completed a year of Triumph sales during which over 60,000 bikes have been sold in over 57 countries, bringing a revenue of INR1,200 crores to Bajaj Auto. The reception in both India and most overseas markets continues to be very promising and with several opportunities for expanding the range and going for a large

play of the middle weight segment.

Finally, a word on our captive finance company, BACL, which continues its rollout steadily with almost flawless execution. About 50% of the Bajaj Auto markets and stores have now been covered by BACL. We are on track to reach 100% by March '25.

In conclusion, all the BUs have momentum and building on last year's work, which created 2 new platforms for growth. This year, already, we have 3 more new platforms. So, we are looking at a good 5 to 6 new growth platforms. We are positive and optimistic on this basis about the forthcoming quarters.

Thank you for your attention. And with this, I hand over to Dinesh.

Dinesh Thapar: Thank you, Rakesh. Good evening, everyone, and as always, thank you for joining us for this call. Let me say at the outset that we are rather pleased with our performance. We've delivered

double -digit growth on all accounts across our domestic business as well as the exports business and on all dimensions of Revenue , EBITDA, and PAT - in fact, we've come very close to the all-time highs that we achieved in quarter 3 of the last financial year. If you could recall, that was the large quarter for the industry as indeed ourselves and is the best of quarters. While that was aided by the typical seasonal upswing, we're quite reassured by this current quarter where we've delivered nearly the same numbers in a quarter that does not have any of that advantage. And that's clearly best testament to the sustained momentum that the business is going through. Now you've heard from Rakesh on the markets and the businesses , so to avoid duplicating that , let me get straight into dimensions that we 've not covered. So let me start with giving you a sense on what's happened on commodities. So , on commodities, we saw a slight uptick on a few lines this time around. Aluminum, copper, rubber and noble metals like rhodium and platinum, were up. However, there was some relief as well, most notably from steel, but as much from nickel, lead and palladium. The continued effort on cost reduction on the electric portfolio along with the balance of the commodity basket meant that we were able to hold the material cost impact in overall terms to be neutral for this quarter.

Bajaj Auto Limited
July 16, 2024

Page 6 of 19

Equally on pricing, it turned out to be a flat quarter in overall terms as some price increases that we were taking judiciously on the ICE portfolio offset the price reduction that we took on the electric portfolio to drive its competitive growth performance. The investment was made particularly to sustain the momentum and our plans for expansion in a situation where the subsidy which will come to the customer was reduced in the transition from FAME to EMPS. As for currency, it was steady and largely range bound with dollar realization at 83.4 this quarter compared to 83 in the previous one and 82.1 same time last year. And so , if we bring all this together in terms of what you've heard on the various businesses as well as this context, the quarter closed with revenues of INR11,928 crores. We delivered 16% growth year -on-year on the back of robust vehicle sales and a record high spares revenue, which Rakesh just spoke about, the latter having crossed INR1,300 crores mark yet again. This robust growth of 16% year -on-year is largely contributed half a piece between volume -led expansion and favorable mix. So , a very marginal contribution coming in from realization. The rising proportion of sales of the higher -priced Chetak, electric 3 -wheelers, Triumph in the domestic market and a richer sports -led mix in Latin American markets on exports are really the key drivers behind this mix improvement. Within the overall revenue performance, the domestic business registered its ninth successive quarter of double -digit growth, a reflection of its continued momentum and resilience whereas exports at about

\$460 million for the quarter. We reported double -digit growth yet again. You recall we had reported double-digit growth in exports , the last time around on a softer comparative. This time we registered double -digit growth of about 16% on the export's portfolio as well.

Underlying these numbers, and of particular note is our sure -footed progress on the electric portfolio. In FY '23, the annual revenue from our electric portfolio, which was essentially only Chetak back then was all of INR500 crores. In FY '24 with the scale up in volume of the Chetak and the launch of the electric 3 -wheelers towards the middle of the year, we ended the year with 4x revenue of the previous one. So essentially, FY '24 was 4x of that of FY '23 on the electric portfolio. As it stands now, that run rate have stepped up even further as we expand both Chetak and the electric 3 -wheelers and you will notice in the press release that we put out earlier today, we've shared with you a new data point. In this quarter, a sizable 14% of the domestic revenue has been contributed by the electric portfolio comprising both electric 3 -wheeler and electric 2 -wheelers. And many would say that we are just about getting started. Indeed, we are strongly committed to playing and investing for competitive growth in the space and expanding this business in multiples in the times ahead.

EBITDA came in at over INR2,400 crores, up a strong 24% year -on-year, while quarter PAT at INR1,988 crores was a striking distance on the INR2,000 crores milestone. Enterprise margin was maintained at the 20% levels yet again. And you will see in this a strong reflection of how we are managing the business dynamically for competitive volume growth and market share expansion, whilst delivering profit improvement in tandem.

Bajaj Auto Limited
July 16, 2024

Page 7 of 19

At 20.2 % the margin improvement of 130 basis points year -on-year was largely led by better realization and cost reduction. So , it had elements of better realization and cost reduction that went into it, which really more than offset the drag from the growing e -2-wheeler business, which continues to improve on its economics, but it's still some time away f rom adding to the bottom line. Sequentially, the margin has expanded by about 20 bps quarter -on-quarter, largely coming through from an uptick in dollar realization, while other pluses and minuses actually net out.

A quick word on cash. The business conti nues to remain on the trajectory of converting profits into cash and building substantial surplus funds to fuel future growth investments. Our surplus cash stood at about INR16,700 crores at the end of June, having added over INR1,750 crores of free cash i n the first quarter. From the free cash flow generation, apart from discharging the buyback tax that we did at the start of this quarter, we also infused capital of INR505 crores into our wholly owned captive NBFC subsidiary, Bajaj Auto Credit, where, as y ou heard from Rakesh, we're making very good and steady progress on expanding its presence across the country with nearly half of the business already covered and the balance half planned to be done before the end of this financial year.

Our consolidated P AT was at INR1,942 crores compared to INR1,644 crores same time last year. The difference was the stand -alone results, which, of course, apart from making intercompany profit eliminations as per standard accounting policy i s on account of making early investments ahead of the growth and buildup of scale on both BACL as well as for commissioning our manufacturing facility at the end of June in Manaus, Brazil and that really helps unlock ing supply constraints for us t o leverage a large attractive market opportunity. We are pleased with the prospects of both these businesses both BACL and Brazil and expect them to add to our financial results in the near term as scale builds.

Finally , as we look ahead to the next quarter , a few of our key priorities entail :

1. Sustaining the momentum on our domestic business, which essentially is about driving competitive growth and winning in the upcoming festive season ,
2. Staying the course on recovering our exports volume and gradually in ching them up ,
3. Expanding our capacity capabilities and network for our new businesses and launches that we just heard Rakesh talk about – Freedom | NS-400 | Electric 2 -wheelers | Electric 3 -wheelers | Triumph ,
4. Building and developing strategic growth enablers through our wholly owned subsidiaries, - Bajaj Auto Credit and Bajaj Brazil ,
5. And lastly, of course, sustaining margins and managing the P&L dynamically given the context of rising commodity costs an d potential investments that we will look to make behind building our new businesses and brands.

The current out look for commodities suggests that we could be looking at inflation in costs across a number of lines in this current quarter. Although most pro nounced within each of them is on aluminum and copper. And to partly mitigate the probable cost impact, that is looking to be anywhere in the range of 50 bps to 70 bps, we've taken around the pricing at the beginning of

Bajaj Auto Limited
July 16, 2024

Page 8 of 19

this quarter, which covers about hal f of the estimated increase in commodity prices. Of course, it's still very early days in the quarter and this could change. And therefore, we are watching the space closely given the many moving parts and we'll decide the future course of action as the cost situation evolves.

With this, let me hand the session back to Anand to open it up for Q&A.

Anand Newar: Thank you. With this, we can open the forum for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a mom ent while the question queue assembles.

The first question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Thank you. Good evening and congratulations to the management for continued strong performance. I first had a question on electric 2 -wheelers. I noticed that Chetak volumes have been ramping up quite fast. And one could say that pricing has become more affordable and that has helped, but competitors have also reduced pricing and some of them actually selling lower than your p ricing. And yet, Chetak has been gaining share. So , if you could help us understand what has been going right? And do you think there is potential to further rise up in the leader board to potentially number two position sometime this year with the new affo rdable model or

any volume aspirations by the end of the year that you would like to share?

Rakesh Sharma: Thanks, Kapil. The rise in Chetak market shares and volume, which you are seeing, which over the last 12 months has been pretty impressive, is a combination of the fact that you also mentioned that we trimmed the prices and we have also expanded the network. We started with 40, 50 stores only and we were hobbled on the supply chain side, and this I'm talking about the closing quarters of the previous financial year, which is financial year '23. Once supply chain assurance was there, then we started to improve distribution, then we started to also invest a little bit behind communication, and all that sort of went into the rise of market share.

I think what the premium customers are appreciating is the build quality, the reliability, and the styling of Chetak. And also, the fact that it is the only one which has got a metal body and an onboard charger. These are some of the differentiating

factors which Chetak has which is setting us up for growth there.

And like you have rightly pointed out, a lot of action was initiated at the sub-INR1 lakh pricing level, between INR75,000 to INR1 lakh. This also has mopped up business from some of the smaller players, which had entered earlier, which accounted to 45%, 50% of the business, which has now shrunk to only 15% or so.

And now with the arrival of the 2901, essentially with the same robustness, reliability, and styling, which is slightly defeatured for the saving in costs and attacking sub-INR1 lakh segment.

Bajaj Auto Limited
July 16, 2024

Page 9 of 19

So, with that, we get a very good geographic play and a segmental play. And certainly, our next stop is the number 2 position. And after that, we will see how to move towards leadership.

Kapil Singh: Sure, sir. And if you could also comment on the profitability of electric vehicles, two-wheelers. I think we have already talked about three-wheelers. So, on two-wheelers because we have seen significant pricing change and maybe costs have also changed. And if you could also talk about how much PLI we are accruing? So, this is one part.

The other part is we have also launched CNG technology here. So, do you think that in certain cases, CNG may be more viable, for example, in motorcycles than the electric vehicles or maybe you think CNG is viable in scooters as well? What is the product pipeline on CNG? Will you gauge performance and then look at more products or there are already more products in the pipeline?

Rakesh Sharma: So, our analysis was that the CNG would appeal to the longer distance rider, which when I'm saying longer distance, it is people who will ride 30 kilometres plus per day. If you see, there has been a little bit of stagnation in the growth of the electric two-wheeler segment because it is largely sort of addressing the short distance commuter. The longer distance commuter is shying away from it, the inter-town travel and all that. And therefore, we see CNG as a better fit in the motorcycle format, which allows the rider to ride very long distances. And for electric, we are still seeing range anxiety, charging, etc remain issues and barriers to growth. That fits in better in the scooter format, which is generally multiuse, convenient use and shorter distance riding. So, these are the format.

But I must tell you that from the early indications we got, there are some scooter customers also who have considered the CNG bike. When we have put out these three models, obviously, we have designed them based on our platform. And this platform can spawn on both sides, on the higher end side and the lower end side, newer variants beyond these three. And we will, of course, see which the right time is to introduce those. So yes, Freedom is actually a portfolio brand. It's not just a product brand.

Dinesh Thapar: Okay. Coming to your question on profitability, not very different position from what we outlined in the last quarter. So let me get the electric three-wheelers out of the way, no different from what we've told you in the past. It continues to be profitable at a margin level parity with ICE three wheelers after considering the PLI benefit. And so, to that extent, very profitable. I'll comment on PLI accruals in just a bit.

On the electric two wheelers, of course, it continues to be a drag, as you would expect. But I think what is now working for us is that the cost reduction efforts that had been mounted and the program that had been mounted for some time now has started to deliver. And so, in many ways, the expansion of Chetak that is now happening is not coming in at an incremental drag. The drag that has been there in the base continues to stay. And so, a lot of the cost reduction effort is going behind funding for lower pricing and for potentially lower price mix, right. So, no additional

drag coming in from Chetak expansion nor from the price drop that we may have taken to remain competitive in the market. But the larger drag and the fact that it is not yet

profitable and will still take some time is no different from what we may have outlined the last time around.

In terms of PLI, yes, we have accrued PLI for this quarter. We are accruing for it. You know that the cash cycle might play out much later. The SOP and claims submission are still in the works. And so therefore, claims have not been submitted yet. We will get to know that as the authorities' book that out in the future but recognizing that we now have a certified vehicle by the testing agency, which is what I had mentioned the last time around on the seven vehicles that we have in the electric portfolio, two of which are Chetak and rest are electric three-wheelers. We now have certified DVA's that are certified and signed off by testing agency, which essentially makes us eligible for PLI. And so therefore, to that extent, we have accrued for PLI in our financials for the quarter.

At the moment, the new introduction of the Chetak, which is the 2901, which Rakesh just spoke about, the DVA certification with the testing agency is currently underway, and we expect that to come in any time soon.

Kapil Singh : Sure, sir. Possible to quantify the PLI amount you have accrued?

Dinesh Thapar : Well, Kapil, as I mentioned to you, it is 13% of the sales as per the PLI feasibility. So that's really the level at which we recognize it.

Kapil Singh : Thank you. I'll come back in the queue.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani : Hi Team. Thanks for taking my question and thanks for the comprehensive remarks on all the businesses, it is pretty useful. I just wanted to touch base on the two new opportunities or platforms for growth that you spoke about. Particularly on three-wheelers, now is it possible to get a sense of what percentage of your domestic three-wheeler volumes are now electric? And also, when you talk about this 30% market share, what is the magnitude of market coverage that we have already in place so far with the distribution network?

And then extending a little bit further, just the business expansion on the electric three-wheeler side, the initial thought process is to target the markets where there are license restrictions and then go to markets where CNG is not an option. But is there something that we're looking to tap into the e-rickshaw market as well because that continues to become very sizable portion of the three-wheeler market in itself?

Rakesh Sharma : We said about 30,000, 33,000 three wheelers, out of which about 3,000 from the latest month are the electric three wheelers, so that is about 9%, 10% of our portfolio. Like I mentioned, we are now in about 140 towns. And this is giving us almost a 70% coverage of the e-auto market. Our priority was to go in to markets where we could not have gone with the CNG three-wheeler or any other three-wheeler due to permits. And these were largely in the North, Uttar Pradesh and to some extent in the East. So, we prioritized our action over there. But we are very clear

that it is an all-India play. And we certainly don't want to lose or be a late entrant in any market just because we are selling a CNG three-wheeler there. So, there is no thinking like that. When we had a supply chain build-up, we said that let's first attack the virgin markets and then come to an all-India play. But we are very clear that there is no reason for us to not put in an electric three-wheeler where a CNG three-wheeler is already planned. And one of the things which emboldens us which is what I mentioned a couple

quarters back that we are margin

agnostic. So, if there is any cannibalization, it is not really detrimental to the company.

Having said that, I must also point out that the case for electric three-wheeler opposite the CNG three-wheeler is not so strong, whereas people migrate very fast from diesel three-wheeler to CNG three-wheeler. People are actually migrating from e-rick, which is far cheaper to an e-auto. That phenomena also we have noticed. And the e-ricks are largely there, as you know, in North and East. And as we have grown our share in some places in the North, we are reaching 60%, 70% shares already, that share is of the total market and it includes a lot of e-ricks, particularly end of life e-ricks within, let's say, two to three years.

So, if there is an e-rick owner who has been riding the lead asset e-rick for about two or three years is absolutely a hot target for us to convert all the way up into e-auto because they know

the pattern of traffic . That is a source of income. They just want to move on from e -ricks to a more substantive format. So t hat is why I'm saying that the e -auto, even if we place it all India , actually gives us far better traction in those markets where CNG is not allowed and where e -ricks are already on the road.

Gunjan Prithyani : Okay , got it . We don't see a case to have a product which is at a lower price point to accelerate this upgrade from e -rick to three -wheeler auto , maybe a limited range product because the range that we offer right now is quite good for a n electric three -wheeler auto . But maybe for the e -rick category, does it need that sort of range and that may allow us to bring down the price point. So , is that something that , from a product expansion perspective , can be explored?

Rakesh Sharma : Very much so. Actually, the strategic shift which we have made for some time now is to look at the market size through the lens of three -wheeler mobility. Earlier we used to be say ing that we are in the auto business whe re we have 80% market share, but actually we don't have an 80% market share because 43% of the market today is e-rick. So, we have actually 80% of 50% or 60%. So, we are very conscious of that. And this 40% we feel fra nkly speaking is something which has just been allowed to mushroom. It is a substandard product. Today if we were to apply a PLI kind of a rigor to it , it will not pass DVA because a lot of it is imported .

But we are consciou s that it is catering to a certain need of larger passenger carrying capacity over shorter distances. And development is very much in the car t. So, we know that we will have to extend our E -3-wheeler portfolio to address the needs of that segment also. And therefore in conclusion I would just say that we want to be a full range player in the full 3 -wheel ed market all fuel, all 3 -wheel ed.

Gunjan Prithyani: Okay. My second question is on Triumph. Now both in domestic and export market the volumes are in the range of 2,500 to 3,000 for the last two, three months. So , I think 6,000 is where we

Bajaj Auto Limited
July 16, 202 4

Page 12 of 19

are averaging for the month. Now how should we think about th e ramp -up here maybe if you can share a little bit colour on how the acceptance of the product has been in export markets because this is sort of a white space in export markets? How does that scale up overtime both domestic as well as export ; total Triumph volume contribution that we are expecting going ahead?

Rakesh Sharma: So, the first phase in the exports market which is of course almost entirely managed by Triumph UK was done with the objective of pipelining. There was very long pip eline with product being placed in 57 countries and each having its own homologation and specific requirements. So , the whole thing was to just place the product and fill the pipeline. That phase is over. And of course , retai

I has commenced in most of these places. And the reports which we have got from Triumph UK is that it has met with a very good reception and a much better reception in geographies like UK, continent Europe and Brexit and decent reception in places like North America and ASEAN, but now they are pausing and looking at the flow of the retail level and keeping the next phase just adequately stocked up. The retail chains are adequately stocked up. Once the retail flows are better understood, I think we will see again an upt ick in exports, but this is that phase where retail patterns are being observed which hopefully in a couple of months' time should get to be quite known.

In domestic, we are at about 2,000 -unit level per month as we know over the last two, three months. There has been a substantial expansion of stores which has taken place , which has taken our stores from 40 to 100 in the last couple of months. In these new markets the challenge and the task before us is to really build local awareness . The kind of awareness, which is there for Triumph in, let's say, metro like Bangalore or Pune or Hyderabad is vastly different from what it is there in a, let's say, a Coimbatore or in a Dehradun kind of a place. And therefore , now the challenge is shifted to building local awareness of what the Triumph heritage is. What are the products the modern classics as we are calling them and what it means to be part of the Triumph world in terms of the ride experiences etc and now we have embarked upon in all t hese places and hopefully over the next three to six months I think we will come to some decent levels of awareness which will then allow the sales through these newer stores and geographies to rise up and start to become significant.

Gunjan Prithyani: Okay. I will join back the queue just one request if you can also share the your market contribution for the various export markets like you usually do for us to have a sense how big Nigeria is and what is Brazil as of now, this will allow us to think abou t growth across various markets then?

Anand Newar : Gunjan , we will take it up after the call.

Gunjan Prithyani: Okay. All right. Thank you so much.

Moderator: Thank you. The next question is from the line of Binay Singh from Morgan Stanley. Please go

ahead.

Binay Singh: Thanks for the opportunity. Could you share how do you account for PLI incentive like is it in revenue? Is it in cost? Is it in EBITDA?

Bajaj Auto Limited

July 16, 2024

Page 13 of 19

Dinesh Thapar: Binay it's accrued for in revenue and by virtue of accruing for it in revenue it flows in through all the way into EBITDA as well.

Binay Singh: And this is the first quarter that you are accounting for PLI incentive?

Dinesh Thapar: Yes. Because if you recall the last time when I had mentioned that was when we just had received the certification from the testing agency for DVA. So, this is really the first quarter of accruing.

Binay Singh: If we just add up the information that you shared that 14% of revenues are electric and we understand all 3-wheel models and 2-wheels are eligible for PLI then broadly it sort of leads to almost a 70, 80 basis points of margin support coming from PLI incentive in this quarter. Is that a fair assessment versus last quarter?

Dinesh Thapar: It would be under 50 bps of contribution Binay.

Binay Singh: And I think that almost 60% of your domestic EV revenues will actually be from 3-wheeler. So, I think this is one like differentiation which is why EV is not becoming a drag so much to you versus your peers. Will that be a fair statement?

Dinesh Thapar: Sorry the line was slightly garbled Binay, but if your question saying that the presence of electric 3-wheelers will contain the drag on our results.

Binay Singh: Yes.

Dinesh Thapar: Yes. Absolutely.

Binay Singh: And lastly just any comment about industry volume growth and we've also see

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losing some market shares. So, any comments on how you see industry volume growth shaping up and your market share within that? That's it from my side.

Rakesh Sharma: So, the industry outlook as we said we think it should be 6% to 8%. And the top half the 125cc plus segment will grow much faster. And I think we will grow faster than the industry in the top half. The bottom half as you can see over the next six months largely the big move over there is the Freedom 125 which will definitely add to the market share.

Your comment about market share - there is no loss of market share. The blip you may be seeing is when you compare Q1 to Q1 of this year. Q1 of last year was a bit of an unnatural thing because one of the major players had faced issues in transitioning to the OBD 2 and there was a big supply introduction in that quarter. And that has led to a very unnatural increase in market share for all the other players including us. That was a one-off thing. Those market shares got corrected in quarter 2 of last year. And since quarter 2 of last year, quarter 3, quarter 4 and now quarter 1 we've been chipping away at the top half and market share has actually been increasing. There is a slight loss of market share in the bottom half, which was something expected. We have not participated in the sort of red ocean game which has been played in the mini season in the north, in the first quarter, particularly in April, May. And that has led to erosion of market

Bajaj Auto Limited

July 16, 2024

Page 14 of 19

share at the very bottom end, at the entry-level product which we have as you know, is CT 100 and Platina 100.

Therefore, when you put these two together - a steady market share in the top half, but a slight erosion in the bottom half, you'll see some decimal points of market share being lost, but in the top half itself sequentially there is a market share improvement. This is based on VAHAN retail I might just clarify. We don't talk about billing market share. All my comments were based on data from VAHAN.

Binay Singh: Thanks for that team. Overall, very good performance.

Dinesh Thapar: Thanks Binay. My colleagues over here tell me that you asked about the contribution of the two electrics in the overall 14%, 60% of which comes from electric 2-wheelers and 40% in the quarter has come from electric 3-wheelers. The two put together therefore, add up to the 14%.

Binay Singh: Thanks team. That's very clear now. Thank you.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Thank you so much for the opportunity. Sir, firstly can you share the capex guidance for FY '25 and which areas of spend would be there sir?

Dinesh Thapar: Mumuksh , it is not very different from what I said in the past. It should be moderated between INR700 to INR800 crores. A large part of that will primarily go towards the commissioning of our new electric 3 -wheeler facility in Waluj and other capabilities that we are building essentially for electric. That's the chunk of it but assume that it should be in the range of between INR700 crores to INR800 crores for the year.

Mumuksh Mandlesha: Got it, sir. And this quarter we've seen other expenses have grown strongly. Can you explain what could be the reason for the increase?

Dinesh Thapar: Yes. So, we are seeing a step -up between same time last year and now and that step -up is essentially driven by about three or four factors. The first is the heightened level of CSR spend this year compared to last year which one has to keep providing for in the quarterly results. The other is the step -up arising from variable costs and packing to reflect a step -up in the volume and activity levels that we have. The third is some costs that we are incurring now for extended warranty on our electric portfolio

as that is now growing over same time last year. Those costs sit within the other expenses line.

Mumuksh Mandlesha: Noted sir. Lastly how are you seeing the partnership with Yulu? Currently, volumes are around 1,000 units per month. How do you see the potential hit from this segment in the EV.

Dinesh Thapar: Yes. So , I think the partnership you're aware that we have an equity ownership of a little under 19% with Yulu . Clearly, they're looking now to expand volume. So , what you've seen in this current quarter was essentially a little bit of stock adjustment that they were doing to really rebalance numbers across the cities that they are operating with. We expect those numbers to

Bajaj Auto Limited
July 16, 2024

Page 15 of 19

step up in the current quarter from the early indications of plans they have given us. So very much committed to that business. And you're aware that the vehicles that we supply to them are essentially custom build , the platforms being built by us for that.

Mumuksh Mandlesha: Got it, sir. Thank you so much for the opportunity.

Moderator: Thank you . The next question is from the line of Raghu nandhan NL from Nuvama Wealth Management. Please go ahead.

Raghu nandhan NL: Congratulations on strong results and on the CNG launch, wishing all the best there. Firstly, on the CNG side you indicated 60% coverage in the addressable market. Can you talk a little more on how well the coverage is or how deep the coverage is in rural and semi -urban areas. Also, when we do channel checks with dealers , they indicate that bookings have started coming in from customers and dealers are quoting 1 to 2 months kind of waiting period. If you can provide some colour on initial bookings, what is the customer mix and finally on CNG again, when should we expect the variants that is 100cc & 110cc motorcycle , how do you take it forward?

Rakesh Sharma: CNG is available at 335 towns out of the 500 top towns and these 335 towns account for 70% of the market. When we took 60%, we have bottom slice some of the towns where the density is very low. But the density numbers are really very varying depending on the town. It's very difficult for me to give you one number, which will help you appreciate what is the depth we are talking about. At one end, you have a city like Delhi, which has 550 petrol stations. But it has 250 only CNG stations. And another 400 or so shared with petrol. So , you can see that Delhi city has actually got a safe dedicated petrol, gasoline , diesel station. And then there are others where there is only one CNG station for the entire town. And then there are intermediate solutions also with the gas distribution companies like sending CNG tankers on regular intervals, which then goes and fills the tanks at remote locations and all that. So , it's a very complex thing. The only thing I can tell you is that our initial meetings with the gas distribution companies have been very good, and they are very enthused that there is a new segment developing for them because it helps them push more throughput through their infrastructure and their whole performance depends on how much they can sweat their infrastructure because there's a big capex involved in putting up that infrastructure. So, the stance we are expecting as we speak is, we are having these local level meetings and we are optimistic that our customers will be given dedicated filling points even in gas stations , which are shared with petrol .

Raghu nandhan NL: And on the bookings and customer mix?

Rakesh Sharma: So, the bookings right now about 4,200, I mean this is yesterday's figure. 90% of this has come from Maharashtra and Gujarat because we opened all India bookings just a couple of days back. So almost 80%, 90% of these bookings are Maharashtra and Gujarat . Most of these bookings are actually for the top end, which was the ₹1,10,000 LED headlamp disk , overwh

elmingly for

the top end. The dispatches are just about commenced. I think we dispatched just about 100 vehicles or so and the first retail happened a couple of days back.

The type of customers - we are still mining that data but from whatever early analysis we have, which we've done it is very difficult to establish a pattern because people from very different work like whether it is demographics or whether it is geography; and when I say geography I mean within Maharashtra, rural and urban, we have got a very broad spectrum of people who have come. So, it's very difficult to see the pattern but in a way, it is very good. It is showing that the appeal for the bike is cutting across several demographic and sociographic segments.

Raghunandhan NL: And when should we expect 100cc motorcycles with CNG?

Rakesh Sharma: Yes. Sorry, I was just saying that I already talked about that, this is a platform and is extendable on both directions. But exactly when we are going to introduce a variant, we will see. We will watch it. It's not a ground-up work, which will be required, it's a platform. And very quickly, we can respond if there is requirement emerging in the marketplace.

Raghunandhan NL: Thank you, sir. So, Dinesh, sir, if you can share on the E2 wheeler, how would the gross margin do currently including the PLI, considering the battery cost reduction and other cost reduction efforts you spoke about - would it have come to double digits now 10% to 15% gross margin?

Dinesh Thapar: At this point of time obviously, for competitive reasons, we're not going to be able to share with you the margin profile of the electric 2-wheelers. But let me reiterate what I just said. I said that Chetak is expanding. There is an inherent drag that it is loss-making at this point of time. Clearly, the falling prices has only had an even bigger challenge on the economics. But I think what has come to our rescue is the fact that the cost reduction work that have been put in place has now started to deliver. In the last 2 quarters whatever price drops we've had to take on whatever volume that we have expanded the incremental impact of that has been utilized by the cost reduction.

So, there is a drag because the overall proposition itself does not make margin compared to the enterprise margin at 20% but typically, with an expanding volume that strain on the enterprise margin should start to show up, but we've been able to contain that on the expansion volumes by virtue of the cost reduction. As far as the specifics of the margin profile, I won't be able to give you a specific count on that at the moment but to say that profitability is still a while away on the electric 2-wheeler.

Raghunandhan NL: Got it. Just lastly, some housekeeping. If you can share the electric 3-wheeler volume for the quarter, spares number in crores and the financing ratio?

Anand Newar: Yes. Raghun, we'll take these questions offline.

Raghunandhan NL: Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Hi Sir, A quick question on Freedom 125. As you indicated that the addressable market is about 400,000 to 500,000 units per month. In that context the capacity which we are looking at by year-end of 30,000 is that quite low? Or this can be scaled on a very short notice.

Rakesh Sharma: Yes. So obviously before we ask different types of vendors and all that to put in the capex it is very important to get a good fix on the adoption rate. And the first step has gone off extremely well. We were confident of the proposition. But what we are very heartened about is also the styling, the ergonomics, and the comfort and all those things, the bi-fuel capability has been also extremely

well appreciated.

Now we will see the pattern for Maharashtra and Gujarat. And we will start to take some view on future capacity. I guess if we have that kind of a runway of about 6 months or so, we will be able to substantially expand the capacity. The key factor over there really is the CNG tank, that is critical.

Jinesh Gandhi: Got it. And secondly on Triumph, if we look at the demand in the domestic market especially in markets where our product has been launched, I mean, since launch the product has been available are you seeing any trends in terms of how demand is shaping up, how enquiries have been doing in the markets where products have been available since day 1?

Rakesh Sharma: Yes. In the markets, in the metros and Mini Metro, we are finding very good traction and very good post sales satisfaction etc. Because these people come with an understanding of the lineage of Triumph. And that has been very helpful. However, when we step out of the Mini Metro areas,

the understanding of the Triumph brand and where this is coming from is rather limited, and that is the point I was making that it's almost like 2 very different worlds.

And the challenge now or not the challenge, but let's say the task now before the marketing team is to go through various devices, whether it is rides or digital or local activation to bring the brand to life. Now even in a Metro let's say, if you take a Bombay there is a very good brand awareness, but if you go to Thane or if you go on the other side to Virar, Borivali and the real suburb, the brand awareness - that awareness is there, but the detailed understanding of the brand that has to be brought to life.

Jinesh Gandhi: Got it. And Dinesh, on the staff cost side, we see a good increase on Y oY and Q oQ basis. Any one-off pay which will normalize, or this is a normal variable increase, which have happened.

Dinesh Thapar : No, I think the staff cost you will see is not very different quarter -on-quarter. So, the year -on-year is a reflection of fundamentally increments and additional staffing for capabilities that we are building within the business. So, nothing of a one -off that we need to call out.

Jinesh Gandhi: Got it. And lastly, what are the export revenues in the quarter?

Dinesh Thapar : \$460 million.

Jinesh Gandhi: Thanks a lot. All the best.

Bajaj Auto Limited

July 16, 2024

Page 18 of 19

Dinesh Thapar : Thank you. Just before we take the next question, I know Raghu had asked the question on those 3. I just want to be sure that these data points are accessible to everyone. So, Raghu, we won't get you back on to the queue, but the 3 data points that you asked for, is the electric 3 -wheeler volumes in this quarter are fundamentally about 9,350 units. The spares revenue at the moment, is about INR 1,350 crores, and the financing penetration for motorcycles was 75% and for 3 -wheelers was 19%. We can get back to the question queue.

Moderator: Thank you. We'll take the last question from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar : Thanks for the opportunity. First, on the Freedom 125. Just wanted to understand the thinking here as to what the watch level hold ramp -up will be, which would kind of satisfy on the kind of success what you were looking for because it's indeed a big differentiator. I don't think any OEM is finding anything like this anytime soon. So, you really have a pretty good edge.

And as I said, CNG makes a lot of sense for most of the consumers, if not all. So, what kind of volumes, given the kind of innovation that you have put on the table would be sort of? If you can just help us understand, I'm not looking for near -term volumes once it got a year or so.

Where do you think the demand will settle?

Rakesh Sharma : Like I said, our market share in the bottom half is 15% -odd. And we would definitely be looking at a very respectable

market share. The market share in the top half is 25%. And if we can get to that level even in the bottom half. And when I'm saying bottom up, it could either be through upgrading them into the 125cc segment or just to be there. But if we can take that kind of a slice out of the bottom half and bring it up into the top half and therefore, climb to a market share of 40% to 50%, indicates a strong leadership in expanded top half. We would be very happy with that.

Pramod Kumar : Thanks for that Rakesh. And second question is on the premium category. Rakesh, we have seen that Triumph, and even Harley launches kind of not do as great as what anyone thought or their management thought? Even Royal Enfield volumes have not been that great in retail terms. So, for the last few months, it looks like the premium category is not doing as good as what one has seen in terms of broader trends of premiumization across most of the other automobile categories and even outside of autos. So, is there anything, which you say noticing there that despite the multiple launches from industry participants the category is not exactly kind of really benefiting to the premiumization trend, which is broadly seen across many parts of the economy. Any thoughts there?

Rakesh Sharma : Yes. Your observation is very correct. But we are finding that the premium category or, let's say, the middle weight 250cc to 500cc has been a bit lacklustre in performance and this is despite some of the launches by us and a couple of a few other people. So, there's been a lot of action, but a lot of it has been in the performance end of it. And I always find that the development of our category to a large extent, is dependent on a player who has got an overwhelming presence there.

Bajaj Auto Limited

July 16, 2024

Page 19 of 19

And there was a time 3 years back when the pipeline was dry. And we were seeing a shrinkage of the category. But now certainly, you see that the sporty commuter 150cc to 250 cc certainly started to pick up. Last month, our new N250 retailed more than 1,000 units. So, we are seeing clear traction over there. I guess there is a little bit of fatigue probably because of lack of action on the classic side, that's hopefully it will correct itself.

Pramod Kumar : And Rakesh is there a play off like the pricing also playing its part? What are you seeing 250cc - 350cc kind of lose out to 125cc to an extent also? Of course, people have upgraded from 100 cc, but similarly, are we seeing that some of the potential 350 cc customers, 250 cc plus customers are now kind of settling for a more attractive package or product in the 150 cc to 250 cc category? Are we seeing that bit of down trading to an extent because of the affordability or the price escalation what you've seen?

Rakesh Sharma : No, I won't say that. Within a brand, if there has been a lower-priced variant, which is almost very similar to the higher price variant, you might be seeing a certain migration. But for a migration to go from, let's say, 350 cc or 400cc down to 160 cc is a little bit difficult to imagine. It happens a little bit, but I don't think in a significant manner.

Pramod Kumar : No. That's very good to hear Rakesh, and thanks a lot, sir and wish you all the best thank you.

Rakesh Sharma : One thing I may add that the NS400, which was just launched has clocked almost 2,400 inquiries. So, it is probably the most successful initial launch at least. The Pulsar NS 400, which we recently launched, it has done extremely well. We have to see how long the trend persists.

Pramod Kumar : Wish it continues, sir thanks a lot thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to Mr. Anand Newar, Head of Investor Relations, for closing comments.

Anand Newar : Thank you, Sagar. Thank you, everyone, for joining t

he call. I'm open to taking questions 15 minutes from now. Thank you.

Moderator: On behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2024

Registered Office Akurdi Pune 411035 India CIN L65 993PN2007PL C130076 23 October 2024

To
Corporate Relations Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Tower
Dalal Street
Mumbai 400 001 To
Corporate Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No.C- 1, G Block
Bandra- Kurla Complex
Bandra (East), Mumbai 400 051
BSE Code: 532977 NSE Code: BAJAJ -AUTO

Subject : Transcript of Conference Call held in respect of the Company's Q 2-FY25 results

Dear Sir /Madam ,
Please find enclosed the transcripts of the conference call held on 16 October 2024 in respect of the Company's Q 2-FY25 results .
The transcript will also be hosted on the Company's website at <https://www.bajajauto.com/investors/financial-and-operational-performance>
Kindly take this on record.
Thanking you,
Yours faithfully,
For Bajaj Auto Limited
Rajiv Gandhi
Company Secretary
ACS 11263
Encl: as above

"Bajaj Auto Limited
Q2 FY '25 Earnings Conference Call"
October 16, 2024

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Bajaj Auto Limited
October 16, 2024
Page 2 of 22

Moderator: Ladies and gentlemen, good evening, and welcome to the Q2 FY 2025 Results Conference Call of Bajaj Auto Limited. My name is Sagar, and I will be your coordinator. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head of Investor Relations from Bajaj Auto Limited. Thank you, and over to you, sir.

Anand Newar : Thanks, Sagar. Good evening, everyone, and welcome to Bajaj Auto's Q2 FY '25 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with opening remarks from Rakesh on the business and operational performance of the quarter, and Dinesh will take you through the financial highlights. We will then open the forum for the Q&A. Over to you, sir.

Rakesh Sharma : Thank you, Anand. Good evening, ladies, and gentlemen. Welcome to the Q2 FY '25 Earnings Call and thank you very much for joining us. Let me begin by first wishing you all a very happy Dussehra and Deepawali.

Q2 has yet again been an outstanding quarter, record revenues of INR13,000 crores with a growth of 22%, driven by domestic, export and spare part sales. Record EBITDA of INR2,653 crores, growing at 24% and crossing the 20% EBITDA margin mark once again. This is a fourth consecutive quarter of 20% plus EBITDA. And that, too, with a growing EV portfolio, which now stands at 20% of domestic revenue. In fact, our green energy portfolio, which comprises the greener fuels of electric and CNG across 2-wheelers and 3-wheelers are a whopping 44% of our domestic revenue.

These results are an outcome of our strategy to drive top line growth, particularly in emerging segments, while maintaining best-in-class profitability through robust operational control. Going forward, we will maintain consistency of this strategy. New growth platforms have been put together in the last 12 months. These are the CNG 2-wheeler platform, the Chetak platform, the E-autos platform, and the Triumph platform. These all are opening up new areas of opportunity for Bajaj. Let's discuss the highlights of them through discussion on each of the SBUs. Exports business unit. Overall, the steady revival in the overseas markets continues and the number of countries which remain in stress conditions is also slowly reducing. The LatAm region is leading world growth with a 20% year-on-year growth. Asia is now almost at par with previous year, but Africa continues to decline across almost all major markets, though the decline rates have reduced to now about minus 9%. In Nigeria, our benchmark motorcycle sales, as you know, used to be at around 50,000 per month. It had dropped down to 5,000 in April, but retail recovered to about 25,000 levels in September. In the previous quarter, this was 15,000.

Bajaj Auto Limited
October 16, 2024
Page 3 of 22

So, 5,000, 15,000 going up to 25,000. The recovery over there is expected to be steady, in small steps, and we are watchful of the fragility of the currency, hence we are cautiously optimistic. LatAm has delivered a record performance with a 20% plus growth, consolidating leadership in several key countries, including Mexico. Mexico is now the world's fourth largest motorcycle market after India, China, and Indonesia. While in stressed markets, we continue to grow with the market, protecting our channel and distributor exposure, but in recovering and growing markets, we are outperforming the industry and gaining share. Our new plant

in Brazil, which had commenced production in June has stabilized and is running close to planned levels. Further expansion of manufacturing has been initiated to increase the capacity to 35,000 units per annum level for FY '26. For this, further investments have been approved by the Board today to increase capacity and prepare for higher working capital requirements. These injections will be done on a need basis in phases.

Overall, as expected, Q2 in exports was better than Q1 and Q3 should continue the same trajectory of a 10% -plus improvement over previous quarter. However, due to superior performance in LATAM, the mix is richer. There are tailwinds supporting us on the US dollar rate. Therefore, both revenue and EBITDA growth will be better than the volume growth. In the domestic motorcycle business unit, the business maintained its strong position in the 125cc plus segment, which in quarter 2 has become 55% of the overall industry. Just to give you a perspective, 5 years back, this was 42%. So, there is a 13-percentage point shift in terms of this segment over 5 years. This completely validates our approach to driving business in the growing top half. In Q2 also, while overall motorcycle industry was flat, the 100cc segment declined by 6%, but the 125cc plus segment grew by 8%. We will continue to build our position through sub-segmenting in the top half and introducing new products for each of the segments.

As we speak today, we have launched a new and attractive sporty 125cc Pulsar, which would make fresh inroads into the youthful buyer cohort. In the 150cc plus segment, as you know, we launched the NS400Z which, along with the upgraded 250s has begun to clock almost 3,000 units in retail. Both are serving to steadily expand the sporty segment in the upper half. Our market share, therefore, in the 125cc segment is at 25%, just 2% short of leadership. Since over 75% of our sales comes from the top half, this has a healthy impact on both top line and bottom

line.

Coming to the mileage conscious customers and Freedom 125. Customers have given a big thumbs up to the Freedom's proposition of 50% savings on the fuel bill, its styling, reassurance of range due to the dual fuel capability, the ergonomics of the long seat and comfortable ride due to link mono suspension. Our surveys and engagement with customers have told us that what we had intended in design is being almost exactly experienced by customer in use. We have retained over 10,000 Freedoms until September, and we expect to hit about 18,000 -plus in October, indicating good customer adoption. We are therefore increasing capacity to 30,000 per month in quarter 3 and to 40,000 per month in quarter 4. All of this is based on the encouraging

Bajaj Auto Limited
October 16, 2024
Page 4 of 22

outcome. We've also received very good support from the gas distribution companies who are trying to ensure good customer experience at the CNG pump stations. Freedom 125 continues to hold out a strong promise of absolutely redefining the motorcycle industry. In fact, we are very encouraged that other manufacturers have announced plans to introduce CNG Power 2 -wheelers. This will only support the development of the CNG infrastructure and perhaps strengthen the case for a lower GST for CNG Power 2 -wheelers along with other alternate fuels like ethanol and CNG.

In commercial vehicles, the 3 -wheeler business clocked its highest -ever volume of 140,000 units in quarter 2, of which 16,000 was e -autos. Our e -autos are now available in 700 -plus locations and market share in EV has increased to 35%, just a shade short of leadership. The success of our proposition of "Technology Nayi, Bharosa Wahi " is hitting home in our franchise, and we are at striking distance of leadership.

The ICE business maintains its rock -solid performance with an overall market share of 78% in quarter 2. The advancing

g CNG infrastructure, our solid presence in its combined with the scale up in EVs particularly in markets not available to us thus far, will continue to drive solid top line and bottom -line performance in our 3 -wheeler SBU.

Chetak is now solidly in the number three position and was actually at an almost shared number two in September. What is more important to note is its momentum and trajectory, which is just from 10% odd in Q2 FY '24 has hit 19% in Q2 FY '25, almost a doubling of the market share. The momentum of market share acquisition should increase further with an entirely new refreshed range and upgraded range being launched beginning middle of November. These upgraded Chetak will not only have superior and competitive propositions, but they will also significantly improve our margin structure.

The distribution footprint is being widened further, and we should be available in about 4,000 stores by January. Our strong focus on customer care and brand development will continue through 250 exclusive Chetak stores. The new range combined with wider distribution and exclusive customer care capability position us to mount a strong challenge for overall leadership in 2-wheeler EVs.

Pro biking, this business unit houses KTM and Triumph, each with a dedicated network of sales and service. KTM continues its steady performance in partnership with KTM Austria .

Investments are being made to promote new categories of sports biking like Motocross and train young riders for the international circuit. In fact, one of the young KTM trained riders, Shloka won the recent dirt track Motocross race conducted recently in the South.

Triumph made two significant launches in September , an upgraded Speed 400 in a new color range and an easy riding modern classic Speed T4 - on the same well accepted Speed 400 platform, but priced very attractively at INR2,17,000. Already in Q2, domestic sales were close to 10,000 units, up 50% over Q1. With these two new products, we expect to continue the growth

Bajaj Auto Limited
October 16, 2024
Page 5 of 22

momentum. The refreshed portfolio, combined with curated Triumph experience delivered through 120 absolutely best -in-class stores should develop the Triumph brand to be phenomenal with modern classics in India.

Finally, our captive finance company, B ACL, continues its rollout steadily with almost flawless execution. About 70% plus of the Bajaj Auto stores have now been covered by B ACL, both across 2 -wheelers and 3 -wheelers, and we are on track to reach 100% coverage by January '25. In September, B ACL already started to post a cash profit.

In conclusion, going forward, our imperatives are to drive for leadership in the 125cc plus segment through invigorated Pulsar lineup , aggressively scaling up Freedom 125 and building

the Triumph and KTM franchise. Our second imperative is to continue to grow faster than the industry in e2-wheeler through wider distribution and the new Chetak portfolio. Our third imperative is to drive for leadership in the e-auto segment. And the fourth one is to manage the steady comeback of exports, particularly in our large markets and significantly outpace competition in the key markets of LatAm. On this basis, we are optimistic about continued top line growth, a substantial industry-leading green portfolio and best-in-class profitability. With this, I hand over to Dinesh.

Dinesh Thapar : Thank you, Rakesh. Good evening, everyone, and thank you for joining us today, as always. We are pleased to report yet another record-breaking quarter, one which was marked by several highest Ever s as you would have seen in our press release. We had the highest ever revenue from operations, EBITDA, spa res revenue, profit after tax without considering the effect of the exceptional item, domestic revenue, commercial vehicle sales, LatAm exports and exports. So quite clearly, i

t was a quarter of milestones on multiple fronts.

Now before I dive into the financials and walk you through what's driven this performance, let me touch upon parts of the operating context on commodities and currencies, as Rakesh has already covered in detail the context of the markets. On commodities, as we had indicated the last time around when we had spoken, you'd recall I had mentioned that commodity costs were on a slight uptick, especially aluminium and copper at that point of time. They were heating up. But as we progressed through the quarter, we saw slight inflation across the board, led by copper, natural rubber, cast iron, aluminium, and noble metals. Steel really was the only exception that was holding quite steady through the quarter. But the good part is that as the quarter progressed, a lot of this started to ease out. And therefore, when you look at the impact of material cost inflation for the quarter, that number was about 50 basis points. So, commodity cost inflation essentially quarter 2 versus quarter 1, it was about 50 basis points. And then if you recall, I had said on the pricing side at that point of time, we had taken selective price increases at the start of the quarter, which essentially has helped offset about half the commodity cost increase, leaving to absorb the remaining half of the inflationary impact, which as you've seen the margin profile for the quarter, we've been able to manage through the other levers quite well.

Bajaj Auto Limited
October 16, 2024
Page 6 of 22

On the currency front, the rupee has held relatively steady. The dollar realization came in at 83.8 for this quarter compared to 83.4 for the previous quarter and 82.6 same time last year. These factors have, therefore, resulted in our highest ever revenue for the quarter. We have crossed INR13,000 crores for the very first time, a solid 22% year-on-year growth, driven by robust volume expansion, record spa res revenue and importantly, double-digit revenue growth on both domestic and export fronts.

While volume growth was a significant contributor, what truly accelerated this improvement was also a richer sales mix. Higher electric two-wheelers as you would have noted, electric three-wheelers that have started to add in quite appreciably, and Triumph motorcycles, all of which have higher average selling prices, have boosted this growth.

On the export side, we saw gains in Latin American markets. And you recall the last time around when we've spoken, we had said Latin America hit an all-time high. And this time around, we've had another successive quarter of Latin America hitting, again, a new all-time high. It's been a record quarter for Pulsar exports. That has further strengthened our overall export numbers, which registered revenues of approximately \$450 million in the course of this quarter. And then, of course, there are spa res which has delivered another record on revenue.

On EBITDA for the quarter, we also touched an all-time high at INR2,653 crores growing a robust 24% year-on-year. I think what's very heartening is that margins have continued to hold steady at 20.2%. This is the fourth quarter in the trough, where we've continued to hold the margin at that level. And we're quite pleased about this, considering the significant investments that we've been made in expanding the e-two-wheelers business, which saw volumes move up from 40,000 in the last quarter to 70,000 in the current quarter. Also, the investment in Freedom as it starts to roll out. And of course, we had to manage, as I mentioned, half of the commodity cost inflation that we did not price out. Year-on-year, you would see a margin expansion of about 40 basis points, moving from 19.8% to 20.2%. I'd say, after looking at all factors netting off, that was largely thanks to favourable foreign exchange realization and operating leverage. While as a company, we've

already spoken about it, I want to reiterate yet again as we speak to you that in the entirety of our electric portfolio, which is electric two-wheelers and electric three-wheelers, our EBITDA in the quarter has been flat in absolute terms. Clearly, benefiting from the scale up of the very profitable electric three-wheeler portfolio and cost reduction, which

we've spoken about over a period of time on Chetak essentially electric two-wheelers. This portfolio has now sold a milestone 1 lakh units in this quarter for the very first time, which is quite significant in the journey that we've been making steadfastly towards electrification. Turning to profit after tax. We recorded our highest ever PAT. However, I want to also draw your attention to the one-time exceptional deferred tax provision that we made. So, prior to accounting for the exceptional one-time cumulative deferred tax provision, our PAT was INR2,216 crores. That grew an impressive 21% year-on-year. This, again, is an all-time high PAT performance for the company.

Bajaj Auto Limited
October 16, 2024
Page 7 of 22

But a quick word on the exceptional deferred tax provision. We had put out a stock exchange intimation when the Finance Act was enacted earlier in the year. But to really talk about this, you'd be aware that the company invest surplus funds in a range of asset classes, including debt mutual funds. And so, in compliance with the accounting standards, the company was making an accounting provision for deferred tax as per applicable rules, taking cognizance of the indexation benefit that was allowed in the erstwhile tax regime on the fair value gain from these investments. The exceptional one-time provision of INR211 crores that we have now taken in our results for the quarter was necessitated by recent amendments introduced through the Finance Act of 2024, which specifically withdrew the indexation benefit on long-term capital gains for debt mutual funds purchased before 1st April 2023 without offering any option on grandfathering for existing investments. Many of you would be aware that the tax rate with respect to long-term capital gains for this asset class was changed from the 20% plus surcharge and cess, which was with indexation to 12.5% plus surcharge and cess without indexation. And so, whilst the headline rate of tax might have been 20%, the indexation impact reduced the effective tax rate to less than half of that number. And so, therefore, with the withdrawal of the indexation benefit and change in tax rate, the accounting provision for the deferred tax on investment income had to be restated.

As I communicated in the stock exchange filings, it is important to emphasize that this provision is being made only to record the deferred tax in line with the applicable accounting standards. And the actual payment of tax, as you'd be aware, would be made at the time, we redeem these investments. The cash outflow towards tax would therefore be different at the time of redemption, depending on the actual gain at that point of time and the actual prevailing tax regime at that point of time. You will also appreciate and recognize that the impact of this one-time change is on the provision for tax, which is essentially the deferred tax. And so far, it relates to the other income or the investment income and is not relating to the operating performance or the operating profit of the company. Post this one-time exceptional deferred tax, headline profit after tax came in at INR2,005 crores for the quarter, but importantly ahead of the INR2,000 crore milestone that hasn't been hit very often, but only on a couple of occasions in this last little while.

As for our cash generation, the track record remains strong, over INR2,000 crores of free cash flow were added during this quarter, and our surplus cash now stands at INR16,400 crores, a very robust position, which allows us

to continue to be able to invest in strategic growth enablers.

In the first half alone, we've invested about INR1,200 crores with about INR955 crores going into Bajaj Auto Credit as per plan, and the remaining pretty much in the form of capex, primarily for our electric vehicles business.

Let me now spend a couple of minutes to talk to you about our consolidated financials, more specifically consolidated profit for the period. Now you've seen that we've reported a consolidated PAT of nearly INR1,400 crores compared to a stand-alone PAT post the exceptional deferred charge of about INR2,000 crores. This sizable gap of nearly about INR600 crores, primarily arises from the accounting of our share of losses of Pierer Mobility, PMAG, an

Bajaj Auto Limited
October 16, 2024
Page 8 of 22

associate investment of the company. Again, our stock exchange information was put out, but let me spend a couple of minutes to clarify this, and also our holding structure to share a little bit of a context.

So, you'll be aware that Bajaj Auto Limited has a wholly owned subsidiary in the Netherlands called BAIH BV, Bajaj Auto International Holdings, which in turn holds a 49.9% stake in its associate, Pierer Bajaj AG in Austria. The remaining controlling stake in PB AG is held by the Pierer Industries Group. PB AG in turn holds a 74% stake in a subsidiary, Pierer Mobility,

PMAG, which is the listed holding company of brands such as KTM, GASGAS, Husqvarna, MV Agusta. Thus, effectively through PB AG, BAIH BV which is our wholly owned subsidiary in the Netherlands holds a 37% stake in PMAG and BAIH BV's results, therefore, form part of our consolidated financials.

Now as many of you would be aware, PMAG published its results for the half year, which is essentially calendar half year 2024 on 23rd August. And in terms of results, PMAG reported a loss of EUR172 million for the first half in contrast to a profit of EUR53 million for the corresponding first half of 2023. And so as for the results announcement of PMAG, the reason described essentially economically volatile and difficult conditions that led to the significant negative results in H1 2024. The main drivers really were a decline in sales due to a challenging economic environment, particularly in the U.S., and that indeed has impacted our exports of KTM motorcycles this last quarter. The other challenge we seem to have had is expenses in connection with the restructuring of the bicycle segment as well as the production and personnel costs in Europe, which are inflating. And for those of you who are interested in the deeper dive on what's underlying their results, you will find that on their website and in their public filings. But as per accounting practice, we've had to consolidate our share of PB AG's results. We do it twice a year, aligning with PMAG's half yearly financial reporting. And therefore, the loss of the EUR172 million announced by PMAG translates to a loss of about EUR60 million in our consolidated financials and about INR580 crores that we attribute to PMAG's results. It is to be noted that this matter pertains to the business and operations of Pierer Mobility AG and the material impact on our results coming through the BAIH BV route arises really from accounting standards, which require us to recognize the corresponding profit or loss relating to an associate company. So that is indeed a very significant hit that we've had to take this quarter given the challenging context on the PMAG end.

Finally, a quick word on the other subsidiaries, our captive financing subsidiary - BACL and our subsidiary in Brazil, and you've heard from Rakesh that we are making very good progress on both fronts. BACL has made a very definite set of progress and now serves approximately half of our network. Assets under management of BACL at this point of time stand above INR4,000 crores. And the plan

is to really complete the national expansion by quarter 4. Our Brazilian subsidiary is also making significant advancements with the assembly plant now fully operational; volumes have continued to step up, and we've nearly hit the rated capacity of the plant and likely to be so in quarter 3. At its meeting earlier today, the Board has approved a

Bajaj Auto Limited
October 16, 2024
Page 9 of 22

further investment as capital infusion of \$10 million in a phased manner to really fund for business expansion and the needs of the growing business. The current capacity of the plant in Brazil, if you would recall as we put this out, was 20,000 units annually. And so, a fair amount of this investment that we will likely send across to Brazil in a phased manner will be to fund for expansion beyond 20,000 units.

Looking ahead, you've heard focus areas are very, very clear. Competitive growth in festive season, unlocking capacity and scaling up Freedom, further gains on the electric portfolio, recovering exports, particularly in Nigeria and growing Triumph. And of course, within all of that, looking to sustain margins through the continued dynamic P&L management, while we continue to invest quite substantially behind the electric portfolio, most notably on Chetak and on strategic bets like Freedom. In terms of the commodity landscape, I think in overall terms, at this point of time, it's looking pretty balanced. As we move into the next quarter, some watchouts on rubber, polypropylene, and platinum, but there are others which are looking to be stable to benign. So, on balance, at this point in time, the outlook for commodities for this current quarter 3 looks to be relatively flattish.

With that, let me hand it over to Anand and open the floor to Q&A.

Anand Newar: Thank you, Dinesh. With this, we can open the forum for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question, may press "*" and "1" on their touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Our first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi, good evening and thank you for taking my questions. My first question is related to Freedom 125. Congratulations on your efforts in building that franchise. You mentioned that you've had a lot of discussions with your customers trying to understand their experience. So just specific to the CNG network, I think we have about 10,000 CNG pumps in India at this stage. What is

the average wait period to refuel that most of your customers currently have and related to some of the efforts that you're making with some of the CNG network partners, what sort of the feedback you have in terms of how much that wait period could come down over time?

Rakesh Sharma : So, because we have retailed about 10,000 Freedoms, obviously, we've gone and met a whole lot of customers and also our teams stood at the pumps. Let me tell you, the wait period is probably in minutes or seconds. The support for this innovation has even surprised us. Of course, we have had a very strong engagement process with the 14 gas distribution companies, with the Ministry of Petroleum and Natural Gas and with the Gas Authority of India at the senior most levels and also at their operating levels. And they have recognized the potential in this whole

Bajaj Auto Limited
October 16, 2024
Page 10 of 22

initiative for their business and I'm actually worried that they've gone out of their way and people are not having to wait at all. So, a Freedom 125 owner gets a VIP support into the filling, but we'll, of course, get an e

ye on the scaleup. So obviously this will not be possible to do when things really scale up. But as things scale up, we've been in discussion and these companies are watching very carefully. And I don't think they will shy away from putting in more dispensing stations and ensuring that the 2-wheeler CNG customer doesn't require to wait. The filling itself takes only less than a minute, a couple of minutes.

Chandramouli Muthiah: Got it. That's helpful. My second question is related to some information you have shared on electric three wheelers. So, you mentioned that now it's available in 700 locations. So, I just wanted to understand if you were to contrast the number of locations where the ICE 3-wheeler is available versus the number of locations where the electric 3-wheelers available. What is the incremental network related growth potential on the electric 3-wheeler business, considering that there is 35% market share in electric 3-wheeler versus 78% in ICE 3-wheeler, just trying to understand what the network gap there is and how that gets bridged over time?

Rakesh Sharma : Well, as things stand, we have reached the 700 number in the opening days of October. The numeric reach is around 1,000 stores, 1,100 stores for 3-wheelers, but the weighted reach I would say with these 700 stores, we are covering almost 90%, 95% of the industry. So, it's not linear because now there is a long tail. And our major task is accomplished with these 700 stores. Now it will just grow organically.

Chandramouli Muthiah: Got it. That's helpful. Just a housekeeping question. Lastly, could you just share what the spares number was for the quarter, please?

Dinesh Thapar : The spares revenue for the quarter was about INR1,500 crores.

Chandramouli Muthiah: Got it. Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh : Hi Team. Thanks for the opportunity and thanks for the very detailed remark. I'll actually focus on raw material to sales. When we look at that line item, it has gone up by around 130 basis points quarter-over-quarter. In the commentary, you added that commodity net of pricing was a 25-basis hit. Is it fair to assume that the remaining 100 basis points came largely because of electric 2-wheeler?

Dinesh Thapar : Yes, that's right. The largest drag for the quarter was the expansion of Chetak. And very slightly, I'd say the filling in the 30,000 odd units that we put out of Freedom, but yes the bulk of it, let me ascribe it to Chetak expansion.

Binay Singh : Right. And within that PLI incentive which we started to count last quarter, that is getting accounted this quarter as well, right? Is there any change in that accounting?

Bajaj Auto Limited
October 16, 2024
Page 11 of 22

Dinesh Thapar : No change on that front, Binay. I think the only piece is that in June we put in place the affordable Chetak variant which currently sells between INR96,000 and INR100,000 across states. The PLI approval for that came in the course of the quarter. So, there's a time-phase impact of that, but from a recognition standpoint, no change in the policy.

Binay Singh : And these number you said 9,600, is for the quarter for the entry-level Chetak?

Dinesh Thapar : No. I said we had introduced the affordable Chetak variant, which is priced at INR96,000 or INR100,000 across different states, as we call it which is the Chetak 2901 or 2903 that was launched in June. The PLI approval for that, the certification for that came in only in the midst of quarter 2. And therefore, we have started accounting for PLI or accruing for PLI only after receiving that certification. In terms of policy of how we accrue for PLI, no difference between quarter 1 and quarter 2.

Binay Singh : And just last two questions again linked to this only. When we sa

y flat margins in the EV

portfolio which basically means 0% EBITDA margin. So that commentary of flat is basically at the EBITDA level for EV. And lastly, just like we've seen a very good scale up in EV and in fact as we launch more variants that will accelerate. So, when you're guiding for flat margins, we are kind of accounting for the potential because that's basically the one part of the portfolio which is margin dilutive today. So, you are in a way accounting for acceleration in EV in your guidance of maintaining margins ?

Dinesh Thapar : Let me explain. I think you've got it, but for the benefit in case it needs to be clarified. I did make a mention that when you look at the electric portfolio, scooters plus three-wheelers put together we are EBITDA flat in absolute terms and therefore, you can assume absolutely margin flat because fundamentally the scale-up of the electric 3-wheelers is offsetting the drag of Chetak. So that's one part. So therefore, the cash burn on the electric portfolio is now flat. There is no cash burn because the two are offsetting. However, in terms of the impact on margins because the enterprise operates at 20 and the electric portfolio is flat there is a drag effect of that and therefore this should have reflected in the gross margin impact .

What I did say in the last comment was that it is like every other company would want, it is an attempt to continue to dynamically manage this P&L, but we'll have to continue to make investments for competitiveness and much of those investments would come on electric scooters and Freedom depending on how the commodity and the competitive context evolves, but the intention is to try and continue to dynamically manage the business for margin.

Binay Singh : Perfect . So that is very clear. Thanks a lot Dinesh. Thanks.

Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh : Good evening, sir and congratulations on this strong quarter. I would like to know about the festive season. How has that gone so far for Bajaj Auto and the industry and what is your outlook for the season? If you could share some color across segments also, that will be helpful?

Bajaj Auto Limited

October 16, 2024

Page 12 of 22

Rakesh Sharma: The like-for-like comparison with the same days last year and this year till Dussehra , it is bit muted and less than what was the expectation. The motorcycle industry is almost flattish, 1% to 2% growth only. We had thought that it would be upwards of 5%, 6%. We got some indication of this, though Pitr a Paksha period is low, but it was much lower than our expectations. So, we had entered this period a little bit, sort of watchful. And if this has to be deconstructed into segments, while the industry in the 100cc segment is in negative , it is marginally positive in the 125cc plus segment. We have declined faster than the industry in the 100cc segment. It's become a little bit of a red ocean there. I'm sure you would have monitored the discounts of up to INR5,000 to INR6,000, INR7,000 on a bike, which is ESRP of INR65,000. So, you can well imagine what is happening out there. But we are moving faster than the industry in the top half. But beyond this, I must say to you that we should not draw the full seasons conclusions as yet. The places like Uttar Pradesh and all are doing extremely well, but Northeast , some states of the South, which are actually non festive states, they're not doing so well. And I've seen in the past that the last two weeks, the final overs can swing the festive substantially. So, we are waiting for the entire festive to get over and for it to settle and then see how things happen. I don't think we'll reach 8%, 9% growth. I wouldn't be surprised. But I hope that we should be there at 3% to 5% growth as an industry.

Kapil Singh: Thanks sir, very helpful. We look

forward to the slog over. Another one is on Chetak. If you

could talk about, the volumes for Chetak have increased and you're scaling up there, but you have also come out with new variants. And most of the players also talk about falling battery costs. So, in that context, how have the margins directionally moved for Chetak. I know you don't share the number, but at least directionally, how are they moving? And if you could qualify when you're talking about your flat EBITDA for EV, do you account for the PLI because you've got PLI only for half the quarter for two wheelers?

Dinesh Thapar: I'll take the last piece. When I did make a mention of the EBITDA for the electric portfolio being flat in absolute terms, we have accounted for the PLI. Of the three variants of Chetak that we have in the market, you know that we've got a variant at INR135,000, another one at INR115,000 and the affordable variant that we launched in June ranging between INR96,000 to INR100,000. Of the three of them, two of them were accounted for in terms of PLI for the full quarter because the certification for that had come in much earlier. You recall I had made mention of that in the last quarter's call as well. It is only for the third variant that we had launched in June that the certification had come in the midst of the current quarter, and so only after it came we had accounted for it, right . So different positions on the former two, which were already in existence

and a mid-quarter accounting and accrual for the third one that was launched in June . But yes, to your point, does Chetak PLI and 3-wheeler PLI form part of the electric EBITDA that have ended to be flattish, the answer to that is yes. Have margins improved for Chetak progressively over time? Yes, you'll recall that we had spoken about very significant streams of work that have been put into place on R&D and fundamentally tech. Those obviously have borne fruition. So, if I not only comment on quarter-on-quarter, but essentially over a 4-quarter

Bajaj Auto Limited
October 16, 2024
Page 13 of 22

horizon, I fundamentally say much of the expansion of Chetak that you have seen has been funded largely out of the cost reduction effort, which is the reason why we've been able to grow the portfolio from 20,000 units last year to 70,000 right now without a drag coming in on the overall enterprise margin.

Kapil Singh: Sir, what would be your breakeven level for this business in volume terms?

Dinesh Thapar: Well, the breakeven, I'm getting your question is on Chetak alone. So, two parts to what drives breakeven, right, pricing and cost. And as you heard Rakesh saying that there is a new platform that is in the offing that will significantly reduce costs over and above the cost reduction efforts that we've already seen. So, I can see line of sight on further cost reduction playing out between quarter 3 and essentially quarter 4 as the new platform comes into play .

What I'm not clear about is where will market pricing settle. And you have seen, and you are aware of the extent of discounting that is prevalent in the market , right. So, I can tell you that we will certainly get better on cost structures with the new platform on Chetak that comes out later this quarter. But where pricing settles and how much of that, will get offset by the price table moving down or by discount in the market will determine the path to profitability in the future because our intention is to remain very competitive.

It isn't as much about fixed cost because as an OEM , we already have most of the facilities in place. We don't have to spend substantial amounts of money burning fixed costs in many ways. So, the biggest driver of profitability on this is not really going to come out of operating leverage for us as much as it is between the cost and price equation.

Kapil Singh: And I can assume initially, your focus will be more on

leadership?

Rakesh Sharma: Yes, of course. Even last year when our market share was in single digits, we were saying that over a period of time, we are aspiring to be absolutely for the leadership position in both e-autos and e-2-wheelers.

Kapil Singh: Ok Sir. Thank you so much. Have a good evening.

Moderator: The next question is from the line of Ayn Pirani from JPMorgan. Please go ahead.

Ayn Pirani: Hi. Thanks for the opportunity. I had a question on emission regulation first and then maybe some clarifications on the result. In April 2025, we are supposed to have the next phase of OBD norm, if I'm not wrong. So just wanted to get a sense from you, is there any cost call out or any significant inflation that we should be watching out for two wheelers?

Rakesh Sharma: Well, it's not significant. There will be cost increase. It is not that the emission norms are being tightened or anything, but this is the in-use monitoring which is going to be put in place, it requires certain sensors and certain diagnostics.

Bajaj Auto Limited
October 16, 2024
Page 14 of 22

Ayn Pirani: I was just asking that, should it be in line with what happened when the OBD -1 came in? Or can it be lower than that as well?

Rakesh Sharma: I don't recall exactly the numbers, but it will be in the same vicinity .

Ayn Pirani: Okay. Thanks for that. Secondly, on the festive demand trends that you mentioned, even if we get to, say, 3% to 5%, which you expect, is it something that we should think about for the rest of the year and going into next year ? Or is it just you're saying a festive blip because last year festive we saw a surge? Or is this the growth you are seeing going forward for the industry?

Rakesh Sharma: I would say that the industry was thinking that we should be in the zone of 5% to 8% but we'd probably be closer to 5% than 8% .

Ayn Pirani: Okay. That's helpful. And lastly, on Brazil, if I'm right, I think till 20,000 which you are right now, I think the requirements for localization are lower. And since you are now planning to go to 35,000, are there any measures for localization? Or do you already have tie-ups for localization, which are being done there?

Rakesh Sharma : Yes. So , there is a different set of requirements beyond 20,000 and that work has already been commenced. In fact, most of the equipment is in place, but some of the capital infusion, which will take place for some balancing equipment . But the engagement with the vendor has already

commenced, it's a lead time of about 7, 8 months. We should be able to wrap this up by middle of next year, certainly by August of next year when the capacity will go up to 35,000.

Amyr Pirani : Okay. And last one, if I can just squeeze in 1 more. The KTM or that entity loss that you have accounted for. Now obviously, I'm getting that there are few one-offs here in terms of the bicycle business. But it's a large loss, even if we spread over 2 quarters. How should we think about this? Is the business improving incrementally? Or should we expect more pain going forward for the next few quarters?

Dinesh Thapar : So, I think, at this point of time, we would be guided by, obviously, the statements that PMAG has put out because they are bound by their regulatory requirements of listing and information access. So, the guidance statement that they have put out essentially, I think is on 26th of August is really what would hold. So, at this point of time, I'd like to keep it at that and not for anything because we just have to stay true to that process. But any development on business and clearly many moving parts of that is best announced and the progress of it, commented upon by them.

Mod erator : Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi : Hi Sir. My question is on Freedom CNG. So, any initial sense on the customer profile which we have, are these customers who have evaluated Freedom 125 against 100cc motorcycle or is this creating a new segment of customers? What is the feedback you're having on the customer perception of Freedom?

Bajaj Auto Limited
October 16, 2024
Page 15 of 22

Rakesh Sharma : We have understood that the spectrum of customers who have bought Freedom 125 is very, very wide. The largest cohort is from the 125cc segment itself, but the largest itself is only 15%, 20% or 18%. The source of business, is even from 150cc, from scooters, from 100cc entry-level, and 110 cc. So, it's very, very wide and which, in a way, is very interesting and encouraging for us because it is telling us that the sources of business cut across the conventional segments.

Jinesh Gandhi : Okay. That's very interesting. We are also seeing customers from 150cc and scooters as well, that's interesting. Secondly, in last call, we had mentioned PLI would have contributed about 50 basis points benefit at stand-alone level. But given that we have seen increase in share of EVs and more products being qualified in 2Q versus 1Q. Would these 50 basis points be materially higher in 2Q now?

Dinesh Thapar : So yes, I'm not going to go into the reconciliation of Chetak Financials because obviously, there's an expansion impact, there is a mix impact, and there is a PLI impact and material cost. So many moving parts. I'd like to stick to the commentary I made that this quarter, we operate for a period of time on the third variant that we had launched without PLI. As soon as that certification came in the middle of the quarter, we accrued for it. For the rest of the accounting of PLI, the policy remains unchanged relative to what we have done in quarter 1. But I think PLI in isolation is only 1 part of the picture because you've got to see how we are managing multiple lines to be able to fund extension of the electric portfolio.

Jinesh Gandhi : Sure sir. So that's very commendable that we are EBITDA breakeven now that's job well done. Two clarifications. One is at Pierer Mobility, any sense on what could be one-time loss on this for the restructuring expense? If you're aware of that.

Dinesh Thapar : Yes. So, I'm just calling out from their statement. I think they had called out extraordinary impairments and restructuring of EUR75 million in the first half.

Jinesh Gandhi : Okay. That's a very nice number, okay. Got it. And secondly, you mentioned exports are 415 million or 450 million in 2Q?

Dinesh Thapar : I said exports was 450 million.

Jinesh Gandhi : Okay. Got it. Thanks, and all the best.

Mod erator : Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar : My first question is on the Chetak network. You talked about the product being available in 4,000 stores. So just wanted to get a context on that as to what's our total store count network-wide, and also where is Chetak as we stand today in terms of the network presence?

Rakesh Sharma : We have 250 odd exclusive Chetak stores. And in addition to that right now, we are in about 3,000 -odd stores, which are shared with motorcycle business, which are sub-dealers as well as main dealers and their branches. This 3,000 over a period of 3 months or 4 months will go up to 4,000. And obviously, the 250 -odd stores are expected to expand because they drive the majority

Bajaj Auto Limited
October 16, 2024
Page 16 of 22

of the sales and more important establishing benchmarks of customer care and brand

development is happening through these exclusive stores. It gives us much better ability to discharge those functions.

Pramod Kumar : And Rakesh, what your total network count right now for the traditional business?

Rakesh Sharma : So, the total network count for the motorcycle business would be about 5,000, which includes all the sub-dealers, main dealers and branch

es. And then separately, you obviously have KTM and three wheelers, etcetera.

Pramod Kumar : So anyway, we have more runway for Chetak expansion beyond 4,000 as well as the demand kind of evolves in smaller markets?

Rakesh Sharma : Yes, exactly. It depends on how grassroots level demand is.

Pramod Kumar : And sir, sticking with EVs. You talked about a new variant – is it a new variant or is it going to be a new model under the Chetak umbrella or a new variant under the Chetak umbrella? Because we've stuck with Chetak so far for the entire lineup. So, are you looking at a new sub-brand, which is different than Chetak with different positioning? Or how should one think about it?

Rakesh Sharma : By the way, we are not stuck with Chetak. It's a very conscious and deliberate decision and we consider it to be a very important asset. There are a lot of people who are coming to Chetak because they're very, very fond of the brand. So, Chetak is our umbrella brand for scooters. We will continue to have a portfolio of different models under the Chetak umbrella. And so, to that extent, the franchise of Chetak will grow.

Chetak obviously started with one product, but the portfolio is being expanded. So, what you will see from middle of November onwards is I don't know how you perceive a variant or a model, but there will be a few new Chetak beginning mid-November to Jan.

Pramod Kumar : No, because what I wanted to understand is like is it a new brand or a new sub-variant with a new design?

Rakesh Sharma : No, it will be Chetak in this similar styling, but with much better propositions.

Pramod Kumar : Sounds good, sir. No, no, when you have a new design that brings more uniqueness and more footfalls in dealerships. That's the only reason why I ask that because you've seen that with guys like Ather who expanded the design language and volumes have expanded. So, I was just trying to probe on that.

Second question on the financial side. Revenues have jumped quarter-on-quarter by 10%, exposure also done well. You've stepped up your efforts on campaigns and launches as well. So can you just explain in that context, why would be our other expenditure be marginally down quarter-on-quarter in absolute rupee terms and even employee expenses fall by 10%. Because if I recollect 1Q, when there was a sharp jump in QoQ, you said it was more like recurring kind of

Bajaj Auto Limited
October 16, 2024
Page 17 of 22

and there was no one-off. So, if you can just help us understand these two cost structure movement quarter-on-quarter?

Dinesh Thapar : Sure, Pramod. Let's first talk other expenses. Look, I think the difference in other expenses is just so marginal that there is really nothing to call out because it spreads across very, very nominal numbers across multiple lines. So, the quarter-on-quarter impact, which is under INR10 crores, just take it as give or take, across multiple lines, none of which is worthy of call out. On a year-on-year basis, you're seeing a step-up. That step-up potentially is coming from three reasons. The first, because overall volume has moved up. So, coming in from all things to do with volume, right. Its volume-related expenses. The second is stepped-up investments behind marketing. The third essentially is on accounting for royalty that we have for Triumph, as Triumph as scaled up. So those are the three factors which have accounted for the movements in the other expenses year-on-year.

As for the employee cost, why is employee cost this quarter lower compared to the previous one. Fundamentally, a few reasons. One, last quarter had a leave encashment true-up that was done because the exercise was concluded then. Therefore, it was a one-off, which was true up and the impact of which happened the last quarter. The second is that we've had a state of retirements that happened on 30th of June, which would have got accounted

for the quarter. That number is

not reflected in the current quarter because those people were in a sense not backfilled. The third was onetime expenses as you get to the start of the financial year. There are host of the onetime expenses that happen. This is really on welfare, on EDLI, on uniform, etcetera, which sat in quarter one. The last fourth one was a slight transfer of employees that we did to our R&D in technology subsidiary Chetak technology. That's, therefore, reflected in it. Essentially, these four factors which have led to the drop in the employee cost between quarter one and quarter two.

Pramod Kumar : Sticking with just one more color on the financing arm, it's kind of shaping up quite well. If you can just help us understand what's the share of financing, what that entity had for Bajaj Auto

vehicles which were financed? And also, what's the AUM split looking like in terms of what's the exposure outside of Bajaj Auto vehicles? And any plans that you have on the milestones on loan growth, AUM, or anything which you can share there, sir?

Dinesh Thapar : Quickly to give you a sense - very good progress, very much in line with plan, likely an acceleration of timelines on completing the national roll out, which will happen by quarter four.

Exit September AUM was about INR4,000 crores. It has now acquired since the time it started about 250,000 accounts, but that number is poised to grow exponentially in the back half of the year as we complete the national expansion. In terms of penetration, at this point of time, the penetration of captive financing, is in a sense about nearly, I'd say about 50% standing both the 2-wheeler and 3-wheeler business.

Pramod Kumar : Thank you.

Moderator: The next question is from the line of Raghunandhan NL from Nuvama Research. Please go ahead.

Bajaj Auto Limited
October 16, 2024
Page 18 of 22

Raghunandhan NL : Thank you sir for the opportunity. Festive greetings to you. Firstly, to Rakesh, sir, for Africa region, the quantum of fall has come down in Q2, assuming the same run rate continues in Q3, would Africa turn positive on a Y-o-Y basis? Would that understanding be correct?

Rakesh Sharma : I'll have to check those numbers, but it might be mildly negative to mildly positive, if that run rate continues.

Raghunandhan NL: Got it sir. On the new products, in November, we have that Chetak more models coming in. Apart from that, for e-rickshaw or CNG three wheeler variants, any thoughts or time line you can share?

Rakesh Sharma : Well, like I said in the 2-wheeler side, we are starting from mid-November onwards. We will also introduce a couple of new models between end of November and January in the 3-wheeler portfolio also. This will be additive to the two which we have currently.

Raghunandhan NL: And on the CNG 2-wheeler side, sir?

Rakesh Sharma : In the CNG 2-wheeler side, the platform allows us to expand both into the 150cc and the 100cc zone, but for the moment, given the kind of requirements we have and the capacity and the supply and demand balance, we are focusing on the three models which we have, two of which have got rolled off, but the third one is just getting into the system. So, we'll focus on that and saturate the market with these three first.

Raghunandhan NL: Got it sir. On the NBFC entity, INR950 crores is the investment so far. Going forward, what would be the target investments by end of the year or by next year? Once you reach all India rollout, how do you see that share of financing for the NBFC?

Dinesh Thapar : I mentioned this the last quarter, or the previous quarter before that, that the Board had approved the capital infusion of about INR2,300 crores into Bajaj Auto Credit Limited, which is essentially to provide for an equity contribution of about 20% that we are targeting for that entity, of which INR955 crores has been infused in the first half.

If. Second half, I expect that we might end up doing another INR1,200 crores to INR1,400 crores.

Given the sizable AUM that we will likely hit, all going well per plan that number on AUM should hit about INR10,000 crores by the end of this financial year. And so, in that context, I expect capital infusion to be anywhere in the range of about INR2,200 crores to INR2,300 crores that the Board has approved.

Raghunandhan NL: Got it sir. Thank you so much for this. Wishing all the best and a happy festive season.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha : Thanks for the opportunity and Happy festive season to all. Sir congrats on the CNG success. Can you just give your sense on the market size opportunity for this product? Can you share

Bajaj Auto Limited
October 16, 2024
Page 19 of 22

what number of touch points we have covered and what could be the market to the touch points that we cover in the next period of time. Also, on the CNG side, can you share how will be the margin for this product as it scales up to normal levels?

Rakesh Sharma : We didn't catch you completely as the audio wasn't good. I got only the first part, which I think you're asking about the addressable market and touch points. So, we do about, let's say a million bikes per month in India, right. And 70% of these are 125cc or below. Not to say that we are not getting people from scooters or from 150cc bikes but keeping that aside. These are spread over about 580 cities and towns, and the CNG network is in 355 of them. These 355 towns and cities

account for about 70%. In a sense, you can say that the addressable market is almost half of the mileage conscious motorcycle customer, which amounts to about 0.5 million or so. This is the addressable market. But like I said, I have not taken into account people in the scooters and people who are in the higher CC ranges. We are now in 350 towns through all our dealerships. I think 500 -odd dealerships are there along with the sub-dealer network. So, we are now present in all these places.

Mumuksh Mandlesha : So basically, we've covered the whole market in terms of the CNG product?

Rakesh Sharma : Yes. By this month . We have covered 95% of the addressable market in the beginning of October .

Mumuksh Mandlesha : And just on the margin side for this product , once it reaches a good scale, how do you see the margin for the product?

Dinesh Thapar : So, at this point of time, we are clearly making an investment behind growing the Freedom franchise. So, margins are not clearly close to where the rest of the motorcycle portfolio might be. It's a very conscious decision that we've taken to really drive, like I said, this product is a strategic priority. And so, we'll watch the space going forward .

This product at the moment entails GST of about 28%. There's a larger conversation happening and on where GST might go, that might alter the economics if and when that happens. But at this point of time, we're clearly taking the discretionary core to invest significantly behind growing it. And so, I expect the margin profile of this product for the next couple of quarters would clearly not be accretive to the overall number. But again, this is something that we will have to find a way to try and manage across the broader enterprise.

Mumuksh Mandlesha : Got it Sir. Lastly, just on the exports demand where the recovery pending mainly in Africa side, and you have mentioned about the focus interventions. Just a little more on the interventions that we are implementing in the market and how you're seeing the impact of the interventions in the market?

Rakesh Sharma : We identified that Africa was going to be underperforming for some time , because these are macroeconomic troubles, which many countries are facing because of the volatility of

the

currency. And it's a fragile situation. We have focused very hard on places like Mexico. I think

Bajaj Auto Limited

October 16, 2024

Page 20 of 22

we got Mexico at just the right time. In Mexico, the motorcycle industry is growing up by 25% or so. And I can tell you that in the sports segments, we've already acquired leadership, and we are a brand to reckon with over there now. And that has really been helpful because we got it early. It's not easy. This is not like India. It is not easy to build market share over there because we are just starting. I mean, the journey in a lot of these markets is just 5 or 10 years old, and it takes time to reach customers, distribution, etc. So, there were a lot of interventions, which we have done in the markets where we felt, which are of meaningful size and had the tailwind. So, I would say Central American countries, Mexico, Colombia, Peru, these are the markets which have done well, and they've done very well for us.

The interventions have been in the form of a rapid introduction of some of our latest ranges. In fact, the sales of Dominar in Mexico beat the sales of Dominar in India, for example. Besides that, there are also markets like Turkey and all, where we've done outstandingly well , because we identified and we have worked there for almost 3, 4 years bringing in compliant products. And we have deliberately attacked these markets from the top. There's a big cheap market in places like Turkey and even Brazil, etcetera . But we are coming from the top. So, our intervention in terms of best-in-class distribution and in terms of attacking the market from the top end is very helpful in building the brand. So those are the kind of things which we have done in places like LatAm and Turkey, etc.

Mumuksh Mandlesha : Anything specific in Africa market, sir?

Rakesh Sharma : In African markets, we've got a very good retail network as opposed to most of other companies, Chinese, etcetera ., who deal with wholesalers. We've got a very good retail network. And a lot of it is exclusive. And the whole attempt has been to keep the flock together, to not burden them with exposure through stock, to work with them for a very localized activation and support them , so that the attrition of the network is minimized.

Mumuksh Mandlesha : Thank you, sir.

Moderator: Thank you. The next question is from the line of Pramod Amthekar from InCred Equities. Please go ahead.

Pramod Amthekar : Thanks for taking the question . The first 1 is with regard to E -3 wheeler , you are almost nearing the market leadership position in the E -3 wheeler passenger. So, in that context, I wanted to just check what is your thought of transitioning entire portfolio of ICE into the E-3 wheelers, what's the timeline you are looking at? And is it feasibly possible considering the use cases in the E -3 wheeler passenger. And similarly, the type of success you had in goods on the E -3 wheeler is

looking better than the traditionalized ICE goods segment. So how are you planning to sustain it and build on the E-3 wheeler goods?

Rakesh Sharma : E-3 wheeler cargo, you mean?

Pramod Amthe : Yes, cargo .

Bajaj Auto Limited
October 16, 2024
Page 21 of 22

Rakesh Sharma : See, our intent is not to direct the floor in this way or that way. Our approach is that multiple fuel systems will coexist , because there are multiple use cases. And we, for example, believe that CNG 3 -wheeler will continue to thrive because, a) the infrastructure is very supportive; b) the economics is not very different and c) there's a very high degree of reliability or perception of reliability and faith with the three -wheeler drivers on the Bajaj CNG business.

So, we feel that what will suffer will be the things like diesel and to some extent petrol but CNG , to some extent LPG , electric in due course of time, CBG and ethanol, they will all coexist, and

we are preparing ourselves to be on top of all these fuel technologies so that we can service the customer wherever whichever pathway the customer is coming from. And yes, we have a tremendous franchise there. We introduced our e -autos a bit later because we went back to the drawing board because we wanted to put in a product, which delighted the customer the most .

And you can see between August last year and now, we are already at 35% market share, and we had not even covered the country. That has just begun to happen now. So, through managing all these fuel systems , we will be in a fantastic position to engage with all types of potential customers, which will just have a synergistic effect and strengthen the overall proposition of Bajaj Auto 3-wheelers.

Pramod Amthe : And looking at the product portfolio in 3 -wheelers, do you see more product introduction possibly in E-3 wheelers currently, if I'm not wrong, the rating of the power is relatively lower versus the peers. What's your thought of product positioning or offerings possible in the next 1 year or 2 years?

Rakesh Sharma : We are going to substantially expand the 3 -wheeler range on the electric side. And that process is starting from end November, and you will see almost every month a new product entering our stores.

Pramod Amthe : And the last question is with regard to the captive finance. What is the penetration level of captive finance in your electric portfolio versus the ICE portfolio?

Rakesh Sharma : That is in the 30%, 34%.

Pramod Amthe : You mean to say it's both the same, irrespective of the fuel system?

Rakesh Sharma : No, I thought your question was penetration of our captive finance company in financing of E - 2-wheelers? For ICE it is 50 %.

Pramod Amthe : Thanks, and all the best.

Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. I would now like to hand the conference over to Mr. Anand Newar for closing comments.

Anand Newar : Thank you, everyone, for joining the call, and wishing you a very Happy Diwali. Thank you.

Bajaj Auto Limited
October 16, 2024
Page 22 of 22

Dinesh Thapar : Thank you everyone, Happy Diwali.

Moderator: Thank you. On behalf of Bajaj Auto Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2025

Registered Office Akurdi Pune 411035 India CIN L65993PN2007PLC130076

04 February 2025

To
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Mumbai 400 001 To
Corporate Listing Department
National Stock Exchange of India
Ltd.
Exchange Plaza, 5th Floor
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BSE Code: 532977 NSE Code: BAJAJ -AUTO

Subject: Transcript of Conference Call held in respect of the Company's Q 3-FY25 results

Dear Sirs /Madam ,

Please find enclosed the transcript of the conference call held on 28 January 2025 in respect of the Company's Q 3-FY25 results .

The transcript will also be hosted on the Company's website at
<https://www.bajajauto.com/investors/financial-and-operational-performance>

Kindly take this on record.

Thanking you,

Yours faithfully,
For Bajaj Auto Limited

Rajiv Gandhi
Company Secretary
ACS 11263

Encl: as above

Page 1 of 21

"Bajaj Auto Limited
Q3 FY 2025 Results Conference Call "
January 28, 202 5

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED

MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Bajaj Auto Limited
January 28, 2025

Page 2 of 21

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY 2025 Results Conference Call of Bajaj Auto Limited. My name is Nee rav, and I'll be your coordinator. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during this conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head, Investor Relations from Bajaj Auto Limited. Thank you, and over to you Mr. Newar.

Anand Newar: Thanks, Nee rav. Good evening, everyone, and welcome to Bajaj Auto's Q3 FY '25 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with the opening remarks from Rakesh on the business and operational performance for the quarter and Dinesh will take you through the financial highlights. We will then open the forum for the Q&A. Over to you, sir.

Rakesh Sharma: Thank you, Anand. Good evening, ladies and gentlemen. Welcome to the Q3 FY25 earnings call and thank you very much for joining us. Let me begin by wishing all of you good health, happiness and prosperity in 2025. As expected by us, quarter 3 was a very good quarter with several milestones being achieved. Volumes of over 1.2 million, slightly above the Q2 performance, revenue of almost INR13,000 crores, EBITDA of INR2,500 crores and a PAT of INR2,000 crores.

Besides these financials, we recorded our highest ever market share in the electric portfolio of both two-wheelers and three-wheelers. We crossed 500,000 units of exports in the quarter after 2 years. We sold the highest ever Pulsars during festive, grew space by 21% and registered the best quarter for Triumph and KTM in India. We also completed in this quarter the full establishment, the full rollout of Bajaj Auto Credit Limited across the entire Bajaj Auto. But most importantly, this is the fifth successive quarter of 20% plus EBITDA and that too, with a growing EV portfolio, which now stands at 22% of domestic revenue. In fact, our green energy portfolio comprising greener fuels of electric and CNG across two-wheelers and three-wheelers is at 44% of our domestic revenue.

Let us now discuss the highlights of each SBU. Exports. The BU grew volumes by 27% in quarter 3, almost at double the rate of estimated market growth. Latin America is now the largest emerging market region in the world for motorcycles, almost twice the size of Africa in volume terms and at least 3 times in terms of value. BAL exports grew by nearly 40% in LATAM in quarter 3 with a rich mix of over 60% of premium brands of Pulsars and Dominars. The industry recorded growth in Q3 in all other regions, which is ASEAN, Asia and even Africa. In every single region, our exports growth was significantly ahead of the estimated industry growth. Nigeria retails remained steady through the quarter at 35,000 units per month level with a market share of over 55%.

There are 3 other noteworthy points for our exports BU. The export performance was delivered despite an almost 50% drop in KTM exports due to the issues being faced by KTM overseas. In

Bajaj Auto Limited
January 28, 2025

Page 3 of 21

Q3, our export of KTM brands constituted only 2% of total exports, down from their usual level of about 5% in FY '24. Secondly, the exports growth was over and above the destocking of the channel, particularly in Nigeria, that was done in the early part of the year to minimize exposure of channel partners. And thirdly, Bajaj Brazil recorded its highest ever retail and production is now already at peak capacity. The Dominar brand has raised ahead

of several established

European brands in the personal segment. Management has approved a further expansion of capacity to 50,000 units plus level per annum, which should be in place by the final quarter of FY '26.

Going forward, in export, we still need to be watchful of the currency-led volatility, particularly

in South Asia and Africa. But barring that, we expect exports to continue to grow at 20% plus levels on year-on-year basis.

Coming to domestic motorcycles. Industry performance in Q3 was buffeted by a very good Diwali, which has lifted year-to-date performance of the industry to about 8%, up from the 6% or so growth being experienced till the end of H1 by the industry. Growth continues to be driven by the upper half of the industry, which is a 125cc + segment, which is growing at over twice the rate of the 100cc segment. Even though the season saw substantial pricing and discount action, our market share held steady in the strategically important top half with a clear number two position. However, there has been some erosion of our share in the bottom half as was expected because of staying away from the tactical pricing initiatives, which continue till date. We have now also recalibrated our billing volumes to right size channel inventory, particularly in the entry level.

Going forward, growth rate should settle at the underlying trend normalized for the temporary highs, which are achieved in festive. The underlying trend suggests a near-term outlook of 6% to 8% growth in the industry with the 125cc + segment growing faster than the 100cc segment, as has been happening. To ensure we get a disproportionate share of this growth, and we want to ensure continued excitement and interest of the customer, between December and March, we would have introduced nine new variants of our existing models in the 125cc + segment. We believe doing this allows us to sub segment the market and give the customers greater choice and feature sets as well as offer multiple price points for entry into the top half portfolio.

Freedom, the world's first CNG motorcycle continues its steady growth. Till date, we have retailed almost 50,000 bikes since the start in August. Customer adoption is good with the product delivering all benefits as was conceptualized, designed and manufactured. We have expanded the range with one more variant making it a portfolio of three, which should cover all segments of users from gig workers to long-distance personal users. We have seen a relatively faster adoption in areas where pump density is high like say, Delhi and Kerala, for example, and seen penetration rates go beyond 10% of the 125cc segment in such areas. In other areas, with customers where the per day usage levels are less and the savings in rupees per month is less, the adoption is lower as customers generally seek further validation of benefits. In quarter 4, we will step up mass engagement with customers to drive awareness and familiarity for the Bajaj Freedom.

Bajaj Auto Limited
January 28, 2025

Page 4 of 21

Commercial vehicles, the three-wheeler BU clocked its highest-ever retail of over 125,000 units in quarter 3, of which 17,000 were electric vehicles. The electric vehicle market share grew from 13% in quarter 3 FY24 to over 35% in quarter 3 FY25. Our e-autos are now available in 800 plus locations, perhaps the widest distribution in the industry. The e-auto portfolio is now being brought under a separate brand, the Bajaj Gogo. The Bajaj Gogo encapsulates the values of latest tech combined with the trust of decades. We intend to expand the EV portfolio next month, which should drive up the market share to leadership levels.

By the end of this financial year, we also intend to launch a modern e-Rick, which will set an absolutely new standard in the segment and bring a very high level of satisfaction to both the owners and passengers. The e-Ri

ck segment is almost as large as the auto segment and the new e-Rick should generate new business for the BU. The ICE business maintains its rough solid performance with an overall market share of 75% plus. Going forward, we expect the L5 industry to continue to grow at 4% to 6% levels primarily driven by increasing penetration of EVs. We expect to outpace the industry's EV growth, while maintaining our strong leadership in ICE.

Chetak business unit. The arc of Chetak's performance has been the steepest in the industry from a market share of 13% in quarter 3 FY24, Chetak has clocked the market share of 22% in quarter 3, a rise of almost 10 percentage points. This momentum of market share acquisition should increase further with the launch of the 35 platform, which happened in end December. The new platform provides us the best Chetak yet with a higher range, advanced displays, faster charging and best-in-class boot space combined with the already popular elegant styling and robust build quality.

This already introduced two variants should make a strong play for higher market share in the upper half of this EV segment where our presence has been relatively weak. The new series will also have a very positive impact on the bottom line, too. A major swing into the profitability zone will be achieved in Q4 as the 35-Series acquires scale beginning February. The combination of the new platform, which will be further expanded in this quarter, the continually expanding exclusive stores now over 250 and wider distribution to over 3,000 sales points will continue to drive the business towards a stronger leadership position and on a profitable basis.

Pro biking, both brands, KTM and Triumph had a very good Q3 with Triumph recording its best ever quarter. The refreshed KTM Duke, the 200 and the 250 have been received very well, and quarter 4 should see a further product refresh in the adventure segment. In Triumph, the new Speed T4 pulled in new customers and now all three models, which is the Speed T4, the Speed 400 and the Scrambler 400 are demonstrating good growth. Even as we steadily expand the Triumph network, our focus remains on top towns to drive share. We'll further refresh the Speed range in Q4 to keep the growth momentum going.

Finally, a quick word on two of our new 100% subsidiaries. BACL, our captive finance company has completed its Pan-India rollout ahead of schedule. And as of end Q3, it is serving the entire two-wheeler and three-wheeler business of Bajaj Auto in India with a 70% plus share of financing at our store. Even as the rollout was completed, we are delighted to report that BACL posted a profit in quarter 3.

Bajaj Auto Limited
January 28, 2025

Page 5 of 21

BATL, which is Bajaj Auto Technology Limited, the erstwhile Chetak Technology Limited has been renamed as Bajaj Auto Technology Limited and repurposed to be a pure technology company. With the rapid and diverse developments unfolding in the tech space, it was felt that we needed a singular focus to build capability in cutting-edge tech, particularly in EVs, but not restricted to them.

BATL will develop new tech in areas like electronics, electric powertrains, controls, hybrids and fuel cells, software and will also spearhead cutting-edge design and offer these for the use of Bajaj Auto Limited and its partners. BATL is now fully operational and already employs over 500 people. Source of BATL revenue will be the royalty from its IP and charges for other services rendered to Bajaj Auto Limited and its partner.

In conclusion, going forward, our imperatives are to continue to build share in the 125cc+ segment through steady expansion of Freedom and leveraging the expanded lineup for Pulsars, KTMs, and Triumphs. We will scale up the new Chetak 35-Series platform with production increasing February onwards to gain share in the upper half of the two-wheeler EV segment. Simi

larly, we will drive for leadership in the e-auto segment through the expanded range. We will ensure steady turnaround in recovering overseas markets and will go aggressively in steadier markets like LATAM. Underlying all this, we will continue to optimize growth and profitability to deliver better shares while retaining best-in-class profitability. On this basis, we hope to conclude an outstanding financial year '25.

With this, I would like to hand it over to Dinesh.

Dinesh Thapar : Thank you, Rakesh. Good evening, everyone, and thank you for joining us today. Since this is the first interaction in the New Year, let me take this opportunity to wish each of you a very Happy and Prosperous New Year.

Coming to the quarter, I think this time around, as you would have made out from the headlines, we are particularly pleased by the performance of our green energy portfolio in the domestic business, the rebound of our exports business, and quite clearly, the underlying profit performance.

The green energy portfolio is trending towards being nearly half of our domestic business. You've heard some detail from Rakesh. And more notably within that, the electric portfolio which continues to expand meaningfully recorded sales of almost 100,000 units yet again with leading competitive positions on both electric 2-wheelers and electric 3-wheelers. And I'm sure with these results, you will recognize this to be significant progress from where we started out 18 to 24 months back and a clear testament to the focused strategy and committed execution that we have behind the space.

Exports are making a steady and sure foot come back with a broad-based step-up across regions. And while LATAM continues on its strong momentum, I think what's particularly heartening is that Africa has come to the growth party this time with Nigeria delivering over 100,000 units in the quarter, more than double over the last quarter, and that's quite heartening because we haven't seen these numbers from Nigeria in quite a while.

Bajaj Auto Limited
January 28, 2025

Page 6 of 21

And finally, we've been able to hold margin at 20.2% yet again. Our margins have been at this level, give or take a few bps for the last 6 quarters, right from 19.8% all the way to 20.2% during

this intervening period. And yes, we are managing the P&L quite dynamically to deliver this while continuing to invest significantly behind our strategic thrust. Don't forget that the electric portfolio has grown 2.5 x over what it was the same time last year, and yet we've continued to deliver both top line and bottom-line growth in tandem. Now before I get to the numbers, let me spend some time on the operating context that influences our performance.

Rakesh has already given you a comprehensive overview of the market, so I'll focus my commentary on the 2 elements of commodity and currency. The commodity basket for the quarter ended rather flattish in net terms with the pluses and minuses quite balancing out. There was sharp inflation in rubbers and a moderate uptick that we saw in ABS, polypropylene and platinum, but that was offset by a softer metals complex led most notably by steel and a little bit of nickel and lead in part.

Coming to pricing in this context, I think the only notable pricing that we took down this time was an investment that we made into taking down pricing, and I say sequentially on our electric 3-wheeler really to drive our competitive position and product penetration as we expanded to a national footprint of the 800 plus touch points. On the rest of the portfolio, I'd say the net impact of price changes, both pluses and minuses or upwards and downwards, as you see them on the quarter was broadly minimal. Currency continued to be a tailwind given the movement of the dollar -INR. For the quarter, the dollar realization stood at about 84.3 compared to 83.8 in the previous quarter, and 83.2 in

the same period last year. And exports for the quarter was \$505 million. So that should give you a sense of the impact of currency.

Coming to the results, we've reported the stand-alone revenues of INR12,807 crores, up 6% year-on-year. And to really put that growth on year-on-year in perspective, a third of it came from volumes, a quarter of it from better price and currency realizations and the rest from mix. Underpinning the mix number, among others, is another record quarter on spares as it crossed the INR1,500 crores mark for the very first time. So that's quarterly spares of over INR1,500 crores for the very first time.

I must add that mix was severely impacted by the call that we had to take in the immediate term on lowering KTM exports given the current state of flux and the ongoing restructuring process in Austria that many of you are familiar with and the fact that Pierer Mobility AG is public, you would have heard a lot about it. Had it not been for the short-term setback on KTM exports, our revenue growth would have been nearing double digit and EBITDA growth even much higher in the teens given the margin accretive business that it is.

Coming to EBITDA for the quarter, we reported another quarter in excess of INR2,500 crores at INR2,581 crores, up 6% year-on-year. And as I mentioned, I think more notable, this growth would have been in the mid-teens, had it not been for the KTM exports factor. Margins held steady and resilient at the 20% plus levels. And I must say we are quite pleased at how we've been managing that.

Bajaj Auto Limited
January 28, 2025

Page 7 of 21

Year-on-year, EBITDA margins have improved about 10 basis points, while commodity costs remained largely flattish. Judicious pricing and a favorable currency environment has helped offset the impact of an adverse profit mix, primarily driven by the lower exports of KTM as I've mentioned. Most notably, given that the volumes and revenue of the electric portfolio have more than doubled over the same time last year, the impact of margin has been neutral as cost reductions and PLI accruals have offset the impact of the competitive lead of price reductions that we've taken and expansion of the portfolio and the scale that we've grown with it.

While on this, I must add that our R&D and procurement teams have done some impressive work on the EV-related costs. You would recall that we have mentioned in our last call that the EV portfolio comprising of both electric 2-wheelers and electric 3-wheelers had achieved a combined breakeven at the EBITDA level in totality. And now at a unit level, which is essentially the unit-level economics, while the electric 3-wheelers were, in any case, profitable, with the launch of the new Chetak platform, the 35 Series that we launched in December, the unit economics for the new Chetak model is now seen a line of sight on an EBITDA breakeven. So unit economics.

Of course, work is underway to introduce a few more models in quarter 4 and quarter 1 on this new platform. Each designed with both superior functionality and improved cost structures. And of course, where the margin eventually settles and how much of this benefit will eventually flow into the results will be a function of how and where market pricing settles and competitive actions play out. But you will agree that this is a significant step forward that stands this business in good stead given our larger ambition of scale in this space.

Profit after tax on a stand-alone basis came in at over INR2,100 crores for the quarter and

consolidated profits at nearly INR2,200 crores. Within this, as you heard from Rakesh, of noteworthy mentioned, is the progress that we've made on the captive financing on Bajaj Auto Credit Limited, which has turned profitable in its very first year of operations. First, the business has now completed its national rollout and presence across the

BAL network, well ahead of schedule. In many ways, a reflection of the disciplined execution and operational rigor that has gone behind it.

In terms of numbers, at the end of December, this entity, which is the new Bajaj Auto Credit Limited entity, has financed nearly 5,20,000 vehicles and built up an AUM of a little over INR7,000 crores. Alongside, the team is also strongly focused on building core capabilities for the business around digitally-enabled processes, interactions, seamless customer journeys, compliance, risk management and collections, which will enable the aspiration that we have for this business and support its scale up. That should start to kick-in from the upcoming quarter itself now that the staggered rollout has been completed.

Quickly a word on cash. With our consistent track record of cash generation, we closed the quarter with surplus cash of INR15,000 crores. It's also worth noting that in the first 9 months of FY25, we've generated INR3,000 crores of free cash flow, reflecting our strong track record of converting profit to cash. Over the same period, we strategically invested approximately

Bajaj Auto Limited
January 28, 2025

Page 8 of 21

INR1,600 crores into the financing subsidiary to support its nationwide expansion and about INR450 crores towards capex, of which I'd say two-third went behind the electric portfolio.

Looking ahead, you've heard from Rakesh, we remain very closely focused on our strategic priorities, competitive growth in the important 125cc plus motorcycle segment, building scale for new launches on Freedom and Triumph, a closer commitment to grow the electric portfolio to even larger numbers, both on Chetak and electric 3-wheelers supported by the new product upgrades and innovation that has been put out. Continue to stay the course on recovering our exports business, which in many ways have led the performance of this quarter and sustaining margins while dynamically managing P&L and continuing to invest behind the strategic growth enablers that we've been talking about.

Quickly on commodity costs, the landscape looking out ahead. I think we're looking at very slight inflation, led by alloys and in a few miscellaneous categories. But like I said, it's a slight inflation. Steel and other metals look balanced, but I think what we need to watch out and see is really the noble metals, rhodium, palladium and platinum are all showing some signs of stiffness, but we need to see how and when this plays out. Important to also note that quarter 4 will also see the start of the cost impact of complying with the OBD-2B norms that are effective from 1st of April, and that will play out once billing starts in many ways for the most part in the next month. Naturally, this will affect pricing, and we will soon roll out our updated prices for our products that comply with these OBD 2B standards. Currency, you are familiar with, and as you would know, that should provide some tailwind.

With that, let me hand it over back to Anand and open up the floor to Q&A. Thank you very much.

Anand Newar : Thank you, Dinesh. Neerav, with this, we can open the forum for Q&A.

Moderator: Thank you. We will now begin the question-and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Participants you may press * and 1 to ask a question.

The first question is from the line of Chandramouli from Goldman Sachs. Please go ahead.

Chandramouli : Hi, good evening and thank you for taking my questions. My first question is on the export business prepared remarks that you had made, that you have a line of sight on 20% plus growth.

So I just want

to understand what time frame do you see that sort of growth for? And then what are some of the markets or the products that are giving you the confidence on visibility on that sort of growth on exports going forward?

Rakesh Sharma : So, Chandramouli, the growth outlook was for the near term, like I said, I would not like to predict a very long-term guesses on this, given the uncertainty, the geopolitical uncertainty, the macroeconomic uncertainties, which are there all over the period. But we are taking it quarter-by-quarter. And we had said at the beginning of quarter 3 that we should be 20% plus, and we

Bajaj Auto Limited

delivered 27%. And similarly, actually, for the next 3 to 6 months, most likely we will be in the 20% plus one.

Beyond that, I would really want to see how things pan out in the environment. What is driving our growth is actually now with Africa sort of just coming back into a little bit of growth and places like Nigeria also growing where we have a very, very solid position, which is over 55% share. The single biggest driver is Latin America, where we've got excellent positions in all the key markets of Latin America. It is the fastest growing and the single largest region.

We find that some of our other strong areas are like Philippines, Bangladesh, and a little bit of a return in Sri Lanka. Motorcycle share in Sri Lanka is right now 80%, it's nowhere near what it used to be. But that market has started to grow. And like I said, continued performance in Africa.

So it's a very broad-based growth drivers across the board.

Chandramouli : Got it. That's helpful. My second question is just on the two points you mentioned around the e-rickshaw portfolio, that's likely to launch later this year as well as KTM which was a drag this quarter on growth and profit. So just want to understand both factors. What are some of the comments you'd like to share on the scale of the e-rickshaw opportunity? Is it a launch in the end of the calendar year or in the end of the fiscal year? And on KTM, I just want to understand how long you expect for that business to potentially start contributing again in a normalized way?

Rakesh Sharma : Like I said that we expect to launch the e-rick by end of this quarter. So, let's say, by end of the FY25 fiscal. By the time all the permissions are through, it may just spill over into first week of April or retails may spill over to first week April or they may just commence by end of March even.

It's a sizable opportunity. We don't sell anything in it. Almost 50% of three wheeled mobility is in the e-rick space, which is in north and east, little parts of west. Almost 45,000 e-ricks are retailed every month. And they come in various shapes and sizes. It's a very fragmented market. A lot of it is import dependent. A lot of it is substandard product. But it's a very good format for certain use cases. So, the demand is there. And by introducing our e-rick, we hope to organize this market and bring in fresh new business for us. I guess we will start to see a real scale up in the first quarter of the new fiscal.

And on KTM, see, we must wait. You know that there is an engagement process, self-administered, court supervised process, which the current management has undertaken where they're putting together a package for the reconstruction of the company. And the great thing is that there is a very definitive timeline for that, which is by 25th of February. And once that thing has been approved and accepted by all the stakeholders, we should see some kind of a revival. Until then, I think it would be patchy. So it's difficult to give you a precise month when this will unfold. But because it's all very court supervised and very clear time lines have been given. On conclusion of the process, I think it should be sooner than later before the revival commences. But that depen

ds on whether the package goes through and is accepted by all.

Bajaj Auto Limited
January 28, 2025

Chandramouli : Got it. That's helpful. Thank you very much and all the best.

Rakesh Sharma : I would just point out that my comment about the KTM revival pertains only to the export of KTM from India to overseas markets, which was being managed by the KTM AG companies.

The Indian KTM business, which is almost 6,000 units odd, there's no problem with that because that's all produced in India and sold through our dealership s.

Chandramouli : Thank you very much.

Moderator: Thank you very much. Next question is from the line of Gunjan from Bank of America. Please go ahead.

Gunjan : Yes, hi. Thanks for taking my question. Just continuing with the 3-wheeler segment, you did speak about expansion of the portfolio in quarter 4 on the 3-wheeler side and some price interventions that you've made as you expand the distribution. Can you talk a little bit as to what use cases? And I'm assuming this 3-wheeler expansion is independent of e-rickshaw. So what use cases and how does the price now sort of stack up versus competition? Because there's clearly a lot of competition also coming from other players in the industry. So keen to hear your thoughts on both the product side as well as the pricing interventions that you're making.

Rakesh Sharma : Well, on the product side, our e-auto, the passenger and cargo have both met with good success. In fact, in passenger e-auto, our market share is, I think, around 37% and in the mid-20s in the

cargo segment. And of course, the major segment is the e -auto segment. We are going to introduce a variant, which is larger sized and which will allow more passengers and passengers plus cargo kind of application.

We have found that this need is there, even in the electric. We found that in the core urban areas, a smaller vehicle is preferred. But as you start to go into the suburban areas or the mofussil, smaller town areas, we find that a larger body vehicle requirement is there. We already have a larger body vehicle in the ICE format . But now we are going to put it also in the E format .

As we do that, it is very important to ensure the performance of the product because there will be more passengers, there'll be more cargo sitting on it. So things like its gradability , the kind of heights it can climb and the loads it can carry had to be really worked out. Those tests have been done. And we are very excited about the introduction of this product. This will happen in this quarter which should then give us a good play into many geographies where our market share is relatively lower.

On pricing, what exactly sort of was your question?

Gunjan : I mean have we brought down the prices with the cost coming down? I mean, what's driven the price intervention? I'm not clear you spoke about it in your opening remarks.

Rakesh Sharma : Largely, it was in certain competitive areas where competition has taken action on reducing prices, particularly in places like Uttar Pradesh, etcetera. So we have matched that kind of reduction.

Bajaj Auto Limited
January 28, 2025

Page 11 of 21

Gunjan : Okay. My second question is on the CNG business. Now if I recall the commentary for last 1 or 2 quarters, clearly, our expectation on scale up of this business was a lot more aggressive than what it has played out so far, right? So I just wanted to hear your thoughts in terms of what is it we are doing in terms of accelerating the market creation because I think clearly, this is a new segment. It will need a lot more products, etcetera, from your side. So how do you see the business evolving? I'm not talking next 2, 3 months, maybe over the next 12, 18 months : portfolio , pricing, what else can we do to make this market bigger?

Rakesh Sharma : Yes.

Gunjan : This is on the CNG bike Freedom 125.

Rakesh Sharma : Yes

, I got that. Yes, indeed, we retailed at about 16,000 units in October, but then that is a festive month, and people are more and more prone to buy. Like I said in my initial comment, there are two things which shape the development of this category. The product acceptance is very good. The support by the gas companies is excellent . The confidence level of the dealers, etcetera, is very good because there are many dealers who are suddenly starting to see a lot of sales happening. As you know, in the mileage conscious segment, we have been a little bit more focussed on the performance -oriented segment. So, they are seeing this as a new business. But there are two things which drives the development of this business as we are understanding it. One is, like I said, the density of the CNG network. We have found when there is density is let's say, 40 vehicles per pump kind of a level , the adoption rates are very high. But when the density goes down to, let's say, 100 vehicles per pump kind of a level, the adoption rates almost half. And the reason for this is that if the pump availability is not convenient, then a considerable change in behaviour is needed.

The second thing which shapes this and which is linked to the first one, is how much money a person saves? And how much is that money worth taking all the troubles, etcetera ? Out of the let's say, 45,000, 50,000 units, which have been retailed , an overwhelming large portion of that , are riding more than 70 kilometres per day. Then the savings is quite substantial. But as you come down and let's say, if you are riding about 40 kilometres per day , you are doing 25 days of riding, which is 1,000 kilometres and the differential between, let's say, a 125cc ICE bike operating costs and the CNG bike is almost INR1. So, you're saving INR1,000 a month. Now INR1,000 a month, if the CNG network is very, very intense, people want to save that because there's not too much of trouble. But if the CNG network is far, then people think twice, whether they should undertake that change of behaviour. Now this kind of a thing mitigates over a period as we make the product more familiar , as people get more confidence through word of mouth that indeed the savings is going to be there.

So, we don't see an explosive growth. It started explosively, but now with a decent word of mouth stepping in, we see a steady step -by-step growth. We are going to accelerate this growth by having a whole lot of engagement, both in terms of communication and direct engagement with customers on the ground and familiarize them with this. We are also attacking some of the high usage cohorts like gig workers through some of the quick commerce, e -commerce and the fleet operator, these are cohorts who are even riding up to 200, 250 kilometres a day. And we

are going to be focusing on them. So, there is a whole lot of market development work. We feel very confident to undertake this market development work because the basic acceptance of the product is there. Now we have to dismantle the wait and watch attitude of the larger majority of customers, which will happen hopefully, over a period of time.

Gunjan : Okay, got it. Thank you so much.

Moderator: Thank you. Next question is from the line of Raghunandhan NL. from Nuvama Research. Please go ahead.

Raghunandhan NL: Thank you, sir, for the opportunity. Congratulations on the fifth quarter of 20% margin, shows the quality of growth. Sir, firstly, on the new products, e-rickshaw is a major product. Apart from that, what new products variants in two wheelers, would you be focusing on for FY26?

Rakesh Sharma : Well, like I explained already, between December and March, we will have 9 different variants of the existing models like there's an upgrade of the Pulsar RS200, which has hit the market. We are giving different feature sets,

which include digital console, LED headlamps, ABS, upside down forks, etcetera, at different price points. So, it makes it very easy for the customers to choose. Some people prefer upside down fork, some people do not. And that should give us a very wide spectrum of offering.

As we go forward, we have got a very rich product pipeline, again, almost entirely in the 125cc plus segment right through the year, besides all what we are doing for 3-wheelers. This is true for electric as well as for the ICE portfolio. It's a very, very rich product pipeline and you'll see every quarter 1 or 2 launches taking place.

Raghunandhan L. : Thank you for that sir. And would you be considering investments in KTM considering the financial stress, any quantum that you have planned?

Dinesh Thapar : So Raghu, I think it's a bit premature for us to comment on this because treated in the nature of an M&A transaction, there's a process which is being run at the moment. And since Pierer Mobility AG is a listed company, I don't think it would be right for us to make any comments. You did hear Rakesh mention clearly, the KTM business is of strategic importance for us and we, therefore, remain very strongly committed to it. But the financial considerations of where this will eventually go, I think, will play out over the next 4 weeks. So, let's hold comment till then. At suitable point of time when there is something to comment on, we'll share it.

Raghunandhan L: Fair point, thank you Dinesh. And Dinesh, if you can also share the net worth and profits for Bajaj Auto Credit Limited?

Dinesh Thapar : Yes. So, I think this is the first quarter that Bajaj Auto Credit has delivered a profit. We will put out the full financials at the end of the next quarter, which is the full financial year. But since you've asked, it is INR52 crores profit for the quarter. But that may mean very little for you because I think you will obviously need to see the entire set of financials to understand it better. But I thought to give you a sense that the number of accounts that have been serviced up to now are 520,000 units.

And remember, for these 520,000 accounts, we recognize that the rollout of Bajaj Auto Credit has happened in a staggered fashion, starting from Jan of this year. And so therefore, it does not reflect the entirety of a steady operation as yet. But I think it is quite noteworthy to mention that essentially in its third quarter it has yielded a profit this time around. Book size of about INR7,000 crores, as I mentioned.

Raghunandhan L. : Thank you very much. Just a last question for the budget, would you be expecting GST cuts in CNG?

Rakesh Sharma : Well, it's probably early days. When it goes up to the GST council, we have to wait and see when it is taking place. The SIAM have made strong recommendations. Now it is being taken up by the GST Council. But just to let you know that there has been very positive recommendations from various ministries, which include, of course, our parent ministry, which is the Ministry of Heavy Industries, but also from Ministry of Petroleum and Natural Gas, also clearances by Ministry of Environment and Ministry of Road Transport who have endorsed a GST cut, not just on the CNG, but also on flex fuel and ethanol-based fuels for two-wheelers.

Raghunandhan L. : Thank you very much, sir. Wishing you all the best.

Rakesh Sharma : Thank you.

Moderator: Thank you. Next question is from the line of Aryn Pirani from JPMorgan Chase. Please go ahead.

Aryn Pirani : Thanks for the opportunity. My question is on the domestic 2 -wheeler volumes and market share. Now if we look at the VAHAN share and since that is the focus, it appears that if I look at your ICE volumes, it's broadly been flattish vis -a-vis a growth in the industry. And because in VAHAN, we can't look at segments, so you obvious

ly have a better idea than we do.

Is that mostly on account of say some voluntary decline in volumes on the entry level motorcycle side? And going forward now that is out of the way we should get to this 5%, 6%, 7% kind of a growth rate in your ICE motorcycle retail growth. Is that how we should look at it?

Rakesh Sharma : Yes. So see, first of all, the VAHAN market share for motorcycles are derived. And this is done on the basis of longstanding ratios which really don't change violently. And those ratios are derived based on the submissions by each of the companies to place like SIAM. So we look at not the 2 -wheeler share, we look at motorcycle share.

When we look at motorcycle shares, our focus is always to first look at the 125cc plus. We obviously look at total shares. Total shares comprise the 100cc and the 125cc plus. Our strategic focus is in the 125cc plus. Between quarter 2 and end of quarter 3, our share in VAHAN and following the same methodology for now many years , has remained steady. We would have liked it to increase, but it has not increased. It has remained steady. .

And in the 100cc segment , we have lost market share. And one of the reasons for this is it's a very natural occurrence. It happens every year. And every year, we go through this debate within

Bajaj Auto Limited
January 28, 2025

Page 14 of 21

our company also whether we should participate in the red ocean action, which unfolds in the season, and it happens across all categories at all. It's a very deliberate management choice of not participating in that apart from some very, very smaller exceptions . And obviously, it has a temporary impact on market share, particularly in the entry level.

Once that has occurred you also have to then recalibrate your billing volumes so that the channel inventory comes down. And you will see in December and probably in January also that we have to readjust our inventories, particularly in the entry -level segment where, for example, if you are tracking the industry, you would have seen a very substantial price reduction by the leaders with the entry -level product now being available at INR65,000, right? So obviously, that skews the shares . It means our outlook will change. It means inventories which are there in the channels need to be addressed and therefore, the billing volumes have to be recalibrated. So you will see that, and it is best done over whatever, a couple of months, and that is what is we are in the process.

That is why we are seeing that. But over a period of time, once all this is washed, I agree with you that the underlying rate of growth should kick in, and we hopefully let's say, should be better, particularly in the 125cc plus segment. But yes, that temporary adjustment, which is very visible to you would be in the wholesale volumes, which will be lower because we are recalibrating some of the channel inventory.

Aryn Pirani: Sure. That's very helpful. And just second question on the OBD 2B point that you mentioned. Broadly speaking, the price rise required would be quite substantial because we've seen one of the large global competitors in this space, having increased prices quite substantially across a lot of their models. Now part of it is OBD 2B . But on an average basis, how much of a price hike would one need to take model to model like -to-like?

Dinesh Thapar: So, I think as it currently stands, it looks like the cost impact of OBD 2B alone, one might choose to bring in more functionality and product features with it with a whole different point. But pristine OBD 2B impact would be about 1%.

Aryn Pirani: Okay. Thanks for that. I'll come back in the queue.

Dinesh Thapar: Sure.

Moderator: Thank you very much. Next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Yes. Hi, my question pertains to the PLI incentives, given that this would be the first quarter

where almost all our models would have been eligible for PLI, would you be excited to say that our realization of incentives would be close to the right 13% number ? Or how should one think about that?

Dinesh Thapar: So Jinesh, I'm just outlining the principles that we've clarified on previous calls as well, we accrue for PLI incentives after 3 conditions are met: one, the capex condition, and we've been delivering the capex condition. Clearly, there's a commitment to deliver INR1,000 crores of

capex under PLI over a 5-year horizon with yearly rests, and so we're delivering that. The second is domestic value addition for these models have to be 50% plus. And the third is that the vehicle has to be certified by the testing agency, which in our case is ARAI. If these 3 are complied with, and we get the certification, we start to accrue for sales. That has been the principle that we've adopted in the previous quarter and continued into the current quarter.

Jinesh Gandhi: Okay. Sir, my question was, given that in 2Q, not all the models would have been eligible considering the timing differences of approval now that way. Would it be fair to say that 3Q would be the first quarter where we have seen a complete benefit of PLI coming in 3Q and in turn EBITDA breakeven and EBITDA positive for the EV portfolio is also aided by that? Or there can be further tailwind because of PLI in coming quarters? That's my question.

Dinesh Thapar: Yes. I think Jinesh, because I might tell you that the current quarter PLI will be applicable in all models because clearly, it might have been a continuous set of models. When we come in with a new model, then there's lead time. But there's a competitive context, we might have to forgo it for point of time. So, it's hard for me to give you a comment at the moment because it will not necessarily play out across all quarters as a uniform practice. What you should really consider is the fact that we are accruing for it as certifications are coming in. Lead times for certification are getting a lot better. And therefore, that provides some comfort in terms of when we start to accrue.

The improved profitability of the electric portfolio, let me restate, is coming in on a few counts. One, because electric three-wheelers is now growing scale and that the profit pool for that is meaningfully covering for the drag that is happening on Chetak, right? So that's the first. The second is between the cost reduction, if I'm now looking at over a full year, the impact I said was neutral because fundamentally, cost reductions that have happened across the electric portfolio, along with the accruals of PLI have funded for entirely competitive pricing and the expansion that we have made of the portfolio between last year and now. So that's really what has led to it. And that's the reason why I mentioned to you that with the growing pool of electric three-wheelers, we move from a situation of where we registered an overall cash loss same time last year. That has now moved to a marginal profit in the current quarter.

If you recall, our last comment was that we had broken even on the E two-wheelers plus three-wheelers portfolio put together. I'm now telling you that from a breakeven situation, we have moved to a marginal EBITDA positive situation.

Jinesh Gandhi: Got it. And my second question pertains to the availability of finance on the ground, some of the banks and NBFCs are highlighting increase in delinquencies on unsecured portfolio, including two-wheeler financing. Are you seeing any stress on the ground level, I mean, for the 30% of the financing which happens through your partners? Are you seeing any signs of that? And can that be a red flag from the demand recovery perspective or demand perspective in the domestic market?

Rakesh Sharma: Well, we can only comment on the experience

we are getting through Bajaj Auto Credit, because there we have all the information. And I can tell you that it's been an outstanding performance, because we are experiencing almost 98.5% performance in what we call bucket X which means

when the payment is due, whether it is collected. So almost 98.5% of payments are being collected as and when they're due. And in the balance also the delinquency is very, very marginal. But yes, we are aware that this kind of information is there in the market.

Jinesh Gandhi: Got it. And lastly, has our financing penetration also moved further because of Bajaj Auto Credit or what would it be like now for us?

Rakesh Sharma: Well, it is not as if the presence of Bajaj Auto Credit has suddenly jumped up the financial penetration in our case. You will recall that we had a very successful collaboration with Bajaj Finance Limited, which is doing an outstanding job in all our counters.

And that change has gone up seamlessly. And therefore, the penetration at an overall level remains the same. But yes, what has happened is that because of perhaps the own issues with some of these financing companies are facing, the market share of Bajaj Auto Credit Limited within financing has increased. That has now gone up to 70% -odd, which used to be 60% -odd, let's say, a couple of years back for BFL.

Jinesh Gandhi: Got it. Great, sir. Thanks and all the best.

Moderator: Thank you very much. Next question is from the line of Vipul Agrawal from HSBC Securities. Please go ahead.

Vipul Agrawal: Hi, thank you for taking my question. Sir, my question is on the export side, like you mentioned that you are seeing a strong recovery in African markets, especially in Nigeria. So what are the key drivers which is driving the growth over there? And is it sustainable? Or is it, again, will be dependent on availability of dollars over there?

Rakesh Sharma: I did not say a very strong recovery. I said there is recovery and Africa is back into the positive growth zone. The strong recovery, etc., is in places like Latin America and ASEAN. But see, what is driving the recovery is that ultimately there is a huge requirement for people to move around. Public transport is not available. As you know, motorcycles are used as taxis. There's no personal use of motorcycles. It's probably 1%, 99% use case is taxi for people to just climb on to the motorcycle and go from point A to point B. That's a very fundamental requirement. And that continues to grow as the population grows and as economic activity also picks up people start moving around, go for jobs, etc.

So that is very much there. It gets interrupted by macroeconomics, particularly on the currency side. When there is devaluation, it leads to the prices increasing and that makes it more difficult for new customers to come in and buy motorcycles. So, we have to watch that because I don't think we are out of the woods. We are in positive growth territory, but I wouldn't say that we are completely out of the woods. Let's see what is the kind of currency system we will experience in the next few weeks and months. A lot depends on the stability in that area.

Vipul Agrawal: Sure. Thanks for that. My second question pertains to entry level motorcycle like we have seen your commentary in last 2, 3 quarters around that you were not very aggressive on entry-level segment. Does it have something to do with the OBD II price hike, which actually impacted a

Bajaj Auto Limited
January 28, 2025

Page 17 of 21

lot on the entry-level segment during April 2020, the BS-IV to BS-VI? So are we expecting a strong price hike in the entry level again on the 2 norms? Or it will be a nominal price hike?

Rakesh Sharma: So, our focus on the 125cc+ segment is led mainly by the kind of value opportunity and margin opportunity which we see in the

top half of the segment. Secondly, we feel that the ability to gain share through product differentiation. Those degrees of freedom are much higher in the top half. In the bottom half, there is a very adverse competitive ratio, plus the degrees of freedom become much less in the sense that there are not many points on which we can differentiate and to be honest, we have tried many things. We have tried to give tubeless tires and digital consoles and even ABS. But these have all met with limited success, because the customer's need over there is price and simple product, and it becomes difficult to differentiate. So the combination of relatively less margin opportunity and tighter degrees of Freedom to differentiate has driven us to undertake a strategy, which was 125cc+ zone.

And in any case that goes with the grain of the wood, the tailwinds are with that segment in any case. So it is not to do with BS-IV, BS-VI, OBD 2A or 2B. Those things have to be tackled as we go along, and that is irrespective of this segment.

Vipul Agrawal: Noted sir. Thanks for that.

Moderator: Thank you very much. Next question is from the line of Pramod Kumar from UBS Group. Please go ahead.

Pramod Kumar: Yes sir. Thanks a lot for the opportunity. Sir, a couple of questions. On the cost side, we seem to have had like a flat line of other expenses and employee costs on stand-alone basis. While on consolidated basis, there's been a sharp jump. So, I just want to understand what are the big cost elements that are sitting outside of the standalone numbers, which are sitting in the consolidated numbers?

And also, if you can just explain how are you managing cost, especially given it's the festive season, marketing costs are elevated, there have been promotion scheme. So just if you can help us understand the data there. That will be my first question, sir.

Dinesh Thapar: So Pramod, the first piece is that the difference that you're seeing between stand-alone and consolidated, essentially represents for the most part, manpower or employees that we are building up for BATL, Bajaj Auto Technology Limited, which is the technology or research arm that Rakesh just spoke about and give you a flavor of what we're doing.

So we're clearly sizing up that organization to be able to invest behind absolutely cutting-edge technology and research. And the other is the fact that we have obviously sized up another set of people for Bajaj Auto Credit. So if you're looking at employee cost in isolation stand-alone and consolidated, the big 2 will really come from those 2 organizations, which are relatively new.

Pramod Kumar: Dinesh thanks a lot for that. Just a clarification. So a lot of these investments related to EV and future technologies are sitting on that particular subsidiary, while we are booking the PLI and other bits on the stand-alone entity, is that understanding right?

Dinesh Thapar: No. So, 2 parts, and you heard Rakesh make a mention of that. The current PLI, etc., is being booked at Bajaj Auto. All sales are booked at Bajaj Auto because you know that over a period of time, we've consolidated everything in the parent entity, which has always been the case, but for the very brief period when we had sales from the other subsidiary. But for the most part, all revenue, all costs insofar as it pertains to electric sits in Bajaj Auto. We are now sizing up Bajaj Auto Technology Limited, really to deliver technology, which will start to be captive. So they will really start to size up their operation, start to expand it. And fundamentally, what Bajaj Auto will do is that Bajaj Auto will either end up paying for services rendered by BATL or pay for a royalty where BATL owns the IP that is essentially the operating model. So, in whichever case, whether it is the cross charge for BATL when it serves in the role of being

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a service provider or when it provides technology for which the IP is owned by BATL, the cost for that will be borne by Bajaj Auto. The cost, like I said, could be either cross charge, which is project-specific project related or will end up being a royalty stream for the IP. So that essentially means that all costs pertaining to the electric business eventually will be born and accounted for in Bajaj Auto. What you will see in BATL will be a separate set of financials that will run essentially between the expenses that they incur to deliver the services and the revenue that they will earn from Bajaj Auto through the cross charges and through the royalty stream.

Pramod Kumar: I guess that business will eventually be separated because otherwise, it's the extended R&D arm of Bajaj Auto for all practical purposes. Most of the companies are running it in-house.

Dinesh Thapar: I don't want you to take away saying that essentially revenues being booked over here and cost is being booked over there. That is absolutely not the case.

Pramod Kumar: Yes. Understood. And is it a future plan for monetization, you see a potential monetization event here because this can be also sold to other companies like KTM and your other partners.

Dinesh Thapar: Well, very early thinking. I think there's clearly a job to be done to be able to really both conceive and deploy technology for our own captive portfolio and there's enough of an ask on hand on that. So, let's stick to the near term, which is a priority for them to feed the captive business on both electric and next-gen tech, which is for us. Future opportunities across subsidiary companies will always open up for conversations when relevant.

Pramod Kumar: Yes. And second bit, which I think was part of the first question was the expenses line item on other expenditure being flat lined despite the festive season. Typically, you see expenses rise for everyone. And then as Rakesh will be answering that, just a further question to Rakesh, on the market share thinking because despite EVs, the ramp-up and the kind of success we had in EVs, which is phenomenal, we haven't seen the gain percolate down to the ICE side for whatever reason, right? And our ICE market share is now precariously closer to 10%, 10.5% on VAHAN when you deducing the numbers from VAHAN. So I just want to understand what is the thinking

there because at some level, these kind of low market shares and underperformance versus the industry starts hurting the dealer franchise?

While we as an organization are doing very well on exports and product lines and three-wheelers and everything. But what's the thinking there as to how do we kind of get back the market share going higher and benefit from the electrification trend as well?

Rakesh Sharma: Well, on the market share, as I explained in my opening statements, first of all, we are very focused on the top half of the industry, and I have been talking about it earlier as well as in this call. With our number 2 position, I just wanted to clarify one thing, that there is no dealer viability issue. We are growing the dealer network as we want. We have a very healthy dealer network and dealers are, in fact, becoming increasingly engaged. We are finding within the dealer network, huge interest to undertake expansion programs for Triumph and for exclusive Chetak stores. So, operating with this kind of a focus doesn't bring into question any dealer viability issues. We've got some 650 dealers with almost 1,500 branches and showrooms and almost 3,000, 4,000 ASDs, secondary dealers, which is pretty adequate. And then in addition, we have the KTM, Triumph and Chetak network. So that is one point.

Of course, our main issue is that we must strive for leadership in the top half of the segment, which is the 125cc+ segment. There, the performance between quarter

2 and quarter 3 has been

stagnant. We have not increased our market share over there. And one of the things is that we have not participated aggressively in the discounting, and it happens in the month of October, etcetera. It was particularly severe, and it is still going on, I have told you, you can check the entry-level price, which is INR65,000, which is at an all-time low. Now we have chosen not to participate in that. We can participate. If there's any company which has the deep pocket, it is Bajaj Auto. But we feel that the profitless growth point always stares us in the face in the conference room. So, we have chosen not to participate.

But we obviously want to expand our market share in the area of strategic focus. And there, like I said, we believe that we will do it through a succession of products, rollout post season has already started. We have hand it back. So you've seen the N125, which came in, which is a very stylistic, youthful 125cc. We have introduced the ABS feature and some of the digital features, etcetera, in several of our models. We have upgraded the Pulsar 150 to the Pulsar 160 twin disc and soon it will come in as a single disc. So, there is a whole lot of these plays, and then we will have some new platforms, so we feel that we are on the right path. We will also need to build the Freedom to get us there at share in the 125cc+ segment.

And through the combination of the expanding product portfolio with communication is probably going to be the best in the industry. I mean if I look at comparisons of the kind of innovation, which is taking place, I would say that it is the best. Now that has to translate into shares, et cetera, as we go forward.

Pramod Kumar : And Dinesh, you talked about 1% price increase factor normally for the OBD2 B. Does it hold good even for the e-carburetor motorcycles in the 125cc portfolio?

Bajaj Auto Limited
January 28, 2025

Page 20 of 21

Dinesh Thapar : So I think the question you're asking is the 1%, I'd say on the entirety of the motorcycle portfolio. Obviously, given realizations of the entry levels being lower, the percentage will slightly will be closer to 2%, but I think what you should take away is really 1% on the portfolio from a cost perspective, which is what the OBD2 will have to get priced out for.

Pramod Kumar : Thanks a lot, sir. Thanks a lot and wish you all the best. Thank you.

Moderator: The next question is from the line of Mayank Sharma from Nomura.

Kapil: Sir, this is Kapil. Can you hear me?

Dinesh Thapar : Hi Kapil yes, we can hear you, go ahead.

Kapil: Yes. So sir, just firstly, I wanted to check on the profile of Chetak buyers. Is it a scooter buyer that you're seeing coming in? Or is it the motorcycle buyer also moving to scooters? Just some perspective on that?

Rakesh Sharma : Well, it is largely the scooter buyers. I would say 70% of the buyers would be coming in from the scooter cohort.

Kapil: Okay. So for Bajaj Auto, these are incremental customers?

Rakesh Sharma : Yes. These are incremental customers. There could be people who are owning a motorcycle and sometimes they want second vehicle in the house, and they are choosing. But largely, it is the EV and Chetak, particularly, they are cannibalizing scooters, ICE scooters.

Kapil: Understood. Second, I just wanted a perspective on the industry, particularly motorcycle industry, I noticed that after the festive season, in particular, sales have been quite slow. Would you agree with that? And if you have got any thoughts why that may have happened?

Rakesh Sharma : Well, it's a natural phenomenon, isn't it? Like I said, the first half from April to July, the industry was growing at 6% and was languishing at about 6%. The 36 days of the season particularly the final 18 days of the season had a very high double digit, I mean, high teens growth, which perked up the industry year-to-date growth.

And

in the season with the offers, with the communication across categories and with people being in the mood as it's an auspicious and cheerful occasion. So sometimes they advance their purchases. And it's a very regular phenomenon that post season, the growth rates are muted. So we are encountering most of that. And we feel that, therefore, to understand, what is the underlying growth, it should not get distracted by the season, and we should take a longer short view. When we take a longer short view of September to December or April to December, we find sort of a consensus emerging that the growth should be around 6% to 8%.

Kapil: So this is, in your view, temporary ups and downs in demand and you're not reading anything on the consumer sentiment side as such, which indicates any kind of slowdown?

Rakesh Sharma : See, compared to the growth rate of the season, obviously, post this thing, the growth rates are down because the activity is very minimal post season. But having said that, I would certainly say that the growth rate for FY 25 is no different from FY 24. I mean I would not like to comment on 2 weeks or 3 weeks or a month , because one can draw very, very wrong conclusions by taking such narrow time horizons. But if one were to take a full year view, I would say that, yes, we would have liked it to grow faster this year compared to last year, but the growth rate is very similar.

Kapil: And sir, just lastly, on Triumph, if you could make a comment like what is the plan now to drive growth over there? We've hit a certain number but it's sort of at a certain level now. So will it be more product introductions which are required here? How are you looking at growth over the next 2 years or so in this portfolio?

Rakesh Sharma : Over the next 2 years, certainly, there will be a slew of new products with very different functionality. Yes, Triumph is also steadily moving up. We're now hitting 3,000 -plus numbers in the month. And it is on the basis of the 3 products, Scrambler and Speed 400 and the new Speed T4, which all 3 are doing reasonably well. We will continue this growth organically on the basis of network expansion.

Also, we have to understand it's not as if Triumph is a widely popular and very well -known brand. At the end of the day, when you start to go out from the metros into the mini metros and the smaller town, Triumph is absolutely a new brand for people. So as the bikes get on to the road, as we get some scale there, and communication increases, the brand will also start to come to life. So organically, we expect the portfolio to keep growing, then there'll be a little bit of network effect because we will continue to expand our network. And over, let's say, 18 months or so, certainly, there will be an expansion of the product portfolio.

Kapil: Thank you, sir. Thanks. And I wish you all the best.

Rakesh Sharma : Thank you.

Moderator: Thank you very much. Ladies and gentlemen, that will be the last question. I'll now hand the conference over to Mr. Anand Newar, for closing comments.

Anand Newar : Thank you. Thank you, everyone, for joining on this call. Have a good day. Thank you.

Dinesh Thapar : Thank you, everyone. Good evening.

Moderator: Thank you very much. On behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jun 2025

Registered Office Akurdi Pune 411035 India CIN L65993PN2007PLC130076

05 June 2025

To
Corporate Relations Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Tower
Dalal Street
Mumbai 400 001 To
Corporate Listing Department
National Stock Exchange of India
Ltd.
Exchange Plaza, 5th Floor
Plot No.C- 1, G Block
Bandra- Kurla Complex
Bandra (East), Mumbai 400 051
BSE Code: 532977 NSE Code: BAJAJ -AUTO

Subject : Transcript of Conference Call held in respect of the Company's Q 4-FY25 results .

Dear Sirs /Madam ,

Please find enclosed the transcript of the conference call held on 29 May 2025 in respect of the Company's Q 4-FY25 results .

The transcript will also be hosted on the Company's website at

<https://www.bajajauto.com/investors/financial-and-operational-performance>

Kindly take this on record.

Thanking you,

Yours faithfully,
For Bajaj Auto Limited
Rajiv Gandhi
Company Secretary & Compliance Officer
ACS 11263
Encl: as above

Page 1 of 21

"Bajaj Auto Limited
Q4 FY2025 Results Conference Call"
May 29, 2025

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER -
BAJAJ AUTO LIMITED

MR. ANAND NEWAR – HEAD INVESTOR RELATIONS -
BAJAJ AUTO LIMITED

Bajaj Auto Limited
May 29, 2025

Page 2 of 21

Moderator: Ladies and gentlemen, good evening, and welcome to the Q4 FY 2025 Results Conference Call of Bajaj Auto Limited. My name is Sagar, and I will be your coordinator. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head Investor Relations from Bajaj Auto Limited. Thank you, and over to you, sir.

Anand Newar: Thanks, Sagar. Good evening, everyone, and thank you for joining us for the call today. Welcome to Bajaj Auto's Q4 and FY '25 earnings conference call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with the opening remarks from Rakesh on the business and operational performance for the quarter and for the year, and Dinesh will take you through our financial highlights. We will then open the forum for Q&A. Over to you, sir.

Rakesh Sharma: Thank you, Anand. Good evening, ladies and gentlemen, and thank you for joining our call. FY '25 has again set new benchmarks with revenue hitting the peak of INR50,000 crores, for the first time. EBITDA crossing INR10,000 crore milestone also for the first time, steady EBITDA margins at 20.2% for all the 4 quarters and thus, for the year. Profit after tax crossing INR8,000 crores also for the first time. The spare parts business also delivered our highest ever quarter and clocked 18% growth in FY '25. Since we have been engaging on a quarterly basis, I will focus mostly on the highlights of quarter 4 FY '25 instead of the full financial year '25. With this, let us get into each business unit.

Let's start with the exports business unit. The business unit grew volume by 20% in Q4. As exports recover, our premium brands, Dominar and Pulsar posted highest ever volumes in exports, delivering obvious benefits to revenue and EBITDA performance. We monitor the top 30 overseas markets in some detail, as collectively, they account for over 70% of the industry in emerging markets. Of these top 30 overseas markets, in 26 markets, the industry grew and collectively the 30 markets grew by 26% in quarter 4, which is signalling a very healthy revival. In these markets, Bajaj outpaced the industry growth of 26% and grew by 31%. Latin America is now the largest emerging market region in the world for motorcycles. Hereby, exports grew by over 18%. In Q4, we had a very rich mix of over 65% of premium brands of Pulsars and Dominars.

Bajaj Brazil recorded its highest ever retails of 7,000 units or so in quarter 4 which is more than the sale in the entire FY '24. We have commissioned the Brazil plant with an annual capacity of 20,000 units per annum last July, we have already expanded the capacity to 30,000 units and the plan is in place to expand it further to an annual capacity of 50,000 units, to be achieved by December this year.

Bajaj Auto Limited
May 29, 2025

Page 3 of 21

Africa and Asian markets are steady, though the uncertain trading environment in Africa means we need to carefully watch these markets and avoid any build-up of stock, endangering the exposure of our distribution partners. The global tariff issue had not any significant direct impact on us as direct exports to these areas, which could be vulnerable to higher tariffs, are mainly the KTM and Triumph brands and they constitute less than 1% of our total revenue.

The impending start-up and revival of KTM Austria will also unlock exports of KTM motorcycles from India to the overseas markets of KTM next quarter onwards. These used to consti

tute about 5% to 6% of our total exports and as you know, had dropped to almost nil.

Given this performance, and revival in the market, our competitive position in key markets and the return of KTM exports, we expect overall exports to continue to grow at 15% to 20% every quarter year on year.

Moving to domestic motorcycles. In quarter 4, the motorcycle industry registration indicates a minor decline of 2% or so. However, for FY '25, the industry delivered an overall growth of 6%, buffeted by a strong performance in Q1 and during the festive. Industry growth was driven by the 125cc+ segment, which grew by 12% compared to a flat performance in the 100cc segment.

As you know, the 125cc+ segment is our core focus area in which we continue to hold a solid number 2 position. Estimating market share basis Vahan registrations, we have noticed erosion during the year. From an estimated market share of 21% in financial year '23, we went up to 26% in FY '24 and have closed at 24% in FY '25 in the 125cc+ segment. Our countermeasures to reverse this are already in place from April onwards.

Going forward, we will continue to drive towards leadership in this segment through our two brands, and we have actions outlined for that. First is the rejuvenation of the Pulsar portfolio, which spans from 125cc to 400cc. Six new Pulsar variants have been launched in Q4 to a good reception. These variants are specifically and individually targeting both the sporty and commuter subsegments within the 125cc to 200cc class. Alongside, we have recalibrated prices to adjust for latest competition benchmarking, post OBD IIB changes. We did already see a sequential growth, though marginal of share between March and April.

On the second action, we are steadily expanding the penetration of Freedom, the world's first CNG motorcycle launched in the 125cc segment. It has already retailed 60,000 units basis its key proposition of 50% cut in fuel costs, being adopted mostly by long-distance riders in high-pump density areas. We are now very specifically and vigorously targeting this cohort, a long-distance rider in high pump density areas to drive up the penetration of Freedom, which has reached even 10% to 11% of the 125cc segment in some CNG dense areas like Kerala and Delhi. Both these brands, Pulsar and Freedom, going forward will be strongly supported by respective marketing campaigns targeting users in all parts of the buying funnel. Overall, we anticipate the industry to continue to grow at 5% to 6% in FY '26. Again, led by the 125cc+ segment, and we will aim for share acquisition based on the above key actions.

Bajaj Auto Limited

May 29, 2025

Page 4 of 21

In commercial vehicles, the business continues to stand strong in both ICE and now in the electric vehicle segment. It reported its highest ever volume with a 75% market share in ICE segment. The E-auto segment of the industry grew at about 60% in FY '25. And here, we have doubled our market share from 17% in FY '24 to 33% in FY '25. The momentum continues with Bajaj securing the number 1 position in electric autos in April and I am told in May till date. The key highlight has been the launch of the Go Go brand. We have introduced Go Go as a new brand for our electric portfolio in autos, distinct from our ICE brand - RE and Maxima, to create a unique and memorable identity in the minds of the customers.

We will launch an e-rick by early July. The segment is fragmented, operating largely with subpar quality products. We want to change the paradigm for both the drivers and passengers by bringing a well-engineered and reliable solution to an important last mile mobility challenge.

Our pilot vehicles have covered 10,000 kilometers of extensive testing to confirm the highest levels of build and best-in-class forms. I expect the new e-rick under the new brand to open up a segment of almost 40,000 units, which

we will hopefully upgrade over the next few years.

Coming to the electric 2-wheeler business, Chetak. The arc of Chetak's performance has been the steepest in the industry from a market share of 13% in Q4 FY24, Chetak has clocked a market share of 25% in Q4 FY25, a rise of 12% points on the back of the launch of the highly successful 35 series platform in end December. The quarter 4 market share also placed Chetak as the number one electric two-wheeler brand in India.

The 35 series is the best Chetak yet with a higher range, advanced displays, faster charging, and best-in-class space combined with the already popular elegant styling and robust build quality. The two 35 series variants have achieved a higher market share in the upper half of the segment, apart from delivering a positive impact on the bottom line. With the introduction of the third 35 series variant, which is the 3503 in end May 2025, as well as the impending introduction of a new variant in June as an upgrade to the entry level and large-selling 2903, the Chetak portfolio will become very potent. Further expansion of this portfolio is envisaged in FY26 to attack emerging sub-segments.

The reach of Chetak is delivered through a combination of high-class Chetak experience centers, which now stand at 310 and are continuously increasing, plus over 3,000 points of sale. We expect these initiatives to build a sustainable and profitable leadership position in FY26. Having said this, I must point out a dark cloud on the horizon in terms of continued supply of rare earth magnets from China, which are an essential component of high-performance EV motors. While finally a process for end-use declaration for non-military users has been defined, which includes certification by the Chinese embassy in India and a couple of authorities finally in China, we are yet to see the completion of the process. Any delay or disruption will start to seriously impact production by July. So, we are hoping that in the coming weeks, approvals to ship are secured by exporters from China based on the declarations by our vendors.

Let me now move to ProBiking Business Unit with its two main brands, KTM and Triumph.

on year. KTM accelerated growth, particularly in second half, basis targeted interventions around product and pricing of Duke 200 and 250, as well as the very well received Adventure 390, which is setting a new benchmark of performance in the growing adventure segment. Triumph doubled its volumes domestically to close the quarter with 11,000 units on the back of a successful addition of Triumph T4 and the upgrade of the Speed 400. We have also nearly doubled our network year on year, backed by sharp and focused activation in top Tier 2 and Tier 3 cities. We are now in 100 cities with 136 best-in-class stores. The well-accepted models, the high-class stores, and on-ground customer engagements, you may have come across the distinguished gentleman's right, are steadily building a differentiated premium franchise for Triumph.

I'm sure the developments of KTM at KTM AG are being tracked very closely. The Bajaj KTM Alliance commenced in October 2007. Since then, the Alliance has achieved several milestones. The commencement of exports of KTM from India in 2011, which has subsequently reached over 60 countries. Launch of the India-based business based on joint products in 2012, which is now a substantial franchise in India, as discussed above. The millionth KTM was produced in Chakan in 2023, and it introduced several industry firsts in high-performance biking. KTM AG too had a record run, growing top line and bottom line by 4 times in the period of 2007 to 2023, to hit a revenue of EUR2.6 billion and EBIT of EUR116 million in 2023. Along with this

, KTM

deepened its highly differentiated, ready-to-race position, winning over 500 world titles and even a podium finish in Moto GP. And in this process, thrilling its considerable as well as passionate fan following.

The unfortunate developments of 2024 onwards had their genesis in the downturn of the e-bike business, the sharp rise in fall of demand for extreme sports during and post COVID. The failure to read the demand volatility led to increase in stock and debt and then the increase in interest costs. The convergence of all these developments put a huge pressure on liquidity and brought KTM to near insolvency. Even in this extremely stressful period, the customer franchise has not eroded due to its deep and niche positioning, and it is ready to be restored. At Bajaj, we have continued with the India business undisturbed delivering the best year in 2025, though our exports to KTM were compromised.

Looking ahead, we have strong belief in the opportunity for KTM and indeed for Bajaj. And this has been the basis for all the support that we have extended. As you know, Bajaj intends to acquire a controlling stake in PBAG which is Pierer Bajaj AG. Once all the regulated clearances are received, perhaps in 2, 3 months, KTM and Bajaj will commence to work very closely and execute a comprehensive turnaround plan. Dinesh will describe this subject in further details. Finally, a quick word on our 100% subsidiary, BACL, Bajaj Auto Credit Limited, our captive finance arm. It turned PAT positive in Q3 and has now reported a full year profit for the first time, marking a significant milestone in its journey towards sustainable profitability. With 100% pan-India coverage, disbursements have crossed the INR10,000 crore mark and BACL is now firmly positioned as a strategic enabler in our ecosystem.

Bajaj Auto Limited

May 29, 2025

In closing, FY '25 was a year of solid outcomes with record revenues, profitability and the establishment of new growth platform. As we step into FY '26, we will focus on the following seven key thrusts. A better competitive position in the 125cc plus segment of domestic motorcycles with high share and firmly on the road towards eventual leadership; a higher-than-market growth in exports, particularly in LATAM, where we will aim to make a quantum shift in our market share and competitive position. Acceleration and scaling up of new growth platforms of Chetak, Go Go, Freedom and the Brazilian business, particularly driving for leadership in electric 2-wheelers and electric 3-wheelers; working together with KTM to turn it around and put it in a better position than ever before in terms of its operations and market performance; strengthening the spare business to deliver the best ever performance in FY '26. Steadily grow the KTM and Triumph businesses in India based on the fundamentals of brand and customer experience; dynamically manage the balance between growth and profitability, recognizing prevalent volatility. These seven thrusts should deliver us the goal of delivering another record year in FY '26 with best-in-class financial performance.

With this, let me hand over to Dinesh.

Dinesh Thapar : Thank you, Rakesh. Good evening, everyone, and thank you for joining us on the call this evening. Before I dive into the quarterly and annual financial update, let me first address a question that has been asked by a few people in the last few weeks as to why we've delayed our results announcement this time around.

Now you might be aware that to complete our consolidated financial results, we add the results of our investment in the KTM business that has been made through our Netherlands subsidiary. You'll be aware that the creditors of KTM had accepted the restructuring plan and approved it back in February, where essentially a quota of 30% of the claims had to be paid by 23rd of May 2025. At that point of time,

the auditors also needed to see the company to demonstrate its ability to remain solvent and as a going concern. And until such time that event wasn't completed, they weren't able to close the audit report and report the audited financials. And so, with the 23rd of May timeline having been met with the quota having been paid, the auditors were able to finalize the accounts that were published by PMAG earlier this week. And so, once that was done, we were able to consolidate and close our accounts and therefore, that's the reason why our results got delayed by this very exceptional event on this instance.

Let me now move quickly to the operating context before getting into the numbers. Rakesh has already spoken to you at length on the business and the view of the industry. So, I'll focus my commentary on two aspects: On commodity and currency. On the commodity front in the quarter, it was a mixed bag, noble metals and precious metals continue to heat up, most specifically Palladium, which saw very steep inflation and Rhodium and Platinum firmed up to some extent. However, the broad energy basket and the metals complex, like steel and aluminum remained relatively soft, Nickel and Lead reflected some signs of inflation, but that was largely offset by relief in rubber and ABS amongst others. So overall, while there were some pockets of inflationary pressure, the broader softness, particularly in the metals and energy

Bajaj Auto Limited

May 29, 2025

Page 7 of 21

complex helped maintain a relatively stable cost environment for the quarter. And therefore, in net terms for this last quarter, quarter 4, material inflation was about flattish.

On the currency side, we had tailwinds. It was the quarter when USD INR hit its peak and so therefore dollar realization for the quarter came in at 86.5 versus 84.3 in the previous quarter and 83 for the same time last year. However, the rupee appreciated towards the end of the quarter, as you'd be aware and that had a slight impact on our financials as we had to restate our receivables at the closing rate.

Now against this backdrop, our headline revenue from operations stood at INR12,148 crores, registering a growth of 6% year-on-year. The reason I used the word headline is because the number that we have reported has been impacted by a conscious decision that we were forced to take to really suspend exports of vehicles to our KTM business in the course of this last quarter. However, on the continuing part of the business, we have grown double-digit revenue. That was aided by a mix of improved volumes and better realization both on currency and price fronts, but largely the former and a positive product mix that was led by the revenue-accretive electric portfolio.

On KTM, as I just mentioned, it was a conscious decision that we took to temporarily halt shipments given the state of flux and uncertainty on the ongoing restructuring process and essentially not to take any exposure on our receivables. But having said that, this was a call that was taken into very short term. And with the restructuring process now done and the 23rd of May milestone met, we expect to resume exports in the coming months.

On EBITDA, it came in at INR2,451 crores, which was up 6% year-on-year. Margins held steady at 20.2%, marking the sixth consecutive quarter of it being above the 20% threshold. On a year-on-year basis, the benefits arising from currency and operating leverage took care of the drop arising from the profitable KTM exports business and higher discretionary costs, notably on marketing. On the electric portfolio, that's entirely the benefit arising from cost reduction that we've been speaking about for some time now, along with the accrual of the PLI incentives, which we've been doing quite consistently, quarter after quarter that you're quite familiar with, the portfolio now being fully PLI certified has, by and large,

been funded for the actions that have

been taken to drive out competitiveness in the market, notably on pricing as the price table across the broader market came off and the introduction of an affordable variant in many ways, which was a key intervention that propelled us into leadership.

Sequentially, margins were flattish, driven by a favorable currency and better economics that we called out at the time of the launch of the new Chetak 35 platform, which took care of operating deleverage and higher discretionary spends this time, most notably, again, on brand investments

and on jigs and fixtures as we stepped up the level of innovation capex across the business. Tracking the revenue and EBITDA growth, profit after tax for the quarter stood at INR 2,049 crores and was up 6% year-on-year. Looking ahead, I'd say on commodity and currency the environment continues to remain quite volatile. Currency, which was a tailwind so far, appears

Bajaj Auto Limited
May 29, 2025

Page 8 of 21

to be an emerging headwind in this current quarter, quarter 1, as dollar realizations have started to soften. And given our quarterly dollar-linked sales of approximately 500 million thereabouts, the lower USD INR realization will weigh down on the margins in this near term.

On the material cost front, aluminum prices have surged and there is some firmness on a few lines like steel, ABS and rubber. These are expected to be partially offset by declines in precious metals: palladium, rhodium and platinum. However, I expect to see some amount of commodity inflation in net terms for the quarter. And added to this is the cost impact of the OBD IIb norms that have been rolled out from the start of this quarter. So cumulatively put together between material cost inflation and the rollout of the OBD II norms that have been rolled out from the start of this quarter, we are seeing a material cost impact that could add up to anywhere close to 1 percentage point. As for pricing we have been selective in our approach taking pricing up in parts of the portfolio and dropping prices in part of the motorcycle business to really revive the competitive growth momentum. The pricing outlook for the quarter therefore could be anywhere between 30% to 50% of the overall material cost impact.

Now that's the quarter. Since this is the last quarter of the year, let me also spend a couple of minutes to wrap up the year and you've seen this detailed in our press release. Let me start by saying it's been another landmark year of performance with financial metrics setting new benchmarks. Revenue from operations crossed INR 50,000 crores for the very first time, registering a 12% growth year-on-year.

Underpinning this, as you would recognize is the very versatile nature of our business and we've been talking about this, and this has been demonstrated yet again. It's the very versatile nature of our business that has driven the resilience of our results. If you recall, the same time last year, we had said that we had delivered a record performance and that was largely built on the back of a buoyant domestic business whilst exports remain subdued. This year, we started the year with a strong domestic momentum. Exports were a bit slow in the first half of the year. But then the story flipped in the back half. Domestic demand slowed and exports accelerated sharply. And so, we've now had another year of record performance, but very differently driven from the previous year.

Building on the strong operating performance, EBITDA for the year crossed the major milestone exceeding INR 10,000 crores, closing at INR 10,101. Margins held steady right through the year while closing 40 bps higher on a full year-on-year basis. And what we must recognize in this is the fact that the electric vehicle portfolio has moved from being under 10% of our domestic revenue to nearly 20% on a full year basis in the course

of this current year. And you're familiar

with the fact that the Chetak business continues to remain significantly margin dilutive, although with much better economics that have evolved over the last 18 months and the fact that we've been able to hold margins through this period of time is a reflection of the strong focus on driving the economics for the new growth engine of electric vehicles and for a very dynamic P&L management that we've been doing at a larger enterprise level.

Bajaj Auto Limited
May 29, 2025

Page 9 of 21

We closed the year with profit after tax at a new record high of over INR 8,000 crores registering a 9% growth year-on-year. However, it's worth noting that the growth is after absorbing a onetime exception deferred tax provision for INR 211 crores that we had to take in quarter 2 of this year on account of the withdrawal of indexation benefits on certain classes, asset classes and changes in tax rates as was announced in the Finance Act of 2024. If you were to adjust for the one-off impact, profit after tax would have grown by a robust 12% year-on-year, underscoring the quality and sustainability of the key earnings.

Now apart from the key financial measures, there have been a few areas to cheer about across our businesses as new milestones were achieved. On domestic motorcycles, revenue for our strategically important and focused segment of the 125cc hit a new peak. In commercial vehicles, we registered the highest ever volumes and revenue crossed INR 10,000 crores for the first time. Notably, the electric 3-wheeler business, which is under 2 years old, has rapidly scaled up to being 20% of the commercial vehicles revenue and hearteningly achieved leadership in the

course of the current quarter. This was the year in which Chetak hit the leadership in the electric 2-wheeler market and ended the last quarter as market leader. And so, when you add and look at the performance of both electric 2-wheelers and electric 3-wheelers, we have ended the year with over INR5,500 crores of electric vehicle revenue, which essentially would make it the country's largest electric 2 and 3-wheeler company, right. And this has all been delivered in a span of between 2 and 3 years. In exports, Latin America continued strong momentum, registering another high over what was an already record performance in the last year, and the region now accounts for over 30% of our total exports volume. And this space, as you heard from Rakesh, an important record revenue for this year as well. So, it's been a year of milestones and multiple accounts in addition to the financial benchmarks.

Moving to consolidated results. And since there is a significant impact, I thought it was right to call it out, while standalone profit ended at INR 8,151 crores that was up 9% year-on-year.

Consolidated profit came in at INR 7,325 crores. It was dragged down by the share of loss that we had to account from our investment in the global KTM business that reported a loss and the results of that business flows into our Netherlands subsidiary, which, in turn, we consolidate.

The share of that loss accounted for us between the first half and the second half added up to about INR 900 crores for the year. And you are aware of the context so I will not get into that for the moment.

We closed the year with the closing surplus cash balance of nearly INR 17,000 crores, underscoring the continued strength and resilience of our balance sheet. This was achieved after significant investments done in the year. We invested INR2,100 crores in our capital financing arm, BACL. We spent INR 700 crores towards capex, of which about 60% was towards the electric business and the balance to provide for innovation-related capex on the rest of the portfolio. And over INR 2,200 crores were returned to shareholders through dividends pertaining to the previous financial year, reflecting our

continued commitment to rewarding shareholders.

Free cash flow continued a strong track record and remained robust at INR6,500 crores for the year.

Bajaj Auto Limited

May 29, 2025

Page 10 of 21

The Board of Directors at its meeting today also approved a dividend of INR 210 per share today. That will total a tad below INR 5,900 crores when we pay this out in a couple of months, which will reflect a 72% payout on our total reported profit after tax.

Now I know a few of you would have questions on KTM and hence, before closing let me just quickly summarize the current announcements that we made to bring everyone on to the same page, and then we'll be happy to take questions that you may have on it. You're familiar with the structure so I'm not going to spend time on the structure, it was part of our release as well. And there have been a range of stock exchange filings and news have been that have been floating about the subject over the last few months. But most notably between the press release that we put out on 22nd of May and the stock exchange information the following day on 23rd, we essentially announced our intent to take control of the KTM business as headquartered in Austria, subject to necessary regulatory approvals that are currently underway.

Very clearly, what we said was that our Netherlands subsidiary, BAIHBV has arranged a debt funding package of about Euro 800 million to enable the continuity of the KTM business by paying off the approved quota to the creditors, that was approved by them in the February meeting in furtherance of the debt restructuring with the approval of the court of Austria and for infusing funds into the company to revive its operations and the working capital cycle that had choked up. Of this Euro 200 million cash that was infused in multiple tranches in the last financial year between Feb and March and between April and May to maintain continuity and to revive operations and Euro 600 million debt was provided in the last week to essentially fund the payment of the creditor's quota and associated costs.

Alongside, our Netherlands subsidiary also entered into a call option agreement on 22nd May itself with Pierer Industrie s and the parent of Pierer Industrie s, which I will use as a short form called PIKO for the rights to purchase either by itself or by a third party nominated by ourselves from Pierer Industrie s, the shares that they hold in Pierer Bajaj, recognize that Pierer Industrie s holds 50.1% in Pierer Bajaj. And so, we've now entered into a call option agreement that allows us to exercise an option to purchase these shares and therefore take control in Pierer Bajaj AG. Of course, this is subject to requisite regulatory approvals. Our right to purchase the 50,000 shares, which is essentially the stake that is held by Pierer Industrie s either by ourselves or through a nominated third party, can be exercised fully or in installments or in a combination for the next 1 year essentially till 31st of May 2026, but has fixed the consideration for such an exercise to be a maximum amount of Euro 50.65 million. Besides this, we will acquire the balance 0.1% stake in PBAG under a separate arrangement, which is also again subject to

regulatory approvals that could take anywhere between 2 to 3 months.

Thus, upon exercising the call options, Bajaj through its Netherlands subsidiary would essentially move from being a current minority investor in PMAG to being a controlling shareholder in keeping with our strategic intent to take charge of rebuilding the KTM business and realizing the synergies that they have with us. The full exercise of the options will essentially

Bajaj Auto Limited
May 29, 2025

Page 11 of 21

lead BAIHBV, our subsidiary to hold 100% of the shareholding of PBAG and will essentially mark the resultant exit of the Pierer Group from PBAG and the KTM business.

I tried

to cover as much as we had announced in those two days, but I'm sure there will be a few follow-up questions, which we'll be happy to take as part of the Q&A session.

With that, let me hand the call back to Anand and open the floor for questions. Thank you.

Anand Newar: Thank you, Dinesh. Sagar, we can open the forum for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Our first question comes from the line of Kapil Singh from Nomura.

Kapil Singh: Good evening, sir. My first question is on KTM, just want to understand what is your vision on operating this business? Would it largely operate the way it was operating prior to the issue that they face on account of market turmoil in the sense that the production will continue as it is? Or are there any guarantees for manpower to continue as it is? So that's one part.

And the other part is from a capital requirement perspective, how soon do you think KTM will be in a position to service the debt that we have provided them? And is there a need for more capital in terms of working capital or capex requirements for the year till they come back?

Dinesh Thapar: Thanks Kapil. And I'm going to draw a reference again to the press release that we put out because we have to be very mindful that there is currently a process of regulatory approvals that is being sought. And so therefore, we have to be mindful till those come in place. We cannot give effect to or getting actively involved at the moment. But it is very clearly our intent, as regulatory approvals come through, and that part of the hoop has crossed, to look at this very, very differently. We've decided that we would take charge and that is the message that we sent out through the announcement that we put out on the 22nd.

Looking at control of the enterprise very clearly, we will initiate a revamp of the entire governance framework as to what will happen at that point of time. There will be a full-fledged work stream that will be put up, which was essentially to leverage the experience and expertise of the Bajaj system and the Bajaj ecosystem that will be aimed at restoring the momentum and competitive growth of the business as well as driving the financial viability, looking for synergies in procurement and component sourcing in production, right. We will also, at some point in time, look at expanding the remit of the joint development program as a possible opportunity. And today, you're aware that, that program only extends up to bikes, which are

Bajaj Auto Limited
May 29, 2025

Page 12 of 21

under 400cc. But there is clearly an opportunity to be able to expand that all the way up to let's say, the 990cc in the immediate term horizon.

And I think we will continue to look for potential partnerships and collaborations that can help build the KTM business to sustainable competitiveness and long-term value creation. But I want to add that we need to wait for the regulatory processes to come through, for those approvals to come through and they are essentially three in number. We need to get approval from the takeover commission, we need to get approval from the investment authority, and we need to get merger control approvals from key and specific geographies that are relevant to this transaction and that will play out over the next 2 or 3 months. It is only after that, that we can get involved and comment.

And I think you will expect that we will comment in greater detail at that point of time. So, we just don't want to jump the gun at this point of time by commenting prematurely,

but this is the

broad directional intent that we went in with, to absolutely run the business differently, once those approvals are in place from the way it was run in the past.

Kapil Singh: Thanks, on that sir. And the second question is on the domestic market. You did allude to the fact that there was a bit of market share pressure, and you have taken some actions. If you could talk about the underlying market conditions, what has caused a bit of a slowdown that we are observing in the market that continues?

And on the market share front, what is the number of new products that you are looking to launch in various segments in the coming year? And how do we see the evolution of market share in the domestic market?

Rakesh Sharma: So, the market performance as I said, slowed down in quarter 4 and we believe it is largely happening in the smaller urban centers. We feel that the deep rural is the slow, the smaller towns and mid-tier towns are doing well. The metros are also okay, but the larger towns, that kind of a segment is slowing down, perhaps under the pressure of the inflation, which is being experienced by our type of customers, driven particularly by things like rental inflation. And we have seen some pressure on purchasing power.

We've also seen that the southern markets have been under greater pressure in terms of the industry performance while the northern markets particularly Uttar Pradesh, Delhi, Haryana, these types of belts are doing much better. I would like to actually wait and see a few more months before trying to extrapolate this performance because it's very hazardous in this up and down way of market behavior to take a small segment and then extrapolate for the whole year. That is what happened last year. So, you saw that quarter 1 was 11% growth for the industry. Quarter 2 was 2% growth, quarter 3 was, again, just in October, very high growth, and then quarter 4 was minus 2%, but combined, we delivered about 6%. I think it's going to be very, very similar. There will be some high-growth regions, some high-growth periods. But we should be sort of that 5% to 6%.

Bajaj Auto Limited
May 29, 2025

Page 13 of 21

But what is very, very clear, like I said, is the top half of the industry is certainly growing much faster. Our erosion of about 1 or 2 percentage points has largely been in the 125cc+ segment in the domestic motorcycles' portfolio. And it is based on the timing of competitive launches versus ours, there is always a lead, and every launch cannot be timed. We gain when we launch new and successful products and by the time competition responds to them, you get a very nice period where you can acquire market share. And that works for us as well as against us. And so, we had to do some catching up in terms of making our portfolio more feature-rich, which we have responded very quickly because we noticed this erosion by the middle of the year when dust has settled from the festive. And very quickly within a quarter, we have responded with feature-rich products. And we will continue this exercise with the introduction of new products in the Pulsar portfolio right through FY '26. We are also looking at entry-level 125cc product and therefore, it's a full pipeline of products for FY '26.

And hopefully, on that basis, we should be able to start increasing market share. We're in a solid second position, with 1.3x more than the third and the fourth guy but we are behind the number 1 position and our aim is to come as close as possible to the number 1 position in FY '26.

Kapil Singh: Thank you, sir.

Moderator: Thank you. The next question comes from the line of Aryn Pirani from JP Morgan.

Aryn Pirani: Thanks for the opportunity. First, just a clarification on the comment that you just made that you are looking at an entry-level 125cc. Would this be of the Pulsar brand? Or will this be a separate brand?

d? And a related question was that you have the Freedom, which has a positioning. You have the Pulsar which spans a lot of engine and price points. Is there space or is there requirement from Bajaj side to have, say, another brand in the 125cc to say, 150cc category? I would love to hear your thoughts on that.

Rakesh Sharma: So that question is still open. As the product sort of acquires its specs and its full form, we will decide on the branding. I can say that the 125cc segment, in particular, not the 125cc+, the 125cc segment is almost now equal to the executive 100cc segment, which is like 28% of Indian motorcycle industry is just the 125cc segment. And we can see two or three sub-segments emerging over here. Freedom is, of course, an innovation, though it's a 125cc, but it cuts across different cc classes and is the propositioning for the long-distance rider who is very keen to save money because of the long-distance riding.

Now whether there is space for one more brand beside Pulsar will be based on careful analysis of how distinct these sub-segments are. This work is going on and we will conclude this and reveal it to you closer to the time when we launch the product.

Aryn Pirani: Sure sir. Look forward to that. And my second question was on 3-wheelers. So broadly, how should we think about the growth potential over the next say, few quarters for the domestic 3-wheeler business. And within that, since you have already talked about the launch of the e-Rickshaw. Obviously, the addressable market is quite large, but I'm guessing that you will start

with a particular subcategory within that. So, should we look at the way you ramped up the E auto volumes? And should that be a way of thinking about or a template to think about how you will ramp up the e-Rickshaw volume? Or should we think about it differently?

Rakesh Sharma: I am very, very optimistic about the 3-wheeler business. And it may have its ups and downs, and it has its peculiarities in terms of parts of it being regulated, then there is this whole diesel to CNG conversion and of course, now the entry of the electric, which can sort of override the permit, etcetera, which opens the options. Despite all these constraints, let me say, unique features of this industry, the thing that is driving the 3-wheeler business is the enormous requirement for last mile mobility. That is not getting fulfilled by either the metros or the buses or local trains and stuff like that. The 3-wheeler is a very, very important vehicle to satisfy India's hunger for last mile mobility.

And I'm including e-Rick as a 3-wheeler in it. That's 40,000 vehicles per month. So, e-auto gives us a very, very good method to access the regulated market. And it opens things for introducing the e-auto. So, it may sort of go through its ups and downs, but fundamentally, the 3-wheeler business will continue to grow. Its fuel type and shape may change.

Now when it comes to the e-Rick, this is a 40,000 per month segment. Top 10% is Lithium-ion. Obviously, we are going to introduce a lithium-ion product because lead acid has its own problems. I draw parallel to what we did in Africa when we went in and came in with a very high premium to the existing Chinese players there at that time, 10, 15 years ago in recognition of better quality and ownership convenience. Over a period that people got educated, they shifted. Even today, we are seeing that the e-auto itself is upgrading e-Rick. It has its sources of growth in diesel and in e-Rick and we can sort of see one third of the growth of e-auto is being driven by people who are second-time buyers, end-of-life driver of e-Rick. So, by placing a good quality e-Rick, which has its own unique proposition in terms of size and payback and number of passengers it carries, and its access in narrow streets, we feel

that we should be able to upgrade

the balance, 90% also. But this obviously will take time. Our eyes are set on the entire 40,000, but I'm not saying that that will happen as soon as we want. FY '26 will be a year of observation and a year of building a pace. It will not be the year of solid scale up.

We will see quarter-on-quarter how it goes. But really, our eyes are on the 40,000. It may take some time, and we will begin with putting in a good product, observing it, understanding how it is delighting the drivers and the passengers and then going back and seeing whether we need to modify our product and our go-to-market approach appropriately.

Amyn Pirani: Thank you for that. I'll come back in the queue.

Moderator: Thank you. The next question comes from the line of Gunjan Prithyani from Bank of America.

Gunjan Prithyani: Hi. Thanks for taking up my question. Just a follow-up on this 3-wheeler discussion. I mean there has been some recovery that we've seen on the export side, right? And this did see a lot of drag over the last couple of years. So, anything in terms of the rebound of the business that you

can talk about? And there's an interesting comment that you made that the business saw double-digit revenue growth in quarter 4 despite the single digit volume growth, I think it was about 4%, 5%. So, I'm just trying to understand, if I look at fiscal '26, is it fair to say given that EVs are fast growing within the 3-wheeler piece, can revenue growth be double digits still for fiscal '26? I mean both exports plus EVs put together.

Rakesh Sharma: You ask lots of questions and it seems a bit weird there. The rebound or the growth in 3-wheeler in exports is largely the result of Asia and little parts of Africa, Ethiopia, etcetera, coming back. And particularly, Asia coming to growth areas, some places like Mexico, etcetera. So, it is part of the 30 countries which I talked about, I was telling you that we monitor 30 countries and 26 of them have grown both in 2-wheelers and 3-wheelers. And as you know, over there, also, we have a very good position.

Obviously, with the growing component of the electric business, it buffers up the top line, beyond the volume growth. But the overall mix, how FY '26 spans out in terms of the volume versus value growth, depends also a lot on the rise of Africa. Right now, Africa is steady like I told you, it is not going down, it's not going up. But we can see that it is still tentative and ready to certainly rise, then it has an adverse effect on the volume to value ratio.

Gunjan Prithyani: Got it. And the second question I had, Dinesh, was on the margins. I think clearly, a good gross margin improvement in this quarter. You did call out FX and Chetak profitability. Can you talk

a little bit more on how the contribution margins or overall platform profitability of Chetak stacks up now? And how should we be directionally thinking about the E2-wheeler business profitability?

Dinesh Thapar : Yes, Gunjan, I think it's been significant progress, if I just look at it from a 12 to 15 -month horizon of where we did not have at that point of time contribution breakeven in sight. We've got to a situation now where with the launch of the 35 series and everything that's followed ever since from December onwards. I'd say we are now very close to line of sight on being EBITDA breakeven, yes.

But that is subject to a big if, which is the fact that pricing needs to hold steady at these levels because you know that over this last 12 to 15 months horizon , market level pricing has come off. But let's for a moment assume that is the case, I would say now with 35 series we're probably slightly away from getting to EBITDA level breakeven with the PLI being accounted for the way we have consistently been doing for this last year. That's where we currently stand from w

hat was possibly a very significant bleed we have now come to line of sight of or being nearly breakeven.

But obviously every time I get asked this question, the way we think of it , I think we're also starting to think of it as once we look at the unit economics from an electric scooter perspective, we also look at it as now how we're doing on the overall profit pool for the electric business. And that has moved from being a few hundred crores of loss about a year ago to a marginal profit situation right now on the back of both improved unit economics of Chetak scooter, but
Bajaj Auto Limited
May 29, 2025

Page 16 of 21

also the scaling up of the electric 3 -wheeler, which is now becoming quite material and significant in the overall scheme of the electric business.

Gunjan Prithyani : And how do you see that going forward? How significant can be the improvement from current levels?

Dinesh Thapar : Yes. I think the journey on cost rationalization continues unabated. So therefore, there is already work underway looking at the next level of savings as it was. So directionally, we continue to look for the opportunities to move cost down even further. PLI will be quite consistent in the course of this year because that's not changing. As per pricing, anyone's guess, but if we make the assumption that pricing is going to hold constant at these levels , it then really comes out to cost savings, which we will continue to do but with the new platform having been launched only in December, I expect the next flush of cost savings to only come towards the later part of this current financial year.

Gunjan Prithyani : Ok. Got it. Thank you so much.

Moderator: Thank you. The next question comes from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah : Hi, good evening. And thank you for taking my question. My first question is just on the prepared remarks. I think you made a comment that you expect 5% to 6% industry volume growth in FY '26. So , I just want to understand how we look at our own volume growth outlook for FY '26. I think we had a good start in the first half of FY '25 and then it was more sort of negative 7% to negative 8% volume declines in the back half. I just want to understand what milestones we need to achieve to get closer to industry volume growth outlook in FY '26, if not exceed it ? That's my first question.

Rakesh Sharma: Our priority is to outpace the industry growth in the 125cc+ segment. That is our core focus area. It will remain so. And we slipped on that in a few months, not the entire year, for the reasons I explained . We have taken few countermeasures . I cannot tell you exactly how much we will outpace the industry by because, again, the industry, like I said, is going to feel like a snake in the tunnel. It's not going to be linear, so it's going to be up and down. But we will, hopefully, over a period , not month -on-month or like that but let's say, every quarter, every 4, 5 months, when we take stock, we should be ahead of the 125cc+ industry growth rates.

Chandramouli Muthiah : Got it. And just a related question on volumes. I think in the prepared remarks, you mentioned that you expect a 15% to 20% growth visibility on exports. Could you just clarify what time frame you have line of sight on that? Is it sort of a 6 -month period, or the full year given where inventory levels are in the export market?

Rakesh Sharma: Inventory levels are pretty much in good shape. Maybe there are a few markets here and there. But what I said was that every quarter, we expect to be between 15% to 20%, up over the same quarter in previous year.

Bajaj Auto Limited
May 29, 2025

Page 17 of 21

Chandramouli Muthiah : Got it. That's helpful. My second question is on the rare earth metal issue. At this stage, it appears that most auto companies in India are reasonably well stocked on inventory up to mid or

end

July. But beyond that, most companies don't seem to be as sure. So just wanted to understand what your thinking is based on the latest updates on the processes that are being followed and the negotiations between the Indian government and Chinese government on the rare earth metal supplies given that China controls almost 90% supplies?

Rakesh Sharma: Well, there is no particular negotiation. The process for declaration and certification that the rare earth imports will be not used for military purposes, has been now defined. I mean on fourth of April, an intent was published, but now a process has been defined, which entails self-declaration by the importing company, which would be our vendors. And which is then certified by a couple of agencies of the ministry, and then finally, by the Chinese embassy in India. With these, the certified declarations are sent to China where there were 2-level certification or 2-level approval, one by the provincial government, to which the exporters belong. And once that is done, it goes to a desk in their Ministry of Commerce for the final approval.

My information suggests that about 30 applications have been made, which have been certified by all the agencies in India, including the Chinese embassy in India and have been forwarded to China. We have to wait to see whether there are any questions, how much time it is going to take and how smooth it's going to be, et cetera. So, we have to wait and see the outcome of these 30 applications to fully understand what this process entails.

Like you said, almost 90% of the supplies of these materials are from China, building alternative is not an option in the short term because this will take development work. This will take investment. This will take testing, validation and integration into the vehicle systems. So, this will be more of a medium-term option. At this point, we are keen that the process is smoothly followed, and things are expedited both in India and China.

Chandramouli Muthiah : All right. That's helpful. And lastly, just a bookkeeping question, if you could share the export revenues and the spares revenues for the quarter, please?

Dinesh Thapar: Exports revenues is 470 million.

Chandramouli Muthiah : And spares?

Anand Newar : Spares revenue INR1,566 crores.

Chandramouli Muthiah : Got it. That's helpful. Thank you very much and all the best.

Moderator: Thank you. The next question comes from the line of Raghu Nandhan from Nuvama Research. Please go ahead.

Raghu Nandhan : Good evening, sir. Thanks for the opportunity. Firstly, on KTM, you're working towards normalizing the international operations, inventory reduction and even production

Bajaj Auto Limited

May 29, 2025

Page 18 of 21

commencement in CY '25. Would you expect things to turn around in CY '26 with better sales resulting in a positive EBITDA?

Dinesh Thapar : So, Raghu, we've not started working on it as yet. We're still going through a process, and I want to keep calling that out because it is a regulatory process that we are bound by. It is our intention to get started once all those approvals are in place. And then there's a full turnaround plan, knowing fully well what the diagnosis of the issue is and where the opportunities lie that will be put into action.

With that happening, I imagine we will be past the middle of this year. And so, it is our intention to try and get at least the first set of results to start showing up in the next calendar year once that plan is put into place, so to call. So, CY '25 will be a year of bringing back continuity because you know that production has stopped in December, it came on for a bit and then it went off again. It is about reviving the engagement, the partnership with customers on the extended ecosystem. It is about ensuring normalcy in operations setting in and then, of course, a new way of working, a collaboration kind of

setting in once approvals are in place and we can actually get in. So much of this year will be gone, but it'll have at least started the process, and we should start to see the first set of those results reflect in possibly in calendar year '26.

Raghu Nandhan : Thank you, Dinesh. Second question to Rakesh, sir. Sir, thanks for sharing the industry growth for exports, which is 26%, very strong. Trying to understand the growth drivers. We keep hearing macro challenges, adverse currency, fall in crude prices. Despite all this, exports are growing strongly. What is supporting this 15%, 20% growth expectation? How do you see that? Thanks.

Rakesh Sharma : See the 26% growth, which I said was just to make that point very clear to you is on the top 30 countries, which account for 72% or 75% of the industry. So first, I just wanted to get the math right, but yes, you can assume that it's 26%. Now this 26% growth is mainly on a base, sort of

had got hurt by first by COVID and then by the extreme volatility of the currency in many countries when the dollar went through a phase of getting stronger and that resulted in devaluation in many emerging markets leading to retail inflation and depression of demand. So, as things stabilize, it's not about devaluation or the appreciation. What happens is that most countries seek steadiness, certainty. And there has been a period of steadiness in the currency movement, at least, as also in the macroeconomic condition, which has allowed people to digest the new prices and get back to the normal routines. And which goes beyond the motorcycle industry. The secure environment, coupled with the fact that in most countries, the penetration of 2-wheelers and 3-wheelers is very, very low outside of ASEAN, India and China; Africa, Latin America, Middle East, all these places, the penetration of 2-wheelers is very low. And that is a fundamental driver for increase. I mean, today for us, for example, Mexico is a very, very large market. If you look at Mexico 10 years back and look at the 2-wheeler industry now, Mexico is the second largest market for 2-wheelers after Brazil. And that is all being driven by the increasing penetration of 2-wheelers per 1,000 population.

Bajaj Auto Limited

May 29, 2025

Page 19 of 21

What is driving us at 15% to 20% is that we took some early steps in Latin America because we realized that Africa is in for a long haul it may go up and down and it is considerably weakened as an economy, if I would say. We took very early steps in strengthening our brand channel platform, in aligning our partners and in sharpening our portfolio in each of these countries. And therefore, we have very good competitive positions. In the Sports segment, we are number one in Mexico, number one in all 5 countries of Central America, number one in Colombia, number one in Argentina, number one in Peru, and these things come very handy when the markets start to revive. And so, I would say a large part of this and seeing parts of South Asia, for example, Sri Lanka is now experiencing revival. You know that we had a very strong position in Sri Lanka. And today, as the Sri Lanka market returns, 80% to 85% of that benefit is being reaped by us.

So, I would say that some early anticipation in Latin America, strong positions and many of these new markets where revival is there, and the return of the KTM exports as we are expecting in quarter 2, hopefully, all combined to make us feel that, yes, we can aim for a 15% in the quarter, 15% to 20% growth.

Raghu Nandhan : Thank you, sir. Very helpful.

Moderator: Thank you. The Next question comes from the line of Vipul Agrawal from HSBC. Please go ahead.

Vipul Agrawal : Hi. Thank you, sir for taking my question. Sir, you highlighted about CNG penetration, basically share in 125cc about 10%, 11% in certain regions. What about these regions? And is it just pump density

which is impacting the CNG sales? Or there is something else to it like maybe power performance of the CNG bike?

Rakesh Sharma : The product acceptance is fantastic. 60,000 bikes have been retailed. And obviously, we had done some surveys. And most of the people have a very high acceptance of the product and actually delighted by the product and particularly by the savings that is supposed to deliver.

We are encountering two issues in the scaling up of Freedom. The number one issue is the anxiety of not having enough pumps. And therefore, we are finding a very clear correlation between those space. Now, let's say, Bihar maybe having a lot of pumps. But the density of pumps is what is more important. If the pumps have spread out over a large area, the customer gets obviously anxious about being stranded in an area which it doesn't have a pump. And therefore, we are finding adoption is very slow in these areas. But Kerala, as you know, Kerala is a very, in any case, geographically tight. And Delhi, in these places the pump density is good. And we are finding that Freedom is acquiring 6% to 10%, 11% penetration in these areas.

The second issue, which we are encountering is the filling pressure. This is a 2 kg pump tank, and it's supposed to deliver about 200 kilometers with a full condition. But some of these pumps do not have the right kind of pressure, as a result of which the tank is under filled and the range gets compromised and that becomes an issue with long distance riders. So, it's the quality of the

Bajaj Auto Limited

May 29, 2025

Page 20 of 21

pumps and the thing. That's why we are right now, as I've said, we are focusing on people where we are now, through experience, know which are the areas which has got the right pump density. And we have started to calibrate our resources in terms of engaging with customers, et cetera, in this. This has been the learning over the last 3, 4 months.

That it takes a while to understand this and now we are using this learning to have very selective targeting in these geographies to these cohorts, which are long -distance riders. So that is the way we feel that we will steadily build up on Freedom. Whoever is using the product is experiencing a good amount of savings.

Vipul Agrawal : Understood. That's all really helpful. So , my second question is on your BACL and basically the financing in the rural area. We are seeing incrementally NBFCs are becoming averse to financing of the customers, which have weak CI BIL score , which is actually we think is impacting the 2-wheeler growth overall. So normally, we see that captive NBFCs normally come forward and to help in such scenarios. So how is BACL is helping in that? And what will be the share of BACL in total financing in rural and urban?

Rakesh Sharma : So, we are running BACL at an arms length . It has got an independent board, which the MD of BACL reports to, and we don't want to run it as a handmaiden of Bajaj Auto. So, it has to be run on the sound principles of a financing company. So , I wouldn't say that just because it is captive it's risk policies and lending policies are influenced by us. They're completely independently done.

Where it is very helpful is that they have presence , virtual and physical at all our counters, which makes access to customers easier and smoother. He comes in to buy or she comes in to buy a Bajaj motorcycle or a scooter and get Bajaj finance. So , it's seamless operation and it becomes very smooth and friction free. But like I said, the risk policies and the credit assessment of the customer , this is done absolutely independently and by sound principles.

I've heard this comment and question being raised by others also that there is a certain tightening, and we know from our understanding of competition that, that has been a contributory to sort of hitting the industry a little bit. But I must point out that both BFL

and BACL, we never work ed

with them on any subvention basis. So , we have not provided any subvention to them to give user sort of loans. And therefore, there was no need between Q2 and Q3 and Q4 to suddenly pull back, there is no pulling back from Bajaj auto side or the BACL and BACL continues to follow its own risk assessment process. So therefore, we haven't seen much of a change. The penetration of BACL in motorcycles is about 40% and about 50% in 3 -wheelers.

Vipul Agrawal : Than ks a lot for th at sir. Really helpful.

Moderator: Thank you. Ladies and gentlemen, we'll take the last follow -up question from the line of Aryn Pirani from JP Morgan. Please go ahead.

Bajaj Auto Limited

May 29, 202 5

Page 21 of 21

Aryn Pirani : Thanks for the opportunity again. My question was also related to the financing business. Can you just remind us how much money you have already invested ? And is there a broad number that you can share for fiscal year '26? And also , if you could share the book value or the net worth of the business, if you have it handy?

Dinesh Thapar : So, the total capitalization from the time we started the entity is INR2,400 crores, of which INR2,100 crores has gone through this last financial year. Capitalization needs for this business, I expect it would be close to about anywhere between INR1,200 crores to INR1,400 crores more , as the book went up because this is the year in which we will have the full nation al footprint for the full year. If you recall last year, we were building up the book. We started the transition for BACL on 1st of Jan 2024. So, it was a staggered buildup of the book. The book ended up with an AUM of about INR9,500 crores.

Aryn Pirani : Okay. Excellent. Thank you.

Dinesh Thapar : Yes. And I think you had a question on net worth, it was just capital of about INR2,400 crores that we've put in, and losses have essentially got recouped because the year has turned a profit of about INR60 crores thereabout in the first financial year.

Aryn Pirani : Okay. Great. Thanks for that.

Moderator: Thank you. Ladies and gentlemen, I now hand the conference over to the management for closing comments.

Anand New ar: Thank you, everyone, for joining the call so late in the day. Thank you so much.

Dinesh Thapar : Thank you . Thank you, everybody.

Moderator: Thank you. On behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Aug 2025

Registered Office Akurdi Pune 411035 India CIN L65993PN2007PLC130076

12 August 2025

To,

Corporate Relations Department

BSE Limited

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Mumbai 400 001 To,

Corporate Listing Department

National Stock Exchange of India Ltd.

Exchange Plaza, 5 th Floor

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Bandra-Kurla Complex

Bandra (East), Mumbai 400 051

BSE Code: 532977 NSE Code: BAJAJ-AUTO

Sub: Transcript of Conference Call held in respect of the Company's Q1-FY26 results

Dear Sir / Madam,

Please find enclosed the transcripts of the conference call held on 06 August 2025 in respect of the Company's Q1-FY26 results.

The transcript will also be hosted on the Company's website at
<https://www.bajajauto.com/investors/financial-and-operational-performance>

Kindly take this on record.

Thanking you,

For Bajaj Auto Limited

Rajiv Gandhi
Company Secretary & Compliance Officer
ACS 11263

Encl: as above

Page 1 of 20

"Bajaj Auto Limited
Q1 FY '26 Results Conference Call "
August 06, 2025

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Moderator: Ladies and gentlemen, good evening, and welcome to Q1 FY '26 Results Conference Call of Bajaj Auto Limited. My name is Avirat Jain, and I'll be your moderator for the day. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the initial remarks from management. Should you need assistance during this conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head, Investor Relations from Bajaj Auto Limited. Thank you, and over to you, sir.

Anand Newar: Thank you, Avirat. Good evening, everyone, and thank you for joining us for the call today. Welcome to Bajaj Auto's Q1 FY '26 Earnings Conference Call. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with the opening remarks from Rakesh on the business and operational performance for the quarter; followed by Dinesh, who will take you through the financial highlights. We will then open the forum for Q&A. Over to you, sir.

Rakesh Sharma: Thank you, Anand. Good evening, ladies and gentlemen, and thank you very much for joining us. I think this time we are having the call at a decent time. I'm sure you will give us some credit for that.

I'm delighted to say that financial year '26 has commenced on a strong note with the overall performance in quarter 1, delivering a robust set of financials. We closed the quarter with a top line of over INR12,500 crores, EBITDA of almost INR2,500 crores and a PAT of approximately INR2,100 crores. These results were delivered against a backdrop of a volatile and intensely competitive environment. The quarter for us was powered by several top-notch performances. In exports, actually, we achieved the highest ever retails outside of Nigeria. And in commercial vehicles exports, we achieved the highest ever retails in quarter 1. Highest ever premium bike sales, e-auto leadership and a surging EV business whilst improving profitability and yet again, a solid performance by the spares BU.

Let me now get into the business unit level performance, beginning with exports. The BU grew volumes by 16% in Q1 as exports recovered. Our premium brands, Dominar and Pulsar continued to enrich the mix with Pulsar growing at over 21%, delivering obvious benefits to revenue and EBITDA performance.

As you know, we monitor the top 30 overseas markets very closely as they collectively account for over 70% of the emerging market opportunity. Of these top 30, in 25 markets, the industry grew collectively by 17% in Q1, signalling a continued revival. In these very important markets, Bajaj outpaced the industry growth and grew by 27%. LatAm and Asia are firmly on the growth path. There are countries in Africa, particularly the largest market of Nigeria, where trading environment remains uncertain. And therefore, we need to avoid any unnecessary buildup of stock.

Sales in Bajaj Brazil again touched 7,000 units in this quarter. With production capacity set to get expanded in Q2, higher sales will get unlocked. We are on track to expand capacity to 50,000 units per annum this year. The new Pulsar portfolio, Pulsar 400 NS, the new 150s and the new 125s were all launched in key markets around the world in quarter 1 to a very good reception, and they hold the promise of accelerating growth for us in their segments.

The global tariff issue did not have any significant direct impact on us as exports to US, which would be vulnerable to higher tariffs are mainly the KTM and Triumph brands and constitute less than 1% of our total revenue. Business operations, including production

had commenced at

KTM Austria. This has also unlocked the export of KTM motorcycles from India to KTM's overseas markets. These used to constitute about 5% to 6% of our total exports and had dropped to nil. Given this performance of the emerging markets, our strengthening competitive position and the return of KTM exports, overall, we expect to continue to maintain the growth tempo in the coming quarters at similar levels as has been achieved this quarter and previously.

Now coming to domestic motorcycles. The motorcycle industry performance in quarter 1 on a Y-o-Y basis was flattish. The 125cc plus segment continued to perform better than the 100cc segment. Geographically, the Southern and Eastern parts of the country declined. The West was flattish, while the North and Central regions grew. Advancement of monsoons, high levels of

inflation, particularly in big urban areas, dampened the industry performance. Through the quarter, we witnessed strong tactical countermeasures by all companies, particularly in the entry-level segment.

Our approach in Q1 continued to differentiate between segments. Given the slim profitability of the entry-level segment, our tactical actions were underweighted in the segment, resulting in a loss of market share of about 2 percentage points compared sequentially with Q4. As stated previously, our strategic focus has been and is the 125cc plus segment. Here, we had experienced a loss of market share in the period of Q3 of the previous financial year and early parts of Q4. Provoked by that, product and pricing interventions were initiated towards the end of Q4 in February and March, and they have started to show positive results with a sequential improvement in market share in Q1 of about 3 percentage points in the 125cc plus segment, resulting in an overall market share of 15% in Q1, which is a slight improvement sequentially over Q4.

We will remain focused on growing our share in 125cc plus segment through concentration of our resources and efforts, driving both product interventions and tactical support as needed in this segment. In this regard, the new thematic TV campaign for Pulsar has already commenced and some of you may have seen it during the final test match. The 100cc segment will be supported based on the impact on absolute profitability. Hence, we expect the construct of market share progression to remain similar to Q1. We will advance in 125cc plus segment, perhaps a decline in the 100cc segment based on competitive intensity and therefore, a slightly slower advancement on the overall motorcycle market share.

Coming to commercial vehicles, our 3-wheeler BU. The industry saw strong growth of 11% in Q1 on a Y-o-Y basis, driven by an almost doubling of e-auto volumes with the E segment also

Bajaj Auto Limited
August 06, 2025

Page 4 of 20

growing at 11%. Our business continues to perform strongly in ICE; high levels of 75% market share were maintained. In the EV segment, we achieved the pole position in Q1 with an over 35% market share in the e-auto segment.

The leap forward was powered by the highly successful introduction of the 7012 variant, a wide-body 3-wheeler with best-in-class range, specifically tailored for the large ticketing segment in semi-urban and rural areas. This has lifted both the ASPs and profitability of the EV segment. The mobility needs of middle India are expanding furiously, and we expect the category to grow and for us to outpace the industry.

We have maintained a 100,000 plus unit run rate for eight consecutive quarters in our 3-wheeler business, anchored by our undisputed leadership in ICE and the steady scale-up of our electric portfolio. We will further advance this position on the e-rickshaw front. Our product has now completed extended testing and will be launched in a few key markets by middle of August itself. This will give us the entry into a very large segment

of over 40,000 units per month. Our

approach would be to start small and observe the dynamics closely so that we may craft the playbook to upgrade the large low-quality lead acid-based e-rick to our superior solution, but at premium pricing.

On electric 2-wheelers in Chetak, the industry continues to average close to 100,000 units per month, growing over 30% year-on-year with penetration in scooters reaching to 20% plus levels. Our Chetak has more than doubled its volumes over the same period and contributed nearly 50% to the industry's overall incremental volumes. As a result, our market share for the quarter rose to 21%, up from 12% in Q1 FY '25.

This has been driven by a broader product portfolio and expansion of the exclusive Chetak network as well as other points of sale. This quarter, we expanded the Chetak 35 series, offering larger boot space, higher range and faster charging. Now the industry split between products priced at INR1 lakh above and below INR1 lakh is 40-60, 40% of the industry is now products which are priced above INR1 lakh and 60% below INR1 lakh. But for us, it is 85%-15%.

Our market share in the above INR1 lakh segment is now at 31% plus, which is in top position. Higher volumes, a better mix and new products have not just expanded market share and customer franchise, they have positively impacted both revenue and profitability. However, as we all know, we are facing supply chain headwinds due to the HRE magnet issue. Non-availabilities have begun to compromise production in June itself, resulting in some shortfalls in deliveries to dealers in June. July has seen a 50% shortfall. While we expect production in August to be better than July, we may still see a shortfall of similar levels of 50% in this quarter in Chetak and about 25% to 30% or so in e-autos.

Multiple options, both short term and long term are being pursued at the same time, ranging from simply working with authorities to reopen the flows of HRE magnets as well as to

developing alternate sources and alternatives to HRE -based components. The situation is evolving every day. And as can be imagined, this is an area of very high focus for resolution, and we expect the issues to be indeed resolved in the short term, restoring the industry -leading momentum that our EV portfolio has achieved. While complete restoration should happen by

Bajaj Auto Limited
August 06, 2025

Page 5 of 20

end of the quarter, we are keen to derisk the supply chain of this important segment, and that complete derisking should take about six to nine months.

Coming to Probiking , our premium motorcycle BU comprising KTM and Triumph brands. Together, the two brands built nearly 26,000 units in the domestic market during the quarter, marking a strong 20% year -on-year growth and a gain in market share within their respective segments. The steady growth is an outcome of our strategy of launching authentic and purposive products, building the brand through curated top -class activation and continuous expansion of the network, particularly for Triumph, which is now available in 80 cities through 130 stores. Triumph expanded its portfolio with the launch of the all -new Triumph Scrambler 400XC with its category -leading combination of performance , specs and finish infused with Triumph's iconic scrambler DNA and real -world adventure capability, it further builds on the success of the modern classic 400cc proposition in India. On the KTM side, we introduced the Enduro 390 R, a bike engineered for true dual sport performance. It sets a new benchmark in this segment for on- and off -road versatility. In both brands, a special effort is being made to develop the big bike business, which should dramatically differentiate our brands, aligning them closer to their original DNA besides creating new business opportunities. We have continued to invest in top class activation as a key route to

build both KTM and Triumph brands through curated experiences such as distinguished gentleman rides and other thematic rides for Triumph. And in KTM, these programs known as Pro XP continue to deliver ready -to-race outings, an example being the Great Ladakh tour, now in its fifth season, fully booked within 48 hours of opening registrations, reflecting the brand's strong emotional connect with the adventure riders in the country.

Finally, a couple of quick updates. Foremost, our 100% subsidiary, BACL , Bajaj Auto Credit Limited, had an excellent quarter with penetration scaling to 40% plus levels. It has now acquired 1 million customers with an AUM of INR12,000 crores and built a business driven by the twin pillars of digital first and robust operational efficiencies, thus delivering a PAT of INR102 crores in quarter 1. Secondly, as I mentioned, spares, this highly profitable business grew by 19% on the back of better distribution and portfolio management and looks set to maintain the growth tempo .

Looking ahead, our key focus areas remain unchanged. We focus on six things: competitive growth in the strategically important 125cc plus segment in domestic motorcycles, sustained export momentum with big emphasis on building superior positions in the better markets amongst our portfolio, resolve the EV supply chain issues with speed to regain the momentum in the EV segment, steadily grow KTM and Triumph business through product activation and network management, drive profitability and growth, balancing them in the most optimal way through robust operations and continue to establish and build capability in BACL to ensure sustainable class -leading performance.

With that, let me hand it over to Dinesh for an update on the financial performance.

Dinesh Thapar: Thank you, Rakesh. Good evening, everyone, and thank you for joining us on the call this evening. Before I get into the specifics of our financial performance, let me start by saying we

Bajaj Auto Limited
August 06, 2025

Page 6 of 20

continue to deliver very resilient financial results with consistent revenue and profit growth in tandem. This quarter, both revenue and EBITDA came in strong at INR12,500 crores and INR2,500 crores, respectively, making it amongst our top three results in terms of size. What makes the performance noteworthy is the context in which it has been delivered. We navigated through a quarter that saw domestic demand softening and unfavorable currency environment for much of the period, some constraint on our electric vehicle supplies and a partial offset of commodity inflation through pricing in what continued to be a very highly competitive marketplace.

Rakesh has already spoken to you about the markets in some detail in the business and industry

context. So, to leave you with time for questions, I'll confine my remarks here specifically to the commodity and currency before moving to the numbers. As you may recall, in our May earnings call, we had indicated that given the dollar weakness, the INR was getting stronger, and therefore, foreign exchange realization was emerging to be a headwind for the quarter. We had closed at that point of time, quarter 4 dollar realizations at INR86.5. Through April and May, realization dropped even further to INR85.5 and INR85.2, respectively, in keeping with the update that we have shared with you. However, the trend reversed somewhat in June with realizations coming back to the INR86 levels. As a result, the average realization for the quarter for our exports stood at INR85.6, about INR1 lower than the previous quarter, translating into a modest drag on both sequential revenue and margins.

On the commodity side, we had expected for a potential cost impact of close to 100 basis points. That was factoring in inflation on aluminum, firmness in steel and ABS and the additional cost impacting the rollout of the OBD II -B norms. If you recall th

at is what I had signaled at that

point of time. However, as the quarter progressed, we had some relief coming from cost savings initiatives and better steel settlement rates later in the quarter. This has helped cushion the impact to an extent. In the end, overall material cost pressure, inclusive of the regulatory cost increases, landed in the range of about 70 basis points relative to the 100 basis points that we had originally estimated, and that flowed through into the reported margins as well.

Let me now turn to the financial results, starting with the volumes. Overall volumes for the quarter were about flattish compared to a year ago. Much of the revenue growth, therefore, of 6% has come from mix. Underlying this is double-digit growth on premium motorcycles, commercial vehicles and Chetak, which has driven the highest ever quarter 1 revenue on the domestic front. And this has more than made up for the domestic motorcycle performance, which although has improved over the previous quarter, has had a subdued effect on the overall enterprise growth.

Exports continue to be a story of recovery and resurgence. Even though volumes are still 20%, 25% lower than the FY '22 levels, the revenue from exports have reached an all-time high. This is the result of better realizations coming in from the dollar and a richer product mix. Latin America, which we've been calling out for several quarters now, has continued to perform very well. And Africa, on the other hand, has trended upwards. Total realization on exports came in a tad north of \$500 million for this quarter. Spares revenue closed at close to INR1,600 crores, continued to grow very well and has now gone past the earlier peak of the last quarter.

Bajaj Auto Limited
August 06, 2025

Page 7 of 20

The other notable highlight for the quarter was the continued strong performance of our electric portfolio as seen over the last few quarters, where we gained leadership in electric 2-wheelers. This quarter, we attained leadership in the electric 3-wheeler category. Overall, electric vehicles contribute more meaningfully, now accounting for a tad over 20% of domestic revenue. And in this quarter, despite the fact that given the rare earth magnets issue that we had, we had supplies only to the extent of 60% of our plans on e-2-wheelers and 75% in electric 3-wheelers for June month.

That said, more importantly, with the recent launch of the Chetak 30 series, the new affordable variant, now the entire Chetak portfolio has made a shift to the new floorboard battery platform, which essentially offers a far superior functionality, better performance and much better unit economics over the earlier models. In all, our EV portfolio profitability has improved significantly. From the red ocean we were in, not too long ago, to now getting to EBITDA margin for the entire portfolio, very close to double digits. So between electric 2-wheelers and electric 3-wheelers, the electric portfolio is now very close to double-digit EBITDA margin. Thanks to the work done on R&D, localization and procurement, this is now landing well and yielding benefits. Of course, the profitable electric 3-wheelers make up for Chetak but the unit economics of Chetak per se have improved over time, and we now have some of the models already clocking in EBITDA positive. The drag at the enterprise margin level, therefore, has reduced, allowing us to expand now more sustainably.

Let me now turn to EBITDA. At INR2,482 crores, EBITDA grew 3% year-on-year. Margins for the quarter came in at 19.7%, a sequential moderation of about 50 basis points that I had cued, if you recall, almost entirely on account of the adverse dollar realization that played out mainly through April and May. Price versus cost came in broadly in line with what I had mentioned on our last call. Inflation arising from commodity cost and the impact of the OBD II -B n

orms came

in at close to 70 basis points that I just mentioned. On pricing, we were very selective with our

approach, taking price up in parts of the portfolio while dropping prices in parts of the motorcycle business to revive its competitive growth momentum. In net terms on pricing, the ups and downs almost balanced out each other through the quarter. The net inflation in turn then was made up by a richer -than-anticipated mix. A key factor leading to this was the revival of KTM exports.

You might recall that when we last spoke, we had mentioned that we suspended exports to the KTM business through quarter 4, and that was fundamentally because we had anticipated a risk on our receivables through dependency of the restructuring process. With that having been resolved in May, we resumed exports, and that in turn has helped both the exports performance and margin delivery.

On a year -on-year basis, margin performance was similar with 50 basis points drop in margins, but the contributing factors were slightly different. Unlike the sequential trend where adverse currency weighed margins, the year -on-year picture was aided by a favorable currency movement. However, the benefit was offset by the increase in other expenses that you will see on account of a variety of factors as the business has grown.

Bajaj Auto Limited
August 06, 2025

Page 8 of 20

Moving to profit after tax, At INR2,100 crores, profit were up 5% year -on-year, marking the second highest PAT delivery to date. The peak was in quarter 3 of FY '25, which was at INR2,109 crores, which was supported by the festive season tailwind and therefore, to have delivered a PAT nearly at par with that benchmark in a quarter without the seasonal lift reflects the underlying resilience of our earnings.

Our balance sheet continues to remain strong, backed by continued free cash flow generation. This quarter, we added about INR1,200 crores in free cash, taking our surplus cash position to a tad under INR17,000 crores, well managed and available to be strategically deployed across growth vectors. Capex during the quarter stood at approximately INR100 crores, which will progressively go up to about INR600 crores, INR700 crores for the rest of the year, with spend split almost equally to support EV capabilities and ICE innovation.

A quick word of consolidated results. Consolidated revenue was up 10%, while consolidated PAT came in at INR2,210 crores, up 14% year -on-year, driven in a large part by the strong performance of BACL that you just heard, which continues to scale up rapidly. You recall that in the same period last year, the business was still in the early ramp -up mode, expanding its front -end footprint and building back -end capabilities. This quarter, it has delivered a PAT in excess of INR100 crores, which is essentially nearly double its full year profit of the last year. We remain optimistic about the growth in this business and have infused INR300 crores into BACL this quarter, taking our cumulative investment to INR2,700 crores. AUM now stands to INR12,000 crores as of June end.

Looking ahead into the next quarter, we are beginning to see some cost pressures across commodities, notably in aluminum, platinum, copper and rubber. That said, our ongoing cost reduction program will continue to deliver benefits, and we've taken some pricing actions that is broadly expected to offset the inflation. So, in net terms, we are expecting it to be a flat cost versus price quarter. The currency has been very volatile of late, but I expect it to be a tailwind for the quarter given the levels at which it's currently trending. And where operating leverage will finally settle for the quarter will be a function of how much supply we are able to pull through on the electric front.

You've just heard, our most recent estimate looks like we would be able to deliver anywhere between 50% to 60% of our plans

on the electric two -wheelers and anywhere between 70% to 80% on electric 3 -wheelers, right? But that situation is fluid and evolving by the day. That said, it appears that we should see margin trending back towards the FY '25 average levels, even as we look to invest some of the tailwinds that's coming through on account of the dollar realization into competitive actions.

Before I close, let me spend a minute on KTM. While I will not get to the details of the transaction, as there's enough and more on the public domain and there's a postal ballot that's currently out with sufficient detail. We had discussed that KTM is uncharted territory in some ways, but we believe it's a space with significant synergy and long -term promise. As for the insolvency process, the creditors had a period of 2 weeks post the 23rd of May deadline hearing at which an order was passed. There were no objections that were raised during the 2 -week

Bajaj Auto Limited
August 06, 2025

period. And therefore, the insolvency court in Austria through its orders of 16th of June 2025, confirmed the restructuring plan that was proposed by KTM. And therefore, the entire restructuring proceedings now have been concluded, and the business is back in many ways outside of that legal process. The orders are binding, and no further appeals can be made against them. Having been through that process, we have, therefore, progressed substantially on seeking regulatory approvals, essentially from four fronts: from the Austrian Takeover Commission, the Austrian and the EU Foreign Investment Control, the EU foreign subsidies control and merger control authorities across six countries, all of which would hopefully be done in a couple of months.

We've already received approvals from the investment authority in three of the six markets in which merger controls have been filed, and we expect to be able to conclude the rest of them, all going well, over the next couple of months. Upon successful completion of the regulatory approvals, we plan therefore take more control position and exercise the call options and then start to work very closely and constructively to restore financial discipline and reposition the business for sustainable value creation and growth.

With that, let me hand the call back to Anand and open up the floor for questions. Thank you.

Anand Newar: Thank you, Dinesh. With this, we can open the forum for Q&A please.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question, may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Good evening sir and congratulations on a good performance for the quarter. My first question is on the domestic 2-wheeler market. I would say, year-to-date market has been a bit soft. So what is your understanding of what is driving this weakness? Is it coming from urban or rural markets and what is your new launch pipeline for the domestic industry?

Rakesh Sharma: So, over the last couple of quarters, you're right the market has been flattish, if not slightly negative, particularly in quarter 1 after some good growth in April, which is driven by concentrated dates in the April and early May period. I think one of the factors which is happening is the advancement of the monsoons. Usually, we never see monsoons in so many parts of the country in June. But this time, there's not just monsoon, but a heavy monsoon in many, many parts of the country. Secondly, there is no doubt that some parts of the large urban markets are experiencing a greater slowdown than re

st of the market. And this is largely because of inflation. While I know that the overall inflation numbers are low, but relevant inflation like rental, etcetera have reduced the purchasing power, and we do pick up feedback from customers saying that they're postponing the purchase. They're not cancelling it.

Bajaj Auto Limited
August 06, 2025

When we do loss sale analysis, we find that there are some postponements which are specific because of this reason. And thirdly, as we come closer to the season, I've noticed that the tendency to postpone purchase to the festive time becomes accentuated because that's the consumer behavior nowadays, people think that they will get better deals. And this behavior is shaped not just by us, but actually by the e-commerce companies, things like Black Friday sale type of stuff. So that shaped the consumer behavior to sort of sharpen the peaks during the festive. So these would be the three things. Now how much weight is what is very difficult to sort of separate out.

But we'll start to get some real early indication from states which have the festive before anyone else, which is Onam in South and Ganpati in Western parts. But there is nothing structurally so wrong that merits a negative outlook or anything. So I would still say, as we had said that a 5% to 6% growth is certainly conceivable going forward.

Kapil Singh: Ok sir, and on the new launches, if you could give some color on that?

Rakesh Sharma: Yes. So we have a pipeline which goes right through till April. And as you know, we introduced some five or six variants in quarter 4 itself. And, of course, this quarter, our effort is to stabilize them, make sure that they achieve full penetration across the 4,000 stores, etcetera. And as things sort of rollout, that is a very, very important lever of growth for us. We will continue to introduce new products.

Kapil Singh: We also noted that export 3-wheeler has of late picked up. So any outlook you can share on that market?

Rakesh Sharma: I can't single out any single country because the great thing about this development is that it is absolutely across the board, right from key markets of Philippines, where we're doing 2,000 units to 2,500 units per month with 19 % share going down to places in Africa and more so in Latin America, etcetera. It's an all -round growth. And I think it is reflected more of a revival of the industry, revival of private financing, which is very, very crucial for 3 -wheelers. The confidence that the private finances get that translates into financing of 3 -wheelers, which then leads to sales for us. So I would say it is all these happy things all across the board.

Kapil Singh: Great sir. Thanks so much. I will come back in the queue.

Rakesh Sharma: Thank you.

Moderator: Thank you. The next question is from the line of Aryn Pirani from JPMorgan. Please go ahead.

Aryn Pirani: Hi, thanks for the opportunity. My first question is actually a continuation on the 3 -wheeler export thing. Now several years ago, we had one large market Egypt, which was, if I remember correctly, one-third of our entire 3 -wheeler exports. So Part A would be, is there any update as to what's happening in that market because it used to be a very large contributor for us in 3 -wheeler exports?

Bajaj Auto Limited

August 06, 2025

Page 11 of 20

And secondly, like 2 -wheeler exports, which are recovering well and hopefully, you will see them go back to pre -COVID or rather historical peak soon. How should we think about 3 -wheeler exports? Are there any large pockets or specific markets which could become significantly large over the next, say, 2 to 3 years?

Rakesh Sharma: See, rewinding it even a little bit more, 60%, 70% of our 3 -wheeler portfolio used to be Sri Lanka and then one day Sri Lanka banned the three -wheeler , and that was the first boot on our side to go

off the office table and start to develop markets. And of course, those days we used to sell 2,000 units in 3 -wheelers, but then we increased it to 6,000. But over the years, I think the transformation which the team has achieved is that we have developed 3 -wheelers in 23 different countries, which had never seen a 3 -wheeler before. And one of them, for example, is Philippines, which I just referred to. There was no 3 -wheeler over there. We went and talked to people, and it started with 100 units, 500 units. And now like I was telling you, 2,000 to 2,500 units. There are many, many such examples like Ghana, Mexico, Bolivia. There are some where we tried, but the 3 -wheeler did take traction like Uganda and Nepal, etcetera.

So, this has now become a continuous exercise for the exports team. There is a continuous market development, which takes place. And right now, I can say that on 8, 10 new countries, the product is being seeded. The authorities are being engaged with, so that we have the requisite permissions, etcetera and the commercial model is being put in place. There are some which seem like stars and there are some which I think will take some more slogging, but I will hold myself back from naming these for competitive reasons.

Aryn Pirani: Sure. That perspective is helpful. Second question is actually on 2 -wheelers and again, a two part question, if I may. A, you had mentioned last quarter that you are thinking or looking for a lower price or a lower segment 125cc. Is there any update on that? And would that be a Pulsar or a non -Pulsar brand?

And again, related question, we see that in the export market, it appears to me that more of your brands has had success, like a Pulsar is doing well, but a Dominar is also doing well. Obviously, KTM is there, but Boxer also does very well. Whereas in India, correct me if I'm wrong, we are becoming more and more Pulsar centric. So some comments there would be helpful?

Rakesh Sharma: Yes. So, on the first question , that project is very much on. We are early believers of the 125cc segment, even before it became big through the Discover 125 and then, of course, later also with BS VI and the other changes which happened of ABS at that time, we bet on the 125cc segment and extended the Pulsar brand and made quick entry into the top half of the 125cc segment. So, we are believers in that. We also believe that the best way to take share in the 100cc, 110cc segment in a profitable way is to upgrade the customer to an entry -level 125cc. And therefore, work is going on over there and we hope to present it to the market soon. And we'll, of course, talk to you about it. At this stage, I cannot say that whether it will be a Pulsar brand or be some other brand. I think most likely it will be a non -Pulsar brand. But these are famous last words, "things might get changed closer to the launch time also".

In terms of your observation of the brand portfolio in international versus domestic, that observation is correct. But the international markets are by the nature of their structure, they are

Bajaj Auto Limited

August 06, 2025

very varied. So, you have from Haiti and from an Angola to a high paying Turkey and all that. So therefore, you get the full spectrum of segments in international markets. And it is not possible to service the entire spread of segments, which starts from a taxi driver, with one brand. Dedicated taxi driver segment is only now emerging in India, dedicated, meaning the guys doesn't use it for personal use, only using it for other means. But it has always existed in Africa and that's the main 95% of that business there. There's no personal segment in Africa, maybe 2%, 3%. But in Latin America, too, it's largely personal. The penetration of the 250cc class is in many markets of Latin America and Southeast Asia, where motorcycling is more than commuting.

I would

differentiate between India and those. For example, people will not shy of buying an expensive twin-cylinder 250cc bike as to commute. But in India, people will say, for this much price, maybe I can get a car, or I can get a second-hand car, so why I should. So in India, it's more of a commuting market. In many parts of Latin America, Europe, it is more of a sports market. So therefore, you find greater traction for brands like Dominar, et cetera. We sell 4x the Dominar in Mexico than we sell in India. And that is a phenomenon of the consumer side. And that's why we've been focusing so hard. And I must also say the places like Turkey and Mexico and these places; we have gone and slogged for 5 years to build this segment in those market. I remember people never used to come for our activation. And then we all said that let's put up all women racing team and all women racing activation and started getting people, then started getting on to the bikes and then, of course, the passion starts to come across. So that's why you have a wider portfolio of brands.

Amyr Pirani: Thank you for the detailed explanation, sir. Very helpful. I will come back in the queue.

Moderator: The next question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Yes. Hi, thank you for the opportunity. So clearly a very good performance in exports. It would be great if you can throw some light on the Brazilian market. It clearly seems that from Horizon three market, it has moved to Horizon one. What is our strategy to tap that market? Are the products suitable with the flex fuel option? And what is our distribution strategy? What's the kind of volume we should expect in Brazil in '27, '28? That's the first question?

Rakesh Sharma: Okay. Yes, Brazil is amongst the top five markets in the world. It's not an easy market to crack open for two reasons. One is, of course, the manufacturing and regulatory requirements are such that it needs a certain kind of compliance. Second is the competitors are very strong. Just a couple of competitors hold 90% share. So, the competitive ratio is very, very adverse. And actually, another reason is Brazil, as you know, is a very large country, much larger than India. And therefore, distribution plays a key role. Demand is widespread and distribution plays a key role so viability of distribution. And therefore, it's a long-term game.

It's not something which you can walk in and start to build leadership, etcetera. Considering the fact, we're competing there with very evolved and mature, high-quality brands, our strategy was to enter from the top. And therefore, we entered Brazil through 400cc very conscious that this is a smaller segment than, let's say, the 150cc segment, which is the bulk of the segment. But we said that we must enter from the top and establish and there were a lot of temptation, I will tell

Bajaj Auto Limited

August 06, 2025

you, the whole thing is to build scale as fast as possible, get the volumes and there are opportunities in 100cc segment, this, that, but those keep getting trashed around over there and we said no compromise. We should build a very top-class network, which is comparable to the best brands in the country, Honda, Triumph, Kawasaki, our stores should be comparable to them. And so therefore, we took the premium route in. We were fortunate that the country and the customers have accepted the Dominar brand, the Bajaj brand and the product.

Now I realize all these movie producers feel like. They make a good movie, but till the time it hits the screens, nobody knows it is going to be hit or a flop. We have done all the research this that and the other, but till the time you enter the market, you can't say. So I was pretty relieved, all of us were pretty relieved that Dominar has got accepted very well. And therefore, I said we will continue the strategy

of attacking the top end of the segment. We have made a very discontinuous move last month by introducing the Pulsar 150 over there, which is aimed at the belly of the market, which is the delivery boy's segment, the commercial segment. And it's the best-in-class.

But you've got to really turn your badge over there because the delivery segment seeks reliability,

zero downtime and very fast turnaround at the service centers. And therefore, we know that we will have to slog it over there, but that is the thin end of the wedge at the mass level. And at the same time, as I just said, we will be expanding the capacity to 50,000 units. It's already gone up from 20,000 to 30,000. And I think by the time we hit quarter 4, it should be into the 50,000 units. And as that expands, the further expansions planned for '27, '28 because the lead times are 6 months every time for each of these expansions. So, we are taking it in a very calibrated way. We are not going big bang. We are going the premium way. We're going calibrated way because we know that there are dealership, vendors who are now getting reliant on us. So it's not going to be a sharp curve. At the same time, we are ensuring that we deliver a positive P&L.

And I'm very happy to say that this quarter has been pretty good. We are in good green zone. So continue to expand the premium envelope, build distribution and start attacking the mass segment now onwards. And in calibrated way build the capacity of 50,000 and then 100,000 in that manner, but step by step.

Moderator: Thank you. The next question is from the line of Pramod Amthe from InCred Equities. Please go ahead.

Pramod Amthe: Yes. Hi, thanks for taking my question. I wanted to get your thoughts on the expected resolution of ABS. How do you see it technically feasible and also the supply chain, is it geared up to do the same, CBS versus ABS?

Rakesh Sharma: Putting the ABS on the 125cc and below segment is certainly going to put huge requirements on the supply chain. The estimation of the industry as a collective I'm talking about, not just as Bajaj Auto because as you can imagine, this is a very important discussion within the industry is that it could take anything between 12 to 24 months to just get the supply chain right if every single 2-wheeler has to be equipped with ABS. Second, we feel that the cost implications of this are high. And you have seen it in the past. We all know that the last peak of the Indian 2-wheeler industry was 18-19. And after that, even last year, we have not been able to reach to '18-'19 peak.

Bajaj Auto Limited
August 06, 2025

Page 14 of 20

And one of the major contributory factor to this has been the cost increases which have occurred due to regulatory requirements, due to things like insurance premium and stuff like that.

And I mean, we slog it away to reduce even INR500 of cost and if suddenly costs are going to increase because of ABS, you can imagine that it will definitely have a dampening effect on demand. There are options. We are all very, very clear that, of course, the 2-wheeler rider has to be made safer. And the good thing is that the government is in discussion and dialogue with us on this and have asked us for more data, what are the other options which are more effective as well as cost efficient to deliver a safer solution. And those dialogues are on as we speak. And hopefully, there will be a good resolution to this and then we will see how exactly sort of it pans out.

Pramod Amthe: Sure. Thanks for the detailed answer. Second one is with regard to market share. Some of your new activations did yield a substantial wholesale market share jump in March and April, then it drastically fall as we got into May and June. Can you give some more color on that what has gone slow in the recent? Is it sub-segment performance or the product responses have been slower to come through

because it didn't ultimately reflect in the Vahan market share. So I want to get some of depth of it?

Rakesh Sharma: See, I don't want to get into hitting the head so much because you see, you're right that every week, the traction changes. And we are now talking about a band of 1%, 1.5% movement in a few weeks. It's very, very difficult to give you an answer. I'm also seeking that answer, frankly speaking. By the way, I'm not getting convinced that this is the precise answer. For example, there is complexity. There are rates in the market. The markets where our market shares are the highest, which is generally in the South, has been in a little bit of a decline. But some part like Uttar Pradesh, and all have been in very handsome double-digit growth. Now, one way to look at it is to separate out the weight of the market. But that has another implication. So, sort of standing back and looking at it, I don't think that the product is an issue at all. Pricing here and there was an issue. There are certain gaps in our products. For example, we didn't have a single seat, which is very, very important for a commuter category. We had split seats in our higher end, I mean, in the Pulsar new series. So we brought in a single seat. We calibrated the price, equating it to competition in our high-performance NS series and that has immediately brought back the market. So there are these calibrations which are there.

So, now in April and May, for example, if I see, the market share for 125cc plus is higher than in the previous quarter. So I would rather wait for a few more, a couple of more months to see how the market share is moving. But from ground report, product acceptance is not an issue. The pricing is now well matched to competition. Activation is on stream and I think we have

been making good progress in April and May, as you said. June numbers and July numbers start to get a bit obfuscated by this monsoon and this and that and the other. So we are going forward in August and all with full confidence that we should be advancing on the 125cc plus segment.

Pramod Amthe: Sure, sir. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Bajaj Auto Limited
August 06, 2025

Page 15 of 20

Gunjan Prithyani: Yes. Hi, thanks for taking my questions. Just a quick clarification, firstly the 125cc affordable bike, you sort of said that we'll come back. Is it due for a launch this year or the time lines around that have been shifted?

Rakesh Sharma: The timelines have not shifted, but please give me the benefit of keeping some surprise up my sleeve. I can't be so transparent, and you know, if these transcripts are not available, I would have told you, but I think I would just refrain.

Gunjan Prithyani: Okay. Fair enough. Okay. So my question is on export business. I mean you did talk about Brazil optimism. I think Africa is another important market for us. That's really not come back in a big way yet, right? So if I just think export outlook beyond this year. I mean, this year, you've given 15%, 20% sort of guidance. But where are we on Africa, which will sort of help us extend the growth beyond this year as well?

Rakesh Sharma: Yes, it's very difficult to say. But I'm really happy about the export business delivering highest retails outside Nigeria. Nigeria was 50,000 units for us when we did 210,000, 54,000 units we were doing. Today, we are doing 14,000, 15,000. So that's almost a 40,000 gap from our highest peak, which has been covered by all other markets. This is a very important dimension for that is why we are at about 180,000 odd. If I take Nigeria out and compare the numbers, then that's what I said right in the beginning, we are clocking the highest ever retail. Nigeria itself was showing progressively growth to 30,000 units, etcetera, but I'

am talking about our numbers, and

we are at about 50%, 60% market share there, and it has slowed down.

I think the single biggest reason over there is the currency-led inflation, which has sort of dampened demand. Purchasing power is eroded and the ticket prices of the rides have not gone up. We monitored them closely. So, the motorcycle prices have gone up. So the payback on a motorcycle, if it is around 18 to 24 months, it's a fantastic solution for self-employment. And, of course, the mobility needs are there. But the moment it starts to go beyond that; the demand starts to get dampened. I must say that the crashing Naira's, at least that phenomena has stopped and there is some convergence of the grey market and the white market for currency. That's a very good thing. And now the inflation has to sort of ease so that these ticket prices and all can start to go up and improve the payback on bikes and people start to come back to the purchase cycle. Those are the phenomena which have to play out.

Now exactly when this will happen, etcetera, we just have to wait and watch. But our policy is don't overextend the exposure. We just keep controlling the business and be on top of it. We are trying to keep our flock of retailers. There's no other company in Nigeria by far, which has the network spread like us of 600 to 800 retailers. I mean, at its peak, it goes to 800, but right now we are at 600. There's no other company with that footprint and our objectives are those. And then as the market returns, we are confident we will get these. But it is very difficult for me to say. And you're very right in making the observation, if Nigeria starts to come back, it may give a very decisive bump up to our business. Unfortunately, there is no other market in the world which can shift the needle so dramatically in such a short period of time as Nigeria if it returns.

Gunjan Prithyani: Okay. And my second question is on the EV profitability comment that was mentioned in the opening remarks. Did I hear it right that you said that 3-wheeler electric profitability now

Bajaj Auto Limited
August 06, 2025

Page 16 of 20

surpasses the ICE 3-wheeler profitability and some color on that. And this whole rare earth shortage, which thanks for calling it out so transparently. Is it fair to say that when we get into the second quarter, if the EV business mix reduces, that sort of helps us in the overall profitability. Is that reading correct to have?

Dinesh Thapar: So, Gunjan, I'll take that. The comment I made in my opening remarks was that the electric 2-wheeler plus the electric 3-wheeler, so therefore, the entirety of the electric portfolio is now nearing double-digit EBITDA margin from what might have been a deep red some time back,

right. That's the first thing I mentioned. The second thing I mentioned was that when you look at the unit economics for Chetak alone per se, the unit economics has moved to some of the models in the new platform that we have, which was launched in December last year. Some of those Chetak models have moved to an EBITDA positive, marginal as it might be to an EBITDA positive with the new platform. So those are the 2 comments that I made on electric profitability.

Gunjan Prithyani: Okay.

Dinesh Thapar: I hope that clarifies. We didn't make any comment at the moment on electric 3-wheelers that, by and large, continues to remain what we've said in the past, which is, give or take, it is almost at parity with the ICE CV margin with the PLI thrown in. Yes. So that remains unchanged. The point I made differently today was the entirety of the EV portfolio with 2-plus 3-wheelers coming to near double-digit EBITDA margin.

To your second point, well, if there is a mix impact and we've called it out in terms of mentioning given current visibility of about 50% to 60% on electric scooters and about 70% to 80% on electric 3-wheelers relative

to our plans. And our plans, obviously, envisaged to step up because we were also planning for a big festive season. But if that currently does not play out, then I think you want to look at it from two perspectives. One is that there will be a mix benefit that will come in, obviously, because electric gets thrown out and that is lower than the enterprise margin. You also got to consider the fact that there will be an operating leverage impact that might come through. I think the point I was mentioning is that the tailwind on margin that we likely will see this time will be on account of the fact of where the rupee is currently trending, yes. And given that we are almost halfway through the quarter, we know what those levels are. So we will look, of course, to use this opportunity also to make a few competitive investments because these moments won't come always. So if that were to flow right through the quarter, of course, it will help in the rebuild of margin that we may have lost in this last quarter, but also will allow us the opportunity to make a few competitive investments.

Gunjan Prithyani: Okay. Got it. Thank you, sir.

Moderator: Thank you. The next question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi. Good evening and thanks for taking my questions. I have three questions. The first one is just on the e-rickshaw launches. Just want to understand what you think could be a fair market share. I think on the ICE 3-wheelers, we enjoy close to 70%. On the electric passenger 3-wheelers, you mentioned earlier that close to 35%. The e-rickshaws is a more fragmented

Bajaj Auto Limited
August 06, 2025

Page 17 of 20

market. So I just want to understand what you would think over the steady-state period could be a fair market share?

Second question is just around rare earth situation. If over a three-quarter to four-quarter period, we're able to derisk and offset if we were to source some non-China sources for the entirety of our portfolio or replace HRE with rare earth or other solutions. Just want to understand what you think could be potential inflation on the BOM cost for your electric 2-wheeler/3-wheeler portfolio? And the last one is just on the new platform on Chetak. At this stage in August of 2025, what is the rough mix of the new platform, which you mentioned is this positive EBITDA margin in the Chetak portfolio? Thank you.

Rakesh Sharma: Okay. So on e-ricks, e-ricks are about 45,000, like I said, per month, and 90% of these are very cheap solutions with lead asset. Ours is, of course, a lithium-ion based build-for-purpose e-rick.

And of course, it will come at a premium to the value of the market. Quite frankly, at this point of time, we have not yet got on to what will be our market share and this, that, and the other.

Our immediate objective, which means for the next three or four months, is to put out the e-rick and observe its adoption and develop a playbook so that we can go and upgrade. In our 3-wheeler business, our teams are best at upgrading transferring people from one segment to the other. And I give the example of the entire diesel segment then moving into the CNG segment. So they go park by park and they have that skill and capability. But we have to really understand the context. What does it drive, how much do they drive, what are their earnings, what are their patterns of driving rules, etcetera.

So really, our first objective is to get the playbook right, make sure that the product acceptance is good. And I would say the time to talk about market shares, etcetera, will probably be for 26-27. I would say that, of course, we will grow volumes, but I think the real scale-up phase will commence a bit later, maybe, I don't know, February, March or maybe April, May or depends on how the next couple of months go.

Your next question was on the HRE. Right

. So, there is, like I said, a set of three initiatives. One is, of course, to look at very simply replacing HRE with LRE based out of China. We also look at LRE type of products, but outside China and then to look at non-LRE products, the ferrite-based products, which is probably going to take some more time. Immediately, we do not see any great inflation because the component cost or just the magnet cost in the full bill of materials is not of great significance. So we have to work out what will happen when it goes to completely different alternate sources. But we are not really very concerned about it dramatically affecting the bill of materials.

Chandramouli Muthiah: Yes. Just on the Chetak new platform and what is the mix ?

Dinesh Thapar: Yes. New platform, as Rakesh was calling out is we have progressed with it. The last transition that had to happen was of the affordable variant, which is the one which sells for the INR1 lakh and thereabouts. So with the launch of the 3001 that we've now put out that completes the full transition. So the whole portfolio has now with this launch, moved to 100% on the new platform, which is giving us the better economics, which I mentioned that a couple of models on the new platform have already moved to being EBITDA positive.

Bajaj Auto Limited
August 06, 2025

Page 18 of 20

Chandramouli Muthiah: All right. Got it. Thank you. So could you just clarify the models that are EBITDA positive, just trying to understand what that might be in terms of percentage share in our Chetak.

Dinesh Thapar: I would not put it to unit level profitability, but to tell you that it's the first time with the new platform that we have got to EBITDA profitability on a couple of them.

Chandramouli Muthiah: Got it. That's helpful. And just wanted to check on BACL. What is the current run rate on quarterly profit after tax?

Dinesh Thapar: BACL is now running a profitable book. Its profit for the current quarter is INR100 crores, INR105 crores on a book size of about INR12,000 crores. I'm anticipating that we will end the year with a book size of anywhere between INR18,000 to INR19,000 crores. And you will clearly see the current run rate of profit being multiplied. So that's how it currently stands.

Chandramouli Muthiah: All right. Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Pramod Kumar from UBS Securities. Please go ahead.

Pramod Kumar: Yes. Thanks a lot for the opportunity. Rakesh, one question on the rural side because rural has been doing better than urban as per most of the industry participants across categories. But at the same time, you are not seeing much of a revival in the 100cc demand. So, just want to understand your perspective, whether we are seeing a bit of a, what do you say, pyramid being formed in the rural markets, as well as any one of the categories doing well and if that is the case, is it possible that such categories continue to gain more momentum rather than the 100cc kind of coming back for good? So, just your thoughts on that.

And also linked to that, electrification, are you seeing the uptake improving in the rural economy? Are the rural consumers embracing electric vehicles more and more in larger proportions going forward? Because that could be an opportunity for you. So, that is the first question, sir.

Rakesh Sharma: Okay. Pramod, I must say that your audio was a bit muffled. So, I got a gist of what you're asking, but I hope I'm answering the right question. Yes, there is a certain revival in rural demand, I would like to separate rural, frankly speaking, into two parts. One is deep rural and the second is rural. Deep rural, I would simply say is places which have got Gram Panchayat and rural is Zilla Panchayats and all. When a town or a village is run by a Panchayat, we call it rural. And Gram Panchayats are deep rural. We find that deep r

ural is still struggling a little bit, but the other rural, slightly larger rural, smaller towns, particularly agricultural trading towns are improving. The 100cc phenomena cuts across rural and urban. It's not that 100cc is only or largely bought in rural and not much bought in urban. That's not the case.

I think that, that segment, particularly in urban areas, that segment of our country is still very weak in the sense that it returned, but their savings have not returned after COVID. And the things like rental inflation has become very, very high. People are trying to save money for buying a home and all that. And to some extent, the private finance companies are stricter with

Bajaj Auto Limited
August 06, 2025

Page 19 of 20

their norms in these areas because there have been instances in many finance companies of taking multiple loans, etcetera. So, we see a little bit of tightening on the finance company front.

So, these phenomena are affecting the weaker parts of sections of our society, who would generally tend to buy the 100cc. So, I say that whilst rural is coming back, I'm not seeing so much of a shift in the relative growth rates of below 100cc and 125cc plus. I'm not seeing a conversion. So it's still 125-plus cc is outpacing the 100cc for the reasons which I sort of tried to describe.

Pramod Kumar: And Rakesh on adoption of EVs. Is it seeing any uptick in rural and break it down for deep rural and rural market?

Rakesh Sharma: Yes. It is actually following the penetration of scooters, if I see. If you take a place, for example, like Bihar, where the penetration of scooters itself is low compared to, let's say, Maharashtra, you will find that electric penetration is low. And why is scooter penetration in Bihar low, because it has more intercity travel, it has not as good roads, particularly in the interior areas as Maharashtra, which means that the smaller wheel scooter is not the right solution. There are less women riders in Bihar, compared to, let's say, Maharashtra. All these phenomena partially drive the scooter penetration. And the electric adoption is actually following the scooter penetration. Wherever scooter penetration is higher, electric adoption is also higher.

Pramod Kumar: Fair enough. Sir, last question. I'm just trying to understand the domestic dealer franchise, because we have four buckets of operations, but for most of our domestic motorcycle dealers, that's only one bucket. And the market share there, hence, and the volumes that they generate on the franchise is also quite important. So, just wanted to understand your thoughts on the dealer viability for the business with market share kind of slipping closer to the 11% mark.

So, if you just can share your broad thoughts or any plan of Bajaj making a huge comeback on the domestic market share front, because we've been so successful across so many markets. So, in that sense, kind of puzzles as to why we are not able to kind of get the franchise to a higher market share. So, if you can help us understand that, that will be really helpful? Thank you.

Rakesh Sharma: Well, actually, my view is dramatically opposite yours.

Pramod Kumar: Okay.

Rakesh Sharma: You're looking at it as a dealer viability issue. I think our dealers have never had it so good. Because you are looking at it from only one lens. Our network strategy is a corporate network strategy. We are saying that when a person becomes a Bajaj Auto dealer, the person gets a potential opportunity to represent Bajaj for motorcycles, 3-wheelers, Chetak, Triumph, KTM - five businesses. There is no other company in a similar way, which can offer five very different kind of opportunities. And as a result of which, for example, Chetak, we are now at 330 Chetak Experience centers, which are exclusive Chetak network. Pardon me if my numbers are slightly amiss here and there, but I would say 80% to 90% of the Chetak Experi

ence centers have gone

to our existing dealers. Where they have not gone, it is because maybe we didn't have a dealer there or maybe the dealer didn't want it there or maybe the dealer was not good enough.

Bajaj Auto Limited

August 06, 2025

Page 20 of 20

Triumph, I would say, 65% has gone to existing dealers. KTM, that started much earlier than when we put this policy in place three years, four years back, maybe 50%. So, dealers with ambition, dealers with funding and dealers with capability, Bajaj Auto is a fantastic opportunity. Because today, I mean, you take Chennai, our successful 3-wheeler dealer is now our successful motorcycle and Triumph dealer. Of course, we demand different capabilities in a Triumph and in a 3-wheeler. But I mean, these are the examples which are coming to my mind. I'm not singling out Chennai and all that. These type of examples are there everywhere. So I think we are very, very confident in engagement. We have a network team, which in a matrix way works right across the entire business units.

The second piece which you asked was about, dramatic change in market share or something like that, right? So, see, now if you say, for example, can we achieve a dramatic shift in Brazil? I don't think we can. But of course, we can create a very, very sound business, which has got a growing market share, which has got a good bottom line, which has got a good top line, which has got good brand love. I think there are many more metrics to look at beyond just a rapid acceleration of market share. And as you know, at Bajaj Auto, we like to get all faces of the Rubik's cube right, which is market share growth, profitability and all that stuff. So in a large market like this, in a competitive market like this, in a price-sensitive market like this, where we have entrenched and capable competitors, I would say to achieve a dramatic shift in market share would mean that one or two faces of the Rubik's cube will go off, and we would not like that. We've tried it many years ago, it's not sustainable. So we don't advocate that path.

Pramod Kumar: Okay. Sir, thanks a lot. I wish you all the best. Thank you.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Anand Newar, Head, Investor Relations for closing comments.

Anand Newar: Thank you, Avir at, and thank you, everyone, for joining us on the call. Thank you.

Moderator: Thank you. On behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2025

Registered Office Akurdi Pune 411035 India CIN L65993PN2007PLC130076

14 November 2025

To
Corporate Relations Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Tower
Dalal Street
Mumbai 400 001 To
Corporate Listing Department
National Stock Exchange of India
Ltd.
Exchange Plaza, 5th Floor
Plot No.C- 1, G Block
Bandra- Kurla Complex
Bandra (East), M umbai 400 051
BSE Code: 532977 NSE Code: BAJAJ -AUTO

Subject : Transcript of Conference Call held in respect of the Company's Q 2-FY26 results .

Dear Sirs /Madam ,

Please find enclosed the transcript of the conference call held on 07 November 2025 in respect of the Company's Q 2-FY26 results .

The transcript will also be hosted on the Company's website at <https://www.bajajauto.com/investors/financial-and-operational-performance>
Kindly take this on record.

Thanking you,

Yours faithfully,
For Bajaj Auto Limited
Rajiv Gandhi
Company Secretary & Compliance Officer
ACS 11263
Encl: as above

Page 1 of 19

"Bajaj Auto Limited
Q2 FY '26 Results Conference Call"

November 07, 2025

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR , BAJAJ
AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER ,

BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS ,
BAJAJ AUTO LIMITED

Bajaj Auto Limited
November 07 , 2025

Page 2 of 19

Moderator : Ladies and gentlemen, good evening and welcome to Q2 F Y 2026 Results Conference Call of Bajaj Auto Limited . My name is Nirav; I will be your coordinator. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar – Head , Investor Relations from Bajaj Auto Limited . Thank you and over to you, sir.

Anand Newar : Thank you , Nirav . Good evening , everyone and thank you for joining us for the call today. Welcome to Bajaj Auto's Q2 FY '26 Earnings Conference Call. On today's call , we have with us Mr. Rakesh Sharma - Executive Director and Mr. Dinesh Thapar - Chief Financial Officer. We will begin our call with the opening remarks from Rakesh on the business and operational performance for the quarter, followed by Dinesh who will take you through the financial highlights. We will then open the forum for Q&A. Over to you, sir.

Rakesh Sharma : Thanks, Anand. Good evening, ladies and gentlemen. Welcome to the Q 2 Earnings Call and thank you very much for joining us. I am delighted to say that the Q2 performance has built on the strong note on which we commenced Q1 FY '26 and it has recorded several all -time highs. We closed the quarter , as you know , with a topline of almost Rs. 15,000 crores , growing at 14% , an all -time high. EBITDA crossed Rs 3,000 crores, another all -time high with the EBITDA percentage of 20.5 % . PAT came in close to Rs. 2,500 crores, yet another all -time high. Moreover, all business units were firing well into October to deliver these outcomes. Predictably, the GST rate cut combined with the festive sentiment turbocharged the industry and all BUs made full use of it to deliver an outstanding retail performance during the festive as well as October.

Let me now get into the business unit level performance, beginning with exports . The BU grew volumes by 24% in Q2 with exports of over 550,000 units. This delivered the highest ever quarterly revenue from exports. The top 30 overseas markets, collectively accounting for 70% of emerging markets, grew about 14% in this quarter , and our sales grew at 1.5 times that of the industry, thereby signaling increase of market share in these key markets.

LATAM delivered its highest ever quarterly performance, powered by Colombia and Mexico. Sales in Bajaj Brazil clocked 8,000 units mark in Quarter 2 , with expanded production capacities with a high level of localization including welding and painting coming into play. October retails in Brazil have already crossed the 3,000 units mark. The subsidiary is now delivering a healthy bottom line performance. Both Asia and Africa delivered double -digit growth with standout performances in Sri Lanka, Philippines and East Africa. Nigeria has held steady in retails, though Bajaj Auto Limited
November 07 , 2025

Page 3 of 19

the recovery over there has still got some runway left. But it reflects some kind of equilibrium, which is very welcome as the festive season commences there in November -December. The CV segment in exports delivered a growth of 67% this quarter, result of intense development efforts of the past few quarters. KTM Austria continued to increase sales quarter -on-quarter by 10% in Q2, and we exported almost 20,000 units to KTM in this quarter. This recovery also augurs well for future exports to KTM of products made in India and sold through the KTM network under the KTM brand.

In October, the exports business breached the 200,000 mark after almost 40 months. A key point over here is that previously

when we were clocking 200,000 units , it used to have a contribution of 50,000 -60,000 units of sales to Nigeria. Right now , it has only 25 ,000 units . So, you can understand the kind of swing which has been made in performance in all non -Nigeria markets. We expect exports to continue to maintain the growth tempo in the coming months. Now domestic motorcycles . The domestic motorcycle industry experienced a rollercoaster performance. The industry was sluggish, as you know, with April -August period coming in at a small decline of 1%. Post the GST announcements, expectedly, the industry nosedived in end -August and right up to Navratras when the new rates got implemented. Suppressed demand, festive cheers, and GST rate cuts all combined to deliver a historic festive 40 days which has restored growth to the industry. The motorcycles business unit delivered an all -time high retail

performance in this period, comparing equivalent festive periods in the past, both in volume and revenue terms. In fact, the Pulsar portfolio was at an all-time peak performance too. The market share erosion which we experienced over the last few quarters had got arrested by the end of Quarter 2, and October saw the beginning of market share gains in the strategic 125cc plus segment, and it was in particular driven by the 150cc plus sport segment. In each segment, we found that the top-end variants performed extremely well, reflecting that the customers with relatively strong wallets had aggressively entered the buying cycle and were happy to upgrade. Hence, our N-series and NS-series of Pulsar motorcycles handsomely beat segment growth rates. Such a positive trading environment is very helpful for the mission of acquiring market share. An engaging thematic "Duniya Dekhti Hai, Tu Dikha" campaign for Pulsar brand, introduction of new variants in the sports range, early on-the-ground tactical support, and excellent retail finance operations matching the surge in festive retails combined to deliver this record performance. Though November and particularly December will be smaller months, we think that the industry should improve its growth rate by 6 to 8 percentage points in the medium term and offer us very good opportunities to attract customers to our Pulsar portfolio, which is being further strengthened by the introduction of the new variants in the next 2-3 months. We will aim to outpace the industry growth in the 125cc plus segment and continue the path of acquiring market share which commenced in the period of September-October.

Bajaj Auto Limited
November 07, 2025

Page 4 of 19

Now, coming to commercial vehicles, the three-wheeler BU. Here too, the industry witnessed the down and up as in the motorcycle industry, but with the softer peaks and troughs. The industry outcome was that ICE moved from year-to-date decline to single-digit growth in October. E-autos continued to grow, though at a slightly lower rate, at 50%+, while E-Ricks declined in the quarter due to up-trading to E-Auto and new RTO restrictions being enforced in many key cities in the North. We expect the same pattern to continue with the GST rate cut, lifting the ICE Auto growth by about 5% points. Against this backdrop, our business continues to perform strongly, delivering an all-time record quarter of 145,000 units and also in revenue terms. In ICE, high levels of 75% market share were maintained. In the EV segment, though we lost ground due to supply chain constraints in terms of availability of e-components and the manufacturing capacity of the highly successful wide-body 7012 variant, resulting in about a 15% shortfall from plan. As it is with the surge in exports, manufacturing is operating at peak capacity for three-wheelers and we are now therefore taking steps to build three-wheeler capacity in the next few months, particularly in the e-vehicle segment. We expect E-au

to performance to get unlocked due to the removal of supply constraints and we intend to capture a higher share of the improving ICE auto market, maintaining the growth tempo and sales of certainly over 100,000 units per quarter. As I have said before, the mobility needs of middle India are expanding furiously and we expect the three-wheeler category to continue to grow and for us to outpace the industry, we already have the widest portfolio which will be further expanded, allowing us to segment and target different use cases. Our strategy is to have a fit-for-purpose portfolio which should be the widest in the business. The recently launched e-rickshaw will further strengthen our portfolio and enable us to capture a share of this large profit and revenue pool. We have sold about 500 units of Rik i, our E-Rick, in eight cities and are in the phase of observing acceptance. Early feedback from customers is very positive and it allows us to formulate our go-to-market plan. We intend to scale E-Rick in a few months from now.

On electric two-wheelers, which is Chetak, the industry continues to average close to 100,000 units per month despite the constraints faced by most OEMs on account of HRE-based magnet availability. We in particular, I think, suffered the most given the high growth trajectory of Chetak after the launch of the highly successful 35 series. Supply was following demand and this was further interrupted by supply chain constraints resulting in an almost 50% shortfall to our plan. However, recovery in the supply chain is done and actually ahead of the time we had anticipated for it. We have shifted to the more secure LRE-based components as well as alternate geographic sources, restoring supplies by the end of September and fully in October, though the rebuilding of stocks in the channel is still work in process. Even so, I am delighted that Chetak immediately regained the number 1 position in terms of Vahan Registration in October. We will aim to maintain the leadership position here on. The launch of an absolutely new model by early next year combined with the growing Chetak network which now stands at 390 exclusive stores and 4,000 points of sale in 800 cities should further strengthen our claims to leadership.

Bajaj Auto Limited
November 07, 2025

Page 5 of 19

A quick comment on our overall EV portfolio comprising three -wheelers, Chetak and Yulu. These collectively delivered almost 20% of domestic revenue but more importantly a double -digit EBITDA percentage in Q2.

Coming to Pro -Biking, our premium motorcycle BU comprising KTM and Triumph brands . Together, the two brands are in an absolutely outstanding quarter selling over 30,000 units, registering a 30% growth. This is again an all -time high and was driven by the new KTM models and steady but growing performance of the Triumph models. With the launch of the much -anticipated Duke 160 , we now take aim at the large and lucrative 150cc super premium segment. The combination of KTM Adventure bikes and Triumph Scrambler is now challenging leadership in the growing and lucrative adventure segment. The GST rate cuts found some of the KTM and all of the Triumph models on the wrong side of the 350cc divide. However, we maintained prices absorbing the GST increase and to some extent the customers rewarded us with their support during the festival. As mentioned earlier, both brands benefited a lot from the customers' desire to upgrade to aspirational purchase triggered by the GST cuts. However, we are also working along with our partners , KTM and Triumph, on reshaping our portfolio to take advantage of the lower GST rates and these products will be launched in due course. Finally, a couple of other updates . BACL, our 100% subsidiary, had another excellent quarter. Over 2 lakh customers were added in Q2 with AUM crossing Rs. 14,000 crores and penetration touching 40% for the B

ajaj business. Q2 PAT was above plan , coming in at over Rs. 132 crores.

We continue to drive business performance and franchise with dealers and customers through the approach of building digital capabilities as well as robust operational efficiencies. Secondly, the spare business delivered an all -time high performance of Rs. 1,800 crores growing at 21% making a solid contribution to the bottom line.

Looking ahead, our key focus areas remain unchanged. Competitive growth in the strategically important 125cc plus segment , hopefully, we will be able to harness some of the up grading sentiment unleashed by the GST rate cuts. Secondly, sustained export momentum with 15 %-20% growth with emphasis on superior positions in better markets. Thirdly, with the unlocking of the supply chain constraints, regain the momentum in both the two -wheeler and the three -wheeler EV segments. Fourthly, aggressively grow the KTM and Triumph business to take advantage of the positive sentiment again unleashed by the GST rate cuts through products activation and network. Drive profitability and growth in the most optimal way through robust operations and finally, continue to establish and build capability in BACL to deliver a class -leading performance.

With that, let me now hand it over to Dinesh for an update on the financial performance.

Dinesh Thapar : Thank you, Rakesh. Good evening , everyone and thank you for joining us on the call this evening. Season's greetings and with Diwali having gone by, I hope you have had a good festive season because for us at the business, we clearly have had a good one.

Bajaj Auto Limited
November 07 , 2025

Page 6 of 19

We are pleased to report yet another record -breaking quarter, one which was marked by several highest -ever as you would have seen from our press release. We had the highest -ever Revenue, EBITDA, Domestic Revenue, Exports Revenue, Electric Revenue, Premium Motorcycles Portfolio Revenue, Spares Revenue and Profit after Tax apart from new landmarks across the businesses that you have just heard from Rakesh. So quite clearly, it was a quarter of milestones on multiple fronts.

Let me now touch upon parts of the operating context on Currency and Commodities . Quarter 2 saw a weakening of the rupee and resultant tailwind for our exports' realization and margins. Dollar realization stood at 87.1 compared to 85.6 in the previous quarter and 83.8 in the same period last year. On the commodity front, in the previous quarter , I had mentioned that we were beginning to see some cost pressures across key commodities. The quarter finally ended with a net cost inflation impact of about 40 basis points after adjusting for the marginal price increase that we had taken. This was primarily driven by a step up on steel, sharp inflation on the noble metals' portfolio, particularly rhodium and platinum, along with increases in copper and rubber. Coming to the Financial Results . Quarterly revenue from operations was at a tad under Rs. 15,000 crores, a milestone number as you would have imagined and clearly a breakout from our previous highest which was slightly over Rs. 13,000 crores , registering a 14% robust growth. Let's say about half of this growth came from pristine volume growth and the balance half from a richer mix and higher realization from FX and pricing. Sales mix, as you would have figured out, was aided by the strong performance of the export portfolio with a particular call out of the exceptional growth of nearly 70% in commercial vehicles and a step up in the exports to the KTM world. On domestic, it was the acceleration of premium motorcycles and steady step up on electric three -wheelers that provided a boost to mix. Spares, continuing a strong momentum, almost at Rs. 1,800 crores, surpassing the record levels of the previous quarter.

What is particularly noteworthy from the performance of this quarter is that we hav

e delivered

our best ever quarterly revenue on the back of a strong performance across businesses which more than made up for the disruption of supplies given the rare earth magnet issue that impacted the momentum of our electric business which, as you would be aware, was the fastest growing part of our business for quite some time now. And therefore, the point I would like to emphasize is that this bears testimony yet again to the resilience and adaptability of our business model, which is capable of delivering strong financial performance despite having to weather some storms on some fronts. Domestic revenue was at a new record led by a very strong performance notably on premium bikes and commercial vehicles. You have just heard from Rakesh that we have had a great festive season. In fact, it is our biggest ever in each of our domestic businesses which carried out into October as well. Of course, this was partly buoyed by the GST rate rationalization. We passed on the benefit of the rate reduction on motorcycles under 350cc, on commercial vehicles and on spare parts, on all those parts of the portfolio where it moved from 28% to 18% through reduced pricing to customers. And on 350cc plus, where the rate moved from 31 % essentially, 28% GST and 3% CESS to 40%, we either held pricing or lowered our

Bajaj Auto Limited

November 07 , 2025

Page 7 of 19

pricing across models compared to pre -GST levels, therefore absorbing the impact of the rate change to keep this part of the business competitive and without hurting affordability for customers . Given the sizable GST impact on these models, it is costing us some bit as you would make out in the short term till, we take some actions to structurally address the disparity that has now been created between a 350cc and a greater than 350cc motorcycle . But it is a commitment that we are walking the talk on to build the business at the top end across KTM, Triumph, Dominar and NS400 Pulsar.

Exports revenue reported double -digit growth, reaching a new pinnacle this quarter yet again, driven by strong volume growth and supported by better currency realization and a richer product mix . Particularly on commercial vehicles that have stepped up to their highest levels in recent years and on motorcycles led by Pulsar, which along with Domestic, saw overall brand revenue scale a new peak. Latin America continues to perform exceptionally well and has delivered yet another new milestone, while Africa and Asia registered healthy double -digit growth. Total exports for the quarter were very close to \$600 million, a new record surpassing the previous benchmark set in 2022. So, the milestone on exports revenue is not just in rupee terms, but in dollar terms as well.

Moving next to EBITDA . Quarterly EBITDA crossed the significant milestone of Rs. 3,000 crores for the first time, registering a robust 15% year -on-year growth. Margins for the quarter came in at 20.5% that is another high that we have seen for years, expanding by 70 basis points sequentially, driven by the obvious benefits from a favorable dollar realization as the rupee had weakened and better operating leverage, given a larger quarter. This more than offset the net cost inflation that I spoke about earlier, which was about 40 basis points in net terms. The sequential increase that you see in other expenses can be ascribed to the extent of about 60% of it being linked to volume increases and the balance 40% primarily towards investments that we made behind brands to drive salience and competitiveness, as well as on R&D projects that we chose to invest in. On a year -on-year basis, margins have expanded 20 basis points with currency and mix; mix was margin accretive on a year -on-year basis, flattish on a Q-o-Q basis, and operating leverage more than making up for net cost inflation and investments into growth drivers.

Turning to profit after tax . We re

corded a high est ever PAT at a little under Rs. 2,500 crores, which was up 24% year -on-year. However, just a quick reminder about the one -time exceptional tax provision of Rs. 211 crores that we created last year to account for the withdrawal of indexation benefits and change in tax rate on asset classes as per the Finance Act. Hence, if I look at the PAT growth before this one -time exceptional provision, the number for the base year was Rs. 2,216 crores, and that translates to a healthy 12% growth this year on that adjusted number.

A quick word on cash . Consistent with the track record of free cash flow generation, we generated around Rs. 4,500 crores of free cash in the first half of this year, which is a conversion

Bajaj Auto Limited

November 07 , 2025

Page 8 of 19

of almost 100% of the profits after tax. The balance sheet continues to remain very healthy. Surplus cash is in excess of Rs. 14,000 crores at the end of the quarter, which will only continue

to build up as we get towards the end of the financial year. The cash position has been maintained after two major outflows in these last 6 months. The first is that we paid a dividend of nearly Rs. 6,000 crores in July/ August , and the other is the strategic investments that we have made, which add up to slightly over Rs. 2,000 crores. In our Netherlands subsidiary BA IH BV, Bajaj Auto International Holdings BV and in BACL, the former was about Rs. 1,500 crores that we had sent over to partly fund the KTM acquisition in Quarter 1, and we have infused about Rs. 500 crores into BACL between Quarter 1 and Quarter 2 to really fund the progress and growth plans for that business.

I will spend a couple of minutes on our consolidated results . On a consolidated basis, our reported revenue grew 19% year -on-year, while consolidated PAT at over Rs. 2,100 crores reflected a 53% growth year -on-year. The standalone PAT growth of 24% converts to a 53% at the consolidated level, broadly due to a few factors. First, our businesses in Brazil and Bajaj Auto Credit, which have been in the phase of scaling up reported losses in the base period essentially last year ; and currently have registered strong results reflecting the focused and decisive actions that have been taken over this last year to build these businesses for sustainable financial performance. Secondly, we accounted for the share of profit and loss due to the results of PMAG and KTM, where we have done the same in the base period as well. It continues to be accounted by us as an associate company, and therefore we do an equity pickup . Until such time, regulatory approvals are in place, and change of control is affected, we will continue to account for this as an associate company. This is likely to be the last quarter that we do it, and then we move to full line -level consolidation. So , these two factors essentially, because of the loss in the base period for BACL and Brazil, which have now turned in healthy profits, and the accounting for KTM is essentially leading to the difference between the 24% growth in profit after tax at a standalone level compared to the 53% that you see on a consolidated basis.

Let me now spend a few minutes on BACL and KTM . BACL, as you just heard from Rakesh, has continued to make very good progress, and we are very pleased about how it is played out. Compared to the same time last year, when the business was expanding its footprint nationwide and making investments up front, that led it to report losses. The company has reported a profit after tax of more than Rs. 100 crores this quarter for the second time in a row. It was Rs. 132 crores this time, a growth of about 29% over the last quarter. To give you a sense of the numbers, AUM at the end of the quarter stood at a tad under Rs. 14,000 crores. With the festive season, a very buoyant festive season, that the BACL business has seen as well , the AUM is trending upwards

as well upwards of Rs. 14,000 crores, on the verge of getting to Rs. 15,000 crores. Capital risk adequacy ratio is a little under 20% , at 19.8% at the end of the quarter, and the business continues to operate at a very healthy, almost an industry -leading return on equity at about 17.4% for the half year. BACL continues to enjoy the highest level of creditworthiness with AAA ratings and stable long -term debt ratings and A1 + for its short -term debt programs. And what we have done is to further diversify its funding sources and support future expansion , the board
Bajaj Auto Limited
November 07 , 2025

Page 9 of 19

has now approved the issue of NCDs, in addition to the commercial papers that we had released or issued earlier this year.

Now coming to KTM . Here we have accounted for our share in the loss of Pierer Mobility AG by virtue of our 37% holding in the company as it existed through our Netherlands subsidiary BAIH BV. Many of you will be familiar with the public filing of PMAG's mid -year results a few months ago in August, and the share of loss pickup arises from that, essentially for the Jan - June period that KTM and PMAG reported on, during which time production at KTM was halted till the resolution of the restructuring process, which you are aware of. The restructuring process concluded only in June and production in KTM resumed only at the end of July. What is different this time, though, compared to the same time last year, is that we have accrued interest income at our Netherlands subsidiary for the loans that the company has advanced to both PBAG and KTM as part of funding the restructuring proceedings, and this has lowered the extent of loss that we have consolidated. As for the progress on the transaction, and there has been quite a bit of it, you would be aware, and we have put out a couple of stock exchange filings, one that was on 24th of October to share an update on the regulatory process.

Summarizing it very quickly . The approval from the Foreign Investment Control Authority in Austria came in the end of July. On merger control, we have received approval from authorities in all of the 6 jurisdictions where it was relevant, and the last one being from Turkey that came in on 18th of September. The most recent one is the approval from the Austrian Takeover Commission that came in on 23rd of October, who have given their nod, saying that BA IH BV, our subsidiary, through whom the acquisition transaction is being executed, is not obliged to make any mandatory takeover bid to the free float shareholders of PMAG, subject to the condition that we exercise the full call option that we had signed in May '25 with Stefan Pierer

and his company's Pierer Industries for his 50% stake. So really, no mandatory takeover bid which needs to be made to the free float shareholders. All we need to do is to fully exercise the call options for the full stake of 50% that was held by Pierer through Pierer Industries. And we need to do this within 20 days post the approval on the last approval, which is essentially the subsidy control from the European Commission. That then leads us to the last final regulatory approval, which is the approval from the European Commission, which is essentially the directorate of competition under which they assess the third country subsidies regulation. The paperwork for this has been filed and the outcome of this will be known by the 10th of November. We have been given to understand that one deems approval to be in place if there is no objection that is filed within 25 days of filing these documents. 25 days expire on 10th of November, so if there are no objections that come through, this is meant to be a deemed approval. And that would then conclude all the regulatory approvals that needed to be sought for the closure and completion of this transaction. And therefore, in anticipation of and subject to receiving the

is last approval, we have since served notices for the call options to be exercised. One was done in June and the other one that we have just done yesterday, and you may have seen the stock exchange intimation go out earlier today. And we are now seeking to exercise the full call options from Stefan Pierer and Pierer Industries as directed by the Takeover
Bajaj Auto Limited
November 07, 2025

Page 10 of 19

Commission. So, with that, in essence, BAIH BV, which held 49.9% stake in PBAG with the remaining stake being held by Stefan Pierer, post the exercise of these options, we will now hold 100% of the total shareholding in Pierer Bajaj, the parent company that holds 75% in Pierer Mobility. And accordingly, Pierer Bajaj AG will become a wholly owned subsidiary of BAIH BV and in turn a step-down subsidiary of Bajaj Auto.

In terms of next steps, an extraordinary general meeting has been called for and will be convened on 19th of November at which the name of the company will be changed, it is proposed to be changed from Pierer Mobility AG to Bajaj Mobility AG. It will continue to be listed on the Swiss and the Vienna Stock Exchanges and alongside the boards, both the supervisory board and the management boards of KTM and the newly renamed Bajaj Mobility AG will be recast, with the nominees that were appointed by Stefan Pierer and Pierer Industries stepping down and the Bajaj appointees taking position. This change of control event, therefore, is expected to happen over the next few days with some of these events playing out in the next couple of weeks and that will put us firmly in control of the KTM business. From here onwards, once it becomes a subsidiary, we will end up moving to line level consolidation for this business. So that is on it for the transaction for now.

Let me now end with comments on the next quarter on commodities. On commodity, we are clearly seeing some cost inflation across the metals and noble metals baskets. We have not taken up any pricing yet to mitigate this impact, but I am hoping that the tailwind that we are seeing from currency should be able to make up for this.

With that, let me hand the call over back to Anand to open up the floor for questions.

Anand Newar : Thank you, Dinesh. Nirav With this, we can open the forum for Q&A, please.

Moderator : Thank you very much. We will now begin with the question-and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani : Hi. Thanks for taking my question. If you can sort of share a little bit more perspective on what you have seen post-GST in terms of customer behavior in terms of while you called out some premiumization, but it was good to know what are the behavioral changes you are seeing pre-and post-GST? Also, can you share the festive growth number in itself? How did it fare for you if you had that number handy? And a clarification of the 6%-8% growth for the remainder of the year, is this for the entire industry or is it for motorcycles?

Bajaj Auto Limited
November 07, 2025

Page 11 of 19

Rakesh Sharma : The impact which we have immediately experienced because of the GST rate cuts we assess to be about 6%-8% swing in the industry. What we have done is we have looked at the data from the last 5-6 years. You see, during the festive, the industry moves up in any case, the growth rate itself. Even like-to-like growth rates move up about 5%-6% points. So, the industry is growing in April-August by 5%. In the festive, it starts to grow at 10%. If you take o

ut the COVID period

that is what it is. This time, the motorcycle industry has grown by about 14%. So, we think that almost 8%-9% swing was due to the GST rate cut, but it will probably not be sustained at that level. Therefore, we feel going forward, the industry should grow at 6%-8%. It declined at minus 1%. So therefore, there is a swing of 7%-8%. But the key point is not just about the quantum of growth, but I think it is the quality of growth. We have seen a very sharp preference for up-trading. Each segment, like I said, if it was a 100cc segment, people bought the most expensive 100cc. If it was a 125cc segment, it was products like our NS-125, which are over, almost a lakh of rupees, and at the top end of the pile, grew faster than our own base 125cc offerings. Similarly, in the 150cc to 160 cc segment, our top offerings with USD fork, double channel, ABS, grew faster than the base version. So, we feel that this will continue. For the whole pyramid to expand overall, we will have to see how it goes. But yes, we are very happy about the swing in the growth rate and the quality of the growth. That's what I said. When the industry is declining, it is quite a grind to get market share. But when there is a positive environment, particularly for a company like us, which sort of leverages innovation and wants to attract customers to a better proposition, a positive trading environment is very helpful.

Gunjan Prithyani : Got it. That is quite helpful. My second question is on the CV exports business. Clearly, it has seen an impressive growth for the last couple of quarters. Just looking to hear your thoughts on, is it opening up of new markets, is it stabilization, or there were some license issues and fidget restrictions. What is it that driving the growth? And more from the perspective of sustainably, how do we look at this category growth over the next 12-18 months?

Rakesh Sharma : The fantastic thing over here is that I can't pinpoint a single market or even 2 or 3 markets which suddenly swung this. Actually, we have been sensing that this will grow because there were multiple markets across which we had launched an intense developmental effort, particularly after the ban in Egypt, which used to be one of our larger markets. And those development efforts are now bringing fruition. So, I would say Philippines, Myanmar, Afghanistan, Ghana and even Mexico, to some extent Bolivia, a lot of these markets have actually combined to deliver this. And because it is so broad-based and it is not based on any particular event or any one-time order, we feel that this trend should continue. We are also hoping for a breakthrough for our Qute business in Egypt, which you know that we have been trying to get it while the top-level approvals are through. At the operating level, at the RTO level, those approvals are just coming in. And we hope to commence and even expand our Qute quadricycle export. So, I feel that we should be able to maintain this tempo.

Gunjan Prithyani : Ok. Got it. I will join back the queue. Thank you so much.

Bajaj Auto Limited

November 07, 2025

Page 12 of 19

Moderator : Thank you. Next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh : Thank you, sir. So just on the GST question, partly my question has been answered, but also wanted to understand how should we think about the pricing power going ahead in terms of discounting as well as what is the update on the ABS norms coming up? How much impact can that have on the cost as well as demand in your assessment?

Rakesh Sharma : I have not, Kapil, understood your point about discounting. If you were asking about discounting, there are hardly any discounts. There is here and there a little bit of tactical support, which at a regional level you gave and some financing support. But I am not sure as to what you were asking for. But if you

are saying that whether discounting will cease, I don't think discounting was rampant. In some segments it was, particularly in the ones which we don't participate in the 100 cc and below, we don't participate in that discounting. So, I can't comment on that because it was not being done by us. But I don't see any major change over there. Let us wait for the ABS announcements. There is an important meeting on the 11th with Minister Gadkari, which is when they are meeting the industry for a discussion on the pros and cons of doing the ABS introduction on all two-wheelers. So let us see what happens in that meeting and subsequently.

Kapil Singh : So how much is the impact of ABS?

Rakesh Sharma : It can be anywhere between Rs. 2000 -Rs. 3000.

Kapil Singh : And is the industry prepared with capacity? Like, what is the situation on capacity for ABS?

Rakesh Sharma : It will be difficult to manage the capacity because that doesn't obviously exist. This includes all scooters, all 100 cc, all 125 cc bikes, which is a huge component. Therefore, obviously the government has taken note of this, that there will have to be a phase-wise execution. All these matters are under discussion, actually. So, I would not like to speculate because this is exactly the kind of issues which are being discussed with the Ministry of Heavy Industries.

Kapil Singh : Thanks, sir. And second, I just wanted to check on the exports. Now, we are seeing a very good trajectory, especially October saw a step up. Is this the kind of new run rate closer to 200,000 that we should expect going ahead?

Rakesh Sharma : I think so in the immediate term. But there will be some ups and downs, obviously, because there

is a seasonality in exports also. Right now, the exports are sort of gearing up for, or have already geared up for, attacking the season in LAT AM, which starts from Thanksgiving and goes on till Christmas and New Year. So, we are already in good position for that. I am hoping that we get good retails in that season, which will allow us to then replenish stock. And then Europe and all these areas go down a little bit in the first calendar quarter. So, I think it might be a seasonality,
Bajaj Auto Limited
November 07, 2025

Page 13 of 19

but that is why I am focusing more, I am saying, on the growth rate, because there may be a little bit of seasonality. But yes, we are now knocking on the doors of 200,000 absolutely.

Kapil Singh : That is great. And sir, finally, just on the EV revenue, what percentage of the revenues are EVs and how much is the PLI incentive we would have accrued as a percentage of revenues for the quarter?

Rakesh Sharma : Well, the EV revenues in Quarter 2 were 18% of domestic revenues.

Dinesh Thapar : Yes, so EV revenues are a little over Rs. 1,700 crores, 18%, as Rakesh just called out. Kapil, the piece on PLI accrual is now business as usual for us. We track it like any other piece. So, we have continued to accrue the way we did last year, you know what the PLI percentages is. But what I do want to use the opportunity to call out is the fact that on the electric portfolio, which is a mix of both electric two-wheelers and electric three-wheelers, in this quarter, we have hit a double-digit margin, EBITDA margin.

Kapil Singh : Sir, what has driven that?

Dinesh Thapar : It is coming out of a mix of a growing proportion of the electric three-wheelers plus better unit economics on the Chetak models. If I just look back in time, same time last year, on the three of our lead models on Chetak, we would have been bleeding EBITDA. As I look at the current moment, we are nearly EBITDA neutral on all of them.

Kapil Singh : That's great, sir. Thank you so much. That is all from my side.

Moderator : Thank you. Next question is from the line of Aditya Jhawar from Investec India. Please go ahead.

Aditya Jhawar : Yes, thanks for the opportunity. So, a couple of questions. Number one on the new products. So

last quarter, we spoke about the non-Pulsar brand. So, are there any timelines for new product launches in the ICE portfolio?

Rakesh Sharma : Well, we have got a few introductions starting from December in the Pulsar range. And there will be some in March and then in May. So, we have got at least 3 good model introductions in December, March, and May.

Aditya Jhawar : Is this other than Pulsar, Rakesh?

Rakesh Sharma : No, this is within Pulsar.

Aditya Jhawar : Yes, but you also spoke about a non-Pulsar brand in the last quarter. Any timelines for that?

Rakesh Sharma : That part, I am holding close to my chest. But it will be sooner than later.

Bajaj Auto Limited

November 07, 2025

Page 14 of 19

Aditya Jhawar: Ok, Fair enough.

Rakesh Sharma : It is an absolutely new development. It will happen in the next fiscal, but earlier than later.

Aditya Jhawar : It is good to know that you are recalibrating Triumph and KTM to get the benefit of lower GST.

Any timeline for new products with lower engine displacement for Triumph and KTM?

Rakesh Sharma : That work is going on feverish pace. And again, I don't want to just give these timelines. But I hope you understand the complexity of making a new engine. But I think you will all be surprised by how fast we can swing that through.

Aditya Jhawar : Yes, just one final one. On the Mexico tariff, it seems that export to Mexico is about 10 %-12% of India's overall export of two-wheelers. It seems there is an increase in tariffs that will be effective next year. Any thoughts on that, Rakesh?

Rakesh Sharma : Yes, Mexico is a very big market. In fact, it is the largest market in Latin America. And the tariffs have increased to 35%. But there are only two companies which will get a concessionary tariff because of the investments which have been made and approvals which are in place. And this is one Mexican company, and the second one is Bajaj Auto. So instead of 35%, our tariff will be only 5%. And because we have the ministry's approval, etc., our plan will continue with 5%, all the others will increase to 35%.

Aditya Jhawar : That is good to know. Perfect. Congratulations. Good set of numbers. All the best. That's it from my side.

Moderator : Thank you very much. Next question is from the line of Aryn Pirani from JP Morgan. Please go ahead.

Aryn Pirani : Yes, hi. Thanks for the opportunity. My question is actually on the domestic three-wheeler business. Now, obviously last year, we were actually on a very sharp market share gaining journey, and electrification was also growing. Now, I think you addressed it partly in the opening

remarks that the market share seems to be consolidating maybe because of some supply chain challenges, but electrification continues to grow at a very sharp pace. So how should we think about the growth for the industry as a whole, ICE plus EV, and your eventual market share aspirations in the overall market? And the related question is that, till when do you think the PLI benefits could continue? Because that would be a significant or a material part of the fact that you are generating these high margins in the EV three wheelers. So how should we think about EV three wheelers' profitability over a slightly medium term?

Rakesh Sharma : I will take the industry and the segment and all that, and then Dinesh can talk about the PLI and all those things. So, there are three segments, ICE Auto, E -auto, and E -Rick. ICE Auto had been declining. So, April to August, the ICE Auto business sort of was declining by about 4 %-5%.

Bajaj Auto Limited

November 07, 2025

Page 15 of 19

Because of the GST rate cut, the payback period has improved in ICE Auto, and we have already seen some very positive uptakes about that. So, we feel that this minus 5% will become about 0%, so it will be flattish. But this is a v

ery welcome thing for us, because our market shares are

touching 80%, and products like RE CNG are highly profitable for us. So, this is a good thing.

The ICE Auto goes from minus 5% to flattish, and there we have got a great position.

In E-auto, it was rocking at about 75% growth. It is tempered down, because the payback in RE CNG is 13 months and in E -auto, it is 19 months. So, that way, on a level playing field where there is no restriction, actually people tend to buy RE CNG. But be that as it may, so this 75% plus is now, we think, would be around 50% growth rate. So there, as you know, we touched the pole position, but we got hobbled because of this supply chain issue and went under the number one position in Q2. But I think in Q3, we will start to get back some of the market share and closer to the number one position. This is an important market, because we continue to grow by 50% or so. And here, while everyone else has got 1 or 2 products, or mainly 1 product, 1 model, we have 2 very successful models, the small body and the wide body. And we are introducing 2 more over there, so we will have 4 in there. So, because people also ask me this question, on what basis everyone is making electric, they look the same and blah-blah, and what basis you will win. Of course, there is a qualitative thing about a company which is trusted and most of the people wait for Bajaj to introduce the electric auto. But I keep that aside. That is a softer brand side thing, but though very powerful. But I say th at on the hard side, it is the segmentation which we are doing, where we are positioning a product for different use cases. We have studied the different use cases.

And finally, there is the E -Rick, which is right now at about 40,000 units, but I must say, it is shrinking gradually, because partly people are trading up, or finally, because of the congestion, a lot of restrictions have been placed on their movements, particularly over flyover, this, that and the other, in many cities in Uttar Pradesh and some other big time states, because these are very big over there. And therefore, it is sort of restricted, and already the government is saying that you have to register these. And only the better ones are being registered. So, there is some element of organizing that industry which is taking place. And we have launched the E -Rick over there. It is early days, but we are very keen to sort of grab a good share of this market. Beyond this, in another 1- or 2-years' time, we are working on some more solutions, because we see there is an intense requirement for this last mile transport. So, when you put all this together, I think it is a very lucrative and large segment, which people don't appreciate. And we have got a fantastic position to begin with in this, both in terms of brand, in terms of our technology, in terms of understanding of the market, the dealer network, and success. So, we are very optimistic, both from a corporate performance, financial performance and BU performance point of view.

Dinesh Thapar : On your question on the PLI, look, I think the PLI is still valid till March of 2018. So fundamentally, we have still got, let us say, about 3 years. To your question, when it gets phased out, what happens? The intention very clearly is to start building organic margin. That will start

Bajaj Auto Limited

November 07, 2025

Page 16 of 19

to replace the PLI benefit over time. If I go by the experience of Chetak, it typically takes a couple of years for R&D effort to start finding its way into market. And I think there is already a work stream that is well underway on rationalizing cost structures, like I said, to build back organic margin for electric three -wheelers. So hopefully, by the time PLI gets phased out in March of 20 28, the benefits of that work stream will start to play out. And then, of course, it is also something to watch ou

t for us to what happens at the end of the PLI, because clearly the sharp pricing that is operating in the market, of some of these incentives, we will need to see how market pricing settles at that point of time, when the incentives are taken away. But we are doing our bit to ensure that we start to build margin on the back of very strong cost rationalization programs.

Rakesh Sharma : I will clarify one point. I just want to drive this important point clearly . So, the structure of the industry is like 40,000 ICE Auto, 20,000 E -Auto and 40,000 E -Rick. And net-net this is the way it is. Now, 40,000 are not going to go anywhere, the CNG and the ICE ones. Because it is economically better today. The payback in a CNG Auto is far better than an E -Auto. It is very different in two -wheelers, because of CNG and familiarity of the product, which is where we got 80% market share. So, there might be slight erosion, like 40 ,000 may become over the years 35,000. Now, this 20 ,000 is growing at a breakneck speed, and that is growing by getting first -time users because there is sheer demand in the industry. So that certainly is g rowing on that basis, plus an upgrade from the E -Rick. Now, here, we were like a number 1, number 2 position, but we will be leveraging all those things which I told you about. And then, of course, there is the other balance 40 ,000, which might become 35 ,000 in the future, or 30 ,000. But there als o, with the launch of Ri ki, we ha ve got a play. So, you can see, right from Rik i to the Maxima, and everything in between, we straddled the entire industry quite effectively.

Amyr Pirani : Thanks a lot. That is good to know. And look forward to the new solutions that you were also referring to. Thank you.

Moderator : Thank you. Next question is from the line of Raghunandan N L from Nu vama Research. Please go ahead.

Raghunandan N L: Thank you, sir, for the opportunity. Congratulations on strong numbers. Firstly, on KTM, can you speak on the way forward for India and Austria businesses? Can you talk of steps for turnaround in Austria business and also synergy opportunities with the India business? That was the first question. Second, on Bajaj Auto Credit, what is the investment so far after the Rs. 500 crore s investment you spoke about, and further investment expected in FY '26 and '27? That's it from my side. Thanks .

Dinesh Thappar : So, Raghu, on the KTM Austria business, you will have to take a pause for a bit because technically, we are still awaiting that last regulatory approval. And having waited this long, we woul d rather wait for a few more days, move to change of control and then really start to talk externally about it as we get fully involved. So let us give it some time. But it is fair to assume Bajaj Auto Limited
November 07 , 2025

Page 17 of 19

that as we get involved once the change of control happens over the next couple of weeks, we will then put in place a full -fledged program for the operational turnaround that straddles pretty much the front end and the back end including rationalization . So, a lot of our internal thinking is done, of course, but let us wait for regulatory approvals that are a few days out and then start to comment on it. And we will do that. You need to be mindful of the fact that the future Bajaj Mobility AG is a listed entity. So, we just have to be mindful of listing obligations even in Vienna and Switzerland. So, we wil l come back to it at some point in time to talk about it. On BACL, our current cumulative investment is Rs. 2,900 crores. Of this Rs. 2,900 crores, we have infused about Rs. 500 crores in this financial year. In terms of how we see it going out, I think, for the most part, the business is now getting to a stage where it will start to fund itself. Maybe the last couple of Rs. 100 crores, between Rs. 200-Rs. 300 crores is what it will need from here onwards

to get to a path of being able to sustain its own future growth. At the moment, it is currently operating at a debt -equity ratio of about 4 -4.5. And then the profits that it will start to deliver should start to take care of the growth priorities and the churn of the AUM portfolio .

Raghunandan N L: Got it, sir. Thanks for that. And what would be the total financing ratio as of now and the share of BACL?

Dinesh Thappar : Just give me a second. So, the financing penetration is not very different. It is close to about 70% for motorcycles. And BACL penetration in the total financing, is about 40%. On three -wheelers, in any case the penetration has been very stable at between 90 %-95%. It hovers in that range and BACL penetration is about 50%.

Raghunandan N L: Thank you, sir.

Moderator : Thank you. Next question is from the line of Yash Agrawal from Nirmal Ban g. Please go ahead.

Yash Agrawal : Congratulations, sir, for a great set of results . My first question is on the EV demand. Like post -GST, there is a 10% cut in the ICE two-wheelers. So, would it hamper the EV penetration going forward ?

Rakesh Sharma : There was such an onrush during the season that we did see the EV demand tapering down. The EV demand , let us say, for two-wheelers became in single -digit growth, much below what happened in motorcycles. But that is because there was a big surge in favor of the conventional and the GST cut s, etc. We think that the demand might get tapered by a few percentage points. But the proposition is intact. When people are buying, they are buying more to solve the

operating expense problem in two-wheelers. And it is 30 paise to Rs. 3. So, it is like one -tenth of what an ICE scooter delivers. So, we feel that this will very soon, in 1 or 2 months, get back to the growth rate. The growth rates were at about 20%. We feel that maybe 15% -20% range it will get back. Because even when EV two-wheelers were priced at 1,50,000, people were

Bajaj Auto Limited
November 07 , 2025

Page 18 of 19

shifting to them. And people were shifting to them to solve their monthly fuel expense problem.

And they will continue to shift to EV to solve the same problem.

Yash Agrawal : Thank you, sir. Very helpful. And on the CNG motorcycle demand, how is the response as of now?

Rakesh Sharma : The response, of course, has been much lower than the initial phase. We feel that it is going to be a long curve to market development. There are 2 -3 things which are there. One is the quantum of savings, which sometimes gets impaired by the under filling of gas in the CNG tank because of pressure reasons, even though the CNG network may be available, but sometimes because the gas is not fully filled, it compromises the range. And in any case, the first adopters are people who are heavy -duty users because they tend to save more. And for them, range is very important. And when that range gets compromised, they switch the CNG to petrol. And then, of course, the savings get impaired. But of course, the government is making a lot of efforts in ensuring the fuel pipelines are such that the pressure quality is maintained. And second, of course, is that the penetration of the CNG network has to improve, which again it is continuously doing . And those are the 2 issues which we have encountered, which after the initial burst of adoption has slowed down. But we feel that it will be a slow and steady improvement. And we are focusing on those geographies which have not just the number of CNG pumps, but the density. So now , we understand the market a little bit more. So, there may be a state which may be having more CNG Pumps like Bihar than West Bengal , but pump density in Bihar per 1,000 is far lower than West Bengal. So West Bengal becomes a better target. It is an illustration I am telling you. We have adapted our go -to-market for that.

Yash Agrawal : Very helpful. And the last que

stion is on the electric motorcycle. Do you have any near -term

plans for introducing a product in motorcycle as well, the EV version? And how do you see it similar to the response to two -wheeler scooters and three -wheelers , do electric motorcycles have a penetration possibility in near -term?

Rakesh Sharma : See, there are some use cases, both in the entry -level and high -end sporting things in India and globally. But these are very difficult to predict. But we are in this game. So, we are very clear that we must have options which serve these use cases. And of course, nobody can say for certainty that it will be a bull's eye or whatever. But I think there is a greater loss from missing out an opportunity than investing in something and that opportunity doesn't realize. So therefore, we have a very vigorous R&D effort going on for development of electric motorcycles.

Yash Agrawal : That is all from my side. Thank you.

Moderator : Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Anand Newar, Head of Investor Relations, for closing comments.

Bajaj Auto Limited
November 07 , 2025

Page 19 of 19

Anand Newar : Thank you, Nirav, and thank you everyone for joining the call.

Moderator : Thank you very much. On behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2026

Registered Office Akurdi Pune 411035 India CIN L65993PN2007PLC130076

06 February 2026

To
Corporate Relations Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Tower
Dalal Street
Mumbai 400 001 To
Corporate Listing Department
National Stock Exchange of India
Ltd.
Exchange Plaza, 5th Floor
Plot No.C- 1, G Block
Bandra- Kurla Complex
Bandra (East), M umbai 400 051
BSE Code: 532977 NSE Code: BAJAJ -AUTO

Subject : Transcript of Conference Call held in respect of the Company's Q 3-FY26 results .

Dear Sirs /Madam ,

Please find enclosed the transcript of the conference call held on 30 January 2026 in respect of the Company's Q 3-FY26 results .

The transcript will also be hosted on the Company's website at

<https://www.bajajauto.com/investors/financial-and-operational-performance>

Kindly take this on record.

Thanking you,

Yours faithfully,
For Bajaj Auto Limited
Rajiv Gandhi
Company Secretary & Compliance Officer
ACS 11263
Encl: as above

Page 1 of 19

"Bajaj Auto Limited
Q3 FY '26 Results Conference Call "
January 30, 202 6

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Bajaj Auto Limited
January 30, 202 6

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY'26 Results Conference Call of B ajaj Auto Limited. My name is Nee rav, and I'll be your co -ordinator. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the initial remarks from the management. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone . Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head , Investor Relations from Bajaj Auto Limited. Thank you, and over to you, Mr. Newar.

Anand Newar: Thank you, N eerav. Good evening, everyone, and thank you for joining us for the call today. Welcome to Bajaj Auto's Q3 FY'26 Earnings Conference Call. Let me begin the call with wishing all of you a happy and prosperous New Year. On today's call, we have with us Mr. Rakesh Sharma, Executive Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with the opening remarks from Rakesh on the business and operational performance for the quarter, followed by Dinesh, who will take you through the financial highlights. We will then open the forum for Q&A. Over to you, sir.

Rakesh Sharma: Thanks, Anand. Good evening, ladies and gentlemen, and welcome to the quarter 3 earnings call. Thank you very much for joining us. I'm delighted to report that the Q3 performance has built on a strong Q2 and scale new peaks. We closed the quarter with a to p line of over INR15,000 crores, an all -time high with 19% growth. EBITDA came in at over INR3,100 crores at 20.8%, another all -time high and PAT crossed INR2,500 crores, yet another all -time high. All business units performed at respective record levels to deliver these outcomes. The momentum, of course, was set by the GST rate cuts, which sustaine d itself beyond the festive . The domestic BUs have taken full advantage of this supportive environment.

Let us look at the business unit level performance, beginning with exports. The BU crossed the 200,000 average per month sales level in October '25 after nearly 40 months and maintained this level through the remainder of the quarter, surpassing the 600,00 0 units mark after 15 quarters. Last time this happened was in Q3 FY2022. The business grew at 18% year -on-year this quarter in volume terms and more in revenue terms. The top 30 overseas markets collectively accounting for nearly 75% of the emerging mark et, industry grew by about 10% in this quarter with our sales growing at 15%, thereby signalling an increase of market share in these key markets. Nigeria, our largest market, doubled sales in Q3 compared to Q2, though it continued to be negative compared to previous year Q3. Significantly, Nigeria's weight in our portfolio is now half of what it was last year, indicating that the portfolio without Nigeria is at an all -time high performance. Latam delivered its highest ever quarterly performance powered by Colombia. Sales in Bajaj Brazil came in close to 10,000 mark , supported by expanded production capacities and the subsidiary is now delivering a healthy bottom line performance too.

The CV segment in exports grew at 56% this quarter, result of intense development efforts of the past few quarters. A very good feature of this business is that it is very broad -based across several markets and continents. Exports to KTM Austria continued to increase year -on-year by

Bajaj Auto Limited
January 30, 202 6

Page 3 of 19

nearly 15% in Q3 as the KTM business worldwide now starts to make its recovery, but more on that later.

Overall, the Exports business has established a sustained growth momentum, and we expect this growth tempo to continue in the coming months. In fact, the business is on the path to delive

r its

highest ever top line performance in USD terms this financial y ear.

Domestic motorcycles, the festive period ended on a very strong note. But more importantly, the GST rationalization appears to have made not just a positive but a lasting impact beyond festive enthusiasm. Taking a step back, in financial year 2025, the motorcycle industry had grown at 7%, but this slid into a marginal decline of minus 1% in the April -August period of this year. In fact, slipping to minus 3% in Q2. But post the GST rationalization, Q3 has grown by about 15% in the industry. And our understanding is that even January is sustaining at a similar level. We are just 1 or 2 days away from getting the final numbers. To some extent, of course, this has been bolstered by the festive in the South. We expect this growth momentum in the industry to continue and the motorcycle industry to continue to grow at, say, 12% to 15%. Equally important is the quality of growth with the 125cc plus segment growing at a faster rate and within that, the 150cc plus segment growing even faster.

This phenomenon is creating a very positive and supportive environment for our portfolio, which rests on the proposition of persuading the customer to upgrade to bigger and more differentiated bikes. Since quarter 4 of financial year '25, we have been quite challenged for market share even in the Pulsar heartland of 150cc plus segment. And this continued well into quarter 1 FY'26. The genesis of the weakness, I think, lay in the asymmetry of our new product and upgrade cycle compared to that of the key com petitors. Two developments have reversed the trend for us and have started to point the trajectory in this very important segment upwards. Foremost, Pulsar received the benefit of the consumer behaviour transitioning from being cautious to now optimistic. Secondly, after the heat and dust of the festive settle down, a slew of new launches prioritized for the 150cc plus segment have been made November onwards. Consequently,

market share in this key segment has started to move up. Seven interventions between November and now in the form of upgrades and refreshes have been made in the last 2 months, driving growth and share supported by a positive environment. The waves of these interventions will be unrelenting here onwards with over 8 more such interventions being made in the next 4 months. By end of this period, the entire Pulsar portfolio spanning the OG Pulsar, the N series modern Pulsar and the NS series performance Pulsar would be a complete potent and persuasive portfolio. Therefore, we expect to outpace industry growth in the 125cc plus segment and particularly in the 150cc plus segment and continue on the path of market share acquisition, which has commenced a couple of months ago.

Coming to Commercial Vehicles, the 3-wheeler BU. Like 2-wheelers, the 3-wheeler category was also positively impacted by the rationalization of GST. The ICE segment was declining in April-August period by about 4%, but GST cuts have bumped up growth to positive 4% to 5%. The Electric segment continues to drive the 3-wheeler industry by growing at about 50% plus. Again, we expect these growth rates to sustain in the immediate future as driver adoption is responding to the healthy improvements in earnings and paybacks, both for ICE and electric.

Bajaj Auto Limited
January 30, 2026

Page 4 of 19

We continue to maintain a 70% plus market share in the ICE segment with an overwhelming share of 85% plus in the CNG segment, which is the largest segment within ICE. Our e-autos recorded their highest-ever levels during the quarter, both in billing and retail terms, and we exited the quarter in December back to the number 1 position in the segment. We now possess the widest e-auto and e-cargo portfolio, spanning different vehicle sizes and battery capacities ranging from 9-kilowatt hour to 18-kilowatt hour, which is the biggest battery in the business.

And this allows us to address a wide spectrum of use cases. We expect to grow our leadership position quite decisively in the coming quarters.

Additionally, as you know, we have made a play for the large L3 E-Rick segment with the launch of Riki. Steadily, the footprint of Riki is being expanded to now 50 cities in North and East India. Our objective is to seed the focus market in the first phase and build our playbook for upgrading customers from price-based propositions to our value-based propositions. We expect to start to scale up Riki beginning quarter 1. We launched 2 passenger models last quarter and have now introduced Riki C4005 in the Cargo segment, further strengthening our ability to address multiple use cases.

On electric scooters, Chetak, while the industry continues to average at about 100,000 units level, our performance improved sharply during the quarter as we came out of supply chain disruptions, enabling a rapid scale-up, reflecting sequential growth of nearly 70% from quarter 2 to quarter 3. We regained nearly 500 basis points of market share during the quarter and made a return back to the leadership cluster. The scale-up was also supported by distribution network that expanded to nearly 450 exclusive Chetak stores and 4,000 points of sale across 800 cities and towns. We have recently launched the new Chetak C25 some 15 days back. And I hope some of you had a chance to join the launch event that was telecasted live on YouTube. C25, is a stylish, sleek and youthful addition to the Chetak portfolio that is lighter, designed for easy mobility and is launched at an attractive price of INR91,399. With this launch, the Chetak portfolio is now well covered across price points and use cases, positioning the brand to further strengthen its competitive standing while remaining focused on disciplined and profitable growth.

At an aggregate level, our EV portfolio comprising both electric 2-wheelers and 3-wheelers now contributes to a staggering 25% of domestic revenues. And individually, both the segments, the Scooter segment and the Auto segment crossed INR1,000 crores of quarterly revenues each for the first time. More importantly, the EV business now delivers double-digit EBITDA margin while improving unit economics as the portfolio continues to scale.

Coming to the Pro-Biking business unit, comprising 2 prominent global brands, KTM and Triumph. The Pro-Biking business continued its strong trajectory this quarter. The 2 brands together delivered a record domestic performance with combined volumes of over 35,000 units, registering robust growth of around 50% year-on-year and marking the highest-ever quarterly performance for the business, lifted also by the positive sentiment. KTM volumes were led by strong demand across the Adventure portfolio, which has grown almost 4x over the same period last year.

Bajaj Auto Limited
January 30, 2026

The Duke series complemented by the recent launch of Duke 160 remains robust, growing over 30% year -on-year. The rise in KTM sales has been quite spectacular, and we expect the portfolio to continue to perform well with both Street and Adventure segments doing well. Triumph maintained a healthy momentum despite the GST rationalization. And of course, Triumph was on the other side of it, and it complemented KTM's performance.

Key growth driver for both brands has been the brand activation initiatives through Orange Day experiences, adventure rallies and the widely popular KTM Cup for which the Season 3 was announced, delivering a ready -to-race thrill to a mass followership . The world of Triumph activation is steadily building the franchise of Triumph with customers who know the difference.

Another growth driver in the making is the rollout of the joint KTM -Triumph showrooms. These are designed to enhance reach and dealer viability in markets where stand -alone outlets may not be economically viable. The format offers customers access to both brands while providing dealers with a sustainable business model. We currently have about 50 KT showrooms operational and plan to expand these to over 100 by March.

Finally, a few quick points, important updates on other business areas. The Spares business unit, this highly profitable business came in at nearly INR1,800 crores this quarter, a growth of 18% YoY on the back of better distribution and portfolio management. Outlook for it remains positive with similar growth tempo.

Retail Finance, our 100% subsidiary, BACL, had an excellent quarter, delivering a class -leading performance. With penetration scaling to 45% levels, it has acquired over 3.5 lakh customers during the quarter and now has an AUM of over INR16,000 crores, and it has built a business driven by the twin pillars of digital first and robust operational management. It delivered a PAT of INR200 crores in Q3 itself.

Quick word on KTM AG. Effective November 18, Bajaj ownership in KTM Austria increased to 75% and a turnaround plan was commenced immediately, which has 3 main elements to it: number one , ensure liquidity . This action has, of course, been underway earlier and has been successfully completed earlier itself. Second, build the top management team. The top deck is now largely in place, and the exercise will be completed by 1st April. And number three, most importantly, prioritize and support cost reduction for which there are ample opportunities. Multiple work streams have been set up to reduce costs and capture synergies. With actions in these 3 areas, the turnaround of KTM AG is truly on its way.

Looking ahead, our key focus will be to drive higher growth in the 125cc plus segment, leveraging on the 7 products already launched and 8 further which are in the pipeline. Second, continue the export momentum, building on the strong competitive positions in key markets . Number three, continue to regain momentum in the EV segment and better the competitive positions across each segment. Number four, steadily grow KTM and Triumph business through product activation and network expansion. And finally, manage operations dynamically to optimize growth and profitability balance and support the KTM AG turnaround plan. These are the things which will be occupying the management team in quarter 4 and quarter 1. Now with that, let me hand it over to Dinesh for an update on the financial performance. Thank you.

Bajaj Auto Limited
January 30, 2026

Dinesh Thapar: Thank you, Rakesh. Good evening, everyone, and thank you for joining us today. As this is our first interaction in the new calendar year, let me begin by wishing all of you a fruitful year ahead. You've just heard from Rakesh against the backdrop of an upbeat festive market that was boosted by the GST rate rationalization, the company delivered its best -ever quarterly performance across revenues and profitability, underpinned by record volumes.

The growth this quarter has been broad -based with all our businesses, domestic motorcycles, domestic 3 -wheelers, electric 2 -wheelers and exports, all contributing very meaningfully. The sharp execution of our plans in both domestic and export markets allowed us to deliver a step -up in performance and record results even as we continued to stay the course in investing behind brands, products and future capabilities.

Before I get into the numbers, a quick word on the operating environment. Currency remained a tailwind during this quarter, and I've spoken about this the last time we have met, with average dollar realizations

on the quarter standing at 88.3 , compared to 87.1 in quarter 2 and 84.3 a year ago.

On the commodity front, as I have mentioned in the last earnings call, we had begun to see some cost pressures across the metals complex during the quarter. Noble Metals especially platinum,

palladium and rhodium all saw sharp increases, whilst aluminium, copper, nickel and lead also continued to harden. This was partly offset by some softening in ABS and steel. You will also recall that I then said that in light of how the currency was moving, giving us tailwind effects, we would decide on pricing actions. As it turned out, given the beat on volumes that we saw through the festive season, we chose to defer all pricing actions to the start of this current quarter, essentially January and therefore, taking none to cover the inflation last quarter. As a result, we saw a net price versus cost inflation hit of nearly 50 basis points on the margin.

Turning now to the financial performance. The quarter established new benchmarks on both volumes and revenues. Volumes reached an all-time high, surpassing the last peak that was recorded in quarter 2 FY'19, while revenue from operations crossed the INR15,000 crores milestone for the first time, coming in at INR15,220 crores for the quarter, representing a 19% year-on-year growth. This growth has not been driven by any single lever rather it reflects the balanced combination of higher volumes, a richer sales mix and favourable currency realization. A key contributor to revenue mix improvement was the electric vehicle portfolio, which continued to scale rapidly during the quarter, growing nearly 40% over the previous one. In addition, spares revenues sustained at levels of close to INR1,800 crores providing a steady and recurring support to overall revenues as indeed to profitability as well.

Domestic revenues reached an all-time high during the quarter, driven by double-digit revenue growth across all businesses and a new record on the electric portfolio. Domestic retails were also at their highest ever.

Export sustained its strong performance as revenues grew double digit in 8 out of the last 9 quarters. Volumes crossed the 600,000 units a quarter mark, a level that we had almost seen 4 years ago, reflecting a continued recovery in both demand and the pace of execution. Compared to the same time last year, export revenues have grown around 20% and the growth has been

Bajaj Auto Limited
January 30, 2026

Page 7 of 19

broad-based, supported by improved dollar realizations, a richer product mix and robust growth across key markets.

Moving to profitability. EBITDA for the quarter was at INR3,161 crores, the highest in the company's history, growing 22% year-on-year. EBITDA margins expanded to 20.8%, up 30 basis points sequentially. Margin performance during the quarter was supported by favourable currency movements, operating leverage and PLI benefits. These factors provided the operating headroom to absorb a combination of commercial actions that we consciously took alongside the regular input cost inflation that I just mentioned.

During the quarter, we took a few commercial actions to drive market competitiveness in addition to addressing commodity-led cost pressures. These included - firstly, the absorption of the withdrawal of the PM E-DRIVE incentives in the Electric 3-wheeler segment. While the withdrawal occurred towards the later part of the quarter, the impact was meaningful at approximately INR23,000 to INR25,000 per vehicle, and we consciously chose to hold pricing and absorb this impact in order to invest behind growth and accelerate volumes and our competitive position in this segment. Having exited the quarter at a

number 1 position, our

aspiration continues to grow share and widen the competitive gap.

Second, the full period impact of the GST rate increase on 350cc plus motorcycles portfolio was absorbed. You recall when we had last spoken, the GST rates on motorcycles in excess of 350cc had moved up from the 31%, which was essentially 28% GST rate plus 3% cess to 40%. And what we chose to do was to really hold pricing to ensure that momentum wasn't lost. And therefore, what we did was to really absorb that into the margins this quarter, and it was done to protect volume momentum and maintain competitiveness of the segment. And you see the results reflected in the best-ever performances of both KTM and Triumph.

Thirdly, in Exports, we took a few decisions to reinvest a part of the benefits from the higher currency realization into select geographies really to maintain the growth momentum and to sharply drive further market share gains.

On mix, the quarter saw a sharp scale up in Chetak volumes with the business moving from constrained supplies in the previous quarter to the highest-ever volumes in the current. While this rapid acceleration temporarily diluted profit mix given that electric 2-wheelers currently operate at lower margins compared to about 20% for the enterprise, this margin drag effect was well absorbed and the scale-up supports faster progression towards improved unit economics and long-term market leadership.

Therefore, these operating tailwinds more than offset the combined effects of cost inflation, competitive actions that we have taken and the adverse margin mix, enabling us to deliver sequential margin expansion while continuing to invest behind growth and competitiveness. On

a year -on-year basis, margins expanded 60 basis points, driven by favourable currency and operating leverage primarily, which more than offset the inflation that we were seeing across cost lines.

Bajaj Auto Limited
January 30, 2026

Page 8 of 19

Coming to profit after tax, quarterly PAT before the onetime exceptional charge came in at INR2,549 crores, it was up 21%. As you're all aware, pursuant to the amendment in the definition of wages under the new labour code, we recognized INR61 crores as a onetime exceptional charge towards the past service cost arising from the changes introduced under the new labour code. This is essentially towards gratuity. Therefore, profit after tax after this onetime adjustment stood at INR2,503 crores, rising 19% year-on-year.

Quickly, a word on cash. We continue to deliver strong and consistent cash generation, closing the quarter with surplus cash of about INR15,000 crores. It's also worth noting that in the first 9 months of this year, we've generated nearly INR5,200 crores of free cash flow, and that was up 70% over the same period last year, reflecting our strong track record of converting profit to cash. We have strategically invested slightly above INR2,300 crores during this 9 -month period into our Netherlands subsidiary, BAIHBV which you would recall was partly to fund the KTM acquisition and in the growth of BACL, which has steadily grown in scale and footprint.

Moving next to consolidated results. Consolidated revenue came in at INR16,204 crores, up nearly 25% year -on-year. While consolidated PAT stood at INR2,750 crores, registering a 25% year-on-year growth. The step -up of stand -alone results to consolidated results was driven by the continued strong momentum in Bajaj Auto Credit Limited, the steady scale -up of our Brazilian subsidiary, along with the net interest income that we are earning in our Netherlands subsidiary from loans that were extended to KTM Austria earlier in the year to fund the restructuring of that business.

BACL continues to scale at a very healthy pace

and has delivered another stellar quarter of strong

results. The company reported a profit after tax of INR200 crores, reflecting a strong sequential growth of 52%. And to give you a sense of the numbers, you've just heard a few of them from Rakesh. Assets under management stood at nearly INR16,500 crores as of December end.

Capital risk adequacy ratio remained very healthy at a tad under 20% , it was 19.77% at the end of the quarter. And the business is delivering industry -leading returns on equity at about 21% for the 9 months ended 31st December 2025. BACL continues to enjoy the highest level of creditworthiness with AAA ratings, stable long -term debt rating from all the rating agencies, CRISIL, CARE, ICRA and India Ratings, and A1+ for its short -term debt program from CRISIL.

Let me now spend a minute on KTM. You would recall from our last earnings call, the only regulatory approval that was pending then when we had last spoken was from the European Commission Directorate of Competition under the subsidies regulation. That approval was received on 10th of November '25. And following this, the effective change of control and transfer of shareholding was completed on 18th November. Subsequent to the transaction and pursuant to shareholder approval received at the Extraordinary General Meeting that we had on 19th of November, the planned governance and structural changes to the Supervisory Board have since been implemented.

Further, we have also renamed Pierer Bajaj AG to Bajaj Auto International Holdings AG and Pierer Mobility AG, which is the listed company on both the Swiss and Vienna Stock Exchanges to now being called Bajaj Mobility AG. Post the exercise of all options and completion of the

Bajaj Auto Limited
January 30, 2026

Page 9 of 19

share transfer, BAIH BV, our Netherlands subsidiary now holds 100% of Bajaj Auto International Holdings AG, which was formerly called Pierer Bajaj AG, which in turn, holds nearly 75% of Bajaj Mobility AG. As a result, BAIH AG and BM AG and KTM AG have now all become step -down subsidiaries of Bajaj Auto. The Supervisory and Management Boards have been reconstituted to align with the revised ownership structure and the governance framework, something that we had spoken about, and it is now fully aligned with Bajaj Auto's long-term strategic intent for this business.

For the current quarter, we have not yet consolidated the KTM business on a line -by-line basis as Bajaj Mobility AG, which was erstwhile the Pierer Mobility AG, publishes its financial results on a 6 -monthly basis under European regulations, and we have not altered that yet. However,

from the next quarter onwards, the KTM business will be fully consolidated into our results on a line-by-line basis as is required for subsidiaries.

For 2026, the focus will be on the operational turnaround of the business and putting the business back on track to deliver competitive performance in the marketplace and sustainable financial results driven by the local team there that is now led by a new executive and management team and a management Board. This broadly will encompass sharpening the product portfolio across the 3 bands of KTM, Husqvarna and GASGAS, reworking the target operating model for go-to-market and looking for synergies between the Bajaj and the KTM system, resetting the fixed cost base across all lines, simplifying the organization and corporate structure. And all of this is really being laid with the team out there now starting to get actively supported by the Bajaj team from here.

Let me close with a brief outlook. On the commodity front, we have seen further cost inflation. Noble metals, including rhodium, platinum and palladium are further heating up. Aluminium and copper also remain on an upward trend, while steel seems to remain broadly stable at this point.

At the start of t

he quarter, we had anticipated an impact of anywhere between 50 to 60 basis points for which we have taken certain pricing actions across the portfolio to offset about half this impact so far. But given the very dynamic external environment, we are watching for the balance based on how the situation evolves. With that, let me hand the call back to Anand and open the floor for questions. Thank you.

Anand Newar: Thank you, Dinesh. With this, we can open the forum for Q&A.

Moderator: Thank you very much. We'll now begin with questions and answers session. Anyone who wishes to ask a question, may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Kapil Singh from Nomura.

Kapil Singh : Hey, good evening and Congratulations on the strong performance. My first question is on the domestic market itself. You had last time mentioned 6% to 8% industry growth outlook in the medium term. Looking at the momentum post the GST cut and hopefully, some dust has settled

Bajaj Auto Limited
January 30, 2026

Page 10 of 19

now, what is your read of the market situation? Are you comfortable with that forecast? Do you think there is upside risk here? And you've always mentioned that premium segments will grow faster. Is that something that is visible in consumer behaviour? You're seeing customers upgrading? And also, sir, in terms of market share earlier, we used to have aspirations to increase it quite sharply. So just your thoughts, I mean, even if you can't share any numbers, but just your thoughts on how you want the market share to evolve over the next, let's say, 2 years?

Rakesh Sharma: Okay. So based on the way December and January are unfolding or December has unfolded and very soon, we'll have the Jan numbers as well, it seems that the motorcycle industry growth momentum is sustained and, in fact, done better than what we were thinking it would do. So that's why I was saying that we could be looking at something like 12% to 15% growth over the next few months. It's very hazardous to try and give a growth number, which is very long term and then one starts to take a conservative view. But in the immediate term, I think a double-digit growth rate is possible with a 3-4 percentage point difference between the bottom half and the top half. So that's the way we are looking. And like I said, this is a very supportive environment for us. Now the only spoiler could be inflation with the rupee being where it is, if that drives inflation and particularly things like fuel, rentals, food products, we all know is at very, very all-time low inflation. But some of these other sectors also, they then go and diminish the purchasing power of our customers. And that could be a spoiler. So, we have to continuously watch that. If that remains in check, then I would say, yes, these type of growth levels of 12% to 15% could sustain themselves.

And the second part. Yes, of course, the market share aspiration is to continuously grow, particularly in the 125cc plus segment. So, like I said in my opening remarks, we did take a hit in Q4 and Q1. I mean if you sort of take a step back a few years, when the ABS was announced for 150cc, which led to the slowdown in the 150cc plus segment, but the 125cc segment boomed. And at that time, I recall, I may have some numbers here and there, but I recall our market share in the 125cc segment was 9%. But we were the fastest to the market with the extension of Pulsar into the Pulsar 125cc range. And within a couple of years, we went from 9% to 20% plus. Now what has happened in the last financial year, particularly in the second half,

where the progressive launches by competitors and these product introduction cycles then are not synchronized with competition because we started early, they started later, but there were newer products last year, ours are still old. We started to correct that. And we had a choice about introducing some new products in October, etcetera. But on the balance, we did not want to disturb the season. There were so many things going on in this season, as you know. So, our heartland of our Pulsar equity is the 150cc plus segment. And like I said in my remarks, after Diwali and now, 7 introductions have been made across the 3 ranges which we have in Pulsar, 150cc plus segment, 8 more as we speak 2, 2, 2, 2 every month. This barrage will continue, right, through the next 6 -7 months.

And that's why we will have a completely refreshed Pulsar portfolio. We have prioritized the entire R&D and innovation effort in our heartland, which is a 150cc plus segment, which we are credited with creating that, and we want to make sure that we are undisputed leaders there. And these 7 plus 8 interventions over the last 2 months and another 4 -5 months going forward, will, I think, galvanize the whole share acquisition effort. And so, we are looking at the next 6 months.

Bajaj Auto Limited
January 30, 2026

Page 11 of 19

Then let's get that right and then let's see what we want to do in 2 years after that. So that's where we are. We are very, very optimistic. And some of the new products which have been put in, particularly in the N series, etcetera, its early days, but whatever it's worth, we are getting good positive reaction.

Kapil Singh : Great, sir. On the exports, I just wanted an update on what is the growth outlook for remaining few months of this year and next year, what broad ranges you are thinking about? And which will be the key markets that will drive that growth? In particular, for Mexico, if you can share some update because there is potential to gain market share over there as it will have a duty advantage?

Rakesh Sharma: Yes. So, we are expecting the growth tempo to continue, but I think this quarter, which is quarter 4, we expect hopefully that we will turn in a 200,000 unit plus performance. And thereafter, hopefully, it should grow. And I always say this with a little bit of caution because disruption in the emerging markets and dislocations is a way of life, right from banning, tariff, currency devaluation, shipping issues, etcetera. So, there are these ups and downs. But over the year, the Exports business unit has demonstrated its resilience. And even when a key market, like Nigeria used to do 50,000 units and it is half, we have still gone ahead and delivered this performance. So, I feel that we will have the resilience. Some things will go up; something will come down. We take it as we go through the quarter. At this point of time, in the near term, we are seeing the growth. So, we are in 108 countries, and the whole success of the Export business is actually disregarding the Pareto rule. If we enter a country, we enter it to win it. So, whether it is a country like Haiti in the Caribbean, where we sell 200 units per month or something like Nigeria where we do 30,000 units, we give it the same attention. But there are the top 30 countries, like I said, which account for 75% of the industry. And in each of those, we will grow our market share. So, I would say that we will continue to have that kind of an approach. And the great thing is that the sources of growth are quite broad-based now. So that's very, very helpful.

Kapil Singh : Can you share the absolute EV revenue and export revenue, please?

Dinesh Thapar: Export revenues were about USD 600 million.

Kapil Singh : And EV revenue, sir?

Dinesh Thapar: EV revenue, as you would have heard from Rakesh, was about 25% of domestic revenue.

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Kapil Singh : Sir, possible to share the number?

Dinesh Thapar: Yes, from Anand, Kapil after the call. Let's just leave a few questions for the rest in the queue as well.

Kapil Singh : Sure sir, thank you.

Moderator: Thank you very much. A kind request to all the participants kindly restricts your questions to 2 per participant and please join the queue for follow-up question. Next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Bajaj Auto Limited
January 30, 2026

Page 12 of 19

Gunjan Prithyani : Hi, thanks for taking my question. Just a follow-up on the whole product refresh. I think, of course, this will create excitement and the confidence around the volume growth and market share. I think I'm just asking a little bit beyond a couple of quarters when you think of next 2 -3

years, is there a need to introduce more brands within the portfolio? And we have spoken about adding a new brand in 125cc to have the price ladder. Can you just share some thoughts? I want to just hear your thoughts more holistically that do you feel that there is a need to have more brands beyond Pulsar to get to the market share aspiration that you have from a medium-term perspective?

Rakesh Sharma: Yes, sure. From a couple of years' perspective, I agree with you. There is certainly a need for a brand in the, let's say, 125cc segment. There are plans afoot for that, as I've talked previously.

We have a brand Dominar, which, of course, has a small presence in India, but it is highly successful in Latam, Turkey, Brazil, etcetera. And of course, when we are looking at our product plans, we are not just looking at India, but we are looking at all the markets which we operate in. Just for your information, for example, we sell more 250cc plus bikes in Mexico than in India.

So that will give you an idea that how important it is for us to have international markets integrated into the NPD process. And because of that, we see a very good opportunity for expanding the portfolio of the Dominar brand, and it will have its fallout and consequences.

We feel that if this macroeconomic growth sustains itself, we'll continue to see bigger and better bikes sort of growing faster. And therefore, we see that the Dominar's portfolio also expanding.

We also see us either through a new brand or through within the same umbrella brand, getting into some new formats like on-off or off-roading type of bikes. And so, a pretty rich pipeline, both in terms of the portfolio and the birth of some new brands. It could also be some of our existing dormant brands, which we just dust off and reintroduce them. So, they may not just be absolutely, absolutely new brands, but they could be one of our brands which we possess, but which have been dormant. Like, Chetak was a dormant brand and then it got reintroduced.

Gunjan Prithyani: And can I just check if there is an updated timeline on the new 125cc bike that we were looking to introduce this year?

Rakesh Sharma: Yes, there is an updated timeline, but I cannot share it with you. Of course, there is. It's a very important part of our portfolio.

Gunjan Prithyani: It's fair to assume it's happening this year.

Rakesh Sharma: It is happening. We will call you for the launch conference, don't worry.

Gunjan Prithyani: Okay. Just a second question on commodity. I think, Dinesh, thanks for sharing the headwind that we anticipate at this point for quarter 4. But I think maybe just if you can share a little bit more colour on how should we think about salience of some of these commodities, which are seeing a surge like precious metal, copper, aluminium because there's continuously inflation, which is going on, right? And the numbers that you sort of shared are probably how things stand as of today. So, if you can give a bit of more colour on the salience of these commodities and where should we be focus

ing more on in terms of the impact?

Bajaj Auto Limited
January 30, 2026

Page 13 of 19

Dinesh Thapar: So, you're right, Gunjan. I think on a few of these commodities, it is clearly very volatile as it were. Like the bulk of the inflation from what the team shows to me right now continues to be on the Noble Metals portfolio, where the inflation is essentially double digit, and yes copper has inflated quite significantly between quarter 3 and quarter 4. I think the rest of the metals that I called out were essentially low single digit, but all of these are inflating quite significantly. One way we're trying to mitigate this because obviously, every time we have the upswing in the cost or the inflation cycle, is to try and see how much you can lock in for the quarter and then try and move out because a lot of this is negotiated commodities. So, that's why I did call out a ballpark of between 50 to 60 basis points impact as we originally estimated it. And we'll try and see if we can operate within that. We've priced out for half of it, but I think we'll have to just be a little bit more nimble with pricing depending on how this commodity situation evolves over the next few weeks. So, we are watching it, as you would imagine, just given the volatility. But we've just covered for half, knowing fully well that there is also some tailwind that is coming around the currency.

Gunjan Prithyani: But how big is this as a percentage of your RM or just the PGM and copper, if you can give some colour, I'll join back the queue after that.

Dinesh Thapar: Okay Gunjan. So, I don't have that offhand. It is a very micro piece, but Anand is sitting here, and we'll try and get you what's the relative contribution of some of these inflating commodities to the total.

Gunjan Prithyani: Got it. Thank you so much.

Moderator: Thank you. Next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vora: Thank you for the opportunity. My first question is regarding the Export 3-wheeler business, which has been doing quite well over the last couple of quarters. Can you give us some colour on which geographies are driving that growth? And how should we think about it going into

FY'27?

Rakesh Sharma: Yes. This is a consequence of the big development efforts, which we have been putting in consistently. And the wonderful thing is that I'm unable to answer your question in a brief manner because there are so many countries which have contributed. I can't single out even 3 or 4 or 5. So there are multiple of them. There are many which have crossed the 2,000 units per month mark. There are many which are above the 1,000 units per month. So that's the wonderful thing about it. And hopefully, all these territories, we will drive for depth and therefore, growth, even while we have got at least half a dozen new markets on the boil where we will start. I found for a market from 0 to some kind of scale it takes at least 2 years. And we have some territories which are sort of reaching the midway mark of development. So, there is a pipeline as well.

Rishi Vora : Sir, any top 5 countries or top 3 countries you could share their names?

Rakesh Sharma: That's what I'm saying to you. There's no top 5. There are top 25. So, between 1,000 and 2,500, there are Guatemala, Honduras, Philippines, Afghanistan, Ghana, Nigeria, I mean, there are 20 of these countries. So that will not sort of give you much joy.

Bajaj Auto Limited
January 30, 2026

Page 14 of 19

Rishi Vora : Understood. And 2 questions for Dinesh. One is just clarification. When you're talking about 50 to 60 bps metal inflation, is it inclusive of the currency tailwind, which we have seen in the fourth quarter as well or it's excluding that?

Dinesh Thapar: No, if your question was on fourth quarter, the 50 -60 bps is pristine material cost inflation. Similar to my commentary in quarter 3

, when we had spoken, I had said at that point of time, we had anticipated inflation to be of the similar order of magnitude. At that point of time, I said I hope that currency tailwind will provide for it as it indeed did. Because we had deferred all the pricing in quarter 3, in quarter 4, we have started the quarter by absorbing and providing pricing to the extent of half of the commodity inflation for this quarter. So, 50-60 bps pristine material cost inflation.

Rishi Vora : Understood. And secondly, our other operating income has increased sharply on a sequential or a YoY basis. So, what are the factors for that?

Dinesh Thapar: Yes. It's one of those quarters where everything has come together to be able to contribute to stepped up other operating income. Clearly, export incentives, increased royalty on BGO and clearly a step -up on PLI, just given the growth of the Electric business quite significantly. Within that profile of the electric growth is now a material contribution coming in from the Electric 3 - wheeler business, which has higher ASPs. And the third really, I would say, is now we are operating on the highest bracket of the PLI incentive.

Rishi Vora : Okay. So that 13 has moved to 16 or 18, is it?

Dinesh Thapar: Correct.

Rishi Vora : Understood. Thank you, all the best.

Moderator: Thank you. Next question is from the line of Chandramouli from Goldman Sachs. Please go ahead.

Chandramouli: Hi, good evening. Thank you for taking my questions. My first question is just a clarification on the prepared remarks you made. I think you called out that you're looking to do 200,000 units sort of monthly run rate on exports in Q4. Q4 historically has been seasonally slower quarter on exports. So, I just want to understand if I heard that right, and that is what you're looking at over the near term in terms of export run rate.

Rakesh Sharma: Yes, that's our goal. Only point is that, in the end, March is a very short month because we close it much earlier from an exports point of view. So, you have much less days left for managing the shipping, etcetera. But it's looking like 200,000 plus.

Chandramouli: Right, right. I think the reason I'm asking is just given that exports now versus the peak that was made 2.5 -3 years back on exports on a quarterly basis before sort of Nigeria moderated, seems to be just 5% to 6% off that peak. And then I think we've seen so far this year close to 20% year - to-date growth on export volumes? And this 200,000 -run rate seems to suggest that, that 20% run rate can continue even though export volumes seem to be closer to the previous peak made

Bajaj Auto Limited
January 30, 2026

Page 15 of 19

during COVID. So that's, I think I was just trying to understand how you're thinking about the Export business going forward around these run rates?

Rakesh Sharma: Well, I have not fully grasped the arithmetic which you are doing, but I can assure you that these

are very consequential ratios and things for us. I mean we basically look at the market and try to maximize our business in each of the markets. And then we see how it's looking like consequentially. So, we are not operating the business from those kinds of dials.

Chandramouli: Got it. That's helpful. My second question is just around domestic business. I think you did mention that you see the 125cc plus segment potentially growing faster than the rest of the market, which could be in double digits. And maybe late Q3 onwards, your market share recovery efforts have begun in full swing. But I think December quarter, the domestic business for the industry grew at about 17% YoY and Bajaj was in the low single digits. So, over the next couple of quarters, as you mentioned, with your market share recovery efforts and potential product launches, do you see your own volume growth converging to that mid-teens level that the industry could grow versus the current

sort of low single-digit run rate? Just trying to understand that math a little better.

Rakesh Sharma: Watch the space on Monday morning to figure out the growth rate for January. But yes, we are hoping that it will definitely be in double digit. That's what the aspiration is, absolutely. And that's what I was saying that this is a performance category, and it's highly dependent on the product portfolio. And I will admit that we were fast into the market. And then after that other followed. And when others followed, our portfolio is looking a bit jaded in comparison to the newer but later others. And now we are restoring that parity or that improvement and doing that thing. We had a dilemma whether to do it slightly earlier and manage the complexity in the season or go through the season and do it nicely and place it nicely for the customers. And that program has commenced in right earnest. And some green shoots are already visible. So yes, I think we will build on these, and we should be able to continue the expansion of market share. Entirely, it will get better features, it will get better performance, it will have aggregates, new colour and graphics, etcetera.

Chandramouli: Got it. That's helpful. Thank you very much and all the best.

Moderator: Thank you. Next question is from the line of Aryn Pirani from JPMorgan. Please go ahead.

Aryn Pirani: Hi, thank you for the opportunity. Just going back on the commodity versus pricing question once again. So, Dinesh you mentioned 50-60 basis points, and you've taken half of that through pricing. But just on a top-down basis, I wanted to understand, given the growth that you are expecting in terms of volumes and the fact that currency is continuing to be a tailwind, would it be fair to say that you have many more levers than just pricing to offset this and you may not necessarily have to take care of the remaining 50% through pricing to maintain margins? And again, I'm not asking you to define the basis point, but just theoretically, is this line of understanding, correct?

Dinesh Thapar: No, you're right. I mean absolutely. We've never singularly dependent on pricing. In fact, in a competitive market where the aspiration is to grow share and invest competitively, one can't rely

Bajaj Auto Limited
January 30, 2026

Page 16 of 19

on pricing. So clearly, what has happened is that there is currency tailwind, which is kind of coming in. And yes, I'm now telling you that electric is growing, but PLI is helping cushion that. You heard from Rakesh that we've inched our way up now to double-digit margin on the overall electric portfolio. And when I say overall, recognize, it is both 2-wheelers plus 3-wheelers put together. So that over a period of time is contributing to a lesser of a profit drag, although there's a margin drag, but hopefully, the operating leverage impact of that makes up for it. So, the way we see it Aryn, is to manage margin, not just through pricing. Pricing is one part of it. I'm conscious that we've now had inflation for 2 quarters, essentially quarter 3 and quarter 4. So, whilst we didn't price out quarter 3, quarter 4, just given how it is looking, that's the reason why we thought we'll cover half of it, but we do have the other levers. And those other levers, as you rightly pointed out, the currency, fundamentally mix and better economics as we go along on the electric portfolio, which just helps bridge the margin gap between the enterprise and that part of the portfolio.

Aryn Pirani: Thanks. That's good to know. Secondly, my question was on BACL. Given that business, this business is still quite new, the fact that you are roping in a quarterly PAT of around INR200 crores given your size of book, I mean, just trying to understand because it seems based on our look of other captive financiers that your ROAs or generally your profitability profile is much better and y

ou're still only 45% penetrated? So, is there something better which is happening in your profitability? And secondly, given the kind of profitability and the kind of capital adequacy that you already have, do you envisage that you will have to continue to invest in this business going forward?

Dinesh Thapar: Okay. So, I'll take the last question first, Amyn. The last infusion we did into BACL was in October of about INR300 crores. And that we think is absolutely the last of it that is needed. In fact, that infusion also went in as Tier 2 capital. And I'm hoping you understand the distinction between Tier 1 and Tier 2. Tier 1 capital remains in the business. Tier 2 over a period of time after regulatory prescribed limits can also be taken back, right? But to your point, that is very much the last infusion that we've made into the business.

In terms of your other question as to what is driving the strong results, I think in many ways, remember, from an acquisition perspective, BACL is present and has ready access to the entire dealer network from the perspective of originations. Clearly, that's one benefit it has by virtue of being a captive subsidiary company in the financing company. Also, the other is that if you've seen the cost structure, and you would have heard Rakesh talk about the digital-first approach and the mode that it has taken to build out its business. It's not a heavy feet-on-street business, right? So, it's not about manpower and large teams. There's a lot of digital-first intervention. And therefore, if you see the cost structures of the BACL business, they are clearly industry leading. They're clearly lower than anyone else that you would see as comparable peers in that space.

Amyn Pirani: Great. Thank you, and all the best.

Moderator: Thank you. Next question is from the line of Joseph George from IIFL Capital. Please go ahead.

Joseph George: Hi, thank you for the opportunity. Just a couple of questions. One is if you can give the U.S. dollar realization for the quarter on your exports. And the second one is a clarification on

Bajaj Auto Limited
January 30, 2026

Page 17 of 19

commodities. So, we have always thought of commodities is something that hits OEMs with a 1 quarter lag? So, when you talk about a 50 to 60 bps impact in 4Q compared to 3Q, is it benchmark to the commodity prices that we are seeing now? Or are today's commodities that we see something that will hit us in the June quarter? Just trying to understand the lag impact. Thank you.

Dinesh Thapar: Okay. So your first question was I guess on dollar realization, so our dollar realization for the quarter was at 88.3 compared to 87.1 in the previous quarter and 84.3 at the same time last year.

To your second question Joseph, the comments that I've made on commodity, which is where I mentioned that we anticipate to be between 50 -60 basis points is for the current quarter 4.

Joseph George: Sure. So, the clarification, Dinesh, I was looking for was, our old understanding was that commodities hit OEMs typically with a 1 quarter lag. So, when you talk about this 50 -60 bps, does it factor in the commodity prices that we are seeing on the screen today? Or will today's commodity prices as we see it is that something that will hit us maybe with the quarter's lag, say, in the June quarter?

Dinesh Thapar: I think the answer to that is we normally do an estimation as is typical at the start of every quarter. The estimation on material cost inflation is a function of negotiated rates for metals which are actually negotiated and locked in. And for the rest, it is really an estimation that our teams do on how it will play out for the rest of the quarter.

Joseph George: Okay, thank you.

Moderator: Thank you. Next question is from the line of Raghunandhan N. L. from Nuvama Research. Please go ahead.

Raghunandhan N. L.: Congratulations, sir, on strong perform

ance and thank you for the comprehensive insights.

Firstly, on Riki, the E-Rickshaw and E-Cart. Can you indicate how has been the initial feedback and current volume? How do you see the potential for FY'27? And also, if you can indicate the target number of cities by end of the year?

Rakesh Sharma: Yes. So, the initial product acceptance has been very good. We started with 4 towns, and we are now in about 40 where we are just seeding these places. This is in the Northeast and the North. And at least till April -May, our objective is not really to scale up, but we need to observe acceptance. We need to make sure that the product is performing well. We need to support it with service and make sure that the proposition is understood. And in that way, craft our playbook for future scale up. We don't really have a target in mind or a number in mind for FY'27. But what we would like is that we would start to scale up, let's say, from April -May onwards, start to get into more cities and more dealerships and also start to do some activation based on the learnings of these few months. While the market is large at 45,000 units, only 10% of it is lithium-ion. And why I'm saying that we need to have a good playbook to understand how to do this. Our real objective is to understand how to upgrade the customer from the old lead acid, which is much cheaper to the lithium-ion. So, it's not a seamless movement into lithium ion, there is a false line because of this big difference in the type of battery, which is

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used. Therefore, our objective is to first understand how to do this. And then once it starts to show some results, then we start to scale up. That is the reason.

Raghunandhan N. L. : Got it, sir. Understood. And would you be also looking at a swappable option?

Rakesh Sharma: We are looking at swappable options both for 3 -wheelers and 2 -wheelers, but not only for E - Rick. That is a separate development exercise, which is going.

Raghunandhan N. L. : Got it, sir. My second question was on electric 2 -wheeler EBITDA margin. Would we be like profitable as of now?

Dinesh Thapar: Raghu, just mentioned it. Your question was, have we hit EBITDA breakeven for electric 2 - wheelers, to which my response was, yes, we have.

Raghunandhan N. L. : Okay. And Dinesh sir, as part of the KTM turnaround plan, can you indicate areas of synergy? How would India play a role? Would more production happen in India? Your thoughts on that?

Dinesh Thapar: So, I also want to be very careful because remember, Bajaj Mobility is also a listed company on Austria and Vienna. I hope that you will join some of their calls as well. But look, I think we are at a stage right now having taken control at the end of November to work together with the newly formed management or Executive Board over there to drive a full 360 -degree plan. And when I say 360 -degree plan, it means it fundamen tally touches all parts of the operations. And between Rakesh and my commentary, you woul d have heard, it was about organization. It was about sharpening the portfolio across brands, where they play and how they play . Eliminating any overlaps and reworking position. It is about looking for synergies in distribution and go -to-market between the Bajaj and KTM systems. It is about rewiring cost structures across the breadth end -to-end, whether it is material cost or wheth er it is overheads or establishment costs. And that's a program that they are driving. It is about unlocking liquidity. As we me ntioned, it was about building various capabilities for the longer -term competitive growth of the business, particularly in things like R&D design and styling. So, there's a full plan which is now being built out, which is being led by the Executive Board over there and really leveraging the strengths from Bajaj where we can. And hopefully, in this, we will fi

nd synergies for both organizations

across these areas as well. But it's still early days since we've only gotten involved seriously after having take n control.

Raghunandhan N. L. : Okay sir, very helpful. Thank you very much.

Moderator: Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to Mr. Anand Newar, Head of Investor Relations for closing comments.

Anand Newar: Thank you, everyone for joining the call. Good day.

Dinesh Thapar : Thank you.

Rakesh Sharma : Thank you all.

Bajaj Auto Limited
January 30, 2026

Moderator: Thank you very much. On behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2026

Registered Office Akurdi Pune 411035 India CIN L65993PN2007PLC130076

12 May 2026

To
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Corporate Listing Department
National Stock Exchange of India
Ltd.
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BSE Code: 532977 NSE Code: BAJAJ-AUTO

Subject: Transcript of Conference Call held in respect of the Company's Q4 and FY26 results.

Dear Sirs/Madam,

Please find enclosed the transcript of the conference call held on 06 May 2026 in respect of the Company's Q4 and FY26 results.

The transcript will also be hosted on the Company's website at
<https://www.bajajauto.com/investors/financial-and-operational-performance>

Kindly take this on record.

Thanking you,

Yours faithfully,
For Bajaj Auto Limited

Rajiv Gandhi
Company Secretary & Compliance Officer
ACS 11263

Encl: as above

Page 1 of 23

"Bajaj Auto Limited
Q4 and FY 2026 Results Conference Call "
May 06, 2026

MANAGEMENT : MR. RAKESH SHARMA – EXECUTIVE DIRECTOR –
BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –
BAJAJ AUTO LIMITED

Bajaj Auto Limited
May 06, 2026

Page 2 of 23

Moderator: Good evening and welcome to Q4 and FY 2026 Results Conference Call of Bajaj Auto Limited. My name is Yashashree , and I will be your coordinator. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the initial remarks from management. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Newar, Head, Investor Relations from Bajaj Auto Limited. Thank you, and over to you, sir.

Anand Newar: Thank you, Yashashree . Good evening, everyone, and thank you for joining us for the call today. Apologies for a slight delay today. Welcome to Bajaj Auto's Q4 and FY '26 Earnings Call. On today's call, we have with us Mr. Rakesh Sharma , Joint Managing Director; and Mr. Dinesh Thapar, Chief Financial Officer.

We will begin the call with our opening remarks from Rakesh on the business and operational performance for the quarter, followed by Dinesh, who will take you through the financial highlights. We will then open the forum for Q&A. Over to you, sir.

Rakesh Sharma: Thank you, Anand. Good evening, ladies and gentlemen, and our apologies for the late timing of the call. So extra thanks to all of you for joining in. I'll keep the remarks quick, so which means I'll do some speed talking and allow more time for Q&A.

Foremost, FY '26 has been a defining year, as you can see for Bajaj Auto, record performances through the year, delivering our best ever year, driven by growth across all business units combined with robust operational management and this against the backdrop of uncertainty and volatility.

Record revenues at INR58,000 -plus crores, record EBITDA crossing INR12,000 crores for the first time with margins at 20.5% and record PAT, which was INR9,800 -plus crores, also a new peak. Quarter 4 was a standout quarter with revenues crossing INR16,000 crores, EBITDA at INR3,300 crores and margins at 20.8%. Total volumes reached a new high of 13.7 lakh units, growing 24% year -on-year. Given that we engage on a quarterly basis, I'll focus on the highlights of Q4 FY '26 and not dwell much on the full FY '26.

Exports business unit, starting off with that, the BU crossed the 6 ,00,000 units mark for the second consecutive quarter, clocking 25% growth year-on-year. This has resulted in the highest ever quarterly revenue from exports. In FY '26, we recorded our second highest ever performance in volume terms, but at USD2.2 billion, it was the highest ever performance in revenue terms. A special point to note is that this was achieved despite Nigeria, our largest volume market operating at 50% of its peak performance. Having said that, finally, Nigeria reached some stability in Q4 with volumes crossing 1 lakh units to deliver a full year performance in FY '26, which is equal to FY '25. While volumes remain below historical peaks,

Bajaj Auto Limited
May 06, 2026

Page 3 of 23

the recovery is encouraging. Our wide retail distribution footprint has given us a strong competitive edge, enabling us to maintain an overwhelming market share of 50% in retail terms. Latin America continues to outperform, delivering sustained growth for 11 consecutive quarters now and reporting another all -time high performance, driven by strong growth in almost each and every country. The region remains a key driver of our export performance in terms of volume, revenue and EBITDA. Asia also recorded double -digit growth, particularly due to Sri Lanka, Philippines and Nepal. This enabled Pulsar brand to deliver record export volume for the quarter. Of the top 30 markets, which account for almost 80% of the emerging markets

in

industry, we grew at almost twice the rate of the industry growth in Q4.

KTM Motorcycle exports from India have revived after the disruption of the past several quarters. In quarter 4, KTM exports from India touched nearly 17,500 units compared to nearly nil a year ago.

A quick word on Brazil. Sales nearly 10,000 units during the quarter, supported by expanded manufacturing capacity, which has now increased to 60,000 units per annum, successful new product introductions like the 400 NS and wider market presence with almost 70 top -class stores. The business reached the number 5 position in April in terms of share, and I believe we are the youngest company there to break into the top 5. The youngest company in Brazil, that Bajaj Auto is 80 years old. And in fact, Bajaj Group is celebrating 100 years on 11th of May. But in Brazil, we are only 3 years old.

Overall, the exports business has established a sustained growth momentum. We are looking at moving the exports needle to 2 ,20,000 units per month this quarter, up from the 2 ,00,000 levels. And this, despite the loss of business in the Gulf region, we are, of course, hoping that there will

be no further disruptions due to the geopolitical issues in the Middle East. Domestic motorcycles, the industry had a split trajectory in FY '26 with a muted first half, followed by a strong recovery in the second half. This was driven by a strong festive season, and the GST rate cuts, resulting in a growth of around 11% for the full year. Growth continues to be driven by the upper half of the industry with the 125cc plus segment growing faster than the 100cc segment and in particular the 150cc plus segment being the fastest growing. We now see a clear turnaround in our performance in the sports segment, which is a 150cc plus segment. Sequential gains in market share are being made month-on-month, driven by the performance of our refreshed Pulsar portfolio. 10 new variants and upgrades have been introduced in the period of October to March, and they now contribute to 50% of our sales, which signals very good acceptance. The share gain over the course of the second half is remarkably secular. Each and every state from J&K to Tamil Nadu and the Northeast to Rajasthan has grown faster than the industry growth in their respective regions.

Bajaj Auto Limited
May 06, 2026

Page 4 of 23

This has been led by the N and NS series of Pulsar, which grew at over twice the rate of the industry in Q4. We will continue to build on this momentum with further upgrades and interventions planned across the Pulsar portfolio in the 125 and 150-plus segments in the coming months and do so in time to capture the surge in the festive season.

ProBiking, which houses KTM and Triumph brands. The business continued its steep growth trajectory during the quarter. The KTM and Triumph brands delivered in combination a record domestic performance in quarter 4 with combined volumes of nearly 43,000 units, registering a steep 43% year-on-year growth, making it the highest ever quarterly performance for the business.

KTM growth was led by strong demand across the Adventure and street portfolios with Duke 250 leading the charge in the street segment. The Adventure portfolio was further strengthened with the launch of the KTM 390 Adventure R in January, the most off-road capable adventure motorcycle in India. The more tax-friendly 350cc variants have now been introduced.

Triumph too delivered its highest ever performance during the quarter, driven by the Speed 400. Since inception, the brand has now crossed the 1 lakh unit milestone within a short span of 2.5 years. We have now also expanded the portfolio with the introduction of the 350cc platform, enabling customers to avail the benefit of the lower GST, and we have also launched the Tracker 400 in quarter 4. It is a model which, as I say, was born in the dirt, but built f

or the street.

We continue to invest in building the performance sports category with marquee events like a widely successful KTM Cup, the Adventure Rally for KTM and Epic Rides and the World of Triumph Expos for the Triumph brand. Along with the Triumph Scrambler, the KTM and Triumph Adventure bikes achieved leadership share in the highly lucrative and growing adventure segment during quarter 4.

The rollout of our joint KTM and Triumph showrooms has progressed swiftly with 80 such showrooms already operational. The initiative is helping us drive reach while still maintaining a differentiated brand presence.

In Chetak, the electric scooter business, in quarter 4, Chetak crossed the 1 lakh retail mark for the very first time in a single quarter, the highest ever quarterly retails for the brand. March '26 was the largest month with retails touching 50,000 plus levels. Market share has moved up to almost 23%, a gain of 170 basis points sequentially. Consumer sentiment is again strongly shaping preference for e-scooters. The E-segment, scooter segment grew by 40% in Q4 and has continued to grow at an even higher rate of 60% plus in April, far outpacing the growth of ICE scooters. A key contributor to the sequential share in Q4 has been the Chetak C25, our new variant launched to address specifically the needs of the youth of lighter, faster and easier last-mile mobility. The C25 has been received very well, combining everyday usability with the trusted durability and build quality that Chetak has become known for.

Bajaj Auto Limited
May 06, 2026

Page 5 of 23

In FY 26, Chetak crossed the 5-lakh unit mark at INR 4,000 crores in revenue. The reach of Chetak today stands at 500-plus exclusive Chetak stores, combined with almost 3,000-plus motorcycle stores, which are shared with Chetak, and this presence has expanded to over 850 cities. This gives our network a reach which is both wide and deep, but it continues to deliver

the differentiated sales and service experience that the brand is built around. And in Q4, Chetak also commenced its international journey with exports to Sri Lanka, Philippines and Nepal, the first steps to what we believe can be a significant opportunity in due course.

Commercial vehicles, this has been a landmark year for the business unit. For the first time in our history, the commercial vehicle business crossed the 5-lakh unit mark for the full year, a milestone that reflects both our ICE leadership and the scaling up of our electric portfolio. In Q4, the business delivered its highest ever quarterly volumes, growing 28% year-on-year. The ICE franchise remains rock solid. The share in the CNG segment is close to 90%.

These strong positions signal a solid brand franchise, and we are conscious of this equity of trust even as we leverage it to build our electric 3-wheeler business in the rapidly growing E-segment. We have maintained the number 1 position in electric 3-wheelers throughout Q4 and in April in terms of registrations. Importantly, this scale-up has been accompanied by a healthy profitability, making E3-wheelers a strong contributor to both the top line and the bottom line. A highlight of Q4 has been the launch of WEGO 9018, the largest electric 3-wheeler in the industry, powered by a 17.7 kilowatt hour battery with advanced PMS and regenerative braking. It delivers a Mahara range of 296 kilometres, the highest in its segment.

On Riki, our E-Rick, the journey is progressing steadily with presence now in 100-plus cities. Though the E-Rick segment itself has slowed down due to enforcement of regulation on the streets, which is actually helping consolidate this industry in favour of the larger and better OEMs. Even so at almost 30,000 units per month, it still offers a very large new business opportunity for us

to be seized by upgrading the segment on the basis of quality, reliability and a good ownership experience.

In totality, our 2-wheeler and 3-wheeler electric business is actually now the largest in the auto industry, accounting for almost 20% plus of our domestic revenues and contributing double-digit EBITDA percentage. Finally, I must make a brief comment on our spares business and highlight its sales of INR 1,700-plus crores registering a growth of 16% and delivering a record EBITDA margin as well. As you can see, the FY 26 was a benchmark year, setting records in volumes, revenues and profits and business unit performance.

Now we have to look forward in a changed scenario with some new challenges imposed by the war in the Middle East as the operating environment is experiencing significant change. The demand environment, it has softened in April due to general inflation, increased prices of our vehicles, LPG shortages, manpower migration and the LPG shortage-led effect on the consumer sentiment.

Bajaj Auto Limited
May 06, 2026

Page 6 of 23

This is bound to slow down the motorcycle category from its rocking 20% growth in Q4 to we estimate 7% to 9% in the near term. But having said that, the great thing from our point of view is that we expect this growth to come almost entirely from the 125cc plus segment and even more so from the 150cc plus segment, which should grow at twice the industry rate. April outcomes, actual outcome point very clearly in this direction.

Secondly, the electric category in both 3-wheelers and 2-wheelers will witness not just continuity of growth, but perhaps a further increase in growth. Therefore, the 150cc plus segment and electric segments, which are the absolute epicentre of our focus, mitigate the overall softening of the demand. Supply chain difficulties in terms of the LPG shortage, manpower availability and outbound logistics to overseas markets have impaired availability to service demand by about 10% to 15%.

Hopefully, these will start to resolve themselves over a period of time. The cost environment is seeing a potential rise during the quarter of about 3% to 5%, driven by the metal complex. This has been partially addressed by taking up prices with effect from 1st April. And of course, the USD realization rates reaching INR 95 have been very helpful in us managing the cost side inflation.

Keeping all the above in perspective, as also our actual April outcomes, we expect our growth tempo to actually continue in Q1 basis the strong competitive positions we enjoy in the key segments like the 150cc plus in domestic motorcycles, the EV business, both in 2-wheelers and 3-wheelers and the continued performance in large and stable territories like Latam and parts of Asia.

Through Q1 and rest of FY 27, the team will remain absolutely focused on the areas which I've highlighted earlier, gaining share in the 125cc plus segment, particularly in the 150cc plus segment riding the continued industry growth. And this will be done on the basis of new product launches and brand development.

In exports, pushing exports to the 220 K plus levels on the back of leadership in the sports

segment in Lat am and a more aggressive outreach in gaining shares in commercial bikes, particularly from competitors originating in China. Super Premium superb segment accelerate growth in both Triumph and KTM basis network expansion and the launch of the more tax - friendly 350cc variants.

In electric business, we will deepen our leadership position, leveraging the wider product portfolio, which is already there and some new launches planned and the expansion of an exclusive network. KTM AG, we will continue to support the management there in the turnaround, which is well underway to bring back KTM in due course of time to its original performance. A key area given this environment will be to balance growth and profitability in

the most optimal way through robust operational management.

Bajaj Auto Limited
May 06, 2026

Page 7 of 23

And finally, we will continue to build capability and now leverage scale in Bajaj Auto Credit to deliver an industry -class -leading performance. With this, let me hand the session over now to Dinesh.

Dinesh Thapar: Thank you, Rakesh. Good evening, everyone, and thank you for joining us on the call and your patience with us this evening as we delayed it. Before I get into typically talking about the results commentary, let me inform you that the Board of Directors today on the recommendation of the NRC approved the elevation of Rakesh to the Joint Managing Director of the company from 1st of June. So, he will effectively speak to you the next time we get together as the company's Joint Managing Director. Congratulations, Rakesh, on the well-deserved elevation.

Let me now get into the financials. I want to, at the very outset, call out what has truly been an exceptional quarter. Revenue at its highest crossed INR16,000 crores. EBITDA came in at INR3,323 crores and the margins at 20.8% sustained despite challenges in the operating environment. When you step back and look at the breadth of this delivery, it represents a strong year-on-year performance with volumes growing 24%, translating into a 32% increase in revenues and strengthening further as we move down the P&L with profits growing ahead at 36%, reflecting in many ways, the underlying strength and quality of the business.

With that said, let me give you a quick sense of the context on commodities and currency and then walk you through the numbers in some detail.

On commodities, the quarter was, by and large, characterized by inflationary pressures across the basket. Within this, noble metals, rhodium, palladium and platinum saw particularly sharp moves, firming up in the range of between 20 - 25%, accompanied by broader inflation across copper, aluminium and lead as well. Commodities such as steel, ABS, nickel and natural rubber were relatively benign or stable for the most part of the quarter, though these started to inflate and firm up towards the end of the period as well. And we are now starting to see distinct signs of very steep inflation carrying into the next quarter, which I will touch upon when we come to the outlook.

As indicated in the previous call, we were expecting cost inflation to be in the range of between 50 to 60 basis points. And I then said that we would look to cover about half of it through pricing actions. As the quarter progressed, commodities came in line, by and large, within that range that we had indicated. It could have been much higher given that inflation had started to settle towards the latter part of the quarter, but some very good work done by our purchase team, we were able to push that out and not let impact last quarter's results.

And therefore, net cost inflation came in at about 40 basis points. This is after taking pricing. But a part of the pricing was also offset by the absorption of the full quarter's impact of the phasing out of the PM E -DRIVE for electric 3 -wheelers. Many of you would remember that at the end of quarter 3, the budgetary outlay for PM E -DRIVE on electric 3 -wheelers had run out. And what we did was in the spirit of trying to push for competitive growth and market share

Bajaj Auto Limited
May 06, 2026

Page 8 of 23

gain, we absorbed the impact of that. It was felt for a brief period in quarter 3, and then we've absorbed the impact of that in its entirety in quarter 4.

On the currency front, the story was distinctly more favorable. The rupee depreciated through quarter 4 with our realized exchange rate coming in at INR90.6 to the dollar for the quarter

pared to INR88.3 for quarter 3 and INR86.5 same time last year. The sequential and year -on-year tailwind provided support to the margin situation amidst the inflation.

Turning now to the financial performance for quarter 4 FY '26. Revenues, building on the momentum of the previous quarter, the business continued to scale new highs with both volumes and revenues reaching their highest ever levels in a quarter. Revenue from operations came in at INR16,006 crores translating into a very strong 32% year -on-year growth.

But what I find particularly heartening is the fact that the growth in performance this quarter has been truly broad -based. Across each of our 3 business segments, 2 -wheelers, 3 -wheelers and exports, volumes grew 20% each and revenues 30% each across all 3 of them. That's about as good as it gets in terms of it being as broad -based.

Revenue was further supported by a rich sales mix, driven by a strong rebound in KTM exports, a higher contribution from commercial vehicles across both domestic and international markets and continued traction in sports motorcycles, all of which, as you'd be aware, are structurally revenue accretive. This was further aided by favorable currency movements that I spoke about earlier. In addition, spares revenue, which has now been at a steady rate of between INR1,700 crores to INR1,800 crores, provided a recurring support to overall revenues and profitability as well.

Exports revenue for the quarter also reached a new high of nearly 600 million in this quarter. On EBITDA, the quarter delivered a new record of INR3,323 crores, a robust growth of 36% year -on-year. Margins held steady at levels of 20.8%, and this marks yet another quarter of sustained delivery above 20% threshold even as we navigate various challenges.

Sequentially, we look to hold margin flat, essentially supported by favorable currency, richer mix and operating leverage. These tailwinds helped absorb the net commodity inflation that I just spoke about and higher discretionary spends, notably in marketing and R&D and of course, the absorption of the PM E -DRIVE that I spoke about on electric 3 -wheelers for the entirety of the quarter.

On a year -on-year basis, operating leverage and currency tailwinds led the way on delivering margin expansion of 60 basis points while managing cost inflation.

Tracking revenue and EBITDA, Profit after Tax for the quarter stood at INR2,746 crores, registering 34% year -on-year growth. The reported PAT includes an exceptional gain of about INR35 crores arising on prepayment of deferral incentives and loans at the net present value.

Bajaj Auto Limited
May 06, 2026

Page 9 of 23

Looking ahead to quarter 1, the commodity environment has moved to being sharply inflationary, almost hyper, I would say, with the prospect of material availability on the aluminium alloys and polymers front also being very tight. That said, we are taking decisive actions to secure supplies. Significant inflation is now visible across almost the entire basket with not just noble metals, but also base metals like steel and aluminium participating more actively in this upswing that we are starting to see. Most of it, of course, is event -driven, leading to the supply shock that we are currently all aware of.

The quantum of increases across key commodities has also stepped up materially compared to what we saw in the previous quarter. And to put that in some context, many of you would be aware from publicly disclosed numbers, steel is almost up 15%, copper 20%. Aluminium and Noble Metals, all up ranging from 35% to 45%. So clearly, very, very steep and almost unprecedented levels of inflation, but very volatile and dynamic without knowing how long this might last.

Taken together, we

are currently estimating a material cost inflation impact of approximately 3.5% to 4% of revenue. And this is from an overall portfolio perspective. It will, of course, vary across models and segments. But this is based on the current outlook. And as you would imagine, it is very volatile and dynamic and the situation could change. So, the 3.5% - 4% of revenue that I'm calling out at the moment is how we currently estimate it. Once again, we have taken very judicious pricing actions to offset about 40% of this impact so far.

And given that the current situation is event -driven, we are watching the developments very closely and we'll be acting dynamically to manage the P&L, we're doing what most businesses would do at this point of time, which is to accelerate cost programs, optimization opportunities, be very mindful and judicious about discretionary spend and choiceful about what we spend and where we spend and of course, then decide if we need to look at pricing after that as well. But we are also very conscious about the fact that currency is continuing to emerge as a tailwind and providing some cushion to this context.

Since this is the time of the annual financial close as well, let me now spend a couple of minutes wrapping up what has truly been a landmark year for Bajaj Auto.

Starting with volumes, FY '26 closed with the highest ever annual volumes for the company at

over 5 million units, only the second time that we've delivered it. The last time was in FY 2019. This was achieved across both domestic and exports. And you may recall on the domestic side, the year saw a relatively subdued first half with growth accelerating in the second half, aided by the impact of the GST rate rationalization and a very buoyant festive season. Commercial vehicles, 125cc plus segment, KTM, Triumph and Chetak all registered new highs in billing and retails. Export volumes ex-Nigeria reached an all-time high as well. And CV exports grew nearly 50% for the year. It was by the numbers, as the numbers would suggest the most comprehensive volume performance that we have delivered in recent times.

Bajaj Auto Limited
May 06, 2026

Page 10 of 23

Revenue followed through at nearly INR59,000 crores, up 17% year-on-year. FY '26 represented the new annual benchmark for the business. And importantly, as you would have seen in our press release, across every segment cut, whether it was domestic or exports, 2-wheelers or 3-wheelers, ICE or electric, each one scaled to a new high.

The revenue growth was primarily volume led with a meaningful contribution from a richer sales mix, higher share of sports motorcycles in domestic, a sharp step-up in KTM and CV within exports and a growing contribution from the electric portfolio across 2 and 3-wheelers. Currency with a higher average dollar realization for the year added a further flip.

On EBITDA, we closed the year at a new high of INR12,000 upwards crores, growing 19% year-on-year with margins at 20.5%, an improvement of 30 basis points over last year. Currency was favorable, mix was accretive and operating leverage came through on a substantially larger revenue base. This more than offset the price versus cost equation that reflected commodity inflation through the year, most particularly in the back half of it as well as the focused pricing interventions that we took and investments that we took to drive competitive growth.

Underpinning the margin delivery was a significant development that we have made on our electric portfolio, which hit double-digit EBITDA margin in its entirety for the very first time in the course of this year. The improvements came on the back of rising scale of the very popular and profitable electric 3-wheelers and the improving unit economics of Chetak, which have now

reached EBITDA-neutral as a portfolio.

Profit after tax came in at INR9,825 crores, nearly INR10,000 crores, with a growth of 21% year-on-year, yet another record. Two exceptional items. The first was a charge of INR58 crores that we took in our quarter 3 numbers arising from the reassessment of employee benefit obligations given the revised definition of wages under the Labor Code. And the second is a gain of INR35 crores this quarter from the pre-payment of the sales tax deferral that I just spoke of. These 2, as you would have noticed, by and large, offset each other in the full year's numbers. Overall, it just wasn't the headline financial numbers. As you would have heard from Rakesh right now, across all businesses, the year was marked by a range of records and stellar performances.

Moving quickly to consolidated results. On a consolidated basis, our reported revenue came in at nearly INR63,000 crores, up 23% year-on-year, while consolidated profit after tax way crossed the INR10,000 crores mark for the year, reflecting a growth of nearly 50%.

Let me now spend a quick minute on BACL and KTM. BACL, the business has had an excellent year. It has scaled up rapidly. The customer base now stands at approximately 1.8 million customers and is supported by a very wide distribution across almost 6,200 outlets covering nearly the entirety of the Bajaj Auto retail network. On the lending side, the 2-wheeler business delivered robust growth with continued strength in core motorcycles and strong traction in electric vehicles and the premium segment, notably KTM and Triumph. The 3-wheeler portfolio

Bajaj Auto Limited
May 06, 2026

Page 11 of 23

was a standout, recording nearly 49% volume growth for BACL, led by the significant expansion in the EV segment and the introduction of new business and refinancing models.

Total income for BACL crossed INR3,000 crores and PAT for the year came in at INR665 crores compared to INR58 crores in the preceding year, a near 12x increase, and the business now starts to hit meaningful scale. To give you a sense of numbers, AUM has reached nearly INR19,000 crores, roughly doubling in the course of the year, and disbursements for the year were a tad under INR15,000 crores. The last year, the business onboarded over 1 million customers and asset quality remains healthy. Capital adequacy ratio remained healthy at 19.5%, and the

business is delivering industry-leading returns on equity of about 23% for this last past year. BACL has now moved to being a material earnings contributor within the group in a span of 2 years and is now firmly positioned to be a strategic enabler within the Bajaj Auto ecosystem. On KTM, as you would recall from our last earnings call, Bajaj Auto through its wholly owned subsidiary in the Netherlands, BAIH BV, completed the acquisition of 100% stake in Bajaj Auto Holdings AG, which was formerly called Pierer Bajaj AG, which in turn held 75% stake in the now named Bajaj Mobility AG, the listed holding entity for KTM. With the transaction completed on 18th of November, Bajaj moved from being a minority position to a controlling stake and BMAG and KTM are now step-down subsidiaries of the group. Before I get into the numbers, let me spend a moment on the accounting structure. There are a few moving parts here, and I just want to make sure that the context is clear.

BAIH AG, including the BMAG and KTM AG Group, publishes its results on a half yearly basis in line with stock exchange regulations that are applicable to listed entities in Europe. What this meant in practice is that quarterly financial information was simply not available to us in prior periods. We could only access results as per that publishing calendar in Europe.

As a result, in the current quarter ended 31st March 2026, the group has accounted for its share

of consolidated results of BMAG, KTM AG for the period of 1st July to 18th November, which is really the date of the acquisition of the controlling interest. To put this in context, the last time we accounted for KTM in our results was in quarter 2 FY '26 numbers that we published in November, covering the period 1st Jan to 30th of June 2025.

Prior to the acquisition, KTM through BAIH AG was accounted for as an associate under the equity method, and we recognized our share of profit or loss accordingly. Post the acquisition, which is essentially from November onwards, BMAG and KTM AG has been consolidated on a line-by-line basis from that date through to 31st of December 2025. Going forward, it is our intention to move BMAG, KTM AG to quarterly reporting as a voluntary action to align with Bajaj Auto's reporting calendar and as a measure of good governance and transparency. Accordingly, the results of BMAG and KTM will be consolidated into Bajaj Auto's numbers on a quarterly basis, but with a 1 quarter lag.

Bajaj Auto Limited
May 06, 2026

Page 12 of 23

Now to the numbers. In the current quarter, the group has recognized a net share of profit from the associate of INR1,19.5 crores that you will see appearing on the body of our results. This is essentially made up of 4 components: a share of the loss of INR413 crores of KTM recognized it was just about starting up operations after the restructuring phase. And so, our share of loss that we had to consolidate then was INR413 crores for the period from 1st July to the date of acquisition.

The second component is that we've accounted for a gain of INR953 crores on re-measurement of the investments at fair value on the acquisition date, essentially representing the fair valuation of the 49.9% stake that we had already held in PBAG. The third element was a reclassification of INR646 crores of the accumulated foreign currency translation gains from the FCTR reserve into the P&L as is typical in the course of accounting for such transactions. And the fourth element is a share of profit of INR9 crores from the associates of BAIH AG from the date of acquisition to 31st December 2025.

Net-Net, these results translate into a share of profit from the associate of INR561 crores for the period of 1st of January through to the date of acquisition, and this is what is reflected in our consolidated profit and loss account.

The acquisition has been accounted for in accordance with Ind AS 103 on business combinations and with the excess of fair value over net assets and purchase consideration recognized as a capital reserve in the other equity line.

We've provided a detailed note on the transaction structure this time and the accounting treatment in the press release. For those of you who would like to go deeper into the specifics, I am conscious it is a very complex transaction, and the accounting may need some level of understanding. And therefore, Anand and the team have been suitably briefed, and they would be happy to provide any additional clarity if you need on this offline.

As for KTM, the focus in 2026 continues to be to drive along with the Executive Board and through them, the broad-based turnaround plan covering work streams on portfolio priorities, product development, go-to-market, supply chain, including sourcing, organizational and structure simplification with a view to rationalizing fixed costs. I expect the results of this to start showing up in the latter part of 2026 itself.

Quickly, a word on cash. We closed the year with surplus funds of over INR18,000 crores after deploying capital on multiple fronts during the year, reflecting a strong and consistent cash

generation. Capex for the year was approxi

mately INR500 crores, split equally between ICE and EV investments. We invested over INR2,300 crores between BACL and BAIH BV, the former to support the scaling of the lending book and the latter in furtherance of the KTM transaction. Free cash flow for the year was more than INR8,000 crores, a reflection of the very robust cash conversion on profit. And we returned about INR5,900 crores to shareholders

Bajaj Auto Limited
May 06, 2026

Page 13 of 23

through dividends last year in July, which pertain to the previous financial year, consistent with our intention of rewarding the shareholders.

Lastly, the Board of Directors at its meeting earlier today approved a payout of 100% of the profits that we have made last year in recognition of the 100 years milestone of the Bajaj family in India and with Bajaj Auto being the flagship company that started it all. This will be split as follows a final dividend of INR150 per share that will aggregate to INR4,192 crores and the balance of about INR5,633 crores will be towards a buyback under the tender route at a buyback price of INR12,000 per share. Overall, this reflects our continued commitment to delivering healthy and consistent returns to shareholders commensurate with the growth and performance of the company. With that, let me hand the call back to Anand. Thank you. Over to you, Anand.

Anand Newar: Thank you, Dinesh. Yashashree, with this, we can open the floor for Q&A.

Moderator: Thank you. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press '*' and '1' on the touchtone telephone. If you wish to remove yourself from the question queue, you may press '*' and '2'. Please limit yourself to one question at a time so that everyone has an opportunity to participate. If you have follow-up questions, you may rejoin the queue. We'll take our first question from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Good evening. First of all, many congratulations to Mr. Sharma. We hope to see even better performance as you assume the new role. So best wishes, sir.

Rakesh Sharma: Thank you very much, Kapil. This is a very, very big challenge which you have posed. I hope I can deal with it.

Kapil Singh: Sir, I just want to go back to the comments you mentioned about the price hike and related impact on demand. If you could just articulate it a bit, have you seen some impact of the price hike and in which segment?

And this 7% to 9% growth is only for motorcycles. What do you expect for scooters in that case?

And whether the price hikes are happening in exports and there also, we could see similar impact because exports have been on a tearing growth. So, is it the market doing well? Or is it Bajaj Auto gaining share across the board?

Rakesh Sharma: Well, there has been a decline in the motorcycle industry's growth between quarter 4 and April. And there is, of course, 1st of April onwards, price hike being taken in different measures by almost all companies. We had also taken a price hike on 1st of April. What this means is that depending on the product group, the benefit which the GST rate cut had given to the customer, almost 30% to 40% of that could get rolled back. So obviously, it will have some impact on the demand.

Bajaj Auto Limited
May 06, 2026

Page 14 of 23

Secondly, there is already some adverse sentiment, which is set in. People have become cautious. The whole LPG shortage has brought this crisis into the homes of each customer. And in such times, people then tend to postpone purchase. And already, we have seen, like I said, the 20% coming down to 9%. But when we unbundle this 9%, we find that the upper half, particularly the upper half of the upper half, is maintaining very strong growth, which just indicates that still the people with stronger wallets are coming in and we ha

ve had a very, very good start to the

mini season, which is led by marriages in the northern parts of the country. And we are seeing a fair amount of upgrading.

Now we have to wait and see what happens to the fuel prices, what happens to our own material costs and how these play out in the market to see how the demand environment will get shaped. But of course, the rocking growth, which we were seeing October onwards to now, that has sort of really come down. This is the domestic motorcycles.

In the 3-wheeler segment, actually, the ICE segment has come down, but the electric segment has seen very, very fast growth because you see LPG shortage has been there, there is a CNG issue, there is a petrol price hike imminent. All these things are sort of creating a consumer sentiment, which is really favoring the adoption of the electric segment. So, its growth has actually strengthened, for example, April. The 3-wheeler segment is still growing very, very strongly.

Internationally, despite the environment, what we are seeing is that the currency devaluation led inflation, which is there in India to some extent, in many, many emerging markets, it has not yet appeared. Now we don't know how that will play out, but demand has remained very healthy, particularly in Latam. So, the rapid growth which you are seeing in the case of Bajaj Auto is because we hold a very strong position in Latam, and that has really helped us because Latam has done well. And within that, the sports segment has done well. We've got great competitive positions over there, and we are seeing very, very strong growth.

In addition, in Africa, like I said, Nigeria has finally come to even -stevens. It was on a decline trajectory. It has come back to, I would not say growth, but it is equalling last year. And we hold a 50% market share there, which is unlike our other competitors, this 50% is the outcome of a very widespread presence over there through almost 800 retail level stores. A lot of the competitors do wholesale business, but for us, majorly, it is retail business. So, Nigeria doing well, expected to continue to do well and some good advancements against the 125cc bikes, which come from China and other sources has done well.

In Asia, Sri Lanka, Philippines, good markets for us, continuing to hold strong. So therefore, the near-term outlook of the quarter, we feel bullish about exports. But beyond that, let's see how the geopolitics sort of plays out.

Kapil Singh: Thanks, sir. Thank you very much for the detailed answer. Just a quick one for Dinesh, sir. Sir, can you remind us how are we placed on the currency hedging? Will we be able to realize the

Bajaj Auto Limited
May 06, 2026

Page 15 of 23

full tailwinds of the currency, which may help offset the balance impact of the commodities for the next quarter?

Dinesh Thapar: Yes, Kapil. Short answer to that, that we're not hedged, and therefore, we are realizing at market.

Kapil Singh: Ok. Thank you, sir. That's all.

Moderator: Thank you. We'll take our next question from the line of Binay from Morgan Stanley. Please go ahead.

Binay: Hi, Rakesh, congratulations on the joint MD role and also for very stellar earnings. In fact, I think your comment is interesting. So, is it broadly fair to assume that for FY '27, standing where we are, exports will actually do much better than domestic on volume growth?

Rakesh Sharma: First of all, thanks a lot. See most of the analysts and media people have failed to predict what is going to happen in the West Bengal elections and all that. This is a very difficult situation right now to do some crystal ball gazing and say that this is how the whole year is going to pan out because there are so many variables over there.

There is a logistics issue. There's a currency issue in so many emerging

markets. There's a

demand issue, therefore. But I can say one thing that export is on a very strong wicket because we are capturing a disproportionate share of the growth because of our retail presence because of all the work which has gone in key markets and luckily, these key markets are bucking the trend. I mean, Mexico is doing very well. And I'm hoping if the U.S.-Mexico FTA in June, July gets signed, I think we'll see a superb growth in Mexico.

And with our plant over there, which is only 3% duty and with our 300-odd stores over there, which is double that of any other competitor, including Japanese, I think we're in a strong position. And so, the situation is, for example, in Colombia, in Argentina, in Peru, we are recording highest ever sales over there. So, it's a combination of these markets doing well. We fortuitously being present in these markets and having done some solid heavy lifting work in terms of building the brand channel system over there. And so, it is in some markets in Asia as well.

So therefore, I think exports will continue to do well. Like I said, in quarter 1, we definitely see it pushing the needle hopefully beyond 2,00,000 units per month also. And domestic business, whether exports will do better than domestic or not, I cannot say that. But I think if the current pattern of growth continues, which is the top half sort of almost being a little bit insulated right now from all the adversities which are there, then it's very good news for us because if this continues particularly because our play in the last 6 months in the 150cc plus segment in the NS range has been very rewarding. And if that sort of continues like that, I think we are in for a good ride. But how exactly the chips fall between exports and domestic motorcycles is difficult

to say. But we are optimistic because of these reasons in both areas.

Bajaj Auto Limited
May 06, 2026

Page 16 of 23

Binay: No, that is very encouraging to know. And then lastly, just on the Chetak, we've been around this 30,000 run-rate for a few months now. How are we looking at, what steps are we taking to sort of take it to the next level? Could you talk a little bit about capacity, product action or any other plans to take it up from here?

Rakesh Sharma: Yes. Chetak, we have not been able to fulfil the demand, which has been there for one reason or the other. Sometimes we also get exasperated that everything is not working in every department and every month. And therefore, we have not been able to reach our potential, which I think is much higher in terms of share. But things did come together to some extent towards the end of the quarter 4. And we have now a capacity of 50,000 units per month. I think we will max that. I'm only hoping that all this labour issue and the availability of fuel, etcetera, in the Tier 1, Tier 2 vendors do not play a spoiler and we achieve 100% utilization.

We are taking steps. There is some serious work going on to see how and where we should expand capacity in a quantum manner. And once we are done with that exercise, we'll be happy to talk to you guys about it. But yes, we have now reached a position where we think a substantive increase in capacity in Chetak is needed.

Binay: Great, great. Thanks, team. Thank you.

Moderator: Thank you. Next question is from the line of Raghunandhan from Nuvama Research. Please go ahead.

Raghunandhan: Thank you for the opportunity. Congratulations, Rakesh, sir, on joint MD role and best wishes. Sir, on that happy note, can you provide some thoughts on the upcoming models? Can we expect the 125cc affordable motorcycle this year?

Rakesh Sharma: That's a good try, Raghunandhan, but I'm elated by the appointment, but not elated enough to spilling the beans. But now that you have said that I'll tell you that there's going to be a stream of new products, and we are trying to advance their introduction

so that we have got some good

new refreshed portfolio in time for the season. We'll have a new range in both the 125cc and the 150cc plus range. There will be hopefully, I think we will see these new introductions hitting the market as early as July in the Pulsar brand itself.

Raghunandhan: In the Pulsar brand, the new 125cc will come out? And what about the other one, is the 125cc affordable one, you are not yet disclosing the date for that?

Rakesh Sharma: Yes. That is very much in the cards but have a look at these new ones when they come. They're really looking stunning. And we hope to change the game with this in both the 150cc and the 125cc segment range. And in NS ranges, there have been introductions of the NS 400 upgrades and some variants, which have been hugely accepted in even markets where we don't enjoy a good competitive ratio like UP and all. We are getting very good traction over there. And that is why, like I said, the NS range is growing at twice the rate of the sport segment growth. So yes, both these ranges will make their appearance in July.

Bajaj Auto Limited
May 06, 2026

Page 17 of 23

Raghunandhan: Well, noted, sir. Lastly to Dinesh, Sir, is the understanding correct that on EV revenue of INR8,000 crores, EBITDA margin is in double digits, and this is despite being EBITDA neutral for 2-wheeler. And also, can you share the PLI incentive for the year?

Dinesh Thapar: Yes. So, I think the first piece is I had mentioned, Raghu, that we've got to a stage of double-digit EBITDA margin, which has been true for the last 2 quarters on our electric business. But remember, when I talk about this, it's always electric 2-wheelers plus 3-wheelers put together, in which Chetak is EBITDA neutral. So, in many ways, the rising proportion of electric 3-wheelers is leading to that. PLI claim for the year, we're still aggregating it, but it is in the whereabouts of about INR900 crores.

Raghunandhan: Thank you very much, sir. Very helpful.

Moderator: Thank you. We'll take our next question from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Yes, hi. Thanks for taking my questions and congratulations, Rakesh, on the expanded role. Just 2 questions from me. Firstly, I think a bit of a follow-up on the export. When you said that Nigeria is almost there at last year's level, I mean, can you give us a little bit more color on you've usually talked about the monthly run rate of 25,000 there versus the peak of 50,000,

where we are? And do you think that we are on the scale up back to at least higher levels there? And Brazil, again, a bit more color, it's been clearly a big positive surprise market for the last 2 years. How much more upside do you see? Where are we on market share in Brazil, which is these 2 markets?

Rakesh Sharma: Yes. So, Nigeria, we are now clocking a steady 35,000 plus last 2-3 months and a 5,000 plus in 3-wheelers. So that's very, very healthy. And hopefully, we will continue to grow. But I'm just sort of keeping a watch on Nigeria because Nigeria fuel prices have increased substantially almost by 30%. Though there of course, the higher oil prices help them because they're a net exporter of crude. But you don't have refining and therefore, the fuel prices, which affects the common man has increased. So, these 2 things have to balance out. But for the moment, we are seeing very good traction in Nigeria, and we are in readiness for the season. We have stocks on the ground. We have salespeople who have got very strong engagement with the 800-plus retailers all across. So that's, I think, a positive going forward. What was the second point, sorry?

Gunjan Prithyani: On the Brazil.

Rakesh Sharma: Yes. Brazil has done quite well. At this point of time, we are so small in Brazil. Brazil is a very big opportunity, and it's a very, very large country. And we had taken a top-down approach.

Our approach has been to keep the brand forward rather than volume forward. And the way it's manifesting is that we have launched our highest-end models over there first. Secondly, we have gone in for very exclusive high-end stores over there because we feel that the store experience and the whole imaginary around the store is essential for brand development.

Bajaj Auto Limited
May 06, 2026

Page 18 of 23

And in the first phase, at least for first 5 years, we will really want to build our brands of Pulsar and Dominar and establish a very strong customer franchise. And I think on that score, we are moving very well. We also get limited by the manufacturing capacities, which has to go through step changes because for every step, the localization requirements are very different. They're different for 20,000 and they change up to 50,000 - 60,000. And then beyond that, if you go, they again change and beyond 100,000, they again change. So, it's a step change which occurs. And right now, like I said, our capacity is closer to 60,000, let's say, it's 50,000 usable. So, we are seeing in the next 12 months hoping to hit that kind of thing. And as we move forward and hit it, by middle of the year, we will start looking at further enhancing our capacity in the year '27-'28.

Gunjan Prithyani: Got it. And before I move to the second question, just clarifying no container availability issues because that's something that's been flagged in the market as well.

Rakesh Sharma: Yes, that's a big nightmare, but this is where years of experience of the logistics team and the excellent work between the plant and the logistics team is really paying out. We export one container every 10 minutes. That's the scale of our operations, and we have to catch 4 ships every day. And with all the chaos, which is going all around, a lot of out-of-the-box thinking has been done to find alternate routes, ensure container supply.

And I can tell you that despite all these disruptions, just on the basis of logistics in export, we have not lost any sale. Of course, we have lost sale in the Middle East because there's nothing going over there to the Gulf country, but that's 5,000 - 6,000 units per month out of the overall 200 plus. But the team has managed the whole logistics complexity and volatility quite well. I think they are on top of this situation.

Gunjan Prithyani: Got it. And Dinesh, my second question is to you around some of the comments you made around 3.5% to 4% RM impact and the mitigating factors being price hikes and currency. But there's still a reasonable gap to cover in terms of the cost headwind we are seeing in the business. So, any thoughts on our appetite to take more price hikes? And what is really the tolerance level when you think about the range of margin? I mean, is there a range of margin we sort of anchor around to manage this growth versus profitability? So, some thoughts around how do we think about the net impact in the business? And more from a full year basis, I'm not trying to understand 1Q because, of course, it's going to be a painful quarter.

Dinesh Thapar: Of course, once we get to full year basis and when I mean full year, essentially, once we get to steady state, obviously, the intention will be to continue to hold margins and drive margins the way we have. But I think at this point of time, I must tell you that and I know that there aren't many which have put out numbers as yet because it is truly volatile. When I tell you 3.5% to 4% of turnover as commodity inflation today, that's our view here and now. But we have had 3 refreshes in the last 4 weeks on this front itself. And so, it's quite a dynamic situation. Also, we

Bajaj Auto Limited
May 06, 2026

are playing wait and watch because as I mentioned in my comments, a lot of the inflation is clearly event-led supply shocks, right? So don't know how the turn of

events will play out for

the rest of this quarter. A lot of negotiation and rate locking-in on supplies is now also moved to shorter frequency and not really to quarterly rates that might have been the norm in the past. So, it's quite a dynamic situation. We are playing it truly month by month.

Like I said, we've taken pricing to cover 40% of the inflation from 1st of April. We are taking a very, very hard look at all costs that we are spending in this quarter and typical of really saying, is it really needed being very choiceful about all discretionary spends as it were. And that's clearly going to be able to mitigate some part of the inflation challenge. And then, of course, there is the currency as well because the currency has moved from if you see last quarter, we averaged out at close to \$91 that is \$90.6. The currency is hovering between \$94 - \$95 as it were. So, let's see how that moves as well.

But we're clearly playing it month by month. And the intention will be to try and see how do we bridge pretty much as much of the material inflation through a mix of the pricing that we have taken. I think next round of pricing will probably be the last of the recourses that we will take, if at all required, being very watchful of it. We want to also protect competitive growth. But in the meantime, we want to be sure that we are juicing out all cost savings opportunities and pulling back of discretionary spends. And then after considering whatever is the currency tailwind, then see how do we need to manage that last bit.

So very dynamic situation, like I mentioned, refreshes that are coming in far more frequently than they have ever in the past, rate settlements and negotiations now happening at much shorter frequency than longer frequency. So therefore, that means that tomorrow, if things settle down, possibly some benefit of that can start translating into costs in the nearer term than much later on. But let me leave it at saying that quite dynamic. We are playing it dynamically. Our intention is to try and bridge as much of the impact as it currently stands.

Gunjan Prithyani: Got it, very helpful. Thank you.

Moderator: Next question is from the line of Aryn Pirani from JP Morgan. Please go ahead.

Aryn Pirani: Thanks for the opportunity and yet another congratulations going your way, Rakesh. I have two questions. The first one is on your comment on the moderation in the motorcycle growth. So just to clarify, when you say 7% to 9%, are you talking about, say, what you're seeing for the next few months, or is it for the full year? Because this year, we also have the problem of first half and second half looking very different in terms of growth. So just wanted to clarify on this comment of yours?

Rakesh Sharma: I would say, in the next few months. At this point of time, I won't wager a full year exit. And you're very right, there will be a base effect, which will start kicking in. Obviously, we had a lower base in the first half last year and the second half sales. So, there will be a base effect to

Bajaj Auto Limited
May 06, 2026

contend with in the second half. So, it really a lot depends on how inflation and pricing impact how much of the GST benefits will start to reverse. A lot will depend on that.

Aryn Pirani: Sure. And my second question was on 3-wheelers. So, if we just take a step back, obviously, we've talked about how ICE growth has been stable to slowing, but EVs has driven the growth. But if you look at the aggregate, I mean, 3-wheeler growth has actually surprised most of us. In fact, I think post-COVID, it has been the best-performing category within autos as a whole. And this is not something that we would have thought pre-COVID. So, is there anything structural happening there? How should we think about the size of the category over the next few

years? Because the growth overall, we may say EV, non-EV, but overall growth has been quite surprising?

Rakesh Sharma: Well, please go back and read my comments for the last 2 - 3 quarters. Some of you have asked that where do you see growth coming for Bajaj Auto. And I've been saying, even though it's a humble vehicle, I've been saying that we are sitting on the threshold of very large growth in 3-wheelers. And let me give you some numbers. The industry growth in 3-wheelers in quarter 4 total was 25% plus. In April, it was 25% plus again. And you are very right. A lot of this was because of the EVs, which are growing.

But consolidated, this is being driven by the exploding requirements in the country, particularly in non-metro locations in smaller towns. This is being driven by the huge spread of the road

network. And this is being driven by people now wanting to travel between towns even for work. To escape the rental requirements, it is now very possible for a person to stay in his hometown and work in the neighbouring town and take a 3-wheeler or a shared 3-wheeler and commute or to go to the main road in a 3-wheeler and take a bus and commute. They find it much better to do this rather than take a home on rental in the place of work. The women coming out and traveling, these things are exploding the requirements of mobility. And there are simply not enough public transport systems. This is a phenomenon which we have been witnessing for a few quarters now.

And this is another area where we are now getting capacity limited, and we are working to expand the capacity, particularly the larger 3-wheelers. The larger format 3-wheelers and if you see the way we have expanded our electric portfolio, we first started with the small 3-wheelers and some of our competitors are only in the small 3-wheeler. But quite rapidly, we've gone into the 7 and the 9 series, which are larger 3-wheelers because all the growth is coming from not contracting market where people hire a full 3-wheeler, but ticketing markets, which means people share a 3-wheeler. So, they will go from the railway station or bus station to an other point in a shared manner. And there, the larger format 3-wheelers work. So, I think this will continue. It's not stoppable. And I must mention in this the role played by retail finance. Again, retail finance is enabling the people to acquire the asset and enhance their income.

Bajaj Auto Limited
May 06, 2026

Page 21 of 23

Amyr Pirani: Great. Thanks for the color. And just one follow-up for Dinesh. Just a book-keeping question. On your revenue line, the other operating income has seen a sharp jump in the last 2 quarters. Is there anything to call out there? Is it mainly related to export-related incentives? Or is something else going on there?

Dinesh Thapar: That line, I mean, typically is driven by 3 pieces by the scale-up of electric and therefore, resultant PLI. You may recall I had mentioned this the last quarter as well towards it, you start to move towards the higher slabs. So that's the first one.

The second is obviously with scale-up of exports, there is clearly export incentives which come in which get reported on to that line. And the third is, of course, a fairly robust growth that we are seeing on our BGO or oils business and the royalty that we earn on that. These are really the 3 reasons why that line inflates. There's nothing else which is of material significance that sits in those numbers.

Amyr Pirani: Okay, great. Thanks a lot. I'll come back in the queue.

Dinesh Thapar: Sure.

Moderator: Thank you. Next question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi, good evening and thank you for taking my questions. Congratulations, Rakesh. I have 2 questions. The first question is just a clarification

on the 400 basis points potential impact as a percentage of sales that you had mentioned. Is this sort of from 1st Jan onwards, 1st April onwards? Just want to understand what the time frame is for this observation of a 400 basis points potential impact on margin growth from commodity inflation?

And the second question is just around the prepared remarks that Rakesh had made that you'd hope to grow faster than the 7% to 9% broader motorcycle industry growth outlook. Just related to that, you had mentioned that there is a 10% to 15% impact on ability to service demand because of the LPG factors and the manpower factors and the shipping factors. So just want to understand, is that something that we were able to manage through and then potentially grow beyond that 7% to 9% that you guided for the broader market? I just want to understand that in better context as well.

Dinesh Thapar: I'll get the first one quickly out of the way, Chandru. I think when I mentioned that commodity cost impact of about 3.5% to 4% of revenue, I'm fundamentally talking quarter 1 over quarter 4.

Yes. So effective April onwards.

Chandramouli Muthiah: Got it. And the quantum of price hikes, that's 40% of that 400 bps. Is that what we should consider to be the quantum?

Dinesh Thapar: 40% of that impact has been taken so far starting April.

Bajaj Auto Limited
May 06, 2026

Page 22 of 23

Chandramouli Muthiah: Got it. That's helpful. Thank you.

Rakesh Sharma: We are definitely looking at I mean, if the industry grows at 7% to 9%, which is what our current estimate is. And this estimate is really based on the April outcome. It's not that one has anything. We tend to just take the most recent and try and extrapolate that. So, it's on that basis. And like I said, within that, the segments we operate in are growing at almost 1.5x twice that 7% to 9%. And there, we are outperforming the industry for the last 5 -6 months in the 150cc plus segment. So, in that way, it's good news for us.

The April performance, I would say, was impaired by 10% to 15%, largely because of the availability of vehicles because the vendor system did face a lot of and continues to face a lot of difficulty because of manpower migration and fuel availability and stuff like that. But hopefully, the manpower migration would sort of resolve itself now and people will come back to work. Fuel availability, the alternates like PNG, et cetera, the realignment of vendors, which is taking place. So hopefully, this will resolve itself over a period of time.

So that should be out of the way. But yes, if this 10% to 15% impairment wasn't there, our performance would have been that much better because we've got a lot of spillover from unserved demand of March and April.

Chandramouli Muthiah: Got it. That's helpful. And just a quick follow-up question on the buyback. So, I just want to understand, at this stage, what are the milestones that need to be crossed? And what is the timeframe that you have in mind to execute the buyback?

Dinesh Thapar: So today is when we've announced the quantum I mentioned, the underlying spirit was to try and ensure that we pay out 100% of last year's profit of INR9,825 crores. So, the buyback, therefore, translates to INR5,633. We get started straight away for a buyback of this order of magnitude, we need to go to seek shareholder approval because you might be aware that any buyback, which is in excess of 10% of free reserves needs to go to the shareholders.

That threshold for us would have been nearly INR3,500 crores. So given that the buyback is now INR5,600 crores, we will get started straight away with the process of seeking shareholder approval. And then this is essentially a process which will run right now, starting now and likely culminate by the end of July with the SEBI filing. Looking at the fresh timelines, I would

expect

that payouts would essentially happen sometime in the second week of July likely.

Chandramouli Muthiah: Makes sense. That's helpful. Thank you very much and all the best.

Dinesh Thapar: That gets paid out second week of July and then, of course, dividend gets paid out after the AGM, which is also in July.

Chandramouli Muthiah: Thank you.

Bajaj Auto Limited
May 06, 2026

Page 23 of 23

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to Mr. Anand Newar, Head Investor Relations for closing comments. Over to you.

Anand Newar: Thank you, Yashashree, and thank you, everyone, for joining the call. Good night.

Dinesh Thapar: Thank you. Have a good night.

Anand Newar: Thank you all.

Moderator: On behalf of Bajaj Auto Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2026

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27 July 2026

To
Corporate Relations Department.
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Corporate Listing Department.
National Stock Exchange of India Ltd.
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Bandra (East), MUMBAI 400 051.

BSE CODE: 532977 NSE CODE: BAJAJ -AUTO

Subject: Transcript of Conference Call held in respect of the Company's Q1 and FY27 results.

Dear Sirs/Madam,

Please find enclosed the transcript of the conference call held on 21 July 2026 in respect of the Company's Q1 and FY27 results.

The transcript is also hosted on the Company's website at

<https://www.bajajauto.com/investors/financial-and-operational-performance>

Kindly take this on record.

Thanking you,

Yours faithfully,

For Bajaj Auto Limited

Rajiv Gandhi
Company Secretary and Compliance Officer
ACS 11263

Page 1 of 20

"Bajaj Auto Limited
Q1 FY 2027 Results Conference Call "
July 21, 2026

MANAGEMENT : MR. RAKESH SHARMA – JOINT MANAGING DIRECTOR
– BAJAJ AUTO LIMITED
MR. DINESH THAPAR – CHIEF FINANCIAL OFFICER –
BAJAJ AUTO LIMITED
MR. ANAND NEWAR – HEAD, INVESTOR RELATIONS –

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Bajaj Auto Limited
July 21, 2026

Page 2 of 20

Moderator: Ladies and gentlemen, good evening, and welcome to Q1 FY 2027 Results Conference Call of Bajaj Auto Limited. My name is Nee rav, a nd I will be your coordinator. As a reminder, all participant lines will be in the listen -only mode and there'll be an opportunity for you to ask questions after the initial remarks of the management. Should you need assistance during this conference call, please signa l an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being r ecorded.

I'll hand the conference over to Mr. Anand Newar , Head, Investor Relations from Bajaj Auto Limited. Thank you, and over to you, Mr. Newar.

Anand Newar: Thank you, N eerav. Good evening, everyone, and thank you for joining us for the call today. Welcome to Bajaj Auto's Q1 FY '27 earnings call. On today's call, we have with us Mr. Rakesh Sharma, Joint Managing Director; and Mr. Dinesh Thapar, Chief Financial Officer. We will begin our call with the opening remarks from Rakesh on the business and operational performance for the quarter, followed by Dinesh, who will take us through the financial highlights. We will then open the forum for Q&A. Than k you. Over to you, sir.

Rakesh Sharma: Thank you, Anand. Good evening, ladies and gentlemen, and welcome. Thank you all for joining in. So, quarter 1 has built further on the record -breaking financial year '26 by delivering the highest quarterly performance across all parameters. Volumes at 1.4 million, revenue of INR17,000 crores, EBITDA of INR3,500 crores and PAT of INR3,000 crores, along with EBITDA margins of 20.9%. I think all of these results beat most of your estimates.

It was a tough quarter with RM inflation, supply chain and logistics disruptions as well as a ransomware attack, which you may have read about, but it was defended comprehensively and successfully. Though exercising abundant caution, we suspended operation s for a few days to complete thorough checks and investigations. All of these above issues combined impaired availabilities by about 10% to 15%, more so in exports, high -end bikes and EVs. But for these disruptions, these business areas would have recorde d an even better performance. And I would say that we were looking at crossing 1.5 million units this quarter, which got sort of hampered because of these issues.

While all the BUs delivered handsome growth, I would like to call out the super performance of exports and EVs. Taken together, our electric two-wheeler and three -wheeler businesses delivered their largest ever quarter and are now at 30% of domestic revenues with double -digit EBITDA percentage. Electric mobility is a meaningful contributor to the company growth and profitability, opening up new segments, both in do mestic and overseas markets.

Let's get to the business units now. Exports business unit, the business unit established a new high of 7 ,32,000 units in the quarter and USD 735 million revenue in the quarter. The BU accounts for 40% of Bajaj Auto by revenue. Of the top 30 markets, which account for almost 80% of the industry, we continue to significantly outpace the industry growth by over 2x, thereby increasing our market shares very s trongly in these important markets.

Bajaj Auto Limited
July 21, 2026

Page 3 of 20

Notably, exports growth was not just faster than the industry, but was broad -based across all the regions, except MENA, this is Middle East and North Africa, for obvious reasons, and was achieving superior price positions when compared to Q4. African marke ts did very well, growing by almost 50% and we grew by twice that rate. We doubled our retail in Africa, led by the new introduction last year of the upgrade of the Boxer 125, which is now called Boxer 125 Heavy Duty. Nigeria led the growth, being in a pre -election phase, which increases institutional sales. By our

estimates, a disproportionate share of this expansion was captured by us, doubling retails year -on-year and delivering a market share of almost 60% in retail terms. The solid franchise of the Box er brand and a wide footprint of retail and service network powered the performance.

Latin American markets also grew, albeit at a slower pace than before. And here too, the performance was way, way above the industry, particularly in Mexico, which is the largest market in LatAm. The combination of the success of our high -end models, the N S series, the N250s, etcetera, a well -organized supply chain in Mexico, which gets the best tariffs at 3% and

a wide distribution network continued to strengthen the competitive position in this key market, which is now amongst the top 5 markets of the world.

Retails in Brazil clocked 50% -plus growth with a very healthy financial performance in the subsidiary. Our store count stands at 75 top -plus stores, and it continues to be expanded. The entire Latin American region is a very strong driver of not just our export performance in terms of volume and revenue, but also of corporate EBITDA now.

The Asian industry was muted due to underperformance in the countries of Bangladesh and Nepal. And our objective was to protect market share and keep the dealer network strengthened.

A series of launches were made in Philippines, along with establishment of exclusive motorcycle stores to serve the high -end motorcycle customer as part of our strategic thrust to build the personal motorcycling category over there through these new products and new stores.

KTM motorcycle exports from India have revived after the disruption of past several quarters.

In quarter 1, KTM exports from India grew by 20% plus, while the Triumph brand exports grew by 40% year -on-year. Three -wheeler exports delivered a record of 100,000 units, growing by almost 70%, commanding a dominant market share of over 65% of three -wheeler exports from India, and our growth of secular across regions in mature as well as nascent markets.

Overall, the exports business, which like I said is 40% of our revenue, has established an outstanding growth momentum and we are looking at moving exports to beyond the 2,50,000 per month level this quarter and onwards. And as you will recall, we were, just a few quarters earlier, trying to knock at 2,00,000.

Domestic two-wheelers, to capture some synergies, we have brought our electric two-wheeler business in the umbrella of the two-wheeler business unit. The two-wheeler industry turned in a resilient performance as registrations grew by 14% year -on-year in quarter 1, though much lower than the 25% growth of quarter 4, but under the circumstances, a very healthy performance. This growth was driven by EV scooters and the 150cc to 400cc segment of motorcycles. The 100cc and 125cc segments were flattish, resulting in a motorcycle growth in the industry of 7%. So,

Bajaj Auto Limited

July 21, 2026

Page 4 of 20

the two-wheeler industry is really being driven by EV scooter and the 150 -plus segment. The Bajaj motorcycles account for 25% of our revenues. Here, we continue to witness faster than industry growth in the 150cc -plus segment on the back of new variants.

I would just break down the domestic motorcycle business into the turnaround program, which we have launched. This is an exercise we had commenced post festive in November in Q3 last year. It was a program to address end -of-cycle fatigue being faced by parts of the portfolio. The reinvigoration of the 150cc -plus segment was prioritized first. This has resulted in sales outperforming the industry by 1.5x in this segment despite some elements of the old portfolio still being a drag.

The performance has been secular across all states. All states, I think barring one, have shown growth with the new models of the N and NS series, which are now contributing almost 60% of our

our sales in the 150cc -plus segment, signalling a healthy acceptance of the refreshed portfolio. Consequently, we have seen on the basis of Volume, expansion in market share of a couple of percentage points in the last 5 months. Going forward, we will complete this exercise for the 150cc segment by the introduction of an absolutely new 150cc under the Pulsar brand and 10 facelifts in the 160cc to 400cc range with class -leading features and superior engine performance. The next focus is the 125cc segment where, again, an absolutely new 125cc will be introduced in the Pulsar brand, along with a couple of new upgrades. Our aim is to accomplish this exhaustive portfolio makeover within the next 6 weeks. So, by the time we meet next in October, we should be able to give you some early reports of their acceptance. Further, in the year, we aim to introduce 2 new brands in the 125cc segment to cover the full spectrum of customers in this large segment as well as proposition customers from the 100cc segment to upgrade.

In Pro -Biking, comprising the KTM and Triumph brands, the business continued its accelerated growth trajectory during the quarter. Together, KTM and Triumph delivered another record performance with combined domestic volumes of nearly 40,000 motorcycles, growing more than 50% year -on-year. KTM performance was strong across both the Adventure and Duke portfolios, with the Adventure range delivering another record quarter. Triumph maintained healthy momentum with the recently launched Tracker 400 with styling inspired from flat -track racing. Together, with KTM Adventure and Triumph Scrambler, we now lead the Adventure category in India. Customer engagements were vigorous in both brands through initiatives like the KTM Moto Carnival, Duke's Track Experience, the World of Triumph and the Distinguished Gentleman's Ride, all of which were very well received. The rollout of the joint KTM -Triumph

stores to expand reach while ensuring store viability is progressing steadily with now almost 90 outlets operational.

Chetak, electric scooter volumes continued to scale rapidly with 65% year -on-year growth, driving EV penetration to almost 25% of ICE scooters at an all -India level. And in some states, actually going beyond 50% already. Within this environment, Chetak outperformed the industry, growing nearly 80% year -on-year and delivering its highest ever quarter in terms of volumes, revenues and profitability. The newly launched Agile and Light Chetak 2501, aimed at the younger buyers, continued to do well and now constitutes almost 12% of the 5 -model portfolio

Bajaj Auto Limited
July 21, 2026

Page 5 of 20

under the Chetak brand. Demand, however, continued to remain ahead of our ability to supply. Capacity expansion has been undertaken, with an immediate and medium -term focus to enable us better serve the growing market. The reach of Chetak today stands at over 530 exclusive stores, supported by a wide network of 4,500 customer touch points across more than 850 cities. As capacity improves, we expect to support not only domestic growth, but also accelerate our international expansion.

So, the domestic two-wheelers, which account, together with KTM, Triumph, Chetak, Pulsar, Dominar and Platina brands, they account for about 40% of our revenues. And collectively and driven by the outstanding performance of the 150cc motorcycles, KTM motorcycles, Triumph motorcycles and Chetak, I can safely say we were the fastest -growing two-wheeler in quarter 1. In commercial vehicles, the three -wheeler industry, including e -ricks, grew by 11% year -on-year, driven by a doubling of sales of e -autos, which now constitute 44% of the L5 segment. Q1 saw our highest ever billings and retail performance. The ICE franchise remained rock -solid with a market share of about 70%, and leadership position in EV was maintained.

ned.

In the L3 or the e -ricks segment, our newly introduced Riki is progressing steadily with presence now in nearly 150 cities. Our focus is to upgrade customers through superior quality, reliability and ownership experience as we see the category has a good expansion opportunity with a very, very specific use case. With a 12 -model portfolio in electric three -wheelers, we possess the widest portfolio from the smallest to the largest vehicles with the longest range covering the full spectrum of use cases in passenger as well as cargo. Interestingly, demand has been robust on the ICE side too, particularly in exports. The three -wheeler development in multiple markets is driving growth. Capacity issues restricted sales of some models, both in India and overseas. The spares business maintained its run rate of INR1,700 -plus crores in quarter 1 too, whilst delivering record margins.

In closing, Q1 was a volatile quarter, but was successfully navigated. The supply chain disruption should be easing off in Q2, so it should help grow the top line, and the weakness of the Indian rupee will hopefully be helpful in mitigating cost increases. But inflation and international logistics will need to be managed closely. Having said that, the demand environment, both in domestic and international, particularly in our key markets, is very positive, though the business environment may still be a bit volatile. However, putting it all together, the outlook is promising. Capacities have emerged as a key constraint to growth. So, with an eye on the future, we are undertaking an expansion of capacity by almost 25% from the current 7 million units per annum across different businesses to progressively go up to 9 million units per annum. The key areas to address will be EVs, both two-wheelers and three -wheelers, high -end motorcycles and three -wheelers.

In conclusion, through Q2 and the rest of FY '27, our focus will remain on the 7 key areas: Domestic motorcycles, achieving a superior competitive position and growth in the 125cc -plus segment by leveraging the imminent total portfolio makeover. Exports should pass the 250,000 per month level on the back of leadership in sports segment of LatAm and a more aggressive share gain in commercial bikes in Africa, again, on the basis of the growing success of the Boxer

Bajaj Auto Limited
July 21, 2026

Page 6 of 20

125 Heavy Duty. Super premium sports segment, accelerate growth in both Triumph and KTM business network expansion and investment in niche segment development like adventure and sport. In electric business, capture share of the rapid industry growth in both two-wheelers and three -wheelers. Certainly, capacity management and maximization of availability will be attracting a lot of management attention. In KTM AG continue to support the management in

the turnaround underway, bringing KTM AG back to its normal levels. And finally, BACL, we will continue to build capability in BACL and continue to deliver class-leading performance out there.

With that, let me hand the session over to Dinesh.

Dinesh Thapar: Thank you, Rakesh. Good evening, everyone, and thank you for joining us on this call. You've just heard from Rakesh that the company delivered its best ever quarterly performance on revenue and profit, underpinned by record volumes. This growth has been broad-based with all our businesses, domestic motorcycles, domestic three-wheelers, electric two-wheelers and exports, all contributing meaningfully to deliver this performance. And when you look at it, every cut of the business, whether it's ICE or EV, two-wheelers or three-wheelers and domestic or exports, all delivering double-digit growth.

Before I get into the financial performance, let me spend a few minutes on what has truly been a very significant factor

of this quarter, the very volatile operating environment.

On commodity inflation, as many of you would recall, when we last met in May, I had indicated that the operating environment had turned sharply inflationary, and we were estimating commodity inflation to be in the range of 3.5% to 4%. We had also then spoken about having taken pricing actions to offset about 40% of that impact while continuing to watch the situation closely and act dynamically as the quarter progressed. Through the quarter, commodity inflation intensified even further. Inflation across the metals complex accelerated meaningfully through May, taking the overall inflationary impact for the quarter to about 4.5% of revenue. It was clearly a hyperinflationary commodity environment with virtually the entire basket witnessing sharp increases. Steel rose by upwards of 10%, aluminum and platinum by nearly 40%, rhodium as well by 40%, while ABS, copper, nickel and natural rubber also moved up quite substantially through the quarter. In fact, as the quarter progressed, we also started to witness inflation building up across proprietary components, electronics, energy, logistics and labour costs, resulting in higher overall conversion costs as well.

Now as many of you would appreciate, those of you who've been in this industry for a long time, we've rarely witnessed commodity inflation of this order of magnitude compressed into such a short period of time. To put this in perspective, the commodity inflation we absorbed in this single quarter was greater than the totality of the inflation that we've experienced over the previous 2 financial years put together. That, I believe, gives you a sense of the sheer intensity and enormity of the issue that we were faced with on the cost environment.

That said, we also responded decisively. And as I had indicated in the previous call, we responded with calibrated pricing very judiciously taken through April and June, enabling us to offset nearly about half of the inflation through pricing. The balance on margin was absorbed

Bajaj Auto Limited
July 21, 2026

Page 7 of 20

through a host of factors, notably dollar realization and discretionary cost rationalization that I'll talk about as we get into the financials.

The second defining feature of the quarter was the series of supply chain and network disruptions that emerged across multiple fronts, making the operating environment considerably more complex than what we've typically experienced. While none of these challenges in isolation would have materially impacted the business, this simultaneous occurrence required a very high degree of operational agility and execution across the organization.

To start with, fuel availability became a significant challenge early in the quarter following the curtailment of industrial LPG supplies. This necessitated a rapid reconfiguration of our energy consumption pattern across both our own operations as well as the wider vendor ecosystem. And accelerated efforts were taken to optimize fuel consumption and increased dependence on alternate energy sources, namely PNG and electric, all while ensuring their production schedules, by and large, remain unaffected.

At the same time, geopolitical developments in West Asia led to force majeure declarations by certain global suppliers and disrupted maritime logistics, resulting in tightness across key raw materials, particularly aluminum alloys and polymers. Our procurement teams responded swiftly by onboarding multiple alternate sources, both domestic as well as global, and thereby ensuring continuity of supplies despite a very fluid sourcing environment.

We also experienced localized manpower availability challenges during parts of the quarter, driven by higher cost of living arising from spiralling LPG costs and workforce migration due to elections. The seasonal effect of this factor aside, the level of labour shorta

ge was

exceptionally pronounced this year and particularly stifled production in the months of April and

May. Across each of these situations, our teams acted with remarkable speed and coordination to minimize the impact on the business.

While these disruptions did constrain our ability to fully service demand and resulted in some loss of production opportunities of about 10% of volume during the quarter, the business still delivered record volumes and financial performance. It is therefore fair to say that had it not been for these external supply shocks and constraints, both our volumes and financial outcomes as reported externally would have been even stronger.

Currency. On the currency front, the story continued to remain distinctly favourable. The rupee depreciation provided an important and welcome cushion to manage the very sharp and significant impact of an exceptionally inflationary quarter. As I mentioned, over the last few quarters, this has been a structural advantage for the business here. Given the strength and diversity of our portfolio with exports now accounting for nearly 40 - 45% of the business. The rupee depreciated through Q1, with a realized USD -INR rate coming in at INR94.4 versus INR90.6 in the previous quarter and INR85.6 in the same quarter last year.

Turning now to the financial performance. Building on the momentum that we have seen over the last few quarters, the business delivered yet another record quarter with volumes, revenues and profits scaling new highs. On revenue, volumes reached an all-time high of over 1.4 million

Bajaj Auto Limited
July 21, 2026

Page 8 of 20

units, a growth of 29% year-on-year, while revenue from operations crossed the INR17,000 crores mark for the very first time, coming in at INR17,244 crores, representing a robust 37% year-on-year growth. What I find noteworthy about this performance is that you will have noticed virtually every operating lever of the business has contributed to this top line. Volume remained the single largest driver with the business delivering strong sales growth across both domestic and export markets. Pricing, as I discussed earlier, was implemented in a calibrated manner through April and June to recover a significant portion of the unprecedented commodity inflation. Currency continued to provide an important cushion against the elevated cost environment. And mix remains structurally favourable. The continued strength of commercial vehicles, premium motorcycles, exports and the steadily increasing contribution of electric vehicles all enhanced the buildup of our revenues.

In addition, spares revenue was at a steady range of between INR1,700 crores to INR1,800 crores, providing a recurring support to overall revenues and profitability.

On EBITDA, the quarter came in at INR3,596 crores, again, an all-time high, with a strong 45% year-on-year growth. EBITDA margins inched up to 20.9%, an improvement of 10 basis points sequentially despite the hyperinflationary commodity environment that I'd spoken about. If the revenue story was all about all 4 levers of growth coming together, volume, pricing, currency and mix, the profitability story was even more compelling. While revenues grew 37%, EBITDA grew by 45% and the ability of the business to convert strong top line growth into higher earnings despite operating in an extremely volatile and challenging environment. I believe it's the hallmark of this quarter's performance.

As I had mentioned quite categorically during our last interaction in May, that in an environment such as this one, one had to be extremely disciplined on cost, particularly discretionary spending. And I'm pleased to say that as an organization, we responded exactly in that manner. So over and above the revenue drivers, higher volumes translated into meaningful operating leverage and the EV business c

continued to improve its profitability, driven by scale and value engineering. And the organization remains intensely focused on sourcing efficiencies and prudent control and questions over discretionary expenditure.

To sum it up, the sequential margin expansion was primarily supported by higher realizations and a richer mix that you will see reflected on the GM, gross margin line, which reduced the extent of the severe commodity inflation, which was then made up by operating leverage arising from higher volumes and disciplined cost management across the organization that you will see reflected on the other expenses line. Together these factors more than offset the challenges on input cost inflation even after the pricing actions were taken through the quarter.

On a year-on-year basis, margins improved by 110 basis points, primarily driven by favourable currency movements and improved operating leverage, which more than offset the adverse cost versus price dynamics. All of this flowed through to the bottom line as well with profit after tax coming in at under INR3,000 crores, again, a new high for the company and up 42% year-on-year.

Bajaj Auto Limited
July 21, 2026

Quickly a word on cash. The company continued to generate strong free cash flow during the quarter, reflecting the underlying quality of earnings and robust cash conversion. We generated over INR2,300 crores of free cash flow during this quarter, almost double that of the same period last year, translating into a cash conversion of almost 80% of profit after tax. The balance sheet continues to remain very healthy with surplus cash in excess of INR21,000 crores at the end of the June quarter, well managed and providing sufficient fuel for future growth investments, strategic opportunities and improved shareholder returns.

Before I move to the consolidated numbers, let me make one point upfront for your attention.

The year -on-year comparison this quarter on our consolidated results is not entirely comparable, not like -for-like, as it includes the consolidation of a full quarter of Bajaj Mobility AG's results through our Netherlands subsidiary, BAIH BV, which was not part of the base quarter. You will recall that we had started to consolidate Bajaj Mobility's results in the last quarter, but the last quarter did not have a full quarter's numbers. This was the first time that the consolidated numbers have a full quarter of Bajaj Mobility's numbers in the current one. Having said that, for those of you who've been following the underlying businesses over the last few quarters, I think the direction of travel is becoming increasingly evident. The contribution from our subsidiaries is increasingly and steadily becoming more meaningful as each of these businesses continues to gain scale and significance.

On a consolidated basis, standalone revenues of INR17,200 crores translated into consolidated revenues of INR21,689 crores, reflecting a 65% year -on-year growth, while consolidated profit after tax came in at INR3,226 crores for the quarter, up 46% year -on-year. This quarter, the stronger consolidated growth was driven by the solid performance of Bajaj Auto Credit Limited, which I will talk about in a bit, the steady expansion of our Brazilian subsidiary and the consolidation of a full quarter's results of Bajaj Mobility AG.

Let me now spend a quick minute on KTM and BACL. On KTM, as you are aware, this is the first full quarter of line -by-line consolidation, and therefore, certain aspects of comparability will naturally normalize over the coming quarters, and we will speak more on it as we progress with each one.

On the operational front, the turnaround continues to progress in line with the road map we had outlined internally compared to the same period last year when production had virtually come to a standstill during the restructuring process. Manufacturing has now

progressively ramped up

through the year and is approaching underlying retail demand. Billing performance has improved in line with this recovery. At the same time, the planned normalization of dealer and plant inventories has largely been completed, with inventory levels now stabilizing at the desired levels across the broader system. We are also seeing the benefits of tighter cost control on fixed costs and other overheads, and these improvements are now becoming evident in the financial performance. These indicators remain an important focus area as we continue to execute the turnaround in a calibrated manner.

I know that many of you are already in touch with the management team of KTM and would, therefore, have access to the public disclosures and updates, including the recent ones made by

Bajaj Auto Limited

July 21, 2026

BMAG, where many of these details can be tracked. That said, from our side, Anand and the Investor Relations team will, of course, be happy to provide any further details and clarity that you may need.

On BACL, it continues to scale at a very healthy pace and delivered yet another quarter of very strong performance. Total income crossed INR1,100 crores, while profit after tax for the quarter came in at INR227 crores, more than doubling the same time over last year. To give you a sense of the scale of business, assets under management have now hit the INR20,000 crores mark, representing a growth of over 70% year -on-year. The capital adequacy ratio remained healthy at 19%, while the business continues to deliver an industry -leading return on equity of over 25% as of June 2026. Similarly, BACL's financial results, press release and other regulatory disclosures are available in the public domain by virtue of its CP and NCD listings. So, for those of you who would like to explore the performance in greater detail, that is now out there.

Let me close with a brief outlook. As we look ahead, the operating environment continues to remain extremely volatile, complex and uncertain. One important change that we have observed as the first quarter has progressed is that inflation is no longer confined to the base metals complex. The cost pressures have become more broader, with proprietary components,

electronics, electrical parts, labour, logistics and energy and conversion now moving up simultaneously and meaningfully. While the business experienced only a part of this broader cost inflation during the first quarter, the second quarter is likely to reflect its impact over the full period. At this stage, however, it would be premature to put a precise number around the inflationary impact given the many moving parts.

The environment continues to evolve almost on a weekly basis and remains heavily influenced by global developments and geopolitical events. Consequently, any estimate that we provide today could look very different in a few weeks from now. As always, we will continue to respond dynamically. Pricing remains one lever, but not the only one. We will continue to focus on value engineering, sourcing initiatives, productivity and disciplined cost management, while closely monitoring the currency environment, which has provided an important cushion over the past several quarters. How much of that support continues will naturally depend on how the rupee evolves over the coming months in the context of the initiatives and measures announced by RBI. Our approach, however, remains unchanged. We will continue to protect the competitiveness of the business, remain very disciplined on costs, invest behind strategic priorities and respond with agility as the external environment evolves.

With that, let me hand the call back to Anand and open the floor for questions.

Anand Newar: Thank you Dinesh. Neerav, with this, we can open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and

answer session. Anyone who wishes

to ask a question may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. A request to all the participants, kindly limit yourself to two questions per participant, and rejoin the queue for a follow-up question. First question is from the line of Kapil Singh from Nomura. Please go ahead.

Bajaj Auto Limited

July 21, 2026

Page 11 of 20

Kapil Singh: Good evening and congratulations, sir. My first question is on the demand side. You mentioned that demand in the premium segments remains strong, but we haven't seen that kind of traction in the below 125cc segments. And this is despite support coming in from the GST cut. So, is it the customer preference or that is changing very rapidly? Or is it that the customer in that segment itself is facing some kind of stress? Also related to this, is there a shift also happening from ICE to EVs? And if so, from which segment?

Rakesh Sharma: Yes. Thanks. The GST cut, as you remember, effective on 22nd September last year, unleashed a very, very high level of growth, which continued beyond the festive in quarter 3, in quarter 4. Like I said, quarter 4, vehicle registrations in motorcycles, the growth was about 23% odd. So that's a very, very high level of growth. Consequently, what has happened is that there has been inflation through pricing. And then, of course, there was the West Asia crisis, which brought the difficulties of LPG availability into every kitchen of India and affected consumer sentiment. And to some extent, I would say that the impact on different segments was different. And this actually reflects the structure of the Indian economy and what the Indian economy is perhaps going through in the sense that the upper half of the society are economically much, much stronger and the people down the pyramid have weakened. And this is getting reflected in the way the segments are growing.

Therefore, even when we see the motorcycle growth dropping from 23% or 24% to 8 - 9%, the 150cc, the 250cc segments, they are growing at 20% plus. But the 100cc segment and also the 125cc now are actually growing at low single-digit numbers. So that is the nature of the growth. It's all coming together, as you know, a 14% growth for two-wheelers and I would say, a 7 - 8% growth in quarter 1 for motorcycles. This all obviously includes EV. EV two-wheelers, of course, has had an outstanding growth of almost 70%. And it's not difficult to explain this because as always, a large part of the EV market is driven by operating economics. And I remember 2020 -21 when the progression was slow, there was a point of inflection when the petrol prices had crossed INR100 a litre, and suddenly we saw demand for EV going up. Now because of the West Asia crisis and the impact on petrol, and generally on people feeling that the fuel bill might just go out of their control, there has been a surge in adoption of electric vehicles. And that's why even in this environment, when motorcycle is growing at 8% and kind of a number, the EV growth is 67%. Now it's cannibalizing - the most obvious answer to that is its cannibalizing ICE scooters based also on the anecdotal surveys, which we do about other vehicles which people were considering buying. So, the nature of the EV functionality, which is rather not as strong in delivery of range as motorcycles, but very similar to scooters on a full fuel tank. The cannibalization is obviously impacting ICE scooters more than anything else, any other category.

Kapil Singh: Thank you for the comprehensive answer, sir. Second, just a quick one on the EVs. What is the capacity expansion plan for both two-wheeler and three-wheeler EVs? And where are we on profitability now?

Rakesh Sharma: So, we are right now at 50,000 units. W

e are limited at that for EV two-wheelers. And immediately through some productivity measures, both at our end and with the vendors, we hope

Bajaj Auto Limited
July 21, 2026

Page 12 of 20

to unlock it at 60,000. But you can well imagine that we are very enthused by the very promising outlook of this industry. And the fact that we were out of scooters from 2007 onwards, as you know. And so, we came into scooters, forget the powertrain, whether ICE or electric, but we came into scooters only in 2020 via electric Chetak and have captured 23 - 24% market share, sometimes number 1, right now at number 2, but very, very close to leadership. So, both from an industry growth as well as our competitive position point of view, we are very optimistic, and we are going to unlock more capacity in this.

Similarly, in three-wheelers, not just in electric, but in ICE models also, we are experiencing constraints. Our electric vehicle 7012 has been a runaway success. I would say it's probably the top-selling model in the industry right now. And that's a wide-body vehicle. And we are at the same time finding a good surge internationally in three-wheelers. So, we are unlocking that capacity. Why I'm not giving you a number as yet, which is business unit related, is because there is a lot of fungibility in capacity. And therefore, I said from the current sort of 7 million, we'll go to 9 million plus in the medium term. That work has already started. But of course, to address your specific question on Chetak, it will be about 60,000 units in the immediate term. And then progressively, in high-end bikes, in three-wheelers, electric as well as wide-body, and obviously, Chetak, we will increase capacity.

Moderator: Thank you very much. I request all the participants, kindly limit yourself to two questions per participant and rejoin for a follow-up. Next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Yes, hi. Thanks for taking my questions. Two questions. Firstly, I just wanted to zoom into the launches that you spoke about. If I got it right, I think you mentioned the new 150cc under Pulsar, a couple of more refreshes in 125cc and 2 new brands in 125cc within fiscal '27. I want to clarify that understanding is correct. And just continuing with that, given the sort of product action that we have in the second half of the year, how should we think about the growth for the domestic business, particularly we did go through a little bit of fatigue last year and the growth wasn't as great last year. So how do we think about the growth in fiscal '27 industry as well as yourself? So, a bit more color around this.

Rakesh Sharma: Yes. So obviously, we are very positive about our outlook, not just because it's good to be optimistic and you can't say any other thing, but because of the acceptance of our recent launches, which I said, we upgraded our product. These are also not new products. So first, I want to frame the lens through which you should look at our domestic motorcycle business. The first point I want to make is that, as you know, and we've been saying this, that while we are present in the 100cc segment, we are participating in it at our own terms. Of course, we have to be competitive, but we have got an eye on the implications on the bottom line. So, we want to participate on its own terms. And when between growth and profitability, the baseline profitability starts getting into a conflict situation in that segment, we tend to favor profitability and are prepared to lose market share. This is a segment which has been over the years, underperforming. It has gone from 55% share of motorcycles to 45%. And so, it is one of the key reasons why we feel that we must focus on so much more business opportunity, which is there in the top half because in the bottom half, this segment is under pressure. I'm not saying

Bajaj Auto Limited
July 21, 2026

Page 13 of 20

that it will implode any day, not like that. These changes have happened over a period of time. But over the last 5 years, something which was 55% has become 46% over the last 5-7 years. So, it is soft in its size and growth. And of course, as you know, it offers very little joy for profitability.

And finally, our core competence is really innovation and R&D. And this segment offers less degrees of freedom to attack it on the basis of our core competencies. Therefore, the frame of

reference is the 125cc plus segment. And from 125cc to 400cc, where I must say that we are participating with 4 brands actually, which is Pulsar, which goes from 125 to 400; Dominar, which is 250 to 400; KTM, which is 250 to 400; and Triumph.

Even though KTM and Triumph are different to Bajaj, we can't strictly call them Bajaj brands, but it is a very conscious choice that we have made that if we have to mount a serious challenge to entrenched players with good brands, it's not just about the product, but it is also about the brand. And as you all know, we will not go down the path of buying market share. So, we want to do it at a competitive price, but not at a loss, therefore, have the right brand with which to challenge entrenched competitors.

So, when you look at Bajaj, you should look at these 4 brands. You should look at it 125cc to 400cc - 500cc segment. Now here, if I rewind, in fact, the precise point to which I would like to rewind is when the ABS regulations came in for the 150cc segment, and we rightly called out that this will imply a huge growth in 125cc. And therefore, we scrambled to extend the Pulsar brand, which still then was a 150cc, 180cc brand, into the 125cc. And it gave us very good gains because we immediately led to a very high level of market share, which sustained itself till about financial year '25, which is when a softness started to come because we were at the end of our product life cycle. And by FY '26, we were reading the signs that fatigue has stepped in into our portfolio of Pulsar.

We, therefore, after that, said that we will prioritize our core, our heartland, which was the genesis of Pulsar, which is a 150cc to the 250cc range. And we set about reinvigorating the portfolio, like I mentioned. And this was the launch of some class-leading features in the N series, upgrades in the NS series. The NS series, which is the most premium end of 125cc as well as the 200cc - 250cc, it's growing, outpacing the industry, but chipping away at market share at the top of this pyramid. The N series is knocking share of competition, even entrenched competition where our competitive ratio is, in some of the states, 2:1. And when I look at the state-wise performance of the N series and NS series, I don't see any red color there. It is all green, which means we are growing, in the least, 1.5x that of the industry. We are acquiring market share ever since we have refurbished the range, which is quarter 3, which is November odd and that has continued into quarter 4. So, this has given us a lot of encouragement and validated our strategy.

This strategy is now going to be retaken to its fulsome play beginning 1st August, so not very distant. And between now and September, we will launch, like I said, almost 10 new variants, you got it right, I just wanted to give you a historical context, but you got it absolutely right. There will be 2 brand-new Pulsar and new styles, new features, class-leading features, a lot of

Bajaj Auto Limited
July 21, 2026

Page 14 of 20

electronics, attractive color and graphics. And I would say that the Indian customer is going to be very pleased by the powertrain performance, because obviously, we've been doing all the tests. The launches are imminent. So yes, 10 plus 2 upgrades and 2 new models immediately in the next 6 weeks or so.

With this and based on the

empirical evidence of the last couple of quarters, we are very confident it should shake up the industry and really raise the competitive bar right in time for the season. And through this, I would say that there is more stuff coming towards the end of the fiscal, but we would be in very, very good shape. And hopefully, the season will be very good in the 125cc plus segment.

Gunjan Prithyani: These are all on Pulsar platform, what you mentioned. But you also mentioned 2 new models by the end of the fiscal. Those are new nameplates. Is it new nameplates? Or is it just the entire reset of the portfolio or refresh of the portfolio that we're doing? I just want to be clear on the brand expansion. Are we going from 4 to 5? Is that something also on the horizon?

Rakesh Sharma: Yes. At this point of time, we are looking at a different brand because the proposition will be different from Pulsar. And I can't reveal the propositions more at this stage. But because the propositions will be different, we don't want to sort of call them Pulsars. They will have a very specific angle to them, and there will be 2 different brands. And we hope to not just capture a bigger share of the 125cc plus segment. But with this action, we hope to upgrade the 100cc customer. Because as you know, participating in the 125cc allows us more degrees of freedom in terms of product innovation. And hopefully, this customer will get attracted by it and travel up from 100cc to 125cc. That is also part of the strategic intent, which will get realized hopefully this year.

Moderator: Thank you. Participants, kindly limit yourself to two questions per participant, and rejoin for a follow-up. Next question is from the line of Raghunandhan N. from Nuvama Research. Please go ahead.

Raghunandhan N.: Thank you, sir, for the opportunity. Congratulations on extremely strong numbers. Sir, just a clarification on the new product, the upcoming product launches, you said all the introductions would happen by September. Would that be right?

Rakesh Sharma: I think you guys are not taking me seriously yet. In the next 6 weeks, yes, a lot of the upgrades will happen. They will start to roll out. Like I said, there are 10 models which are being rolled out. It's a very, very hectic time. As soon as this call gets over, I have to go and do some work on the new launches. And then a couple of new brands, hopefully within the fiscal. But we'll see the timing. We have to look at the environment also to time it. You're right. I deliberately took some time over the last question. And the answer was really not just specific to the person who asked it, but I just thought that everyone would probably get an idea of the strategic thinking, which is there in Bajaj in the domestic motorcycles business.

Raghunandhan N.: Okay. Very helpful, sir. Thank you so much. So, Dinesh sir, on the other expenses, it is lower as a percentage of sales, both QoQ and YoY. You indicated cost savings, operating leverage.

Bajaj Auto Limited
July 21, 2026

Page 15 of 20

Just wanted to understand, do you see this as a sustainable rate going forward? Given that there are so many launches, how do you see the trajectory ahead?

Dinesh Thapar: So, Raghu, yes, I think for the first quarter and possibly given the inflation outlook for the second quarter, we are going to be very hard to look at discretionary costs. Obviously, there are times in business when you have some leeway to be able to make investments and you're a bit looser with what you want to then spend on. But specifically on fixed costs is where we will be quite discerning about what we will spend in quarter 2 as well. But make no doubt about the fact that as the new models roll out, if we need to be spending monies to drive competitiveness in market and marketing activation and marketing spend, that's not the area that we're going to cut with. It's more to do with the discretionary

and establishment fixed costs that you can expect that we will keep very tight even as we get into quarter 2.

Raghunandhan N.: Noted, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Rakesh Kumar from BNP Paribas. Please go ahead.

Rakesh Kumar: Hi, good evening and thank you for taking my question. My first question was around market share. So, if I'm looking at the wholesale motorcycle market share, it has been coming down despite what you spoke about that the entry segment motorcycle has been losing share, and the premium is doing better. So, is this a new direction in which we are focusing more on the premium segment, and the overall market share could keep coming down and that is a strategic direction? Or through the 2 model launches and more refreshes, you would expect that to start turning around the market share overall in the motorcycle as well?

Rakesh Sharma: See, first of all, I would not spend too much time on the wholesale base market share. Yes, it is there, but that's also driven by the stock management policies. And I think everyone has now got access to Vahan online access and it is absolutely current. So, we are really looking at Vahan registrations as a way to understand our competitiveness. And yes, now what has happened is that, like I mentioned, that in the 100cc segment, we are losing share. And that is what is dragging the overall market share down. But we are prepared for that. But I'm not saying that we are vacating that segment. All I'm saying is that we will participate in it at our own terms in terms of the profitability. So, when the environment becomes difficult and the customer is under pressure, economic pressure, then we may lose market share because we've got products which are higher priced, even though they offer some benefit. So, when the environment eases up, the same customer may prefer our product. So, we will participate in it in our own terms. Now depending on the environment, we will see how that 100cc segment behaves.

Our focus is to, irrespective of the market going up or down, to continuously outpace the industry in the 125cc plus segment. And in that, I feel that the turnaround is very much underway in the 150cc plus because we have started to gain market share in that segment. And now with the imminent launches and the action shifting into 125cc from next month onwards, hopefully, we will experience the same phenomena in 125cc segment, led by the new introduction, as we have experienced in the 150cc plus where we put in new products.

Bajaj Auto Limited
July 21, 2026

Page 16 of 20

I must also point out one thing that these are not on-off situations. When you take a brand as large as ours, with a franchise which is so historical with so much of depth, it is very difficult to

switch on and switch off ranges. And this whole makeover of the range, the passing away of the old and establishment of the new cannot be abrupt. It has to be done, achieved over a period of time because there will be and there are geographic pockets where people will go on to buy only the old vehicle because the y'll say, this is what my dad drove, and this is what I want to keep. And we have to be conscious of that. And therefore, it has to be done over a period of time. You cannot switch on and switch off. But yes, the old parts of the 150cc plus are still dragging down the performance. Despite that, the new parts of the 150cc plus segment, which is the N and the NS, have overcome the drag of the old part and still delivered a good market share increase in quarter 3 and in quarter 4 and quarter 1.

Rakesh Kumar: My second question was around cash on the books. So, we have about INR21,000 crores of cash now, more than INR2,000 crores of free cash flow we generate every quarter. So, we will end up by about INR27,000 -odd crores of cash by the end of the financial year, much above INR15,000 c

rores of cash that you want to keep on the books. Do you want to continue through the buyback route, which gets restricted for a year period? Or you want to start going through the dividend route, you increase your payout ratio and that gives a greater predictability on how much you're going to pay out each year?

Dinesh Thapar: So, let me clarify that, Rakesh. Cash on balance sheet was INR21,000 crores at the end of June. July is typically the month when we pay out the dividend. And last week, we've just concluded the buyback. Cumulatively, both those corporate actions put together would mean that INR10,000 crores in July would have been paid out to shareholders, right, which essentially will mean that cash will dip from the under INR21,000 crores that existed at the end of June. But that said, given the strong cash conversion that we have on profit to cash, I expect it to really build back to INR15,000 crores thereabouts by the end of the financial year, at levels that you've been used to seeing at the end of each financial year. If I have to just ascribe an element of seasonality, July is typically the month when there's a significant outflow to shareholders. And this time, because we've already committed, if you recall, in our last meeting, we've already committed to paying out 100% as our payout ratio of the profit that we made last year, which was INR9,825 crores.

So, to your point, one, 100% payout ratio done. Two, cash will deplete at the end of July and build back towards the end of the financial year because cash will keep generated across the remaining quarters. And the third is, this year, we opted for the hybrid route of doing a base dividend plus the balance as a buyback only because with the changed regulations under the Finance Act, the taxation for buyback was quite attractive for non -promoter shareholders. And therefore, we opted to go down that route as well. So base dividend plus buyback already explored.

Moderator: Thank you. Rakesh, I'll request you to come back for a follow -up question. Next question is from the line of Amit Hiranandani from Phillip Capital . Please go ahead.

Bajaj Auto Limited
July 21, 2026

Page 17 of 20

Amit Hiranandani: Yes. Congratulations to the team for a great set of numbers. Sir, basically, I want to understand more about the opportunity between the KTM and Bajaj. Just combining these, sir, 3 questions into 1 for you to answer. First is, are we planning to make India as a global manufacturing hub for a larger portion of KTM's portfolio? Secondly, how much of KTM's R&D is now leveraged across Bajaj and Triumph products? And lastly, are there any joint development programs we are working for future ICE and EV portfolios?

Rakesh Sharma: So first of all, I must say that KTM is being run as an independent company. And of course, liquidity was facilitated. We helped establish the senior leadership team. And there are a governance and oversight, which goes on. But the KTM brand and the KTM operations, they are remarkably different in their franchise from the Bajaj brand. So, they are going to be run separately. KTM will be run by their management, and there are huge opportunities for it to grow in its segment, which is really racing and adventure and stuff like that.

Even before this episode, there was a very healthy collaboration between Bajaj R&D and the KTM R&D, which resulted in the smaller cc, smaller engine street and motocross and adventure bikes, which were manufactured entirely in India and then exported around the world under the KTM brand. Even at that time, there was a constant endeavour to expand this collaboration, which is co -designing with our R&D and manufacturing over here. And that exercise continues. Obviously, it got interrupted for almost a couple of years because of the issues, which KTM went through. We have now again picked up the project with even more stren

gth and conviction.

And I wouldn't go as far as to say that it will become the global manufacturing hub.

But yes, there will be a substantial amount of manufacturing here. And because it's an independent company, we have encouraged KTM to apply the same competitive benchmarks if we want to be a competitive supplier to KTM, and we don't want to compromise KTM's competitiveness and its growth in any way. And therefore, it is going to be done on the basis of sound business logic.

And as far as we know, India as a manufacturing base is highly competitive. And when you take onboard all the soft factors, things which have called over the years for a China plus 1 and a China plus 2 strategies, then India as a manufacturing base, at least, I can say in motorcycles, is absolutely outstanding and out there in the forefront. So why would we not exploit that for the advantage of KTM? So yes, on that basis, the initiative will continue to expand.

Amit Hiranandani: Yes, sir. This is helpful, sir. Secondly, I just want to understand like how many touch points Triumph is present, and any target for this fiscal year?

Rakesh Sharma: We are, I think, in 120 exclusive stores and about 90 new stores where we have combined KTM and Triumph, so that the stores can be viable in small areas. So, I would say that almost 210 - 215 stores are where Triumph is available. And certainly, this is an exercise which is ongoing. And as the brand is getting recognized, as more products are getting added, there was recently the flat tracker, which got added. There are a couple of new products for Triumph also on the anvil, which will again expand its franchise. We will continue to expand the store basis the viability. We've been down this road with the development of KTM, which we commenced in

Bajaj Auto Limited
July 21, 2026

Page 18 of 20

2011 when KTM was not known to anyone and progressively built that business. So, we know we've travelled down this path before, and that's how we will continue to build Triumph in India.

Moderator: Thank you very much. Next question is from the line of Pramod Amthe from InCred Capital. Please go ahead.

Pramod Amthe: Yes, hi. Thanks for taking my question. I wanted to get your experience with the e-rick which you've launched. Considering that, that customer profile is relatively challenged in terms of loan availability and all, how have you been able to handle it? And does it create a long-term or a medium-term funnel for your broader e-three-wheeler portfolio for them to upgrade per se?

Rakesh Sharma: Yes, certainly. See, the e-rick, which is the L3 category, is almost 45,000 units per month. Apart from 2 - 3 players, it's highly disorganized. The 90% of that category is lead acid. Now lead acid is not looked on favourably by the regulators for obvious reasons. And there have been now increasing instances where permits are not renewed or not given for lead acid based e-ricks. So, there is a migration, which will happen from lead acid to lithium-ion. Also, what is happening is that there has been a lot of city laws, which have been enforced, which restrict the movement of these e-ricks on highways or on flyovers because they lack the speed. And because of that, the market has shrunk a little bit.

Now we have obviously come out with e-rick, which is, if you see, quite an outstanding design, outstanding performance, very robust. And I think every e-rick driver is aspiring for it. I personally met a lot of e-rick drivers in UP and Bihar. And everyone is wanting to upgrade. But yes, you have rightly called out, there is an issue of getting the loans, there is an issue about getting loans from organized financials like BACL and there is an issue about the price being higher. But with these pressures, which are there, both from the regulatory side, the lead acid side and the shorter life, I guess there will be an upgrading. We have al

so seen some of the e -

rick drivers upgrading to even e-autos. And that is one of the contributors for this doubling 100% growth in e-autos. But 30,000 units to 40,000 units per month is a very large segment. And we will want to increase our share in it and increase business from it.

Pramod Amthe: Second one is with regard to the e-two-wheelers. If I had to look at you being number 2 and even a number 1 player, both of you are talking about capacity constraints are the challenges. But looking at the opportunity for you to get a topmost slot in there, do you think it's only just capacity or managing the global supply chain is much more difficult in case of e-two-wheelers as compared to ICE? And how do you want to manoeuvre or what's the time frame you would put to become a number 1 there?

Rakesh Sharma: See, it is obviously not just capacity. Capacity is just table stakes. I mean if you can't manufacture, then you can't sell. But even if you have the capacity, it doesn't mean that you'll be able to sell more than everyone else out there. So, we would say that it's still the fundamental things like product innovation, brand and the customer experience, which we can deliver. And as you have said, that here, global supply chain, including software, hardware, batteries, etcetera, is an important thing.

Bajaj Auto Limited

So now we've been in the game for about 7 - 8 years actually. So, a lot of experience. And I think because of this experience coming into play and because of over these 8 years relationships get formed. Because of that, we've been able to, you know, on a product where we were losing money and when we had not been in scooters, like I said, but still in a few years' time, we have moved up into a very, very good position.

And we have also, on the other hand, taken a slightly more difficult path by going through exclusive stores because we know that our range will be expanded. It is getting expanded. And it will not find good expression if we share our motorcycle stores with Chetak. But of course, it puts pressure on doing the distribution network, because again, those issues are store viability, and all come. But now those issues about store viability and all are falling by the wayside because the industry is growing leaps and bounds. But I remember, just 2 years back, we used to be sitting and breaking our heads as to which all cities we can enter or which we can't enter because of store viability. Now that constraint is almost disappearing, which will allow us to now really step on it and expand the network, which is at about, I think, 530 - 550 stores to 1,000 stores. I can see 1,000 stores coming in a couple of years. And now that's something solid we are talking about. Those number of stores with the brand Chetak with a full portfolio, I think should set us up very, very nicely.

Pramod Amte: Sure. And the last question, if I can ask, which relate to e-two-wheelers. Other than the range, basically people talking about performance versus the family branding, do you see more fragmentation evolving as the penetration enters into the mid-teens or double-digit range? What are the scope probabilities you see global markets, EV taking shape on two-wheelers? What's the scope available?

Rakesh Sharma: Yes. Because of the capacity constraints, we've not yet been able to really step on it when it comes to exports, though we have commenced exports, and I think our exports are also doing pretty well when compared with competition. But it's just to neighbouring countries, and I can't tell you how many proposals we keep rejecting for exports because of this issue. And it's not just about capacity. There is also management bandwidth, etcetera, which is needed to develop a new category in distant overseas markets. So therefore, we have stuck to the Indian subcontinent where Chetak has been launched and doing we

II. It is also on its way to Philippines and a couple of other markets. So yes, globally, we will start to expand the Chetak franchise.

In India, I think you're right, as the industry goes, it's now at about 1,75,000 units. I think with this pace of growth, you can see that it will become 30 - 40%, in some states, already 60% has also been reached. So, you'll see in a couple of years, 50% of scooters, you can see it going to 2,00,000 - 2,50,000 - 3,00,000. And obviously, then some segments emerge.

The primary segment, I think, 2 segments which will be there, will be the commercial segment because it makes a lot of sense as the range improves for the delivery boys and a lot of commercial delivery purpose. And the personal segment, which is everyday commuter using it. So, these 2 segments will certainly emerge.

Other than that, on the basis of other functionalities and price, I would say, one will be able to cut the whole market into another 2 - 3 segments. And that is the kind of work which we are

Bajaj Auto Limited

July 21, 2026

doing. And that is what is driving our product innovation. And one example of that was the Chetak 2501, which is a very substantive departure from the Chetak range, which is in terms of the fact that it's cut its weight by almost 25 kilos if not more, much easier and lighter to manoeuvre, the turning radius, good range, nice speed, vibrant colors, etcetera, attacking more youthful customers. So, you can see this innovation as an example of segmentation. Going forward, as the industry becomes large, these opportunities to segment and innovate on product will be higher. And that is a very good news for us.

Moderator: Thank you very much, Pramod. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Anand Newar, Head of Investor Relations, for closing comments.

Anand Newar: Thanks, Neerav. Before we close, there was one question that was left unanswered. I'll ask Dinesh to just take that on what has been the profitability of e-two-wheelers and three-wheelers one?

Dinesh Thapar: Well, this was a question from Kapil. Kapil, sorry, we missed answering it back then. But our profitability, our EBITDA margin for the electric portfolio business comprising two and three -

wheelers continues to remain double digit as we had queued in the last quarter. So double -digit overall margin. And if I have to double -click on that, Chetak has now moved from what a few quarters back was EBITDA neutral to now becoming EBITDA positive. So, we now have the contribution of an EBITDA positive on Chetak in addition to the growing scale of the electric three -wheeler that is leading to an overall portfolio margin of double digit.

Anand Newar: Thank you, Dinesh. Now with this, we can close the call, N eerav.

Moderator: Thank you very much. On behalf of Bajaj Auto Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.

This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.